Hindustan Zinc Ltd. (HINDZINC)

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Call: Jul 2022

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HZL/2021 -SECY /
BSE Limited
P.J. Towers, Dalal Street,
Kind Attn: -General Manager,
Dept. of Corporate Services
Scrip Code: 500188
Dear Sir/Madam, HINDUSTAN ZINC
fmtl4iJWJi,iltmb
July 25, 2022
National Stock Exchange of (India) Ltd.
"Exchange Plaza" Bandra-Kur la Complex,
Mumbai -400051
Kind Attn:-Head -Listing & Corporate
Communications
Trading Symbol: HINDZINC-EQ
Sub: -Earnings call Transcript for the First Quarter Ended June 30, 2022
This is further to our letters dated July 21, 2022, the Company had hosted an earnings conference call with investors and analyst on Thursday, July 21, 2022 to discuss the financial performance of the Company for the First Quarter Ended June 30, 2022.
Please find attached the transcript of the earnings call. The same is also made available on the Company's website at .b11.r2wwww. hzlindia.com/investors/reports-press-releases/.
Request you to take the information on record.
Thanking you,
Yours faithfully
(R Pandwal)
Company Secretary
Encl: as above.
Hindustan Zinc Limited
Registered Office: Yashad Bhawan, Udaipur (Rajasthan)-313 004
Tel.: (91-294)6604000-02, Fax: (91-294) 2427739
CIN: L27204RJ1966PLC001208, www.hzlindia.com

“Hindustan Zinc Limited Q1 FY-23 Earnings
Conference Call”

July 21, 2022

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER ,
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – INTERIM CHIEF FINANCIAL
OFFICER , HINDUSTAN ZINC LIMITED
MS. SHWETA ARORA – HEAD-INVESTOR RELATIONS ,
HINDUSTAN ZINC LIMITED

Sensitivity: Public (C4) Moderator: Ladies and gentlemen, good day and welcome to the Hindustan Zinc Limited Q1 FY23 Earnings
Conference Call. As a reminder, all participant s' lines will be in the listen only mode. And t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sig nal an operator by pressing "*" and then "0" on your touchtone telephone. Please note , that this conference is being recorded. I now hand the conference over to Ms . Shweta Arora , Head of Investor Relations. Thank you and over to you, ma'am.
Shweta Arora: Thank you . Good afternoon everyone. I welcome you all to Hindustan Zinc's first quarter ended FY23 results briefing.
Today on the call , we have with us our CEO Mr. Arun Mis ra, and our Deputy and Interim CFO, Mr. Sandeep Modi. Mr. Misra will begin with an update on business performance while Mr. Modi will walk you through financial performance, after which we will open the floor for questions. I now request Mr. Misra to begin today's call. Over to you , Mr. Mis ra.
Arun Misra: Thank you, Shweta. G ood after noon, everyone . Thank you for joining us today for the first quarter of FY23 results briefing . Before I begin today's results presentation , I regret to inform you all that we have lost one of our business partner colleague in an unfortunate accident that has happened at our Zawar mines on 12 April 2022.
I would like to offer my deepest condolences to the bereaved family and friends of the deceased. We commit to standby the family in this hour of distress, and in-depth independent investigation is conducted on the incident and the learnings have been reviewed and are being implemented across all our operating assets .
We have also continued our proactive safety and health initiatives during the quarter. Some of the major ones included blasting point standardization, identification and automation of high risk manual activities , zone specific zero fatality plans and safety guidelines against truck toppling. We also initiated cardiac evaluation program covering 12,000 employees so far.
At Hindustan Zinc, it is our sincere belief that people are our most valued asset and we nurture them with our best in class people practices. This is also reflected in external recognitions that we received and on this account I am to share that Hind ustan Zinc has been cer tified as a great place to work for fourt h year in a row.
Coming to an update on the ESG front .
In line with our commitment to net zero by 2050, Hindustan Zinc has deployed India 's first battery electric vehicle in an underground mine at Zawar location under our engagement with the International Union for Conservation of Nature , IUCN, we have reframed Hindustan Zinc's biodiversity policy and prepared an integrated biodiversity assessment tool , IBAT report for all

Sensitivity: Public (C4) our Rajasthan locations identifying the pre sence of critical habitats and spaces, if any, within the core and buffer zones.
Hindustan Zinc has also initiated work for the installation of a 4 ,000 kilo liter per day zero liquid discharge plan t at Zawar mines . I am also elated to inform you that Hindus tan Zinc's Dariba smelting complex and zinc smelter Debari have both received the Green Co rating of gold and silver respectively at the fifth edition of the 7R’s Conference.
Moreover, our risk management system is certified as per ISO 31000 :2018 version . All of th ese collectively play a very important role when it comes to making progress on ESG front.
A quick update on our on-ground CSR activities.
Our CSR team has played an excellent balancing act on managing the ongoing long term core initiat ives along with health and COVID related support during th ese trying ti

mes .
The team has continued their well -rounded efforts towards education , sustainable livelihood via skill development , and the establishment of a self -reliant financial ecosystem for t he communities , women empowerment, health , and sports.
I am happy to inform that our Khushi Anganwadi Nandghar Program was recognized and awarded in the sixth CSR Health Impact Awards 2022 , under the category CSR Health Campaign for its remarkable work in the field of improving health status among the children below 6 years of age and women.
Turning to an update on market .
On the global supply side equation, the widening spread in prices reflects the erosion of LME stocks, which seems se t to fall to unprecedentedly low levels . At the end of May , LME stocks stood at 84 K T, of which 38,000 tons were cancelled. By the end of June, the headline stock figure was little changed at 81,000 tons, but cancelled warrants had risen to 63,000 tons, le aving just 18,000 tons of live LME zinc stocks. The zinc market witnessed backwardation during the quarter.

On demand side , with rising interest rates and inflationary pressure globally, consumers and business spending has started to decline, threatening to undermine zinc demand in the times to come. S&P Global Eurozone Construction PMI for May 2022 f ell to 49.2 from 50.4 in April, on account of higher input prices and supply chain constraints, which affected output as well as demand .
All three segments, that is housing activity, commercial activity , and civil engineering witnessed a decline. However, with substantial backlog of work for manufacturers in many parts of the world help zinc demand to stay robust year to date with the impact of the continued distribution
 of European Union's €2 trillion stimulus package , zinc demand is expected to r emain strong in the foreseeable future.
Touching briefly on lead, after the volatility seen in the month of March , quarter one started as flat and relatively uneventful . In June we saw prices tumbled by 11% from the start of the month to finish at $1,907 p er tonne for the London Metal Exchange.
The key driver for this drop in value was the strengthening of the US dollar, supported by global interest rates, renewed Coronavirus outbreaks , and the deepening crisis from the Russian war on Ukraine and the result ing overall pessimism for the base metal 's demand. L ead was still the best performing among all the key LME base metals.
Coming to silver, w ith increasing focus on renewable sources of energy , demand for photovoltaic cells, which are used in solar panels, is expected to grow . Silver being the key component for the same , should experience demand tailwinds thus supporting prices in the medium term.
Talking about domestic market , India 's industrial growth IIP index jumped 7.1% in April 2022 as compared to 2.2 % in March. The rise in II P index of 7.1% is the highest in eight months, mainly led by good growth in power and mining sectors , which grew by 11.8% and 7.8%, respectively. Manufacturing sector recorded a growth of 6.3% in the first month of the current financial year.
Coming to an update on operational performance .
Hindu stan Zinc delivered best ever first quarter min e metal, refined metal , and silver production .
Here, I would also like to bring your atten tion to the seasonality of first quarter, which is traditionally viewed as a subdued one . With our learning s through the years, we have made certain structural changes to neutralize this seasonality effects and are confident to deliver uniformly on volumes throughout the year .
With current run rate for both mine s metals and refined metal hovering above 1 million tonnes per annum , we are confident to deliver on our promise d volume guidance for FY23 and would like to keep it unchanged.
Coming to some of t

he key updates .
I am elated to inform you that our board has approved the setting up of the fertilizer plant . Also we have received an approval for setting up of an additional ro aster. These synergistic projects along the value chain will further aid to deliver value for all our stakeholders.
With this , I hand over the call to Sandeep for an update on the financial performance .
 Sandeep Modi : Thank you, Mr . Misra , and good afternoon , everyone. It was another record quarter where we
touched significant mile stones and continued positive momentum of our financial performance.
We delivered historic high quarterly revenue, EBITDA, and net profit.
This winning streak is supported by our proactiveness to cash-in the favorable LME environment by embarking on strategic hed ging from last quarter as well as ongoing operational efficiency initiatives , volume delivery , and cost rationalization . All of this has helped us to protect our margins and wrestle with input commodity inflation.
Being in the first quarter co st curve, our margins are resi lient owing to their positive correlation with LME prices, thus creating a favorable trade off for us in the inflationary environment.
Quick update on financial performance for the first quarter ended June '22.
Revenue from operation during the quarter was at record Rs. 9,387 crores, an increase of 44% YoY led by higher zinc volume , and zinc LME prices , gains from st rategic hedging as well as favorable exchange rates which were partly offset by lower silver prices . Zinc LME prices and zinc metal sales increased by 34% and 10% respectively as compared to last year.
Sequentially , revenue was 7% up, primarily driven by higher zinc prices and lead and silver volume . Gains from strategic hedging partly offset by lower zinc volume and lower l ead and

silver prices. Lead a nd silver sales volume were sequentially up 9% and 10% respectively.
Zinc cost of production before royalty during the quarter was $ 1,264 per metric ton ne, higher by 18% Y oY and 11 % sequentially. It was up 23% Y oY and 14% sequentially in INR terms . The COP has been adversely affected on account of higher coal prices , input commodity inflation s, lower domestic coal , that is the linkage co al from Coal India availability , partially off set by higher volume, better sulfuric acid re alization, and improved recover y.
EBITDA for the quarter was a record Rs. 5,278 crores, up 48% from a year ago, primarily on account of higher zinc LME and volumes , and was up 5% sequentially on a ccount of LME and lead and silver volume, while being partly offset by the higher cost .
Effective tax rate for the quarter was approximately 33.8% marginally higher from last quarter on quarter -on-quarter basis.
Consolidat ed net profit for the quarter was Rs. 3,092 crores, up from 56% Y oY and 6% sequentially on account of favorable LME , while being partly offset by the rising input commodity prices.
I am also happy to sta te on record that last week the board had approved an interim dividend of Rs. 21 per share, which is 1050% basi s face value of Rs. 2 per share and amounts to Rs. 8,873
 crores. T he record date for the same is today. This reinforces our commitment to our stated dividend policy as well as superior shareholder return.
Coming to our cost and CAPEX guidance for the fiscal year '23, we keep both our costs and CAPEX guidance intact. As I mentioned in the last few quarters that we are facing an upward pressure on input commodity prices , I would like to reiterate that we will continue to closely monitor the situation this quarter and we will take all necessary steps to address it.
With t his, I open the floor for your question s.
Moderator: Thank you. Ladies and gent lemen

, we will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
Our first question is from the line of Ab hiram Iyer from Deutsche Bank. Please go ahead.
Abhiram Iyer: My first question was with respect to the hedg es, strategy hedging that the company has done. It is mentioned that you have sold forwards of 21% of expected production for FY23, including what was sold in Q4 FY22. So if we look forward from Q2 onwards, could you just let us know how much sales has been hedged and at what price?
Sandeep Modi: So till last quarter we h edged 15% and cumulatively is 21% and 1 5% was also for the full year '23 and now only 6% we hedged during Q1 and the total price at which average p rice was $4,100 per ton.
Abhiram Iyer: So going forward, there is no hedge , right , because you have completed the entire 21% ?
Sandeep Modi : So we remain opportunistic and we will see, wait and watch and accordingly ta ke the decision .
Abhiram Iyer: And could you also just let us know any update on the government stake sale that is proceeding? Is there any update from the company's perspective or from where this is going and what essentially might be the outcome here ?
Arun Misra: Arun Misra here. As you know, after the Supreme Court decision , it is government 's internal working has to be completed before they declare the stake sale. And I think the procedures how this will be done , what would be the tr anche quantity tha t will be put out in the market for disinvestment . All those rules are being worked out and that is our update that we have. Once that is done, I am sure government will go ahead and do it.
Abhiram Iyer: And just one last question. You mentioned that, the project CAPEX is around $125 million to $150 million . What will be the sort of total capital expenditure that is incurred ? Any kind of any other new project or any maintenance CAPEX, what will be the total figure ?
 Sandeep Modi : So, maintenance CAPEX , there is no change in the guidance which w e have given earlier, and
with these two new project s announced , we still maintain the same guidance for the project CAPEX between $125 million to $150 million.
Abhiram Iyer: And what is the maintenance CAPEX amount, sir, if I may request it ?
Sandeep Modi : The maintenance CAPEX amount remain s between $350 million to $400 million.
Abhiram Iyer: Got it, sir. Thank you very much.
Moderator: Thank you . Our next question is from the line of Amit Dixit from E delweiss . Please go ahead.
Amit Dixit: I have couple of questions. The first one is on the co al cost and the sourcing mix during this quarter . If you could throw light on the mix of exports , the linkage materialization, and how is the cost and sourcing expected to evolve over next quarter? That is the first question.

Sandeep Modi : So Amit, thanks for the question. The coal cost as you see our sourcing markets are largely Australian and Indonesian and Australian indexes in Newcastle has increased significantly. Still, we have been able to hold our cost within the range bound and the co al index if you see compare YoY, it has increased to 250% and if you see our costs has increase YoY aroun d 20% .
So, we continue to do the various alternate fuels innovation and the operational efficiency to control the cost. And as I say in my opening, we continue to maintain the same guidance for the full year and we will remain watchful and take the all the necessary action to contain the co st and meet the guidance.
Amit Dixit: Okay. T he second question is essentially on our production guidance. Now a little bit intrigued on the guidance because you mentioned that you have made some structural change s and that is why the performance in Q1 was what it is. A nd we are also expectin

g fumer commissioning ,
then followed by there would be Rajpura Dariba mills also coming up .
So, are not being little bit conservative about our guidance, because even if I (Inaud ible 17:37) quarters , it could be a little higher or at the higher end of what you have project ed. So can this guidance be surpassed during the FY22?
Arun Misra: So Amit, let me explain. Last year we crossed 1 million ton in mined metal production, whereas on the finished goods we are still about 970,000 tons. So that means that we lost the race somewhere in the first quarter itself. And normally what happens is first quarter is generally subdued, m arked by more of shut downs and maintenances and things like that.
Those are the structural changes in maintenance practice I was referring to when we see this time, first quarter is almost at par with quarter 4. If you recall your last year first quarter call,
 always we would hear how come sequentially we are down on production despite sequentially we have held the production which is at the quarter 4 which is the highest ever.
That gives us confidence that last year we did min ed metal more than 1 million ton but finish ed goods less than 1 million tons. This is the year where our finished goods will also cross 1 million ton mark. S o, that is why we are hopeful on th at. We are absolutely clear that the guidance given we will live up to it.
Moderator: Thank you . We will take our next question from the line of Vishal Chand ak from Motilal Oswal Financial Services. Please go ahead.
Vishal Chanda k: So my first question was with regard to your production with projects. So what is the due date for the fertilizer plant and the roaster?
Arun Misra: So fertilizer plant and roaster both have been approved today. So from dat e of placement of order anywhere between 18 to 24 months. So since we are sitting in 2022 in first quarter end, I would expect anywhere in 2024 quarter 2 or earl y quarter 3 this should be brought to inline operation.
Vishal Chanda k: And for the ro aster?
Arun Misra: Both. B oth same time.
Vishal Chanda k: Are you still sufficient on the captive power for the expansion beyond 1.2 million tons or beyond 1.2 million tons you woul d be looking at some power expansion also because I understand till 1.2 million tons we would be captive for the power front?
Arun Misra: So, we currently have about more than 500-megawatt of internal captive power plan t, and as you know, on the ES G front, we are tying up with renewable power of about 200 megawatts , which should come in line from 2024.
So, if that comes in line , 200 megawatts of our captive power will be surplus and available with us. So, I do not see any threat of not having captive power going forward. In fact, even after 2024 , we will increase the renewable power from 200 megawatts to 450 or 500 megawatts. So power is no challenge as far as our expansions are concerned.
Vishal Chanda k: Just a follow up on this power cost. The power you mentioned on the renewable side, what wou ld be the expected power cost over here compared to our existing power?
Arun Misra: As of now, it is cheaper than our own thermal coal -based production power. Best part of it is, it will be unchanged over 25 years' time.
Vishal Chanda k: There is a long te rm PPA that we are looking at?
 Arun Misra: Long term PPA , correct.
Vishal Chanda k: Without any escalation, or that would be with some escalations?
Arun Misra: Without any escalation as of now.
Vishal Chanda k: So, could you please help us with the power cost number in this case, sir?
Arun Misra: Power cost number ?
Vishal Chanda k: On the renewable front , what will be the power cost going forward?

Arun Misra: As of now, unless the commercial agre

ements are final, it will not be proper for me to go public
with those numbers.
Moderator: Thank you . Our next question is from the line of Anuj Singla from Bank of America. Please go ahead.
Anuj Singla: Couple of questions. Firstly, on the fertilizer plant and the ro aster, can you quantify what total CAPEX we will be incurring and over what time period?
Arun Misra: So CAPEX, if we see overall between fertilizer and roaster together anywhere between Rs. 2,000 crores to Rs. 2,200 crores somewhere in between, we should be able to manage.
Anuj Singla: And like you said, it is 18 to 24 months, so this will be this year primarily , FY23 and maybe first half of FY24, right?
Arun Misra: So right now, so we have got approval now. I mean next six months will be design , negotiation, all that will happen.
Maybe payouts will start from quarter four of this financial year and then go through the entire financial year of next financial year .
Anuj Singla: Secondly, on the co al side, can you quantify what kind of materialization of the coal linkage we had in this quarter and a follow up to that is, we are calling out for a significant decline in the cost of production in the second -half, given that the global coal prices are st ill very sticky. What are the key drivers there?
Sandeep Modi: So Anuj, Sandeep here. Thanks for asking the question . For the linkage co al materialization , this quarter has been bit better than quarter four with the quarter four was around 3% and in this quarter, we have got around 8% linkage co al con sumption. So, situation seems to be improving.
We have almost 1-million -ton backlog allocated coal. H owever , this materialization had to happen, and we also have a tran che 5, 0.7 million tons FSA already signed up with C oal India.
 So almost it gives the confidence that bearing this monsoon season they should improve the production and supply to us in the H2. You are very much right. It should have a significant reduction in the cost on ac count of the linkage coal materialization .
Anuj Singla: So just to clarify , sir, the guidance we have given that includes an improved materialization of linkage from coal India for these two for us to achieve this guidance . Is that the right understanding?
Sandeep Modi: Of course.
Anuj Singla: And lastly, sir, on terms of the hedging we have done , so 21 % is for the full year and I think it is not uniform all across quarters. Can you probably hand hold us in what kind of this is already consumed in one Q and what is a pending for the next nine months, and how should we be looking at the quarter per se?
Sandeep Modi : So, Anuj, it is the front end ed, so from the h edging point of view , out of this 21% around 10 %, 11% has already been consumed and the remaining will be in the next quarter.
Moderator: Thank you . Our next question is from the line of Kirtan Me hta from BOB Capital Markets . Please go ahead.
Kirtan Mehta: Just going back to the fertilizer and roaster plant. Would you indicate sort of the cap acities that you are finally planning? What would be sort of the cost advantage that you have with the in - house sulfuric acid that is created? What kind of return you are targeting?
Arun Misra: So, on the fertilizer side , we are taking the first phase of 5 lakh tons. A lthough we are blue printed on 1-million -ton capacity but we will be putting up 5 lakh tons to begin with because we will have a new entry set -up the new business and it is a different business altogether. Al so, we would execute this project through a subsidiary so that right focus is there on this kind of a business with the right set of people and the organization , selling fertilizer is a different ball game altogether. So that organization would have a diff erent culture than metal culture that we have in

Hindustan Zinc .
If you look at project cost wi se, as I have said between the two projects , anywhere between 2 ,000 to 2,200 kind of gro ss kind of a number, and if we look at fertilizer separately, anywhere between 1,300 to 1 ,400 kind of a number we will finally arrive at for spending in that fertilizer project over 24 months. Return on investment , if you look at it, it does qualify for our capital allocation policy.
And we have just got the approval . We are still will work on the CAPEX . And this , strategically is most important for us because as we cross, we have crossed 1 million ton as we start making 1.2 million tons FG, then so much of acid from the ro aster.

 We are putting up one more ro aster so all that acid and continuing to run the business under the pressure of acid evacuation does not leave us much of a headroom to get the best value for the acid that we produce.

Although right now we do have a better value than years before, but going forward to ensure that the best value that we get and to keep the operation sustainable is to convert it into a usable product like fertilizer which will be consumed mostly between the regions of Rajasthan , UP, Western MP, and Haryana where most of the fer tilizers of DAP today are imported and are not made locally and this will be also a first land based fertilizer plant producing DAP with local rock phosphate o f Rajasthan and selling the fertilizer to this zone also gives us a good branding for better use of a hazardous chemical that gets produced as a part of ro aster process, which is sulfuric acid.

Kirtan Mehta: Thank you for the detailed explanation. One more question if I may. In terms of the current cost of production is higher than 11 , the g uidance of the $ 1,125 to $1,175. So, to come back to the annual run rate, w hat are the drivers that you are envisaging which will help you come sort of near to your annual guidance ?

Arun Misra: So, it is, I would rather see it is not one driver you have to work across the entire value chain that causes cost. So, there are operational efficiencies in mining, so that means how to reduce equipment cost, how to increase productivity, how to increase utilization of machines, how to rationalize deployment of machines in the underground.

So, we have got some internal team which is working day in and day out with the operating teams to find out to generate more and more ideas to cut . On the mining side , I would look at one gr ade control that produced to the design gr ade with l east dilution, maximize recovery. We have already implemented automated process control in A gucha Mill. We are currently implementation in Zawar Mill and SK Mill. So, all th at mills will have aut omated digital process control.

We intend to add and improve recovery by 1 .5% to 2% through the processes that would cut costs, and of course in the smelting major cost being co al, the idea would be that how do we optimize between various price values of coal that we buy . Currently we do have some high-cost coal position on the c oal that we buy going forward .

We have already started consuming biomass as a replacement of coal as a fuel and we have increased the percentage from 3% to currently about 5% and we want to increase it to 10%. So, increase the biomass portion which gives us a cost advantage and also, we are looking at the initiatives which are power consuming initiatives. But w e implemented because of high ambient temperature in the summer months would not be needed going forward . So, things like chiller for underground min es, additional ventilation capacities we have to commission . So, things like

 that would be on our positive sides and would reduce the power consumption in the min es going forwar

d.

Kiran Mehta: Can I t ake the opportunity to ask one more question, particularly on the value -added projects . You have launched one 30 KT value addition project . Apart from that, which are the ones on the planning board that we could see sort of getting finalized over the next couple of years?

Arun Misra: You are talking about value added products ?

Kiran Mehta: Yes.

Arun Misra: Okay. S o traditionally we have been selling value added products between varying percentages over the years. The change we have brought in now that we are highly focused on first creating our operational capability to produce the value -added product of the right quality sustainably over the long run.

So, if you look at the current number of HZDA -3, which we have started producing by investing in the production process by putting up new transformer and new handling facilities so that the chemistry remains intact and repeatable across all production numbers . About 1 ,000 tons per month, we have achieved the capacity and we have already started selling that. So roughly about 15% of our product today is valu e add ed product, including Jumbo , CCG, and HZDA.

Our plan is to take this number to about 20 % to 25 % value added product . We have already opened a subsidiary company which specializes in producing valu e added product in the alloy product and that company is currently under the manufacturing facilities under construction.

Once that company comes in line, we will have more value -added products. Goal is to go from 15% to about 20 %, 25% so that we are known in the market not only for good quality S HG also for good quality alloy product which allows us to get better premiums in the domestic market.

Kiran Meht a: And could you also quantify the premium that you are currently earning on this 15% value added product? And how much could it expand when you actually reach out to 20 %, 25% after completion of project? And also , in terms of the sort of net of operating cost, how much EBITDA

could it add per ton ?
Sandeep Modi: So, in my view, I think that Mr. Misra have said, we have to look at how do we see the more value addition into this so that we are immune to the LME. So, I think that is more visible from the point of view of the value addition of the product and secondly, we will be this value addition product , it will also reduce our SHG export.
So, you can compare the duty factor, whatever we will get on the value -added product. That will be the direct benefit to Hindustan Zinc.
 Moderator: Thank you . We will take our next question from the line of Rahul Jain from Systemati x. Please go ahead.
Rahul Jain: Sir, on Gujarat smelter you have any update and also secondly , we are seeing a very sharp surge in TCRC prices across the world especially in Europe . So, what kind of opportunity you think we can tap on to th at?
Arun Misra: So currently if you ask me , we are, unless the Gujarat smelter public hearing and things happen so we are not very active on that front. We are concentrating on increasing our production from the current assets and first goal remaining that we cross 1-million -ton mark in FG this year.
Whenever that opportunity arises in Gujarat in the Doswada smelter with the public hearing happening , then we will redesign and rethink that project based on the current realities of that day.
Rahul Jain: And s ir, on the situation that we are seeing now with TCRC premiums rising number. What is your take o n that? How would you? Is there any way we can capitalize on that ?
Arun Misra: That is what I said that whenever we think of restarting that project it will be based on the current realities of that day because it will be standalone smelter. So TCRC will b e an important aspect of that. As I have said, our case is concerned, current operations

it does not apply to us, we are an integrated producer. So, we are not affected much by the TCRC mo vements.
Moderator: Thank you . We will take our next question from the line of Pallav Agarwal from Antique Stock. Please go ahead.
Pallav Agarwal: Sir, I had a question on inventor y is declining so sharply , so why are we still seeing a very sharp fall in zinc prices? And at what level s do yo u see some support from the global cost curve ? So, in the case of aluminium, we have probably seen more stable pricing of late because the cost of production is now pretty close to the marginal cost of smelters . So, what level of zinc prices do you think you will start seeing some support from a global cost curve ?
Arun Misra: So, if I tell you I have been saying this for long that for us and for almost all smelters , very stable operations can be achieved anywhere between $3,000 to $3 ,200 per ton of the price of LME of zinc. If I have to put a red line somewhere around $2,200 to $2,300 would be a red line when all of us will be in trouble as far as continuing our operation, rather cutback high cost operations or continues on ly with the high-grade mining and high-grade operations .
So, we are much above those red lines as of now, and we have further work on our cost that we have currently and if we are able to cut down our costs to our guidance numbers, we will be f are much better off.
Pallav Agarwal: Also, really just help us with the demand in China and the level of exports. So, because that has been sort of a concern for the whole metal s pack?
 Arun Misra: So, current world order, all the movement of goods or the economic growth, or lack of it across the geographies , for last about three to four, three years or so, post COVID and also various geopolitical events that have been happening, it is very difficult to predic t, even if China demand started firming up then again, resurgence of Covid came .
Again, the lockdown started . Again, as of now, we are hearing that the zero COVID policy, t hey would be relooking at it and hence the sudden tightening on the society t hat we saw in Shanghai recently perhaps will not be repeated . But I think those are the speculation which I would not like to get into. Russia, Ukraine wa r, the pressure on gas, global warming has been sudden heat waves in Europe , need for air conditioning in Europe in summer of India.
Traditionally, summer of India was winter or cold weather in Europe. People would like were going for travel nowadays that has also become summer in Europe . So, all these have very difficult to conne ct the dots and s ay what would happen going forward six months. But I firmly believe that the post COVID era world is going through a transition phase. It would settle down in about 6 months to 12 months ’ time .

Pressure on coal cost will remain in the sens e that there would be pressure on coal producers to go out of coal production because of the pressure on ES G or commitment to net zero so that supply side shrinkage will keep on adding more cost.
So as a smelter operator , we have to move out of coal-based power and go to renewable power. That would be the strategic solution to control the input cost. If I look at demand side, we are not dependent on the demand of China. However, the LME prices do fluctuate based on the stock levels and the demand in China .
Our export market of Southeast Asia has a robust demand as of now . Going forward very difficult to predict. But as far as all the reports that we read, it will be fair to expect 1 % to 1.5% growth across the globe as far as zinc demand is concerned, which may be slightly subdued compared to 2.5% that was predicted sometime back.
Moderator: Thank you . Our next question is from the line of Shreyans Daga from Barclays. Please go ahead.
Shrey

ans Daga: My question is on the cash and investment side. So , Hindust an Zinc has reported Rs. 242 billion of investments and cash equivalents as of June ‘22. So, could you give us some break down as to how much is liquid cash and how much is illiquid instruments ?
Sandeep Modi: So Shreyans, I think th e break up I think is quite sensitive. What I can say, we continue to invest in the high-quality debt instruments and that has been our philosophy and it is a mix of both liquid and the long-term instruments.
Shreyans Daga: And after the dividend announcem ent that figure would be around Rs. 88 billion down , right?
 Arun Misra: Yes, so as of now after the dividend it is around Rs. 15,000 crore s.
Moderator: Thank you . Our next question is from the line of Pinakin Parekh from JP Morgan . Please go ahead.
Pinakin Parekh: Maybe this question once was answered earlier but just would like to understand the hedging strategy. So at what zinc price would the company be open to start hedging again? Because as you mentioned, most of the hedges would get consumed in the ne xt quarter ?
Sandeep Modi : So Pinakin, thanks for the question. I think it is a quite dynamic situation. It will also depend upon what cost levels we are, so I have to say $1,000 of the cost level s somebody may be lucrative for $3,500 and the $1,300 level somebody would be l ucrative of $4 ,000. So we will have to continue to wait and watch. There cannot be anything at this point of time I think we can indicate at. That is the price level, but it will be a dynamic situation.
Pinakin Parekh: So, it is fair to s ay that you wo uld not be hedging at $3 ,000 zinc price ?
Arun Misra: What I can say that we will continue to wait and watch $3000 or over $3,500. We will have to see how the market dynamics going on and what the report suggests and how the LME inventories and other situations are there.
Moderator: Thank you. Our next question is from the line of Vishal Chanda k from Motilal Oswal Financial Services. Please go ahead.
Vishal Chandak: My question was again with respect to your guidance on cost of production. You mentioned that you would like to continue with the guidance that you have given in the last year of $1,125 to $1,175 per ton, right? Prudent cost came at $164 per ton . And if I do a simple mat h, what we are implying is for rest of the nine months our cost of production would be about 14 % to 15% lower versus what Q1 is.
And you also mentioned that the coal prices are still not trending downwards, so if you could just help me recon cile, how are we planning to achieve a 15% reduction in cost w hen coal prices do not seem to be moving down anytime soon ? Are we expecting significant addition from FSA coal or there is something else that we have missed out?
Sandeep Modi: So, what I will say on the cost part, I would refrain from shooting in the dark and take any call today, as if we prudent to wait it out until the next quarter for the LME cost to play out. Yes, you are right. Despite the increase, if you see I give you some data point . During the YoY , the cost has increased on the coal, has increased by almost 200%, whereas our total cost increase d by 20% and power component is seen is jumped to 26%.
This is despite the lower linkage domestic co al availability. A nd as I said earli er, there has been improvement in the linkage coal supply and we have been meeting the Coal India and various
 coal subsid iary companies to expedite the materialization and there is a meagre number in the Q4 today , we are roughly at 7%, 8% linkage and given the backlog from the Coal India over 1 million tons and Tranche 5 FSA 0.7 as I stated earlier, is yet to start for us. We hope , because it is a viable option, ma

terialization has already started for the companies which are nearby the
coal mines. But for the far away factories like us, it is yet to start.
We hope this to benefit us in the coming quarters of the year. So overall, if I keep this all factors into consideration, I will choose to remain optimistic on the cost front.
Some of the internal factors, which will help us a s Mr. Misra already said in detail , power related volatility in keeping t ight control on the cost through all levers , with such reduction in admin fixed costs, increasing the alternate fuel , sourcing of the low-cost parcel of coal, apart from the operational efficiency will actually help us to in the cost reduction.
Vishal Chandak: So just to add onto this, are we also sourcing some thermal coal from Russia to bring down our costs?
Sandeep Modi: So our major source of the co al is coming from the Indonesia and Australia.
Moderator: Thank you . Our next question is from the line of Amit Dixit from Edelweiss. Please go ahead.
Amit Dixit: I have two data keeping questions. The first one is on grade of material. What was the grade in this quarter and the second question is on capital mine development and re venue mine development in this quarter?
Sandeep Modi: This quarter grade of the metal w as around 7 %, 6.91%. And capital mine development was 14 kilometers.
Amit Dixit: And revenue was?
Sandeep Modi : Revenue was almost equal to 14 kilometers. So, it is a 50 :50% we have seen .
Moderator: Thank you. We will take our last question from the line of Ashish Kejriwal from Centrum Broking. Please go ahead.
Ashish Kejriwal: So, this is on sulfuric acid. Is it possible to share what was the re alization in sulfuric acid this quarter? A nd how it has been panning out for last two or three quarters and ou tlook on that?
Arun Misra: Sulfuric acid , our mode of sales have been apart from few long term customer agreements, mostly through auction and whatever is the best realized . I can give you a tr end that our realization through auction this quarter has been better, but lately we are se eing a cooling off in the sulfuric acid prices as well , so I would restrict at that.

 Ashish Kejriwal: Sir, is it possible to share what is the average re alization for this quarter?
Arun Misra: Since it is not my primary product, so I would rather not be able to say what was the exact number, but I can give you a tr end that realiz ation this quarter has been better than first quarter and that has helped us to negate part of the rise in costs because of input commodities .
Ashish Kejriwal: Then secondly, we were contemplating to acquiring zinc assets in overseas market, so any update on the s ame?
Arun Misra: It remains in our strategic map and whenever the situation matures and we do get all regulatory approval that is required, we will come back to it.
Ashish Kejriwal: So sir, what kind of situation actually ? If you can elaborate what kind of situation, we require to get into it or what kind of regulatory approvals are required ?
Arun Misra: So, we had discussed in few last calls that a mong th e target is also our own group Zinc International , which is in South Africa. So, whether that makes the best sense for us to acquire and Hindustan Zinc to grow in that region, but that would require permission from government and all that. So once that hap pens then we will come to it, and we can discuss.
Moderator: Thank you . I would now like to hand the conference back to M s. Shweta Arora for closing comments . Over to you, ma'am.
Shweta Arora: Thank you all for joining us on the call today. Before we close today's call, I am happy to share that we are progressing well on our journey of mapping global b est reporting practices and holistic disclosure. And towards this end , I wanted to update you all

that we have published our
third integrated a nnual report for the financial year 2021-22. From this year we've also voluntarily embarked on reporting further business responsibility and sustainability reporting , the BRSI framework that was launched by SEBI in May 2021.
We look forward to your valuabl e feedback on the report and also fifth tax transparency report is now available on our website. So with this , I would close today's call . For any follow up questions or clarification s, please feel free to reach out to the invest or relations team. Thank yo u.
Moderator: Thank you . Ladies and gentlemen, on behalf of Hind ustan Zinc Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2022

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Sensitivity: Internal (C3) October 25, 2022
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Communications
Trading Symbol: HINDZINC -EQ HZL/2022-SECY/
BSE Limited
P.J. Towers, Dalal Street,
Kind Attn: - General Manager,
Dept. of Corporate Serv ices
Scrip Code: 500188
Dear Sir/Madam,
Sub: - Earnings call Transcript for the Second Quarter and Half Year Ended September 30, 2022
This is further to our letter s dated October 21, 2022 , the Company had hosted an earnings conference call with investors and analyst on Friday, October 21, 2022 to discuss the financial performance of the Company for the Second Quarter and Half Year Ended September 30, 2022 .
Please find attached the transcript of the earnings call. The same is also made available on the Company's website at https://www.hzlindia.com/investors/reports -press -releases/ .
Request you to take the information on record .
Thanking you,
Yours faithfully
For Hindustan Zinc Limited
(R Pandwal)
Company Secretary
Encl: as above.

"Hindustan Zinc Limited
Q2 & H1 FY2023 Earnings Conference Call "

October 21, 202 2

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER – HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – DEPUTY & INTERIM CHIEF FINANCIAL OFFICER – HINDUSTAN ZINC LIMITED
MS. SHWETA ARORA – HEAD -INVESTOR RELATIONS - HINDUSTAN ZINC LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to Q2 and H1 FY202 3 Earnings Conference Call of Hindustan Zinc Limited . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to M s. Shweta Arora, Head of Investor Relations . Thank you and over to you, Madam !

Shweta Arora : Good afternoon everyone. I welcome each of you to Hindustan Zinc Q2 and Half Year ended FY20 23 results briefing. Today on the call, we have with us our CEO , Mr. Arun Misra and our Deputy and Interim CFO , Mr. Sandeep Modi . Mr. Misra will throw light on our business performance while Mr. Modi will walk you through financial performance after which we will open the floor for questions. As many of you requested this time to have an early call owing to multiple results and Diwali weekend, we are starting 15 minutes earlier than usual schedule and we will also try to wrap up in the next 45 minutes. Also, I would like to request you all to please open both the press release and the presentation for quick reference during the session. I now request Mr. Mis ra to begin today's call. Over to you Sir !

Arun Misra: Thank you, Shweta . Good afternoon and a Very Happy Diwali to everyone. Thank you for joining us today for the Q2 and Half Year FY2023 result briefing. Before I begin today's results presentation, I regret to inform you all that we had an extremely unfortunate incident at Chanderiya on 12 August, 2022 wh ere there was a sudden rupture and subsequent breakdown of an acid storage tank. This incident which led to acid gushing out of the tank cost us 6 valuable lives including our own employees and business partner and colleagues who were standing in the vicinit y. I would like to offer my deepest condolences to the bereaved family and friends of the deceased. We commit to stand by the families in this hour of distress. In-depth investigation has been carried out a

nd the findings have been reviewed and we will be implementing all the findings across all operating assets. We have also continued our proactive safety and health initiatives during the quarter.

At Hindustan Zinc, it is our sincere belief that people are our most valued asset and we nurture our talent wi th best-in-class people practices. This is also reflected in external recognition s that we receive, and on this count, I am happy to share that Hindustan Zinc has won the Prestigious People First HR Excellence Award for leading practices in diversity and in clusion initiatives and talent management. After being recognized as Great Place to Work we are now a lso recognized as Happiest Workplace in light of our best-in-class people practices.

 An update on the ESG front, in line with our commitment to net-zero b y 2050 we have entered a power delivery agreement with Serentica Renewables India 4 Private Limited . PDA is signed for renewable power aggregating up to 200 megawatt and under the group captive scheme , Rs.105 Crores has been invested in the Q2. I am also ha ppy to inform that our Pantnagar plant in Uttarakhand is sourcing 100% of its power requirement from renewable hydropower now. This makes Pantnagar the first unit of Vedanta which is using 100% green power. This is only a first step towards many more miles tones in our ESG journey and commitment to net zero.

I am also delighted to inform you that Hindustan Zinc was awarded at the third edition of the CII Climate Action Program 2.0 under the oriented categor y. In addition, our smelters were also awarded at GreenCo Summit 2022 . Dariba Sme lting Complex and Chanderiya Lead Zinc Smelter received Gold rating while the Debari Z inc Smelter bagged S ilver. All of these collectively play an important role when it comes to marching ahead in our ESG journey. You may also loo k at slide 8 to 11 in the presentation for further details.

Coming to an update on our own ground CSR activities, our CSR team continues to make a positive impact across array of fields and are delivering on initiatives and activities across the areas of education, sustainable livelihood, woman empowerment, health, water, community asset creation, sports and culture, and volunteering through their whole rounded and on -ground efforts . It gives me immense pride to inform that Hindustan Zinc has been felici tated with seven awards at the 26th Bhamashah Award s for our initiatives and projects in the education sector. These awards are recognition of our continued commitment towards education. In the last three years around Rs.50 Crores were spent by t he units of Hindustan Zinc in Rajasthan towards education related initiatives benefiting more than 2 lakh children every year. I would also like to share that Sahil Poonia , our star goalkeeper at the Zinc Football Academy has been inducted into India unde r 17 team and has won the best goalkeeper award and championship on his debut at the SAFF under 17 tournament held in Colombo. The key highlights of our CSR initiative is also covered on slide 12 of the presentation.

Quickly an update on the market, supply and demand forces remain largely in balance however macro uncertainty has put LME under pressure. On the supply side rising energy prices across Europe has brought news of smelter s being put into care and maintenance leading to conc erns around the supp ly of metal. At the end of September LME stocks stood at 54,000 tonnes as compared to 140,000 tonnes at the start of April 2022 whereas stocks in Shanghai warehouse stood at the end of September stood at 38,000 tonnes as compared to 176,000 tonnes at the start of A pril 2022.

 On demand side, global uncertainties are casting dark clouds on metal demand with rising interest rates, energy prices, and other infla

tionary pressure continues. The S&P Global
Euro Zone construction PMI fell to 48.5 in September from 56.5 in A pril and the construction PMI for August 2022 fell to 44.2 points from 50.4 in April on account of higher costs and supply chain constraints, which affected output as well as demand. The supply chain issues including component shortages in automotive secto r in Europe is continuing and is evident as the data from European Automobile Manufacturing Association that the new passenger vehicle registrations have declined by 13.7% year -on-year.

Touching briefly on le ad, lead prices witnessed a significant amount o f volatility during H1 and closed out the half at US $1889 per tonne approximately a 22% decline from April 1, 2022. Some of the results attributed to this drop were the strengthening of US dollar, the increase in energy cost supported by global interest r ates, the deepening crisis due to the Russian war on Ukraine and the result ing overall pessimism for base metal demand. Le ad prices are expected to remain subdued for the rest of the year as the automobile sector globally is facing constraints in productio n.

Coming to silver we have witnessed an upt ick in silver demand in light of upcoming festive season and lowering of prices which witnessed their share of ups and downs and closed out the half at $19.02 per troy ounce , a drop of approximately 23% from the start of financial year. On the domestic front the economic environment in India remain ed buoyant. The same was reflected in S &P global manufacturing PMI in August 2022 which was at 56.2 indicative of the expansion in manufacturing activities. The Indian dome stic zinc demand has been stable during H1 of this year on the back of robust growth in infrastructure, pipes and alloy segment s which resulted in resumption of projects orders that were stalled in 2021. We also witnessed strong demand for le ad domest ically largely on the back of excellent automotive demand ahead of festive season. The demand of le ad in the industrial battery segment has also been robust as battery replacements in data centres, banks , ATM, and other critical applications gather pace. Additionally, the Indian secondary le ad market continues to remain tight due to poor availability and limited imports. You can also refer to slide number seven of the presentation for details.

Coming to an update on operational performance without delving too much into the details which are already available in the press release and presentation , I am happy to inform that Hindustan Zinc has delivered a record first half with highest ever mine d metal, refined metal and silver production . With consistent MIC flow from the mines, better plant availability and with better grades and improved recoveries our volume delivery is on the up cu rve with increasing uniformity and to an extent also negating the effect of traditional
 seasonality with proactive planning and effec tive removal of any roadblocks. Here , I would also like to bring to your attention that if I look for the last 12 months , even after factoring in some of the one offs with operational challenges and unforeseen events we are comfortably sus taining over 1 million tonne run rate on both mine d metal and refined metal. With our valuable learning and some of the key structural changes that we have discussed over the last few quarter s, alongside increased use of technology as well as learning’s deplo yed we are confident to deliver the project volumes for FY2023 and with increasing uniformity in the quarters to come. With this I hand over the call to Sandeep for an update on financial performance.

Sandeep Modi: Thank you Mr. Mis ra and good afternoon e veryone. I am happy to present to you another good set of results amid macro headwinds, input commodity inflation and softening LME . It was record first half

where we touched significant milestones and continued positive momentu m of our financial performan ce.

We delivered a historic high first half in terms of revenue , EBITDA as well as net profits. The success can be largely attributed to our agile decision making to cash in the favorable LME by embarking on strategic hedg ing on the right time. This along with the zeal to leave no stone unturned when it comes to operational efficiency initiatives , cost rationalization as well as volume delivery is keeping us ahead in th ese uncertain times and helping us stay in the first quart ile of global cost curve . All of this has enab led us to protect our margin despite grabbling with the increasing energy prices and input commodity inflation.

Refer to slide 17 for an update on our financial performances for Q2 and first half year ended September 2022.

For the first half of FY2023 our revenue from operations stood at Rs.17,723 Crores , an improvement of 40% from the same period last year. This was supported by improved zinc LME prices and volumes , gains from strategic hedging , favorable exchange rates and better lead and silver volume. These were partially offset by lower le ad and silver LME prices.

Similarly, revenue from operation during the quarter was Rs.8 ,336 Crores which is an increase of 36% Y -o-Y led by higher refined metal and silver volume and LME prices ,

gains from strategic hedg ing and the favorable exchange rates partly offset by lower le ad and silver LME prices. Sequentially revenue decreased 11% primarily due to lower zinc prices and volume, lower le ad and silver prices partially offset by our gain from strategic hedging , favo rable exchange rates, and improved le ad and silver volume.
For H1 FY2023 the COP stood at US $1,260 per metric tonne 15% higher Y -o-Y in US D terms and 22% in INR terms. The COP was affected largely on account of higher coal
 prices, lower domestic coal linkag e availability, input commodity inflation being partially offset by higher volume and improved operational efficiencies. Zinc cost of production before royalty during the quarter was $1 ,259 per metric tonne higher by 12% Y -o-Y and almost flat sequentially. In INR terms though it was 21% Y -o-Y and 3% sequentially higher .
The r esulting EBITDA for H1 FY2023 was at Rs.9 ,665 Crores an increase of 40% Y -o-Y driven by improved metal and silver volume, zinc prices , gains from strategic hedging and favorable exchange partially offset by higher cost and lower le ad and silver prices.
EBITDA for the quarter was Rs.4 ,387 Crores up 32% Y -o-Y though down 17% sequentially. This movement was primarily driven by the higher revenue being offset by increased cost on account of the prevailing input commodity inflationary environment .
Please refer to EBITDA bridge given on slid e 18 to 20 for the various periods for detail s.
Net profit for the H1 was Rs.5 ,772 Crores a strong growth of 44% Y -o-Y led by higher EBITDA partially offset by increase in tax and depreciation and amortization . For the quarter net profit was Rs.2 ,680 Crores a Y -o-Y growth of 33% led by higher zinc volume and prices and favorable exchange rate while being partially offset by the r ising input commodity prices an d lower le ad and silver prices.
On the sequential basis net profit was 13% lower due to lower metal production and lower zinc and silver prices being partially offset by strategic hedging gains and favorable exchange rates. Effective tax rate for the Q2 w as close to 32% and if we see H1 it will be approximately 33%. That said our cash tax is much lower due to available MAT credit plus once we move to new regime from next financial year our tax rate will be around 25%. As far as our ETR guidance is conside red I would leave it unchanged at 32% for the full year.
Kindly turn to slide 22 of the presentation for our cost and cap

ex guidance for the FY2023.
In the previous quarter I had mentioned that across the industry there is upward pressure on input commodit y inflation which we are also facing. While we have been doing our best to combat it through levers available to us in the form of delivering higher volume, operational efficiencies , a special focus on improving and maintaining metal recoveries and exploring all possible avenues to reduce our coal procurement cost the input commodity inflation continues to weigh on us. As no process improvement can combat such a steep increase in coal cost in the near term. Hence management has taken the considerate call to revise the cost guidance and expect zinc COP in the range of $1 ,225 to $1 ,275 per ton for FY2023, which is inclusive of higher mine development expenditure to support future volume growth.
 As you would understand and appreciate that this revision comes in the li ght of an extremely uncertain environment with rising imported coal prices, lower domestic availability and geopolitical tension which is impacting supply chain globally. That said we remain confident to maintain our leadership position in the global zinc cost curve and will continue to protect and improve our margin. Project capex guidance for the year remain s unchanged and is expected to be in the range of $125 to $150 million. With this I open the floor for your questions. Thank you.
Moderator: Thank you very much Sir. Ladies and gentlemen, w e will now begin the question and answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Amit Dixit from ICICI Securities . Please go ahead .
Amit Dixit: Good evening everyone. Congratulations for a good set of numbers in otherwise a very challenging quarter. I have just a couple of questions. The first one is if you can quantify the gain from hedging and is there a portion of hedging still left a nd if so at what price . So that is the first question? The second one is on your production guidance which seems to be slightly conservative given that I expect that if Acid tank storage at Chanderiya would have repaired and contribution from Comer is also ex pected so what drives this rather conservative guidance so these are the two questions I have? Thank you.
Sandeep Modi: Thanks Mr. Amit. I will answer the first question. The Q2 strateg ic hedging gain was

around Rs.500 Crores taken into the Q2 and to answer your question nothing much significant strategic hedging open position now stands.

Arun Misra: Amit , thanks for the question. On the volume portion as you can look at the last four quarters if you add up we are already more than 1 million tonne plus and H1 itself is 0.5 million tonne and above . Yes we all hope that we cross 1 million tonne mark by good margin but I think let us do Q3 right and then would better know how much more we can add in Q4 and we are all very eager to cross that mark of 1 million ton ne by a good margin as far as F Gs are concerned, but I would not like to like be unnecessarily optimistic but rather I would say that we are all committed to do better.

Amit Dixit: Great Sir thanks and all the best. I will get back in the queue. Happ y Diwali.

Moderator: Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking Limited . Please go ahead.

 Pallav Agarwal: Good evening everyone . Happy Diwali to all. Sir I had a question on the coal availability and linkages so after the monsoons are we seeing any improved availability of coal and so do you expect that coal cost could moderate in Q3 or Q4?

Sandeep Modi: Pallav , I will address the question. The linkage coal availability has bit improved , in Q1 it was 10%. In Q 2 it has been around 14%. We believe that we

have been meeting and representing everywhere and we expect after the monsoon the linkage coal availability should improve but what can be the quantum , 20% or 25% we do not know but at this point of time we remain optimistic as Coal India has also been stating that their production is going to improve and especially the FSAs with the mines which we have and coal procurement cost is the driver. The second I think the imported coal prices are also going down in t he market , especially if you see the Mozambique and South Africa and Indonesia . That should also help us to reduce the coal cost.

Pallav Agarwal: Sure Sir, but the INR is also depreciating so considering that we will still probably expect costs to go down?

Sandeep Modi: INR is deprecating as far as my EBITDA margin is considered I am naturally hedged so INR deprecation is also giving much, much benefit in case of my exports and if you see in the US dollar terms cost the denominator will remain the higher USD INR so my cost per tonne should not be that much of resulting into the negative.

Pallav Agarwal: Fair enough Sir. Sir just also a question of I think if I got the number right the strategic hedging gain you mentioned was about Rs.500 Crores for this quart er is that correct?

Sandeep Modi: Yes.

Pallav Agarwal: So this is actually Sir is that helping the zinc if I just compute the zinc premium , physical premium over LME so that has again improved over the last quarter so is this also being driven by this strat egic hedging here?

Sandeep Modi: Strategic hedging gain is completely different. It is not having any premium so it is only a delta between what is the market price in the LME and what has been actually we have sold forward so you will see this delta in t he revenue from operations.

Pallav Agarwal: Yes Sir so indirectly it is coming into the zinc realization?

Sandeep Modi: Yes it is a zinc realization as part of the revenue from operation.

 Pallav Agarwal: Yes that is why I am saying the derived premium seem s to be on the higher side o kay this may probably normalize. Thank you.

Moderator: Thank you. The next question is from the line of Vishal Chandak from Motilal Oswal AMC . Please go ahead.

Vishal Chandak: Thank you very much Sir and wish you all a very, ver y Happy Diwali. Sir my question was with respect to this group captive scheme so if you could just elaborate on what kind of investments are there? What kind s of ROEs are expected and what is the cost of production and also a bit more on the group company Serentica , who are the owners, etc.? Thank you very much.

Arun Misra: Group captive scheme is standard scheme in case of a power production and transmission , if you are not trying to own 100% of any power plant that you put up and you want somebody else to put up a power plant but you want to get that benefit of being a captive producer in terms of other duties and taxes and that are applicable to power producer then you go for the group captive scheme mandated by the government be it thermal, be it RE power or any kind of power plant . So that requires that one has to make a 26% equity investment in a power producing company so that is plain and simple as per the law that one has to do and that is what we have done. Serentica is floated by our group . It is a group company which is into RE power production, and we see that this considering all the businesses of the group , RE power requirement is very high and also all our operations will be totally banking on continuity of suppl y of RE power . So, while one can try to ensure that through contracts but having own investments at the same time being a listed entity having a 26% group captive s cheme investment helps us to ensure the continuity of business with all risks factored in with the RE power which i s going to replace about 40% to 45% of my to

tal power generation capacity.
Vishal Chandak: Thank you for the elaborate answer. Sir just let me rephrase a couple of points which I wanted to understand? Number one Serentica is it a promoter entity or it is Vedanta Limited Group company that is number one? Number two I understand group captive mean s you will have to invest at least about 26% of the equity to be eligible for that but so far your investment is about Rs.105 Crores does that mean that is your 26% e quity contribution if not then how much extra we need to fund total and thirdly by what time do we expect this 200 megawatt power to start flowing into our HZ?
Sandeep Modi : So Vishal, I will that. The total investment which board has approved for 26% equity is Rs.350 Crores, which we had announced in the market and we have invested as of now 30% and this entity is expected to commission its operation in the next two years so by FY2025

 or early Q1 of FY2026 we should be having the start of the operatio n. This is not part of the Vedanta Limited .
Vishal Chandak: Thank you so much.
Moderator: Thank you. The next question is from the line of Saket Reddy from Polasani Enterprises . Please go ahead.
Saket Reddy: Good evening Sir. I have seen that you have done a NCD payment of Rs.700 Crores this quarter so when is the next one due?
Sandeep Modi: The remaining is Rs.2,100 Crores. That is due in September 2023.
Saket Reddy: September 2023 okay and one more thing your saleable silver guidance is it too conserva tive like you have done 371 MT I think in H1 ? You have guided for 700 to 725 for the whole year so H2 will see some let down or is it a conservative guidance?
Arun Misra : No. It is in line with the metal guidance that we have given. There is always a certain proportion that gets maintained with the metal production and as of now unless I am changing the metal guidance I will not be able to change the silver guidance as well but as I committed earlier H1 being already cross ed 0.5 million tonne and silver at 340 or so, so H2 we are all hoping it will be much better and let us see by how much margin we cross the guidance that we have given.
Saket Reddy: We are already I think around three weeks into Q3 so you still maintain fumer in Chanderiya to get comm issioned by end of Q3 ?
Arun Misra: Yes because with the only thing that was stuck was the Visa issue and as we speak yesterday itself some clearances have been given for Visa approval from Beijing Embassy so I am sure in a matter of week or so we would ha ve the experts here and then we should be able to complete the work. Everything is done. It is only the commissioning. It is matter of 10 to 15 days work, but we need the experts to be here. That is the only issue.
Saket Reddy: Last question Sir. The Chand eriya plant is back on track like post the issue?
Arun Misra: The plant is in operation so we had preponded some of the shutdown work which anyways we had planned to do at the lat ter part or the early part of this quarter, so we have proponed that, complete d those shutdowns and restarted all operations so everything is normal as far as operations are concerned.

 Saket Reddy: Thank you and all the best. Happy Diwali to the team .
Moderator: Thank you. The next question is from the line of Ritesh from Investec . Please go ahead.
Ritesh: Thanks for the opportunity. Sir just two questions. First we have pretty solid cash flows , we have a lot of cash on the books and we have limited capex so Sir how should one look at the dividend payouts going forward?
Arun Misra: As I keep saying dividend is a matter for the board to consider. As far as my job is concerned to ensure EBITDA and to generate cash flows and I am sure the board in their best interest would take their decision at the right time but we are

also putting up two good
projects which I have informed earlier both a new roaster which will add to our calcine meeting capability and also one fertilizer plant and I am sure this year this year when we do the business planning we will come up with some more projects to make better utilization of the cash that we have.

Ritesh: Sir if I just have to take a step back when we look at a particular payout ratio just want to understand how you think about it like we have adequate cash on the books but still if I look like la st two annual reports and if I just dig into a bit of regulatory filings we do understand that the company is also looking to move capital from GR to RE so what is the need for us to actually execute that specifically given there is adequate cash which is already there on the books?
Sandeep Modi : If you see general reserves to retain ed earnings it is a long drawn process so we initiated this process almost eight to nine months back and currently the SEBI has approved us and it in the NCLT . This is an enabling provision wh ich will allow us the flexibility for using it. It may not be immediate but it is in the interest of the shareholders so it will go through the process so that is why we have taken it to enable us anything we want to reward the shareholders.
Ritesh: Sir my q uestion is what is that triggered us to do something of this sort right now probably why not like says three years back or four years back? I am just trying to understand that thought process and trying to understand the concept?
Sandeep Modi : If you see any time, what is the right time nobody can comment, but we have also taken as a part of various other companies who took recently or in the past Tata Power they have also taken so we also took around a year back and as I said earlier it is a long dr awn process. It does not require like just one week or one month job. It has been almost a year job so we thought that it will take time so we triggered this thing around eight to nine months back.
 Ritesh: Sir you said we already have approval from both SE BI as well as NCLT did I hear it right?
Sandeep Modi : SEBI has approved it. NCLT is still yet to approve.
Ritesh: Sir do we need creditor approval over here when we do GR to RE?
Sandeep Modi : It will be through NCLT process and after the shareholder approval w ill be required.
Ritesh: Sir when we actually give a payout from the GR to RE does it also call for a shareholders' approval or a creditor approval?
Sandeep M odi: No, once the NCLT approves and then after the shareholder approval would be required and automati cally it will go to the retained earnings and after that it becomes a part of the free reserve.
Ritesh: So if there is an incremental payout we do not require any separate creditor's approval right? Is that understanding right?
Sandeep Modi : No. You are right.
Ritesh: That helps perfect. C an you highlight the update or progress on the fertilizer expansion given I think the scenario that the country is in , I think we fast track something of this sort it is good?
Arun Misra: You are absolutely co rrect so with have got the board approval and after that our project team has completed the design, pre-feasibility and then now we are busy in negotiation for appointment of EPC contractor and I guess by the end of this month the contractor will be on board a nd I can see we will be the hitting the ground anywhere between second or third week of November to start construction.
Ritesh: Sure Sir. Thank you so much. That answers all my questions.
Moderator: Thank you. The next question is from the line of Amit Dix it from ICICI Securities . Please go ahead.
Amit Dixit: Thanks for taking my questions again Sir. I have a couple of data questions actually . The first one is what was the grade in Q2 FY2023 while you have mentioned that ha

s improved
so just wanted to under stand how much it has improved that is question number one? The question number two is on the capital development and the revenue development, just to highlight it?
 Sandeep Modi : The grade for this quarter has improved to 7.4% and capital mine development for this quarter was around 13 kilometers.
Amit Dixit: Revenue Sir?
Sandeep Modi : Revenue almost 13 kilometers.
Amit Dixit: 13 kilometers , so 13 kilometers each?
Sandeep Modi : Yes.
Amit Dixit: Okay great Sir. That answers my question. T hank you.
Moderator: Thank you. The next question is from the line of Vikas h Singh from PhillipCapital . Please go ahead.
Vikas h Singh: Good evening Sir and Happy Diwali. Sir I just want to understand on the market size so there was a news that couple of smel ters have also closed down in the European region so

looking at the current cost kind of a scenario if you have some idea about kind percentage of the capacities would be now in cash losses or what kind of the market balance you are expecting in the next f ive to six months if you could just give us some your thought process on that?

Arun Misra: If you look at one or two smelters which are supposed to have been closed down or in care and maintenance anywhere between 300,000 and 400,0000 tonnes will be out of circuit but Europe also is facing a demand issue. It is just not the production issue. Also, there is a demand issue where the auto production are also under stress because of the cost of energy so as far as we are concerned we are currently looking at the reduction or the lowering of trend of shipping cost s across the globe. We are now looking at of course Europe and USA as a better margin paying destination but nevertheless our first priority continues to remain servi ng domestic customers where we are already at 79% of the market and any augmentation, I would prefer first in domestic and then in European market. As far as prices are concerned there are two sides to it. As I have spoken in my talk is the stocks are at one of the lowest levels if we look a t the LM E stocks but on the other side there are two schools of theory. One says it will keep on fluctuating between $2,900 to $3,100 per tonne for another three to four months but I see a current report of Goldman Sachs, which also claims that in four to five months ti me it can touch anywhere between $3 ,700 to maybe $3 ,900 per tonne so anyways price is not something which in our hand. We can only speculate. As far as we are concerned we should be producing about the guidance and that should comfort us.

 Vika sh Singh: Unders tood Sir. Sir sorry if I had missed out on the hedging part so if I am repeating the same question? I just wanted to understand since the LM E is pretty lower and we will not like to hedge at the stores front, are we looking to hedge the dollar or secondary USD because in that way in case if tomorrow the LM E keeps on increasing we would get a benefit on at least the dollar side if the rupee appreciates? Rupee looks a very good range so just wanted your thought process on that?

Sandeep Modi : Our policy has be en continued to keep the dollar side open and both in our imports because naturally hedge is there. As of now, we have not thought through on this aspect and we continue to remain the same in line with the policy but surely we can look at it.

Vikas h Singh: Understood Sir. Sir just one last question since our Fumer is almost completed what is the ramp up period it would take if we have that kind of understanding?

Arun Misra: In Q3 if we commission, we should be anywhere between say in January we should be starting up and then by February we should be ramped up to the capacity and I am expecting it to add 30 tonnes of silver in a year so roughly about 7 to

nnes to 8 tonnes of silver in a quarter so anywhere between another three and six tonnes extra in Q4 if we add up the numbers like that.

Vika sh Singh: That seems that our silver guidance has also been lower so with that we can expect s urprises there?

Arun Misra: I have already told that silver is tied to FG and I am all like you, I am also equally optimis tic we will be doing better in H2 cross the 1 million tonne mark by a good margin I hope and accordingly silver should follow and I am sure we will do that but as far as guidance is concerned it is only the minimum milestone that we set for ourselves. I do not think that I work for the guidance. We will surely better the guidance by a big margin.

Vikas Singh: Understand Sir. Thank you for taking my question s and once again Happy Diwali.

Moderator: Thank you. The next question is from the line of Rahul Jain from Systematix Group . Please go ahead.

Rahul Jain: Thanks for taking my question and wish everybody a very Happy Diwali. Sir on the volumes that you have done are pretty good the run rate in this quarter and also the previous one so how should we look two years out? Is this the peak that we have achieved or we should keep looking at some 5% to 10% kind of incremental output given the

 debottlenecking initiative s and things like that because we really do not have any major capex ongoing so how should we see v olumes two years out?

Arun Misra: No way I can tell you that this is the peak we have achieve d, and it will continue like this absolutely no way because then I do not need to be here. If I am here , then we need to have 10% more production every quarter if no t every year so we need to go up like that and my vision I had painted i t some time back that Hindustan Zinc in India must produce 1.2 million tonne finished goods. Currently it is just for the first time we will cross 1 million tonne this year. I hope by agood margin so I should say that another one and a half year if I commission another roaster then maybe I will come out with a project of some more hydro

circuit. I am sure 1.2 million metal is not a difficult target for Hindustan Zinc and I should be able to deliver that.
Rahul Jain: Right so we should see incrementally moving in that direction? Obviously it will not be consistent every quarter but over say?
Arun Misra: I can assure you that one of my first target s in my job is make it consistent in ev ery quarter . I have delivered in Q1, equivalent to Q4 . Q2 would have been like Q1 had there been not unknown breakdown in Chanderiya . Q3 and Q4 , you are going to see all four quarters almost equal production summing up to say 1.1 million tonnes and then 1.2 milli on tonnes but quarter wise variation we will remove and that is the best way to run a business.
Rahul Jain: Sir secondly on the cost front we have seen obviously the costs are high so I missed the part on the incremental from here on do you expect cost to be trending higher because you also mentioned coal prices are coming down so have we reached the peak or how should we look at it?
Sandeep Modi : I think the cost has to be seen more in a dynamic situation. If you see what we are thinking the inflationary p ressure has actually forced us to revise our guidance and I can tell you the quantum would have been much higher if we would not have taken the best of the efforts to reduce the costs through various internal measures so we are taking the best of the inter nal measures and Mr. Mis ra has said the Q3 and Q4 we should be seeking more volumes and that should reduce the cost because la rge part is also the fixed cost and secondly you are right since the cost has increased on account of the larger input commodity inflation as I was saying earlier we expect that linkage coal availability should be improved and imported coal cost should also be lowered.

I expect from this December onwards so may be in the Q3 end and going to the Q4 we should have see the good amou nt of reduction in the cost.
 Rahul Jain: Sir on the government stake sale front any update, anything you have heard and anything you want to share? Thanks.
Arun Misra: The government has appointed the banker and we are in discussion with the govern ment to help them in this process so very soon you would see our team along with government on the road show so things are moving very fast in the last 15 to 20 days time.
Rahul Jain: Sir would the Vedanta management be keen to participate in that or it is just of the public obviously it is a different management but ultimately you can share something?
Arun Misra: Right now being on Hindustan Zinc s eat, I would not dare to comment on intention of Vedanta. When I am on Vedant a seat, I would do that.
Rahul Jain: Sure. Thank you so much.
Moderator: Thank you. The next question is from the line of Vishal Chandak from Motilal Oswal AMC . Please go ahead.
Vishal Chandak : Thank you Sir. Sir I know you just mentioned about hitting the 1.2 million target in terms o f total mine production but the way we are looking at it how Q1 was definitely very g ood, Q2 looks to be good but given your guidance how should we look at it because your guidance of close to a million tonne only is far below what you are actually doing is terms of your refined metal production or mine d metal production these numbers itself point to a slightly higher than just 1 million tonne number? How should we look at the guidance Sir?
Arun Misra: As I told you two things there, 1.2 million tonnes is not immed iate. As I said another one and a half year from FY2023 end then we would see 1.2 million should be achievable somewhere around 2024 end or so that is one. The second is , yes guidance is just something that you set out for but we will surely outnumber the gu idance by a good margin if we can continue the same rate but there is no reason for me to unnecessarily becom e too optimistic or too ecstatic about it. We will do that so our numbers are there behind . Add up last f our quarters we are more than 1 million tonne s, two quarters our H1 itself is 0.5 million tonnes so I do not see any headwind as far as volumes are concerned.
Vishal Chandak: Sir I hope I hope I am not repeating the question my apologies in advance? I just wanted to understand what is the sce nario with respect to the coastal project where we were working for some time? Is it still on the backburner or some pro gress ?
 Arun Misra: We are not a ctively working on it as of now. We are concentrating our own operations , so we will bring a roaster here i n our operations and increase our calcine making capacity and move one step closer to realizing 1.2 million tonne s and we will also put up the fertilizer plant to bring more value from the assets that we have and we are concentrating on those two kind of p rojects as of now.
Vishal Chandak: Thank you very much Sir.
Moderator: Thank you. As there are no further questions, I now hand the conference over to Ms.

Shweta Arora for closing comments. Over to you Madam !
Shweta Arora: Thanks everyone for joining us to day on the call. On behalf of Hindustan Zinc , I wish you and your family a very Happy and safe Diwali. For any followup questions or clarifications please feel free to reach out to the Investor Relations team. With this I close today's conference. Thank yo u.
Moderator : Thank you. Ladies and gentlemen , on behalf Hindustan Zinc Limited that concludes this conference. We t hank you all for joining us . You may now disconnect your lines.

Call: Jan 2023

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Sensitivity: Internal (C3)
HZL/202 2-SECY/ January 2 3, 2023

BSE Limited National Stock Exchange of (India) Ltd.
P.J. Towers, Dalal Street, “Exchange Plaza” Bandra -Kurla Complex,
Mumbai – 400051

Kind Attn: - General Manager, Kind Attn: - Head - Listing & Corporate
Dept. of Corporate Services Communications

Scrip Code: 500188 Trading Symbol: HINDZINC -EQ

Dear Sir/Madam ,

Sub: - Earnings call Transcript for the Third Quarter and Nine months Ended December 31, 2022

This is further to our letter s dated January 20, 202 3, the Company had hosted an earnings conference call with investors and analyst on Thurs day, January 19, 202 3 to discuss the financial performance of the Company for the Third Quarter and Nine months Ended December 3 1, 2022 .

Please find attached the transcript of the earnings call. The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .

Request you to take the information on record .

Thanking you,

Yours faithfully

For Hindustan Zinc Limited

(R Pandwal)
Company Secretary
Encl: as above.

Sensitivity: Public (C4)

“Hindustan Zinc Limited
Q3 FY’23 Earnings Conference Call”
January 19, 202 3

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER –
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – DEPUTY AND INTERIM CHIEF
FINANCIAL OFFICER – HINDUSTAN ZINC LIMITED

MS. JHALAK RASTOGI – ASSOCIATE DIRECTOR ,
INVESTOR RELATIONS – HINDUSTAN ZINC LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to Hindustan Zinc Limited Thi rd Quarter FY
2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Jhalak Rastogi, Associate Director, Investor Relations. Thank you and over to you Ms. Rastogi.

Jhalak Rastogi: Thank you. Good evening, everyone. I welcome you all to Hindustan Zinc's third quarter and 9 months ending 31st December, '22 results briefing. On behalf of Hindustan Zinc, I wish you and your family a very happy new year 2023. In this call, we will refer to Q3 FY '23 Investor presentation available on our company's website. Some of the information on this call may be forward -looking in nature and is covered by the Safe Harbor language on Slide number 2 of the said presentation.

Today on the call we have with us our CEO, Mr. Arun Misra and our Deputy and Interim CFO, Mr. Sandeep Modi. Mr. Misra will begin with an update on business performance, while Mr. Modi will walk you through financial performance, after which, we'll open the floor for questions. I now request Mr. Misra to begin today's call. Over to you, sir.

Arun Misra: Thank you, Jhalak. A very good evening to all of you. First of all, I would like to wish you and your family a very happy new year 2023. Thank you for joinin g us today for the third quarter and 9 months of FY '23 results briefing. This quarter, the key themes and highlights remain sustainability and community at Hindustan Zinc. Mentioning a few of the initiatives during the quarter Zinc family participated in Run for Zero Hunger Vedanta Delhi and Pink City Half Marathon, rolled out an electric vehicle policy for the employees under evolving for good initiative, successfully organized 6th edition of Vedanta Udaipur World Music Festival and hosted India's largest and first underground All India Mine Rescue Competition and now we are thrilled to enter into the New Year and the last quarter of this financial year with great vigor, towering optimism and growing opportunities and fresh targets.

Coming to our key prio rities on safety front, we are extremely mindful and conscious of the fatalities happened during first half of FY '23 and the working committee have been regularly identifying critical areas requiring improvement to address potential risk and have been determined to provide support to our people wherever required.

This quarter, it gives me satisfaction to report a fatality -free operations. Safety and people are the most important pillar and priority for us at Hindustan Zinc and it is our commitment and vision to ensure that all our employees return home safely. Zinc safety team continues to drive various projects and initiatives in order to meet our vision of eliminating fatalities and serious injuries. It is h eartening to see the efforts of entire Zinc lead ership team fortifying.

An update on our key priority. In ESG, in line with our commitment to net -zero by 2050, I'm happy to share that we have received Board approval to undertake another long -term captive

 renewable power delivery plan up to a capacity of 250 megawatt for a further investment up to INR 43 8 crores. I'm also delighted to inform you that Hindustan Zinc has secured third place globally and first overall in Asia Pacific at Standard & Poor's Global Corporate Sustainability Assessment score in me tal and mining sector.

We have been recognized as A minus category in clima

te change and water security in C DP
2022, a movement upwards from last year performance. In addition, power plants at Dariba smelting complex and Zawar received Platinum awards at F AME Excellence Awards 2022 in energy efficiency and best practices of industrial water management categories, respectively. These recognitions play a significant role in motivating us to march ahead in our ESG journey.

Coming to an update on our on -ground CSR activities, it gives me immense pride to inform you that Hindustan Zinc has been felicitated with S&P Global Platts award and our seven units have been bestowed with the 26th Bhamashah award reflecting our commitment for the remarkable work undertaken in the field of education related community development initiatives. These

recognition of our continued commitment towards education gives a sense of satisfaction to each one of us.
Our CSR team continues to strive towards making positive impact across ar ray of fields and they are delivering on various initiatives and activities across the areas of education, sustainable livelihoods, women empowerment, health, community asset creation, and water and sports and culture through their well -rounded on ground eff orts. Strengthening our commitment towards health of our local communities, Hindustan Zinc provided an oncology vehicle for early detection of various cancers to Rabindranath Tagore Medical Institution on its 60th foundation day.
I would like to share that two of our Zinc football players got selected in the national camp. Also our football player made their debut in All India Football Federation Elite Under 17 Youth Cup with incredible wins over top Indian youth teams and the under 17 team of Zinc foot ball player s finished third in the 18th Edition of Administrator's Challenge Cup held in Chandigarh.
Moving on to the market, overall picture remains similar to previous quarter . The global economy continues to be impacted by the multiple forces including in flationary pressure, Russia -Ukraine war and slowdown of Chinese economy. Inflation has been universal impacting almost everybody globally and the measures are being taken to combat these forces, the impact of which is expected to show in subsequent year. T his quarter has seen the peak of it , with China reopening faster than expected and easing of power prices, along with unusually warm winter in Europe, a tepid rebound is expected, resulting in slight lowering inflation and slowing growth.
For 2023, IMF projection suggests weak or no growth for most major economies, then gradual recovery in 2024. IMF forecasted the global growth of 3.2% in 2022 and 2.7% in 2023. And the global inflation to decline to 6.5% by 2023 from 8.8% in 2022. The growth number for I ndia has been forecasted at 6.8% for 2022 and 6.1% for 2023 reflecting resilience despite a challenging external environment.
 Supply and demand forces remain underperforming on the supply side, smelters all across the world face an acute margin squeeze due to rolling energy crisis . Energy crisis has brought news of smelters being put up into care and maintenance leading to concerns around the supply of metal.
At the end of December, LME stocks stood at about 30,000 tons as compared to 140,000 tons at the st art of the year at April 2022. Whereas stocks in SHFE warehouse at the end of December stood at 20,000 tons compared to 176,000 tons at the start of April 2022. With exchange stocks falling to multi -decade lows, spot premiums in Europe remain well supported at elevated levels.
On demand side, global uncertainties have started showing early signs of slowdown in the metal demand. Global consumption fell by 1.4% in 2022 to 13.8 million ton. Rapid easing of COVID restrictions in China and slowdown in US inflation initially boosted t he zinc price. However, considering the wav

e of infections surging across China is likely to disrupt the economy well into next quarter , the price lost ground. In 2023, the relaxation of COVID restrictions in China and infrastructure push in USA will be th e main driving force behind the forecast recovery in demand which is projected to grow by 1.4% to 13.98 million tons. The S&P Global Eurozone Construction PMI fell to 43.6 in November from 56.5 in April, on account of higher costs and supply chain constra ints which affected output as well as demand.
Touching briefly on lead, lead prices witnessed an upsurge in the quarter and closed out at $2,335 per ton, an approximate improvement of 24% from September 2022. Global lead demand is expected to rise in the m edium term due to steady new vehicle and replacement battery use, as well as utilization of lead batteries in EVs for auxiliary functions. Lead demand is expected to exceed supply in 2022 and 2023. Global supply is set to fall 0.3% 12.34 million tons becau se of lower output in Russia, Ukraine and Germany. At the same time, global demand is set to rise 0.8% to 12.42 million tons following a modest rise in Chinese demand due to lead acid battery exports.
Coming to silver, prices witnessed an upside in the qua rter and closed out at $23.95 per troy ounce. The supply side looks to be diminishing. Silver inventory is a 2 -year low globally while output from mines has also been dropping continuously, making silver attractive for the medium term. Further, silver dema nd in the solar power sector is expected to continue to grow as nations look to develop green energy.
On the domestic front, the economic environment in India remains buoyant. The sentiment is buoyed by optimism that demand will remain strong. This was reflected in S&P Global Manufacturing PMI in December 2022, which was at 57.8, indicative of expansion in the manufacturing activity. Further, the Indian economy is on track to achieve 6.8% to 7% GDP growth in the current fiscal and is in the better p osition to navigate global headwinds than other

majo r emerging economies.
With the u nion budget coming in, government's focus is expected to remain on infrastructure development, which will see the consumption of zinc grow separately in 2023.
 Now turning t o our third quarter results, starting with key highlights on Page 9.
I am delighted to inform that Hindustan Zinc has delivered a record nine-month production with highest ever mined metal and refined metal. And with this run rate, we are fully geared to d eliver another stellar performance this year. Mined metal for nine months was up by 5.4% year -on-year and refined metal was up 7.9% year -on-year. With consistent MIC flow from mines and better plant availability, our volume delivery has been on the up curv e and we are on the right track. The quarter performance on a consolidated basis was impacted by rising input costs, inflationary pressures and unfavorable macros. And amid these challenging macroeconomic environment, we delivered a strong EBITDA margin of 52%. We have also been up to speed in some key projects. For our fertilizer plant, we have locked in partner, roster and alloy plants are also in advanced stage.
On strategic developments, I'm happy to share that the Board has approved the acquisition of THL Zinc Limited having zinc mines across South Africa and Namibia subject to receipt of requisite regulatory approval. This zinc assets have an R&R about 35 million tons, which is equivalent to that of Hindustan Zinc. This will help drive our growth inor ganically by creating substantial synergies and unlocking values.
I'm also happy to inform that Hindustan Zinc has now REACH registered, which will enable us to penetrate the European market. We have started selling in Europe and consider it a good opportunity to expand our market ba

se farther.
All this while, we continue to export to our neighborhood countries and Southeast Asia with continuous new developments and increased momentum in projects along with valuable learnings and some of the key structu ral changes that we have discussed over the last few quarters alongside increased use of technology as well as learning deployed , we are confident to deliver the projected volumes for FY '23 and move even beyond the same in coming years.
Having said that, our production guidance for the fiscal year remains unchanged.
With this, I hand over the call to Sandeep for an update on the financial performance. Thank you.
Sandeep Modi: Thank you, Mr. Misra, and very good afternoon, everyone. Hindustan Zinc has deliv ered a record -setting operational and financial performance with highest ever nine months revenue and EBITDA along with PAT and have delivered another set of strong results despite the global cues and input commodity inflation. We have laid a strong founda tion for this landmark year by achieving a significant milestone of historic high nine months volume.
The last few months ha ve seen the global economi es grapple with inflation despite which we are strongly moving forward, demonstrating our determination and resilience. Our quarterly performance was better by operational efficiency initiatives and volume deliveries, keeping us ahead in this ever evolving and volatile business environment. Refer to Slide 16 for an update on our financial performance for the thi rd quarter and nine months ended December '22.
 For the first nine months of FY '23, revenue from operations stood at INR 25,589 crores, an improvement of 24% f rom the same period last year. This was supported by improved zinc LME and volume , gains from strat egic results, favorable exchange rates and better lead and silver volume, which was partially offset by lower lead and silver prices.
Revenue from operation during the quarter was at INR 7,866 crores, down by 2% Y -o-Y majorly on account of lower zinc, lead and s ilver prices, lower refined metal and silver volumes which was partially offset by favorable exchange rate and gains from strategic hedging.
Sequentially, revenue decreased 6% primarily due to lower zinc prices, lower lead and silver volume and lower gains from strategic hedging, partially offset by favorable exchange rates, improved zinc volume and improved lead and silver prices.
For the nine months, the COP stood at $1,272 per ton, 14% higher Y -o-Y in USD term and 22% higher in INR terms. The COP was up mainly on account of elevated coal prices, poor domestic linkage coal availability, and i nput commodity inflation. It got partially offset by higher volume and improved operational efficiencies. Zinc cost of production before royalty during the quarter was US $1,293 per ton, higher by 13% Y -o-Y and 3% sequ entially. In INR terms, it was 24%

Y-o-Y and 6% sequentially for the same reason. Further for quarter -on-quarter, it was higher on account of consumption of high price fuel inventory coinciding with lower acid prices and grade.
The resulting EBITDA for nine months of FY '23 was at INR 13,382 crores, an increase of 19% Y-o-Y driven by improved metal and silver volumes, higher zinc LME prices and gains from strategic hedging and favorable exchange rates part ially offset by higher costs and lower lead and silver prices.
EBITDA for the quarter was INR 3,717 crores, down 15% Y -o-Y and 15% sequentially as well . This movement was primarily driven by lower revenue due to zinc prices coinciding with increased cos t on account of prevailing input commodity inflation ary environment. Please refer to EBITDA bridge from Slide 18 to 20 for further details.
Net profit for the nine months FY '23 was INR 7,928 crores, a growth of 18% Y -o-Y led by higher EBITDA marginally o

ffset by increase in Tax . Net profit for the quarter stood at INR
2,156 crores , down 20% Y -o-Y and sequentially, majorly on account of lower EBITDA offset by lower tax expense.
ETR for th e third quarter was close to 32% and if we see for nine-month s, it will be approximately 33%. That said, our cash tax is much lower due to available MAT credit. Once you move to new tax regime for the next financial year, our tax rate will be around 25%.
I'm happy to inform that Board has further approved a third interim dividend of INR 13 per equity share amounting to rupees approximately INR 5,500 crores. This reinforces our commitment of providing superior shareholder returns continuously.
 Entering Q4 '23 with softened coal index, we will increase optimism on coal availability domestically, we are confident on meeting our annual guidance and there by maintaining our leadership in the global zinc cost curve.
Further, as mentioned by Mr. Misra, with the new RE power tie -ups coming in, it will not only further improve the cost predictability, but will also contribute towards the improvement of cost structure in the longer term.
With this, I now open the floor for your questions.
Moderator: First question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: I have couple of questions. The first one is on the brand and the strategic management services to Vedanta that agreement ed 2% of consolidated turnover. So just wan ted to understand what was the need of this agreement at this point in time a nd how will Vedanta contribute more meaningfully than it was already doing? And if you can highlight the broad contours of the agreement that would be great. Does it carry any esc alation clause and all ? So this is the first question.
Arun Misra: So if you look at it, it was long overdue . It is not a t this point of time, we're beginning something. It is long overdue. Hindustan Zinc has been benefitin g from the association of Vedanta, not only as per the brand of Vedanta is concerned as a global resource company as well as various strategic services that it receives from Vedanta, including management assurance system services which is very comforting f or all shareholders, while also all the growth trajectory of Hindustan Zinc has been always guided by the risk-taking ability of Vedanta.
So that, if you factor those two and also induction of more and more digital, more and more automation , completely reva mping the management structure , ensuring various centrally guided management control systems, has taken Hindustan Zinc to the level at which we are operating today. And so this, in my opinion, was long overdue. We have got the approval today.
And I think th is is in line with the practices adopted by most of the multinationals or bigger companies , where the units received strategic services and the benefit of association with the principal brand, which the group is known for.
Amit Dixit: Is there an y escalation clause also that this 2% can move to -- by certain bps after few years or something? If you can share some broad contours the timeline of the agreement if there is any, that would be helpful ?
Sandeep Modi: So, Amit, this is Sandeep here. As of now, this is 2%. As and when anything Board approves, it will be -- we will come to you .
Amit Dixit: The second question is subscription of shares in THL Zinc. Now if I look at the c onsideration that is being paid and the EBITDA that this asset generates, i t looks that it is higher valuation compared to global peers .

Sensitivity: Public (C4) So while I understand the synergy part, I mean, but just wanted to understand that is the synergy -- and there would be any -- well, the synergy betwe en the operations because you opera

te in
different territories altogether . So just wanted to understand what kind of synergies we are looking at to pay a premium of according to my calculations , the EV /EBITDA works out to 8.5x. So just wanted to understand it?
Arun Misra: So right now, they are pri ncipally operating one underground mine and one big Gamsberg open pit mine. This is one of the biggest open pit mines in the world with the zinc ore in it. And at this time we are entering you can see the equivalence between what Hindustan Zinc was sometime around 2006 -2007 or 2007 -2008.
So we have got resource for open cast mining for some more years while at the same time there are really good grade resource, which has to be develo ped in the manner of underground. And Hindustan Zinc which brings in the expertise of high-volume underground mining in the most modern methodology and also Hindustan Zinc brings in which is the capability for concentration of the ore as well as smelting o f ore, which will be the value addition to the property that we try to acquire.
Together, the resource base of Hindustan Zinc gets doubled by this acquisition and also the potential of production capacity gets doubled up to 2 million ton with 1 million to n from India and 1 million ton from South Africa, two different geographies, but two having fully integrated operations which almost nobody has. And with this kind of capacity with independent markets wherein India will be on India, Southeast Asia . Africa would be more on the US and Europe territory or Middle East territory.
So with that two together, we will be controlling a large part of global market. At the same time, we will be utilizing the capability that Hindustan Zinc has developed over last so ma ny years of operation of concentrates and smelters and also Hindustan Zinc will help this new unit to transition into underground mining in a very safe and very productive manner.
So put if I look at it in other way, almost 31 million tons resource b ase with Hind ustan Zinc market cap of about 17 bil lion, 18 billion . So we are similar resource base there and similar production potential is there. So that's why to me, it is strategically one of the best decisions that Board coul d have taken.
Amit Dixit: Sir, just a comment. I mean, the potential was always there and there were challenges in developing this resource. Now paying a premium, paying the valuation 8.5 as I mentioned, looks little bit steep in my view. And while I understand the overall potential of these resource, but the -- but how much time you will take to kind of bring it online and this benefits basically onboard? Plus the premium part makes it a tad and comfortable nothing else.
Arun Misra: So Amit, all factors were duly considered while taki ng this decision. Just to give better comfort, the current operation at that unit is about 300,000 tons of metal in concentrate production and they are -- and already the projects have been commissioned on the ground t o double this

Sensitivity: Public (C4) capacity in next two years' time. And parallelly we are working on the smelting capacity. So very soon, the capacity can be doubled at that place .
And while we launch further projects to take it up to 1 million ton as has been the vision. And that's why I'm saying, it is at the i nflection point, what we -- what Hindus tan Zinc was sometime in 2006, 2007, 20 08 or so when the new acquirer w ere planning for expansion of this mine, which was hardly at one nineth or one tenth of capacity as it is standing today. Rest, all factors have been duly considered while doing the approval .
Moderator: The next question is from the line of Pinakin Parekh from JPMorgan Chase. Please go ahead.
Pinakin Parekh: I have two questions. My first question is given that it's a related party transaction, how will the government stake be considere

d when the voting comes? Is it a minority stake and hence they would have to approve the transactions or is their approval not required?
Moderator: Your voice is not very clear. May I request to come in a better reception area please?
Pinakin Parekh: So just how will the government stake be considered and have they given their in princip le approval for the transaction?
Arun Misra: We ha ve the -- this is the approved by the Board. And, of course, the Board approval follows approval or recommendations by the Audit Committee. And further for course of actions, all due approvals will be sought wherever required as per the law.
Pinakin Parekh : So the government nominees on the Board have approved the transaction. Would it be fair to say because the government nominees are there?
Arun Misra: When we s ay Board approval, we don't see individually which director opine d what . But we can see overall, the Board has approved it.

Pinakin Parekh: And how does the Hindustan Zinc plan to fund this transaction? I mean, how much debt will the company be taking to fund this transaction?
Sandeep Modi: So, at this point of time, if you see the considerat ion has been -- the timeline is 18 months and it will be in the trenches basis certain milestones. So , I believe most of the transaction will get funded in the internal accrual .
Moderator: Next question is from the line of Prashant Kumar Kota from Emkay Global.
Prashanth Kumar Kota: Sir, I would like to know more about this transaction. On a scale of 1 to 10, how confident are you in terms of getting back -- bringing these assets to the -- the assets being acquired to 1 million ton per annum ou tput and to quartile one in the costs. So , on a scale of 1 to 10, if you could express your confidence, that would be really helpful to us and the investors also ?

 Arun Misra: So from my long 30 years' experience in mining and since the time we moved this proposal to
Board and the discussions that we had and my own personal involvement in due diligence, I can tell you apart from the factoring of 10% uncertainty, which is there in any mining project, I am absolutely 90% confident.
Prashant Kota: And sir secondly, you had spoken about the milestones being -- if you could kindly -- broadly briefly tell about what are the milestones and that has -- were is related from it , apart from the regulatory approval of this ?
Sandeep Modi: So, there are certain milest ones like they have certain approvals, which are required from the government for certain tax exemptions kind of thing. So the deferment has been there on account of that. The deferred consideration would be payable basis that. So , there are certain mileston es which they will do.
Prashant Kota: So the broad -- the deadline is 18 months, but do you think this will consummate within that or is it front -ended or back -ended if you could -- what do you think -- what's the best guess, sir?
Arun Misra: Your voice is not clear. We could not understand. Could you repeat?
Mod erator: Prashant, may I request you to speak through the handset, please.
Prashant Kota Sir, what is your best guess on the timing needed to consummate this particularly?
Sandeep Modi : So, if you see our Press Release, basically it talks about the 18 months for completion of the transaction which is like acquisition, regulatory approvals, payment in the trenches, so total 18 months have been put up. In the phase manner there would be a payment.
Prashant Kota: That is outer end. So if it is possible that it could be closed within let's say 6 months…
Sandeep Modi : We are expecting the shareholder approval by Feb end.
Moderator: Next question is from the line of Rahul Jain from Systematix Group. Please go ahead.
Rahul Jain: Sir, once again coming on the transaction, so what are the key asset

s over here in terms of size
wise and what kind of any number on volumes you can throw, say -- what you can see one year after transaction or five years after transaction? I mean what kind of further investments would be required?
Arun Misra: So there are two, three things to be seen here. One, let me also give the strategy perspective. If Hindustan Zinc is to grow to 2 million ton with Indian resources, it is next to -- it is not possible because our current mines, if you look at the expansion programs altogether, w e limit at around 1.2 million ton. But traditionally for last five years, we have been stagnating at around 1 million ton only. And for last about t wo, three years , we have been following up. There has been no new zinc mine has been opened up or put up for auction in India. World over also, there is no more such properties of that such size which is available for acquisition.

 So in that case, this mak es the right choice for Hindustan Zinc to grow. That's what I'd said in two different geographies. If the property wise if I look at it, it has got about 35 million ton plus R&R. Main properties are located in Gamsberg in South Africa and the Aggeneys in t he North area in the Northern Cape and close to it is the original dips and Schwertberg mines and also it has brought in Skorpion Zinc in Namibia. These are the three biggest properties around with the -- all the ores and R&R is available. Today, their ope n cast mine is fully operational with four pits. Underground mine in both dips and Schwertberg are operational as around -- and around the expansion part.
The Gamsberg mine where the 4 pits are already operational. So there altogether, we are producing about 300,000 tons of metal in concentrate and the projects are on just now as we speak for expansion of Gamsberg mine to take it to 600,000 tons in two years of time, doubling

the capacity and also looking to put up a smelter in Gamsberg as well as resta rt the smelter in Namibia property, already has a smelter, little bit of modification has to be done. So those will be done th ough at both these capacities to convert 600,000 tons into metal. And then third phase of expansion will be by adding another 400 ,000 tons when you open up the underground property in Gamsberg and then get good grade ore which is there at a depth and add another 400,000 tons.

Rahul Jain: So today already we are doing about INR 2,000 crore s EBITDA in the zinc asset, is the right way to look at it?

Sandeep Modi: Today -- for nine months zinc asset we must be -- they are doing -- you are asking the currently one or you are asking for the future?

Rahul Jain: No, no, current in the sense, these assets that you say which you have elaborated, you already have...

Sandeep Modi: I got it. So last year, they closed it at $20 0 million of EBITDA current -- of the FY '22, but currently looking at the run rate, we are going to do between $25 0 million to $300 million.

Rahul Jain: So how would you break up the acquisition cost in terms of the producing assets as well as the second -- the underdevelopment assets? So is there any split on this number, $3 billion?

Sandeep Modi: So, their -- so total valuation considered all the aspects, you have to look at the -- it has a 35 million ton of the R&R . So we see the SRK certified report, we saw the 8 million ton of proven reserve remaining in the measured, indicated and inferred category. So we -- while the valuation has been done, while the value of all the relevant aspects has been taken into account. And, of course, we are focusing more on the ZI project and their growth. And obviously their cash flow will also have literally taken into account. We cannot look at only the historical EBITDA to follow...

 Rahul Jain: No, I absolutely understand. My point is that in terms of the multiple that you would have given for the assets which are already existing and for assets which are under development, can you give a breakup of that?

Sandeep Modi: I think just for the time, we would like to avoid. Just of the overall million of the R&R, so 35 million ton of R&R for which we are deciding the payment of $ 2,981 Million.

Rahul Jain: You are saying -- say number of kt currently, you can reach to 600 and then what is the time -- what is the number in mind?

Sandeep Modi : Overall 1 million ton is the number in mind, potentially another Hindustan Zinc

Rahul Jain: By 2027 or any -- what is the timeline?

Arun Misra : By 2025, it will be 600,000 tons. And by 2027 or 2028, it will be 1 million ton.

Rahul Jain: And where would you place it in terms of the cost curve, where we are at Hindustan Zinc India? Was it be similar or...

Arun Misra : Parallel to Hindustan Zinc costs curve around, at 1 million ton, it will be around $1,000 per ton.

Moderator: Next question is from the line of Sumangal Nevati a from Kotak Securities.

Sumangal Nevatia: Just some clarification. I got disconnected in between. So the development of the management fees now being paid to Vedanta has it already started . And is there any shareholder or any other approval required for this decision?

Sandeep Modi : So, this matter does not fall into any scheduled shareholder agreement . And as per the Compan ies A ct and SEBI LODR , it requires the Audit Committee and Board approval.

Sumangal Nevatia: So what is the limit of transaction with related party that order shareholder approval?

Sandeep Modi : So, any shareholder approval required, if it is beyond the 5% of the t urnover .

Sumangal Nevatia: And this agreement has been signed for how long? I mean, when is the next revision if at all it has to happen?

Sandeep Modi : So, this agreement will be signed now after the Board approval.

Sumangal Nevatia: And for what time period?

Sandeep Modi : We will be signing for the 3 years.

Sumangal Nevatia: Second, with respect to this acquisition of Zinc International, I mean, they've mentioned the payouts will be staggered based on milestone. Just wanted to understand what sort of milestones

 are these? Are these operational, the volume related milestone or some other regulatory approval milestone?

Sandeep Modi : So these are the largely regulatory approvals related to the milestones, but a large chunk of the payment will go in the first -- in the next three to six months.

Sumangal Nevatia: And shareholder approval, we are expecting in ?
Sandeep Modi : So we are hopeful to get shareholder approval by February end.
Sumangal Nevatia: And what are the other approvals apart from the shareholder approval that would be required?
Sandeep Modi : I think this is a normal acquisition. It will require only shareholder approval to execute the transition. I don't think any further approval is required.
Sumangal Nevatia: So -- but we still expect over 18 months payout. Is that the right understanding?
Sandeep Modi: Because we have the deferred consi deration, which has been considered. So that's why it has been written to 18 months.
Sumangal Nevatia: And next year, we are expecting tax rate to be around 25%, right?
Sandeep Modi: We are expecting next year tax rate 25% as we will move to the new regime.
Suman gal Nevatia: And just one last clarification. We are continuing with our full -year cost guidance and the volume guidance? Because this press release, it does not mention anything.
Sandeep Modi: Of course, we are maintaining the same thing, the volume as Mr . Misra said, we have the right path and we should be in that range or may be marginally better. In terms of cost, as of

now, it's
like nine months $ 1,272 per ton and we are expecting in the Q4 with a -- lowering with a coal index and better putting the linkage coa l availability. We should be in a much -- we should -- we are 100% confident we will be in the range which were given to the market for $ 1,225 to 1 ,275 per ton .
Moderator: Next question is from the line of Alok Deora from Motilal Oswal.
Alok Deora: Sir, just if yo u could repeat what's the cost of production we are looking at for the fourth quarter and is that number actually...
Sandeep Modi : So I think for the fourth quarter, we can't specify, but overall what market guidance we've given $ 1,225 to 1 ,275 per ton, we will be wi thin that.
Alok Deora: And also sir on the acquisition, so how much debt we are looking at or to take from the market for that? Because you mentioned in the press release of some external debt as well.
 Sandeep Modi: At this point of time as I said , it should be largely funded through the internal accrual as simply
I gave the answer, when some another analyst asked. So it will be largely funded through the internal accruals. We're just putting as an enabling thing .
Alok Deora: And sir, just one more thing. ..
Sandeep Modi: If you see on the overall balance sheet size, INR 16,482 crores there and we are having the Q4 cash flow will also be there, so -- and trenche s will be there. So it means at the net debt level, we'll be obviously exceeding th ose numbers.
Alok Deora: And sir just last question on this coal linkage, so how is the situation there now? What can be expected in Q4?
Arun Misra: We have seen slight improvement in the coal linkage from quarter 3, but still not up to our satisfaction. W e believe that from February onwards, we will get much -- that the indications are from the coal authorities that the linkage numbers are going to increase, number of r akes that we get per month. So Q4 numbers will be better than what it was in Q3. At the s ame time, our high costs stock of the imported coal is almost -- will be over the January end. February, March, we should be getting more of low cost imported coal, so we should get that benefit.
Alok Deora: Just one actually follow -up question. Sir, so, with this acquisition, assuming it goes through. So next, say, three to four years, what kind of numbers we are looking at on the mining side? I mean, how much can we do with that? Because that ramp up everything which you were talking about, will take its own time. So any number for FY say three to four years down the line, we can look at?
Arun Misra: Four years down the line, see Hindustan Zinc will stagnate at about 1.1-million -ton metal level. And in two years' time, I should look at somewhere around 300,000 tons of current production, we will go to 600,000 tons in case of ZI in their MIC . And in four years' time, they should be close to one million ton.
Alok Deora: So combined two million could be achieved in four years' time.
Arun Misra: Combined 2 million could be achieved.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: First, congratulations for the master stroke. Sir, I just have a couple of queries. One is if I read the press release right, basically it's an overseas entity transacting with a wholly owned subsidiary, which is also overseas entity. So would it be fair to assume that there won't be an element of long -term capital gains tax?
Sandeep Modi : No.

 Ritesh Shah: Sir second clarification, I think in one of the prior questions, it was asked that there is no majority
of minority required? And you did indicate that it is not required? Did I hear it right?
Sandeep Modi : Majority of minority will be required in the shareholder ap

proval. We said shareholder approval
is required. As per the SEBI LODR , since the related party transactions, we will require majority
of the minority.
Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta: I would want to go back to the transaction. In terms of the approvals, while you said that the
shareholder approval is targeted in February. And at the same point of time, there is a deferred
consideration which is linked to the regulatory milestones. So which are these regulatory
approvals, which we envisage over 18 months? Could you elaborate more on this?
Sandeep Modi : I think we are not talking about regulatory approvals in India. We are taki ng certain regulatory
approvals, which we -- the entity would require in their respective geographies. Once they
receive it, then it will be paid to them.
Kirtan Mehta: So this is basically the approval in South Africa and Namibia related to transfer of ow nership to
another subsidiary? Is that …
Arun Misra: Correct.
Kirtan Mehta: And then in terms of -- would you also sort of give us a pro forma net debt number, net cash
number for Hindustan Zinc after completion of this transaction?
Sandeep Modi: So if we see like $2.4 billion is immediate cash consideration and Hindustan Zinc is sitting as of
now about INR 16,500 crore. And in the Q4, whatever the number, I can't estimate and predict,
but at this point of time if you say that given the performance which we have, we will be having
-- we should be having a good amount of balance. And even after paying off this, we will be
having a very good asset in our books.
So net pro forma number is obviously when we purchase any asset, the cash will go, but at the
same t ime, we'll get the asset which is not available globally at such kind of large 35-million -
ton R&R. So I will pay the cash and I will get the such a beautiful asset which we will add to
the Hindustan Zinc and make Hindustan Zinc total almost 13% of the market share globally in
the zinc and ma ke #1 zinc producer company.
Moderator: Next question i s from the line of Ashish Kejriwal from Nuvama Institutional Equities.
Ashish Kejriwal Sir, just one clarification. In this transaction, whether government will be considered as minority
or it's a part of the promoter group?
Arun Misra: So, we are -- as of now, we have only got the Board approval and we will go for shareholder's
approval and we will see it at that point of time. As of now, we are not making any opinion on

 such things, which are subject to legal opinion. And perhaps me and Sandeep are not in the best place to comment on such things.
Ashish Kejriwal And secondly, when you are saying that all money, this $2.9 billion, that will be paid to Vedanta
only? Or there will be some infusion into zinc international also on account of this? This is
entirely different from whatever capex we are talking about.
Sandeep Modi: So if you understand the total valuation, it has been done on the DCF method for that and 20%
of the payment is deferred. And majority payment will be paid immediately after the sharehol der
approval as I said. And the payment will go to obviously to the Vedanta Limited. And whatever
the future projects are there, it will be like funded by Zinc International as they will be having
their own cash division, lot of projects are comi ng on the line.
Ashish Kejriwal And sir when you are talking about up to 2.98?
Arun Misra: Also note that entity is largely debt free entity. So , we have got strong balance on their side also
to draw cash and infuse into their own business.
Ashish Kejriwal So, whe n you are talking about up to $2.98 billion, so what's the possibility of coming down or
something because it's a fixed transaction? So is this somewhat variable attached to it?
Sandeep Modi: So as I

say $2.4 billion roughly is an immediate cash consideration and remaining $550 million
is up to the milestone. When the milestones are achieved, that time it will be paid. So that's why
you see the transaction timelines going to 18 months.
Moderator: Ladies and gentlemen, that will be the last questio n for today. I now hand the conference over
to Ms. Jhalak Rastogi for closing comments.
Jhalak Rastogi Thank you, everyone. With this, we close today's earnings call. For any follow -up questions or

clarifications on the results, please feel free to reach o ut to Investor Relations team. Thank you.
Moderator: Thank you very much. On behalf of Hindustan Zinc Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Apr 2023

HZL/202 3-SECY/ April 24, 2023

BSE Limited National Stock Exchange of (India) Ltd.
P.J. Towers, Dalal Street, “Exchange Plaza” Bandra -Kurla Complex,
Mumbai – 400051

Kind Attn: - General Manager, Kind Attn: - Head - Listing & Corporate
Dept. of Corporate Services Communications

Scrip Code: 500188 Trading Symbol: HINDZINC -EQ

Dear Sir/Madam ,

Sub: - Earnings call Transcript for the Fourth Quarter and Year Ended March 31, 202 3

This is further to our letter s dated April 2 1, 2023 , the Company had hosted an earnings conference call with investors and analyst on Friday , April 2 1, 202 3 to discuss the financial performance of the Company for the Fourth Quarter and Year Ended March 31, 2023 .

Please find attached the transcript of the earnings call. The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .

Request you to take the information on record .

Thanking you,

Yours faithfully

For Hindustan Zinc Limited

(R Pandwal)
Company Secretary
Encl: as above

“Hindustan Zinc Limited
4Q Full Year FY’23 Earnings Conference Call”
April 21, 202 3

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER –
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI –CHIEF FINANCIAL OFFICER –
HINDUSTAN ZINC LIMITED
MS. JHALAK RASTOGI –ASSOCIATE DIRECTOR ,
INVESTOR RELATIONS – HINDUSTAN ZINC LIMITED

Sensitivity: Public (C4) Moderator: Ladies and gentlemen, good day and welcome to Hindustan Zinc Fourth Quarter and Full Year
FY'23 Earnings Cal l. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Jhalak Rastogi, Associate Director, Investor Relations. Please go ahead.
Jhalak Rastogi: Thank you. Good afternoon, everyone . I welcome you all to Hindustan Zinc 's Fourth Quarter and Full Year FY'23 ending 31st March '23 results briefing. In this call, we will refer to Q4 FY'23 investor presentation available on our company's website. Some of the information on this call may be f orward looking in nature and is covered by the safe harbor language on slide number two of the set presentation.
Today on the call, we have with us our CEO, Mr. Arun Misra and our CFO, Mr. Sandeep Modi. Mr. Misra will begin with an update on business perfo rmance while Mr. Modi will walk you through financial performance after which we will open the floor for questions.
I now request Mr. Misra to begin today's call. Over to you, sir.
Arun Misra: Thank you, Jhalak. A very good afternoon to all of you. Thank y ou for joining us today for the fourth quarter and FY'23 results briefing. At the outset, I am very happy to share with you that Hindustan Zinc has achieved highest ever metal production in FY'23, crossing 1 million ton metal mark which was promised at the beginning of the year.
We could do this through relentless efforts on our operational efficiencies in our smelters backed by consistent mine metal production in our mines. With our ever increasing silver production, it brings me great pleasure to share th at Hindustan Zinc has now become the fifth largest silver producer globally. A quick snapshot of developments made in the year are given on page six and seven for reference.
Coming to our key priorities on safety front, in line with our commitment to ensur e zero harm to employees, the leadership has undertaken the prime responsibility of providing a safe workplace for all employees entering our premises. We have started implementing critical risk management to prevent further fatalities and it gives me sati sfaction to report fatality -free operation during last two quarters.
Safety of our people is the topmost priority for us at Hindustan Zinc and it is our commitment to ensure that all our employees return home safely. An update on key priority on ESG front, we continue to make progress on our sustainability journey to achieve net zero by 2050 via multiple pathways. During the quarter, we entered into another power delivery agreement with Seren tica Renewables for sourcing renewable power of 250 megawatt, t hereby aggregating such contracts to 450 megawatts under the group cap tive scheme. We inaugurated 550 tons per hour p aste fill plant at Rajpura Dariba complex, which affirms our commitment towards a safe, smart and sustainable operation.

Sensitivity: Public (C4) I am also elated to inform you that Hindustan Zinc is transitioning towards a low carbon vehicle fleet. We flagged off the first underground mining EV in SK Mine, first LNG vehicle for transportation and first EV truck for carrying concentrate from mines to smelters . Hin dustan Zinc ranked amongst top 5% ESG scorers in the metals and mining sector in S&P Global Sustainability Yearbook 2023.
We have been featured for the sixth consecutive year, reaffirming our best -in-class sustainable practices. We have also been recognize d with prestigious A rating for cli

mate change and A -
rating for water security. In addition, Rampura Agucha Mine became India's first mine to be Green Co. certified and four of our mines are now 5 -star rated under A -list category of mines by Indian Bureau of Mines. These endorsements play a significant role in motivating us to consistently march ahead on our ESG journey.
Coming to an update on our on -ground CSR activities, it gives me immense satisfaction to inform that we are progressing well on our social sustainability goal. We could outreach an ever - highest number of more than 1.72 million beneficiaries in FY'23 through our sustained CSR initiatives.
Strengthening our commitment towards education, sessions on digital literacy and life skill trainin g were imparted to deaf and dumb students. Promoting sustainable likelihood and skill development, Hindustan Zinc's Kaushal Kendra trained successfully its first all -female batch for unarmed security guards with 100% placement at reputed organizations.
Reinforcing the goal of diversity and inclusion, we achieved 19.5% gender diversity as of March 23, inclusive of all genders and sexual orientation s. I would like to share that Hindustan Zinc signed MoU with Rajasthan Cricket Association for developing Indi a's second largest cricket

stadium in Jaipur. Zinc Football Academy bagged second position in the Khel o India U -17 Girls Football League and at Raj Samandh, we also supported regional cricket match of Bhaladi ya Panchayat League held at Pra tappura with about 150 plus participants across Udaipur.
Moving on to the market, the global economy continues to remain impacted by extraneous factors. Though the previous quarter did begin with optimism on the global economic outlook on account of easing supply chain disruptions and expectations of China's economic recovery supported by positive hope on broad -based recession avoidance, however, the same was short -lived.
With the potential banking meltdowns and mounting inflation in the US supplemented by China showing few signs of strong economic recovery yet, broader market sentiments continue to remain weak. Further, as per IMF, 2023 will be another challenging year with global growth of less than 3%, majority impacted on account of monetary tightening, COVID aftermath and a war in Ukraine.
Zinc supply and demand forces remained underperforming. The LME stocks stood at 45,000 tons as compared to 140,000 tons at the start of April 2022, whereas stocks in SHFE Warehouse at the end of March stood at 97,000 t ons as compared to 176,000 tons at the start of April 2022.

Sensitivity: Public (C4) Stocks are thus at multi -decade low levels. On demand sides, there has been a fall in global consumption by 3% in 2022 amidst the slowdown of China's economic recovery and possibility of US bankin g crisis impacting the construction and the automotive sector for the first half. Global consumption is forecast to grow by 1.5% in 2023.
Touching briefly on lead, lead prices in Q4 exhibited an improvement of 2% Q -on-Q, closing at $2,145 a ton. Global lea d demand exceeded supply in 2022, with lead metal supply down by 0.7% and demand up by a modest 0.5%, predominantly in China, India, Japan and US. However, in the first half of 2023, muted and balanced lead prices are expected, driven by f aint supply and demand expectations on account of lead smelters going into maintenance in China, combined with off -season of lead -acid battery market.
Coming to silver, prices have been on an upside, closing at US$23.89 per troy ounce. Silver inventory in London vault s touched six -year low levels in November 2022 and continues to trend downwards. For 2023, silver demand is expected to be bullish, driven by increasing industrial offtake, augmented by rising focus on green economy, including renewable energy products like solar cells, vehicle electrification an

d investment in 5G infrastructure.
On the domestic front, the Indian economy continued to show strong resilience. This was reflected in the S&P Global Manufacturing PMI in March 2023, which was at 56.4, indicative of ex pansion in manufacturing activities. Q4 experienced a strong demand on account of industry maximizing outputs in the last quarter.
Now coming to an update on operational performance, this financial year we surpassed our own records. I am happy to report mi ned metal production of 1,062 k ilo ton up 4% year on year and record high refined metal production of 1,032 k ilo ton up 7% year on year. This was supplemented by highest ever mine development during the year, crossing 110 km mark with Life of Mine Ventilat ion System, fully commissioned and operational at Agucha and in progress at SK and Zawar Mine. This ensures continuity of superior performance while maintaining our mine life at 25 plus years.
During the quarter, our mined metal and refined metal productio n was ever highest at 301,000 tons and 269,000 tons respectively, demonstrating our capability to produce 1.2 million tons MIC. Record performance was majorly driven by higher ore production, improved grades and better plant availability. We also delivered ever highest silver during the year, in line with lead metal production. We entered the new financial year on the back of such stellar performances.
Such resilient efforts, blended with softening input costs, enabled delivery of strong operational perform ance, successfully achieving the annual guidance with an EBITDA margin of 52%.
Some of the automation projects like smoke hour drilling have helped increase volume with marginal operating costs.
On projects front, happy to inform that our alloy plant execu tion is in process and commissioning is scheduled in Q1 of this financial year. For fertilizer plant, order placement is scheduled in this quarter and RD mill commissioning is also targeted in Q1 of FY '24. Also, we have successfully maintained a mine life of 25 -plus years with strong R&R, demonstrating an increase of 2.7%

Sensitivity: Public (C4) year-on-year and factoring production of FY '23, the increase is 7%. Maintaining a portfolio of mines with long life remains one of our key focus areas.

Before I hand over the call to San deep for an update on financial performance, I would like to present our production guidance for the fiscal year 2024. We expect mine metal for the year to be in the range of 1,075 kt to 1,100 kt and refined metal production for the year to be in the r ange of 1,050 kt to 1,075 kt, while FY '24 sellable silver production is expected to be between 725 tons to 750 tons.

With this, I hand over the call to Sandeep for an update on the financial performance.

Sandeep Modi: Thank you Mr. Misra and a very go od afternoon to everyone. Supported by a consistent financial performance across the quarters, Hindustan Zinc experienced yet another record -setting annual performance, delivering historic high revenue, EBITDA, net profit and cash flow generation.

This spl endid performance is an accurate demonstration and a testimony of our continued efforts on operational efficiency, volume enhancement, cost optimisation, backed by agile decision making and a favourable LME environment. All of this has enabled us in sustai ning robust and resilient margins even in an input commodity inflationary environment.

Coming to an update on the financial performance for the fourth quarter and the full year ended March '23, revenue from operations for the year was at a record INR34,09 8 crores, an improvement of 16% Y -o-Y. This was supported by improved Zinc LME and volumes , gains from strategic hedging of approximately INR800 crores, favourable exchange rates and better lead and silver volume, which was partially offset by lower lead a nd silver prices.

Revenue f

rom operations during the quarter was INR8,509 crores, down 3% Y -o-Y, majorly on account of lower Zinc, lead and silver prices, which was partially offset by improved refined metal and silver volume and favourable exchange rates. Sequentially, revenue improved by 8%, primarily due to improved metal and silver volume, along with better Zinc, lead and silver prices.

Zinc cost of production before royalty during the quarter stood at $1,214 per ton, the lowest quarterly COP in FY '23, which was 6% better sequentially, 7% higher y -o-y in USD terms and 6% better sequentially, 17% higher in INR terms if we compare with the Y -o-Y. The sequentially improvement was mainly on account of better volume, improved grades, strong operational efficiency an d supported by smoothened coal costs. For the full year, Zinc COP stood at $1,257 per ton, 12% higher Y -o-Y in USD terms and 21% higher in INR terms, though well, within the guidance given in October '22. The COP was up mainly on account of elevated coal pri ces, poor domestic coal (linkage) availability till December '22 and i nput commodity inflation, partially offset by higher volume s and improved operational efficiency.

The resulting EBITDA for the full year was a record of INR17,590 crores, an increas e of 8% Y -o-Y driven by improved metal and silver volume, higher Zinc LME prices, gains from strategic hedging of INR800 crores and favourable exchange rates partially offset by higher costs and lower lead and silver prices.

Sensitivity: Public (C4) EBITDA for the quarter was INR4 ,208 crores, down 16% Y -o-Y and up 13% sequentially. The quarter -on-quarter improvement was primarily driven by better revenues due to higher volume and prices coinciding with improved costs on account of relaxing input commodity inflation further supporte d by better volume, mining grades and operational efficiency. Please refer to EBITDA br idge from slides 23 to 25 for further details.

Consolidated net profit for the year was at historic high level of INR10,511 crores, a growth of 9% Y -o-Y, majorly led by higher EBITDA, partially offset by an increase in tax. Net profit for the quarter stood at INR2,583 crores, up 20% quarter -on-quarter. The sequential improvement was majorly on account of higher EBITDA and lower tax expenditure. Effective tax rate for the fourth quarter was 26.3% and for the full year was 31.2%. The tax expense and ETR was lower in Q4 mainly on account of a one -time adjustment. As the company is opting for the new tax regime from FY '24, paying tax at 25.17% instead of current ETR of 34.9%, deferred tax rate and liabilities have reinstated at 25.17%.

That said, our cash tax outflow has gone up for the year due to lesser amount of accumulated MET credit. Further, as we will be moving to the new tax regime from the fiscal year, our tax rate will be around 25%. I am also happy to state on record that in March '23, the Board had approved an interim dividend of INR26 per equity share, which is a 1,300% basis face value of INR2 per share and amounts to INR10,986 crores. This reinforces our commitment of providing superior shareholder returns continuously. Further, during the year we contributed INR24,949 crores to exchequer , including the dividend paid to Government of India and associated tax of INR10,855 crores.

Coming to our cost and capex guidance f or the fiscal year '24, we expect our zinc cost of production to be in the range of $1,125 per ton to $1,175 per ton for the upcoming fiscal year,

which is inclusive of higher mine development expenditure to support future volume growth.
The guidance is co ntingent on the macroeconomic factors impacting input commodity prices.
Having said that, given the fact that we have maintained our leadership position in the global
cost curve, we remain confident to protect and improve our margins going forward as well.
Pr

oject capex for this year is expected to be in the range of $175 million to $200 million. We
will continue to have a focused approach to investing in strategic projects with higher IRR and
towards the sustainability aspect of the business.
With this, I open the floor for your questions. Thank you.
Moderator: Thank you. Our first question comes from the line of Abhiram Iyer from Deutsche Bank. Please
go ahead.
Abhiram Iyer: Thanks for taking my question. This is pertaining to the current cash balance that the company
has. Given the fact that we paid the dividend primarily by taking a smaller short -term debt, is
the company looking to use this cash for any inorganic acquisition or what is the medium -term
goal here?
 Sandeep Modi: So currently any acquisition which will happen will be on the basis of the board
-approved
decision and any valuation or due diligence done. Given the fact that as of now our focus is to
invest in the fertilizer and roaster project and currently the company has INR10,000 c rores of
gross investment in cash in cash equivalent. The borrowing is smaller and compared to the
borrowing, our quarter 1 cash flow should be basically recouping whatever negative we are
having. And if you see our guidance which we have given, I am sure you can do your math and
comfortably we can generate in annual more than INR10,000 crores of cash flow.
Abhiram Iyer: Got it. So broadly this is not going to be the short -term debt then we convert it to a longer term
debt? Because as per your statement it was roughly around INR11,000 crores?
Sandeep Modi: Yes, so we don't intend to do any short -term to long -term given that our cash flow position which
I am again saying that the reinstate our position of the cash flow generation and historically we
have been generating the cash flow. We should be able to pay within this financial year.
Abhiram Iyer: Got it. And just a follow -up to that, could you just give the nature of investments which are
present, all of these liquid investments and mutual funds?
Sandeep M odi: I think that is not a standard disclosure but we invest in the high -quality debt instruments as per
our investment policy.
Abhiram Iyer: Got it. So thank you very much. I will get back in queue.
Moderator: Thank you. Our next question comes from the line of Amit Dixit from ICICI Securities. Please
go ahead.
Amit Dixit: Yes, hi. Congratulations for a good set of numbers and thanks for taking my question. My
question is with respect to the mine d metal production guidance. So if I look at your guidance,
I mean it is, the upper end of guidance is also at 5% high, Y -o-Y. We have hit the mine metal
rate of 1.2 million tons in this quarter. While I understand that, it is not that every quarter is
uniform, but just wanted to understand why we have given such a subdued guidance and what
are the key enablers for us reaching 1.2 million tons per annum and when we will reach it?
Arun Misra: So if I can remind you, we started off the discussion of the growth project as 1.2 million tons
MIC. So while we can still prod uce 1.2 million tons MIC, what we have demonstrated in quarter
4, our focus going forward is actually move from MIC to finished metal. So we are looking at
now putting one roaster and then we will try to do some debottlenecking of the leaching circuit
to actually build up a capacity of 1.2 million tons.
So our immediate focus is to, with the available capacities, produce 1,120,000 tons, more than
1,100,000 tons of metal first and then whatever is that metal that we produce, correspondingly
back up by MIC p roduction. So that's why the numbers are such that the focus moves from MIC
to metal. So somewhere around 1,050,000 tons to 1,075,000 tons of metal if we can produce,
then we have calculated the MIC accordingly. Otherwise, with the roaster and through

debo ttlenecking in the leaching, we will be able to go to that 1.2 million ton metal capacity
instead of talking about MIC capacity.
 Amit Dixit: Okay, just a follow -up. So when can we expect to reach this 1.2 million ton in metal then?

Arun Misra: After this roaster . We are taking say, 18 months of commissioning from the time of construction which will begin somewhere in June or July, then another 18 months. So maybe FY '25, FY 24-25 or FY 25-26 one of these two years would be close to 1.2 million tons.
Amit D ixit: Okay. Thanks a lot I will get back in the queue.
Moderator : Thank you. Our next question comes from the line of Love Sharma from Lombard Odier. Please go ahead.
Love Sharma: Hi. Thank you for taking the question. I had a question about in terms of this year from FY'24 onwards. You're going to pay some brand and royalty fee. Can I understand that amount has already been paid in April , and if so, how much is that? And gene ric question would be, you would pay directly to Limited or to P LC? Thank you.
Sandeep Modi : There's some background noise, but I'm sure you are trying to ask what is the brand fee expenditure. So, during the year, brand fees was approved from the 1st of O ctober. So, this financial year, you see the impact of INR318 crores. And the next year will be depending upon the turnover, it will be 2% of the turnover. But roughly, it should be between INR650 crores to INR700 crores.
Love Sharma: Okay. Thank you. Can I ask question on the G RE to RE conversion. I know that you got the shareholders vote for that. Do you still need any other creditors vote to happen? Or is the process pretty much done? And on the NCLT approval is remaining?
Sandeep Modi : So, all th e process have been done and then the formal procedure is going for the second motion to the NCLT, which has also been filed on the 10th April by Zinc. And once it is done, then it will require a Board approval. So, no separate creditor approvals are required.
Love Sharma: Okay. And what is the base point for the NCLT meeting you say, NCLT approval?
Sandeep Modi : So, we have filed on 10th April. So, NCLT whenever will give the hearing, then only we can comment upon it.
Love Sharma: Okay. Understood. Thank you so much .
Moderator : Thank you. Our next question comes from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: Yes, thanks. My first question is on the dividend payout. Now given that we've moved to a marginal net debt level, should we expect dividend payouts to be restricted by the cash flow or we are also okay by taking more debt and pay higher dividend like we did in FY'23? And also, given our FY'23 payments was much beyond our internal a ccrual , I mean, should we con sider this as, frontloading of FY'24 dividend in FY'23, given that you commented that FY'24 cash flow will be used to repay the short -term debt?
 Sandeep Modi: So, thanks for the question. So first of all, dividend payment is, I think, a Board decision. So, whenever it will happen, we will come to know. Obviously, any decision which will be taken by the Board, it will be depending upon the strong financial management. So, I'm sure the Board will consider all these factors before approving any dividend, which will happen in the future.
Sumangal Nevatia: Okay. All right. And just one last thing on the Zinc International acquisition, is it completely on the back burner that is called out? There were reports that the government is suggesting that we should consider the payment terms like some noncash method of acquiring or something of that is under consideration?
Arun Misra: No. So all we can comment here is the Zinc International acquisition was a great idea. We have got

the Board approval, and we have filed it in the stock exchange. There is a letter which has been received from government that they are a majority of the minority shareholders. Their view in the public place. So, we are working on it, and we still believe that this is something that we must do fo r the sake of Hindustan Zinc. So, we will see where it ends. But we are really hopeful and we are on the job all the time.
Sumangal Nevatia: As of now, it's not been called out. It is still under works, right?
Arun Misra: No. Unless we, Board passes a reso lution withdrawing this, till that time, it is not called off.
Sumangal Nevatia: Okay. Thank you and all the best.
Moderator : Thank you. Our next question comes from the line of Rahul Jain from Systematix. Please go ahead.
Rahul Jain: Yes. Hi, thanks for t aking my questions. Two things. One is on the cost of production that you have mentioned. Does it include the brand fee? And secondly, we have reduction in cost, which I think would have been a lot higher because the way coal prices have come off. And can you give us some colour as what has been the coal procurement cost and how we see going forward?
Sandeep Modi: So, Rah ul thanks for the question. The cost which we report to the market is the V1 cost, which is for the conversion cost, total cost of product ion, that does not include the brand fee. Second, coming to the cost of coal. If we talk about that, as we said in the last quarter, that we were

having certain high cost coal inventory. Obviously, that was taken for decision for the purpose of protect ing the coal for the purpose of production. That has been depleted, and our coal cost has gone drastically reduced. And that's why you see, compared to quarter three versus quarter four, $80 cost reduction.

And we believe that our current import coal price s are around $150 to $160 per ton for the import prices. And we have also got almost 26% linkage coal in the last quarter four. And I'm sure this will continue. With that, we are quite confident that this guidance, whatever we have given for the cost are a chievable. And given that our volume size will be also higher and since our 30% to 35% cost remains semi -variable or largely fixed. The volume benefit will come to us.

 Rahul Jain: So just one more to add to that. We also have a captive coal mine developmen t. Any progress on that?

Sandeep Modi: We don't have any captive coal mine development .

Rahul Jain: Okay. Thanks.

Moderator : Thank you. Our next question comes from the line of Pinakin Parekh from JPMorgan. Please go ahead.

Pinakin Parekh: Thank you. So my first question is, if you look at Hindustan Zinc balance sheet, it has materially weakened from its peak days of having a very large net cash balance. Now the gross debt is closer to INR12,000 crores. So, at this point of time, what is the management view on the debt on the book on a gross basis? Will management use the operating cash flow to reduce the gross debt on its book? Or should the debt increase through the course of FY'24?

Sandeep Modi: So, I will say Pinakin that this, as a answer for the e arlier question also, at the current level of the guidance, and we are sure that we'll achieve this guidance 100%. And as I take the current LME level also, we are comfortably should be able to generate the cash flow of INR10,000 crores. And if you bifurca te in the quarter also, we should be, by May and even, we should be able to rec oup, whate ver the margin ally, INR1,700 crores, INR1,800 crores, net debt is there. Coming back to this cash flow generation, I'm sure at the March end, we should be able t o be in a position if we generate the INR10,000 crores of cash, it will get netted off with the debt.

Pinakin Parekh: But sir, that would be, that will only happen if there are no dividend payout, right, in the course of FY'24. Because if the compan y pays out dividends, then effectively, this debt balance won't come down, right? So, are you saying that the dividend payouts reduce from here, and hence, the cash flows will be reserved to reduce the debt?

Sandeep Modi: So, I would like to answer this in a different manner also. First of all, dividend is a Board decision. So, whenever it will happen, you will come to know. And secondly, even if something happens from the dividend point of view, you will always have an investment against those whate ver the borrowings are there. So, you will never be in a position where, like you are seeing marginally that because the retai ned earnings are also now limited. So that retai ned earning s, whatever is there, we won't be able to give the dividends beyond that reta ined earnings.

Pinakin Parekh: So just to simply ask, you don't expect the, on an absolute basis Hindustan Zinc to pay down the debt, right? Or would you reduce on an absolute basis the gross debt that is sitting on its books?

Sandeep Modi: Our target is to reduce the debt as per the whatever the maturity is coming from the generation of the cash or the investments, which we have in our books.

Pinakin Parekh: Understood. Thank you very much.

Moderator : Thank you. Our next question comes from the line of Ri tesh Shah from Investec. Please go ahead.

 Ritesh Shah: Hi sir, thanks for the opportunity. So, my first question is what is the exact quantum of retai ned earnings as of 31st of March, please?

Sandeep Modi: Hi Ritesh, so exact quantum of the retai ned earnings, excluding the general reserve is INR1,700 crores, and general reserve is INR10,384 crores.

Ritesh Shah: Perfect. That helps. Sir, second question is when we look at the holding at Hindustan Zinc, we find 88% either pledged or encumbered. Sir, can you please detail what this corresponds to and how should we look at this number? Can it go down going forward? Or are we okay with this number at 88%?

Sandeep Modi: I think pl edge of the shares is something in the hands of the Vedanta. I don't think we can

comment upon this. What we read in the media is that, today , the 91% of total is there, I think
there is something non -disclosure undertaking of some things that are there, but I think me and
Misra will be in a position to comment upon that part.
Ritesh Shah: All right. But sir, is it pledged or is it encumbered?
Arun Misra: Please, this is something to be in asked in the Vedanta after Board meeting. They would be open
up for questions. It is better to put that question there.
Ritesh Shah: Sure, sir. Sir, any update on the OFS?
Arun Misra: Update on the OFS. So no, right now, I have not heard. And since we were expecting before
March 31, but it has not happened. I'm sure the government will be looking at some suitable
opportunities timing in the market. When the market will have the capacity to absorb, then we
would relieve .
Ritesh Shah: All right.
Moderator: Our next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: Thank you. In terms of these capital projects ahead, apart from the fertilizer plant and the roaster
plant that we are discussing, are there any other projects on the drawing board as this is?
Arun Misra: Of course, we have our next target will be 1.5 million tons. It may have internal -- some stage
of 1.35 million tons before actually going to 1.5 million tons. So maybe another 1 month, we
should be able to come clean on what would be the next date, when should we launch the project,
what will be investment outlay. So, all that, we are on t he drawing board . We are close to
finalizing those.
Kirtan Mehta: Thank you sir and if you can clarify the hedges, what Ritesh was asking.
Sandeep Mo di: So as of now, we don't have any o

pen hedge position.
Kirtan Mehta: Thank you sir.

 Moderator: Our next qu estion comes from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Thanks for taking my question again. Just wanted to understand the grade of ore in this quarter
and how does it compare Q -o-Q?
Sandeep Modi: So, Amit the grade of ore this quarter was 7.42% compared to the last quarter of 6.96%.
Amit Dixit: Great. Thank you. that's it.
Moderator: Our next question comes from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Sir, one question, the brand fee elemen t, which is there, does it accrue to Vedanta India? Or does
it go to the parent?
Sandeep Modi: It goes to Vedanta Limited, Ritesh. As we already disclosed in our annual results and also last
time, if the brand fee agreement has been signed to Vedanta Limited.
Ritesh Shah: Perfect. And sir, just one question. Hypothetically, you are unable to come through, you said
another INR10,000 crores of leeway on the books. What is the ideal capital structure that you
will be comfortable with?
Sandeep Modi: I think this is a forward -looking thing. We will have to see what should be the ideal. And I think
we are to -- I think what will be the manner of the use, it is up to the Board. And when it will
happen, I think we'll be able to tell -- comment at that point of time.
Ritesh Shah: Sure, sir. This will help. Thank you so much.
Sandeep Modi: Thank you Ritesh.
Moderator: Our next question comes from the line of Abhiram Iyer from Deutsche Bank.
Abhiram Iyer: I just wanted a clarification on the difference in the gross cash mentioned in the presen tation,
which is around INR 10,000 crores versus adding up the investments, cash balances and bank
accounts in the balance sheet, given which is around INR11,300 crores. Any par ticular reason
why the INR 1,000 crores has not been accounted for as gross cash?
Sandeep Modi: I'm not sure where you are seeing this, the INR11,917 crores is th e debt. We are having
INR10,061 crores is the gross investment in cash and cash equivalent.
Abhiram Iyer: Yes, and one thing is if I add up the inv estment, cash and bank balances given in the balance
sheet, I get INR11,200 crores. So just asking...
Sandeep Modi: Okay. Yes. I got your point. There are certain unpaid dividend because if you the way the deposit
of dividend on 31st, so there are certain dividends account, which is there in which the dividend
money is there, which is a restricted cash, which we can't use because that w as funded for the
dividend purpose.
Abhiram Iyer: Understood, sir. And this would be part of the bank balances, is it?

Sensitivity: Public (C4) Sandeep Modi: It would be part of the bank balance, but not for -- because at the same time, there will be a
dividend liability sitting on the liability side.
Abhiram Iyer: Understood. Understood. Thank you. Thanks for the clarification.
Moderator: Our next q uestion comes from the line of Pallav Agarwal from Antique Stock Broking Limited. Please go ahead.
Pallav Agarwal: Yes. Good evening, sir. So just on the guidance for silver production. So, we were targeting 1,000 ton nes sometime back. But even for the next year, we're just targeting about 750 ton nes at the upper end. So, is the lead production constrained or – when can we actually achieve this 1,000 tonnes of silver production?
Arun Misra: No. So fantastic, fantastic. I must appreciate your question. This has to do with -- absolutely, you have hit the nail on the head. Our entire operating flow sheet is comprising of zinc plus lead as a medium of production in the pyro. And instead of doing only lead production in the pyro plant of Chanderiya.
Whenever we do this, we always have lead MIC getting

unconverted to metal and that is lying
in stock. Even last year also, we ended up with having a lot of lead MIC in stock, which if we could convert, we could have produced some more silver. But we always preferentially use SK mine lead concentrate to get to maximize the silver production with the strategy we adopted this year.
Going forward, we have to unlock the lead production. To do the unlock the lead production, we have to increase the zinc production capacity in the e xisting circuit . That is where the investment in roaster, and it will be followed by some debottlenecking proposal in the leasing circuit. Then in the pyro, it can operate only in lead mode and then the 750 number perhaps to go to 800 or 825 kinds of tones once we do that. So which is maybe in 1 year away.
Pallav Agarwal: Sure, sir. Also, in terms of -- you mentioned the project capex, but what is the normal maintenance capex levels that we incur every year?
Sandeep Modi: It will be around $400 million.
Pallav Agarwal: The total you're talking about or it will be 400 plus 200?
Sandeep Modi: 400 plus 200.
Pallav Agarwal: Sure. And these covers -- any expenditure on fertilizer and other projects as well?
Sandeep Modi: So, $150 million, $200 million primar y comprised of fertilizer and roaster and RE Power investment and $400 million is largely for mine development and mining equipment .
Pallav Agarwal: Sure sir, thank you. That’s it from my side.
Moderator: Our next question comes from the line of Vishal Kulkarni from S&P. Please go ahead.

Sensitivity: Public (C4) Vishal Kulkarni: My question is about the -- your cash management generally, because in the past, we have seen
some cash in the form of unquoted mutual funds and perpetual securities.
Can I understand how easy this is to liquidate when you have to, let's say, for dividends or any other purpose? That's the first question and second, on the status of your transfer of retained earnings to general business, where do we stand on that one?
Sandeep Modi: If you see the investm ent, the investments are quite liquid whenever we want to sell. And while it is a long -term investment remain in the market, but however, we have been able to liquidate and we also can have a repurchase borrowing from these investments. So, beyond that, I won't be able to comment upon the investment part.
In GR to RE, I think I've already answered that INR10,384 crores is there and the second motion has been filed in the NCLT in April, and we await the hearing from them.
Vishal Kulkarni: Okay. Thank y ou.
Moderator: Our next question comes from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Sir, thanks for taking the question. I just want to remind a bit back. This is pertaining to Hindustan Zinc - Zinc International transaction. I just w anted to understand, sir, how will the flow of capital work. To my limited understanding, I think that we had taken an approval to create a wholly owned subsidiary , overseas subsidiary. I think it was called HZWOS. And then basically, we had to purchase subscribe to the shares of Zinc International , which was TH L Zinc. And this was like a $3 billion, $2.9 billion, to be precise. I just wanted to understand, sir, how will the capital flow. You have an overseas subsidiary, which has been created. So , does the money flow from India to that particular entity and then to Vedanta? How does that work, sir?
Sandeep Modi: Until now, we have not incorporated any wholly owned subsidiary.
Arun Misra: It is part of the whole proposal. Since the proposal is yet to be approved, how can we create the subsidiary?

Ritesh Shah: Okay. But sir, hypothetically, if it had been done, how would have the money flowed?
Sandeep Modi : Money, if hypothetically will happen, it will happen from here to wholly owned subsidiary and wholly o

wned subsidiary buying from T HL Zinc. But until now, I think we'll not able to -- we'll be unable to comment given that it is not yet approved by the Board -- yet not taken up from the shareholder purpose.
Ritesh Shah: Okay, sure. Thank you. Thank yo u so much.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question -and-answer session, and I would like to turn the conference over to Jhalak Rastogi for closing comments.
Jhalak Rastogi: Thank you, everyone. With this, we close today's earnings call. For any follow -up questions or clarifications on the results, please feel free to reach out to Investor Relations team. Thank you.
 Arun Misra: Thank you.
Sandeep Modi: Thank you.
Moderator: Thank you. On behalf of Hindustan Zinc, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

Hindustan Zinc Lim ited, Registered Office: Yashad Bhawan, Udaipur –313 004, Rajasthan, INDIA.
T. +91 294 -6604000 -02 www.hzlindia.com CIN: L27204RJ1966PLC001208

HZL/202 3-SECY/ October 23, 202 3

BSE Limited National Stock Exchange of (India) L imited
P.J. Towers, Dalal Street, "Exchange Plaza"
Mumbai – 400001 Bandra – Kurla Complex
Mumbai 400051

Kind Attn: - General Manager, Kind A ttn: - Head - Listing & Corporate
Dept. of Corporate Services Communications

Scrip Code: 500188 Trading Symbol: "HINDZINC"

Dear Sir/Madam,

Sub: Earnin g call Transcript for the second quarter and half year ended September 30, 2023

Please find attached herewith the transcript of the earning call held on Friday, October 20, 2023 to discuss the financial performance of the Company for the second quarter and half year ended September 30, 2023 . The same is also mad e available on the Company's website at https://www.hzlindia.com/investors/reports -press -releases/

Request you to take the information on record.

Thanking You,

Yours faithfully,
For Hindustan Zinc Limited ,

(Rajendra Pandwal)
Company Secretary & Compliance Officer

Encl: - As above

"Hindustan Zinc Limited Q2 & H1 FY24 Earnings
Conference Call"

October 20, 2023

MANAGEMENT : MR. ARUN MISRA – CEO

MR. SANDEEP MODI – CFO
MS. JHALAK RASTOGI – ASSOCIATE DIRECTOR ,
INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Hindustan Zinc 2nd Quarter and half year FY2024 earnings conference call.

As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference o ver to Ms. Jhalak Rastogi – Associate Director, Investor Relations. Over to you, ma'am.

Jhalak Rastogi: Good afternoon, everyone. I welcome you all to Hindustan Zinc's 2nd Quarter and half year ending 30th September 2023 results briefing. In this call, we will refer to the Q2 FY24 investor presentation available on our Company 's website. Some of the information on this call may be forward looking in nature and is covered by the Safe Harbour language on slide number 2 of the said presentation.

Today on the call, we have with us CEO – Mr. Arun Misra, and our CFO – Mr. Sandeep Modi.

Mr. Misra will begin with an update on “Business Performance” while Mr. Modi will walk you through “Financial Performance ,” after which we will open the floor for questions.

I now request Mr. Misra to begin today's call. Over to you, sir.

Arun Misra: Thankyou Jhalak. A very good afternoon to all of you. Thank you for joining us today for the 2nd Quarter and half year FY24 results briefing.

Before I begin today's Results Presenta tion, I would like to share some of the overarching priorities and themes that have been driving our success over the quarters :

On the safety front, it brings me satisfaction to report 1 year of fatality free operations. This is a testament to our unwavering commitment to safety, the dedication of our employees, and our robust operational processes. Our focused introspection of the key safety related learnings backed by automation and comprehensive safety training helped us strengthen the safety asp ect of all our operations. Even as we look ahead, our commitment to safety remains resolute as we are determined to continue to invest in safety measures and technology to maintain this record.

As an update on ESG :

I am happy to share that Hindustan Zinc b ecame the first metal and mining Company in India to have validated science -based targets in line with the 1.5 -degree centigrade target of the Paris Agreement. Hindustan Zinc's ambitious target includes the commitment to reduce 50% of its absolute Scope 1 & 2 GHG emissions and further reduction of 25% of Scope -3 emissions by FY2030 from the base year of FY2020, and to achieve net zero emissions across the value chain by FY2050. Moving towards 5x water positive target by 2025, during the quarter, Hindustan

Zinc inaugurated 4,000 KLD zero liquid discharge plant at Zawar mines, reaffirming the Company 's vision of Zero Waste and Zero Discharge.

Coming to an update on our ground CSR activities :

It gives me satisfaction to share the progress and impact of our comm unity initiatives. In our efforts to promote education and empower individuals with different abilities, we organized a visual awareness campaign in Indian sign language, advanced life skill sessions, and various other activities as a part of international week of the deaf. As a part of our skill development program, Hindustan Zinc's Kaushal Kendra witnessed successful placement of 286 trainees during the quarter in varied trades and skills. I would also like to share that another player of our Zinc Footbal l Academy has been selected to represent India in 2023 Under -16 Championship in Bhutan and 4 players selected for the Under -16 Boys National Team preparatory camp in Srinagar. Driven by inclusive growth and development, we

continue to stride towards the 7 key thematic areas to steer our CSR efforts towards betterment of life in the communities including women empowerment, education, sustainable livelihood, health & water, environment & safety, sports, and community asset creation. A quick snapshot of develo pments made in the quarter are given on page #4 for reference.

Moving on to the markets :

Macroeconomic developments have been a dominant influence on base metal prices. The global landscape is marked by potential headwinds, including Chinese economic weakness, rising inflation in the US and Europe, and the upward trajectory of interest rates. However, amidst these challenges, there are positive indicators s uggesting ease in supply chain disruptions and softening of supply side induced inflation. The global manufacturing PMI has increased from 48.7 in June to 49.1 in September. The S&P Global India manufacturing PMI dropped to 57.5 in September from 58.6 in A ugust after rising sharply from 57.8 levels in June. Though the manufacturing activity in India is at a 5 -month low, however, it remained strong with the new orders supporting growth. The Indian economy has shown resilience, supported by strong customer de mand, advertising efforts, and expanded capacities.

The global zinc supply and demand forces remained underperforming. Globally, demand has been muted majorly due to the sluggish economy of the US, China, and Europe. However, the Indian economy remained op timistic. The specific infrastructure requirements continue to bolster and sustain zinc input requirements into the medium and long term. The Indian automobile industry is also on a growth trajectory, and India continues to remain a bright spot in the glob al steel industry.

Touching briefly on lead :

Lead prices increased during the quarter, averaging to $2,170 per tonne despite of the stalled Chinese economy growth on account of challenges in the real estate sector, the state subsidies

and energy transition credits have been generating EV sales, including hybrids, thereby contributing to lead demand. Along with the supply side issues due to mine closure, demand continues to remain robust on the back of rising urbanization and industrialization in developing nations as well as increased vehicle usage. Growing telecom and infrastructure sectors will further increase the need for industrial batteries, fueling the domestic demand. During the quarter, LME and SHFE stocks swelled on the back of backwardation s closi ng the quarter at 77,000 tonnes in LME and 71,000 tonnes in SHFE warehouses.

Coming to silver :

During the quarter, prices oscillated around $23 per troy ounce, closing the quarter with an average price of $23.6 per troy ounce. Silver prices remained influe nced by a combination of geopolitical and technical factors including the dollar strength, gold prices, interest rate expectations, industrial demand, and geopolitical tensions in the Middle East. Ahead of the festive season, domestic demand for silver is expected to rise in the medium term. Industrial demand globally is expected to increase significantly due to new -age technological developments like vehicle electrification, investment in 5G infrastructure, and the ever-evolving solar panel technologies.

Now, coming to an update on operational performance :

I'm happy to report the highest ever first half mined metal of 509,000 tonnes. In the overall performance for the quarter, we achieved modest results influenced by the scheduled maintenance activities and we are now well positioned to enhance production with our facilities ready to deliver over 2,275,000 tonnes of metal. We have also started working towards 1.25 million tonnes of refined metal through various debottlenecking initiatives across the smelters , and we target to return with a more comprehensive plan in subsequent quarters.

While Sandeep will provide a detailed run -through of our business performance in a few minutes, I will take a moment to share recent developments in our investment front. Duri ng the quarter, I am pleased to inform you that our internal team commissioned India's first fumer plant in an innovative method and with the help of online support from Chinese experts. We also commissioned a 30,000 tonnes per annum alloy facility and the new concentrator in Rajpura Dariba mine increasing the production of zinc and lead MIC. The new roaster at Debari and our fertilizer projects are also on track. I am happy to share that our 450 -megawatt renewable energy power delivery agreement with Seren tica is also progressing well and is on track on completion of which over 50% of our energy requirement will be met through green power. For more details, please refer to page #9 of our investor presentation.

On our growth strategy for FY24, we remain lase r focused on producing concentrate and metal as per the guidance optimizing cost and enhancing production efficiency to further strengthen our cost leadership globally. Based on the same, we are confident of delivering as per our guidance and would like to keep it unchanged.

With this, I hand over the call to Sandeep for an update on the financial performance.

Sandeep Modi: Thankyou Mr. Misra and a very good afternoon, everyone.

In the face of the current economic scenario, we posted a robust and steady financial performance

in the 2nd Quarter of this financial year. The quarter was underscored by strengthening foundations, reinforcing the fundamental infrastructure and optimizing cost, resulting in strong cash delivery and sustainable growth. With a continuous cost reduction exercise while we continue to remain in the first decile of the global cost curve, happy to share that we delivered the third consecutive quarter of cost opti mization and the lowest cost in the last 6 quarters, reflecting our resilience and adaptability in navigating the ever-changing business landscape.
As we delve into the details, I will share the Company 's financial performance for the 2nd Quarter and half year ended September 2023 .
Revenue from operations for the quarter was Rs. 6,791 crores, down 19% YoY, majorly on account of significantly lower zinc prices, lower zinc and silver volume, and differential strategic hedging impact, partly offset by better l ead and silver prices and favorable exchange rates.
Sequentially, revenue was down by 7%, primarily due to the lower zinc LME and plant shutdown which resulted in lower volume on account of scheduled maintenance activity, partly offset by improved lead and silver volumes.
For the first half of FY24, revenue from operations stood at Rs. 14,073 crores, down 21% YoY, primarily on account of lower zinc LME, metal production, and silver production and differential strategic hedging impact, partly offset by bette r lead and silver prices and favorable exchange rates. Zinc cost of production before royalty during the quarter was $1,137 per tonne, 5% better sequentially and 10% better YoY in US dollar terms. For H1 FY24, zinc COP was $1,167 per tonne, 7% better YoY. The cost improvement was mainly on account of softened coal and input commodity prices and better domestic coal availability and utilization, further supported by better grades sequentially. The resulting EBITDA for the quarter was Rs. 3,122 crores, down 29% YoY and 7% sequentially, mainly on account of lower revenue impacted by significantly lower zinc LME and volume, partly offset by improved cost. For the half year, EBITDA stood at Rs. 6,481 crores, down 33% YoY due to lower revenue, offset by improved c ost. Please refer to EBITDA bit from slide #27 to #29 for further details.
Consolidated net profit for the quarter stood at Rs. 1,729 crores, down 35% YoY and 12% quarter -on-quarter .

And for H1, it stood at Rs. 3,693 crores, down 36% YoY, primarily on account of lower EBITDA, offset by lower tax expenditure.
In regard to recent developments of corporate restructuring, I would like to inform that management has appointed external advisors to assist in evaluating various options and the work is still in progress. Way forward along with the possible options will be updated to the board upon completion of the evaluation exercise and recommendation by the Committee of Directors.

The effective tax rate for the quarter and the first half of FY24 is approximately 25% in accordance with the new regime.
Having demonstrated a constant cost control in our operations, we would like to reiterate the cost guidance and also keep our CAPEX guidance unchanged.
With this, I conclude my comments and we open the floor for your questions.
Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Amit Dixit from ICICI Securities. Please go ahe ad.
Amit Dixit: I have a couple of questions. The first one is essentially on the cost. We have seen a very impressive performance on cost. The cost of production has declined year on year as well as quarter -on-quarter . I just wanted to get the overall dri vers of that. Whether it was due to increased linkage materialization or due to lower coal cost or what are the key factors responsible for lower cost and how much of it is sustainable? Also, if you can give the outlook for Q3, that would be great.
Sandeep Modi: Thanks, Amit. The cost has 2 -3 key aspects. One is, of course, the imported coal prices got softened. We were also able to secure some opportunistic coal parcels. That has also helped. Secondly, while you are right, linkage coal materialization, but at the same time, if you see historically Hindustan Zinc used to consume in the blend of 30:70. So, 30% was the maximum which we used to have linkage coal consumption. However, we modified our power plants in the last 1 year at Chanderiya and Dariba, whic h have given us flexibility to use almost 100% of the linkage coal in some of the units. So, I will say this is more from the initiatives and efficiency which Hindustan Zinc has developed in an innovative way. So, our overall coal basket in the quarter 2 t his year has been that 45% blend was of the linkage coal. And we expect that 45% will depend upon the linkage materialization. But the flexibility which we have developed, it is something like which will be constantly favoring us. The second aspect which h as been there in terms of specific coal consumption also has gone down. That is also an operational efficiency beneficial. Quarter -on-quarter if we see, our grade has also improved from 7.1% to 7.4%. These are the 3 -4 factors which are the driving factors in terms of operational efficiency and the market

factors. Of course, there are certain shutdowns which were planned in the quarter 2, which has also impacted the cost, which will not be there.
Coming to the overall cost guidance, given the $1,169 cost for the H1, which is well within our cost guidance of $1,125 to $1,175, given this cost trajectory, we believe that for the whole year, we should be towards the lower end of the cost guidance on a full -year basis.
Amit Dixit: The second question is essentiall y on grade improvement. You indicated that grade has improved from 7.1% to 7.4%. From the written commentary, it seems that Rampura Agucha production

was down in this quarter. Even with Rampura Agucha production down, your grade has improved. If you can hi ghlight what were the key drivers behind this grade improvement because traditionally we understood that Rampura Agucha has possibly the highest grade of zi

nc
available.
Arun Misra: Agucha normally maintains their grade. The key change happened mainly at Z awar mine where the grade is normally expected to be around 4 to 4.5, but that goes down because of high dilution. This time in Zawar mine, the work on grade was very well. While Agucha maintained a grade of 13.3, Zawar maintained a grade of 4.6 which is f ar above than expected. Normally, they did a grade of 4.1. Key work that happened where the quantity in Zawar mine was increasing and at the same time, they maintained the grade and that's why the overall grade performance was better in quarter 2. It's not that Agucha grade had deteriorated. It remained about 13.3. The focus at a low LME environment is to minimize development required for production and maximize on the grade in every mine so that our overall cost of producing the metal in concentrate is the lowest. That's how you build the cost curve as far as the low LME environment is concerned. That strategy paid off in our operations in this quarter 2.
Amit Dixit: Sir, could you just repeat our grade?
Arun Misra: If I look at quarter 2 grade, in Agucha it is about 13.3 against 12.5 of quarter 1. And in quarter 2 of last year, it was also 13.3.
Sandeep Modi: And also if I add just to supplement Mr. Misra, SK grade has also improved from 4.8 to 5.2 on a quarter -on-quarter basis. And even YoY basis i f I see, SK grade was 4.58 which is now 5.2.
Arun Misra: In all mines, the idea was to preserve grade, minimize dilution, and reduce development required so that you produce the same metal in concentrate at a lower cost. That strategy paid off.
Amit Dixit: Was it a case of you hitting selectively the richer base or is it because you actually took some….?
Arun Misra: I can do the mine planning of the sequencing and decide in a way to maximize ore production. I can also do the mine planning that slightly redu ces ore production but of a better grade so that I can slow down progress in one particular section and increase the progress in another particular section. That flexibility is offered only when you have multiple locations inside the same mine. Today, Aguc ha mine has 4 mining locations in the same mine; it's not 1 mine, there are 4 mines inside. Zawar has got 4 different mines. Each of them has got 2 to 3 production centers. Those flexibilities we are enjoying because we could develop so many mining locatio ns in the same mine over the last 2 to 3 years.
Moderator: The next question is from the line of Vikas Singh from PhillipCapital. Please go ahead.
Vikas Singh: Sir, I want to understand the fumers which we have commissioned. What is the ramp up timeline and when will be the next fumers coming in?

Arun Misra: This fumer is already on and is operating. Not that there is a particular ramp -up. The product that it is producing is going back to operations. And we will be reporting the production number s separately from fumers, I think, in another 15 to 20 days' time. That is it. As far as new fumers are concerned, we are already working with technology suppliers and maybe in a month or two, we would be in a position to confirm placement of orders for an other 3 sets of fumers.
Vikas Singh: Sir, my second question pertains to our 1.25 million tonne mine d metal target. I just wanted to understand two things. We have in the last 4 -5 years been trying to reach there , but our mining capacity has increased but not the metal capacity. What's the holdup there or technically are we facing some challenges? And what is the timeline for this 1.25?
Arun Misra: When we were expanding in that 1.2 million tonne project, purposefully we did not expand the smelters. We said the bottleneck is in the mines, let's expand the mines first, and once we can produce more than a million tonne of concentrate every year, then you know that the time has come for expans

ion of the smelters. We have produced more than a million tonne for 2 consecutive years. Every year we start with an opening stock of MIC for the smelters to process.

Even as I speak today, we still have a good amount of about 12 to 13 days' requirement of metal in concentrate in hand for the smelters to operate. We are now looking at how to…. That's why we have commissioned the roaster project which will debottleneck our smelter s. And then we are also coming back with more bottlenecking projects which will take smelting capacity to about 1.25 million tonnes or maybe 1.2 mil lion tonnes. The mines are already expanded. Just we need to fast pedal the development part of it and that should produce more concentrate. No bottleneck in mine s as of now.

Vikas Singh: Sir, since thermal coal prices are again inching up, any guidance in terms of 3Q or 4Q COP which you would like to give to us?

Sandeep Modi: Vikas, if you see my first question which I answered to Amit, as I said , we are currently at $1,169 which is well within the cost range of $1,125 to $1,175. And we are quite confident that given the Q3 and Q4 volumes will be up, we will be towards the lower end of the COP, which we would like to have a confidence to achieve. And thermal coal prices, I am not sure on what basis you are saying it is inching up; it is fluctuating. And for us, at the landed cost level, it is at the same level at which we procured in the quarter 2.

Vikas Singh: Sir, just one last question pertainin g to industry. Given the zinc prices have been constantly falling, according to you what percentage of zinc production could have come under stress? And is it possible for you to tell us that is there any zinc production cuts we can experience going forwar d global level basically?

Sandeep Modi: As I know, only Tara mine of the Boliden that got shut. Apart from this, we did not hear any major cut in the zinc prices. I think everybody is taking the cut in the cost, and especially European smelters where the p ower cost is down. But since in India we having a unique advantage on both the power and labor, we continue to remain in the first decile of the cost.

Moderator: The next question is from the line of Love Sharma from JP Morgan. Please go ahead.

Love Sharma : Just a question around the NCLT update on the conversion of General Reserves into Retained Earnings . If y ou can share where that is standing . And secondly, the cash balance which we currently have, more than a billion dollars now, and the debt outstandin g is kind of similar, how should we think in terms of the debt versus cash mix? Probably you would be doing some negative carry by holding this cash versus the debt on the books.

Sandeep Modi: In terms of NCLT, the next date of hearing is 8th November and this is more on the procedural aspects. And in terms of the cash and borrowing, you are right; the numbers are similar, but I would like to share that both our investments and borrowings are largely on the long -term basis. So, we don't have any negative ca rry. Specific number I can't tell, but on the post -tax basis, we don't have any negative carry.

Love Sharma: Can I just ask a followup? On the NCLT side, if you could just highlight what is the procedural aspect which is still remaining or pending at the N CLT level?

Sandeep Modi: Second motion has been gone to the NCLT. R oC was supposed to file the reply which I understand they have filed. The next date of hearing is on 8th November. And then accordingly, order can be reserved for the pronouncement. Let us hope for the best.

Love Sharma: So far as of now, if you just can update on the current value of the retained earnings on the books as of September 30th.

Sandeep Modi: Retained earnings at this point of time in the books is Rs. 2,400 crores.

Moderator: The next question is from the line of Santanu from Indi

anfertilizer. Please go ahead.

Santanu Saikia: I was just wondering we essentially work on the fertilizer sector. We were looking at your DAP/NPK plant. You said that you have now go t a technology partner, and we just wanted to know more about it because the domestic rock phosphate is a big problem in terms of quality and also in terms of availability. We were wondering whether domestic rock is going to be enough because it's a large -sized DAP plant. I wanted to know what is the capacity of this DAP plant and what is the kind of investment that you are planning on it, when is it going to be commissioned, who is the technology partner that you have on -boarded, and what do you think is going to be the source of your rock phosphate? Because, of course, you will be manufacturing the sulphuric acid. That's what we were thinking we would ask.

Arun Misra: Your apprehension is very correct. As far as Indian rock phosphate is concerned and we be ing in Rajasthan, RSMM is the only source of rock phosphate, which is a state enterprise. And yes, there are issues. But we are in talks with RSMM for expanding their mines to produce rock phosphate for us, which Hindustan Zinc can extend their help . It's a matter of finalizing the agreement. And the second part is also putting up a beneficiation plant for upgrading the rock

phosphate that RSMM has. That is one part. The second part is import. In our design, we have considered a certain percentage. If I rem ember the number correctly, around 40% to 50% of rock phosphate would be imported. As far as capacity is concerned, it is about 5 lakh tonnes per annum, half a million -tonne plant, in the first phase. Also, the design and utility has the capacity of absorb ing or taking it up to 1 million tonne at a later date. Our construction partner is L&T and as far as technology partner is JESA . It's an American Company .
Santanu Saikia: When do you think this is going to be commissioned?
Arun Misra: It's under construct ion only. It will take another 18 months to 2 years' time.
Moderator: As there are no further questions, I now hand the conference over to Ms. Jhalak Rastogi for closing comments.
Jhalak Rastogi: Thank you everyone. With this, we close today's earnings cal l. For any follow -up questions or clarifications on the results, please feel free to reach out to the Investor Relations team.
Moderator: On behalf of Hindustan Zinc Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2024

Hindustan Zinc Limited, Registered Office: Yashad Bhawan, Udaipur –313 004, Rajasthan, INDIA.
T. +91 294 -6604000 -02 www.hzlindia.com CIN: L27204RJ1966PLC001208
HZL/202 4-SECY/ January 22, 202 4
BSE Limited National Stock Exchange of India L imited
P.J. Towers, Dalal Street, "Exchange Plaza" , Bandra – Kurla Complex
Mumbai – 400001 Mumbai 400051
Kind Attn: - General Manager, Kind Attn: - Head - Listing & Corporate
Dept. of Corporate Services Communications
Scrip Code: 500188 Trading Symbol: "HINDZINC"
Dear Sir/Madam ,
Sub: - Earnings call Transcript for the Third Quarter and Nine months Ended December 31, 202 3
Please find attached herewith the transcript of the earning call held on Friday, January 19, 202 4 to discuss the financial performance of the Company for the third quarter and nine months ended December 3 1, 2023. The same is also made available on the Company's website at https://www.hzlindia.com/investors/reports -press -releases/ .
Request you to take the information on record.
Thanking You,
Yours faithfully,
For Hindustan Zinc Limited
Harsha Kedia
Company Secretary & Compliance Officer

"Hindustan Zinc Limited
Q3 and 9M FY24 Earnings Conference Call"
January 19, 2024

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER –
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER –
HINDUSTAN ZINC LIMITED
MS. JHALAK RASTOGI – ASSOCIATE DIRECTOR ,
INVESTOR RELATIONS – HINDUSTAN ZINC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Hindustan Zinc's Third Quarter and 9 Months FY 2024 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch - tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Ms. Jhalak Rastogi, Associate Director, Investor Relations. Thank you, and over to you, ma'am.
Jhalak Rastogi : Thank you, N eerav. Good afternoon, everyone, and a very happy New Year. I welcome you all to Hindustan Zinc's Third Quarter and 9 Months E nding 31st December results briefing.
In this call, we will refer to Q3 FY '24 investor presentation available on our company's website. Please refer to the glossary and notes in the presentation for additional reference. Some of the information on this call may be forward -looking in nature and is covered by the safe harbor langu age on Slide number 2 of the said presentation.
Today on the call, we have with us our CEO, Mr. Arun Misra; and our CFO, Mr. Sandeep Modi.

Mr. Misra will begin with an update on business performance, while Mr. Modi will walk you through financial performance, after which we'll open the floor for questio ns.
I now request Mr. Misra to begin today's call. Over to you, sir.
Arun Misra: Thank you, Jhalak. A very good afternoon to all of you, and I wish you and your families a happy New Year. Thank you for joining us today for the third quarter and 9 months F Y'24 results briefing.
This quarter marked a noteworthy milestone for us as we celebrated remarkable achievement spanning across multiple facets of our business. Before delving into further details, I would like to initiate by addressing the crucial topic of safety. Our unwaveri ng focus on safe operations, the dedication of our employees and our robust operational processes, coupled with consistent investment in safety measures and technology resulted in another quarter of fatality -free operations, making the fifth consecutive q uarter with zero fatalities. Even as we look ahead, our commitment to safety remains resolute.
On this note, I'm happy to share that our all women mine rescue team took the limelight by securing the first place, outperforming 24 participating teams in the 52nd All India Mine Rescue Competition held in Telangana. Notably, our team stood out as the so le women squad in competition . It was a dual celebration as our all boys team also achieved a commendable third place in the competition.

On our sustainability journey, the company ascends the S&P Global Corporate Sustainability Assessment Leader Board claiming the highest spot with 238 companies in metals and mining sector in 2023. With a commendable score of 85 out of 100, we successfully climbed from 7 th position to the top of the chart over the past 6 years, underscoring and reaffirming our st eadfast commitment to ESG initiatives.
Continuing on our decarbonization mission, we have forged strategic partnerships within the industry and commenced the deployment of electric and LNG vehicles in our operations. This series of strategic partnerships propel us forward in our decarbonization journey, bringing us closer to achieving our net zero and GHG emission targets. On community development front, our holistic strategy and people -led institution -based approach to CSR endeavors have earned us recognition a mong top 10 CSR companies in India. A quick snapshot of developments made in the quarter are given on Page 4 for reference.
Moving on to the markets. Though the quarter started on weaker market sentiments, n

ews of
Chinese central government's additional investment on infrastructure helped improve the market. In the quarter, Chinese economic grew 4.9% year -on-year on the back of a rally in industrial production. The US economy also demonstrated strength and resilience during the quarter, driven by robust customer spending and high service sector activity.
European economy in contrast has persistently struggled to regain strength. Further, the easing of inflationary pressure in some of the world's major economies also suggest that the global supply chain is returning to normal. The global manufacturing PMI d ropped marginally from 49.2 in September to 49 in December, indic ating a slight contraction in output. The S&P Global India Manufacturing PMI also fell from 57.5 in September to 54.9 in December.
Despite the decline, the December figure marked 30 months of the index remaining above 50, reflecting manufacturing expansion. Factory orders and output experienced a moderate yet notable rise accompanied by an enhanced business confidence in the upcoming year's outlook.
Zinc prices were marginally better this quarter despite the strengthening of US dollar attributed to incidents such as suspension of Nyrstar's Mid Tennessee mine, fire at the upcoming Kostenko mine, et cetera, pushing the prices above $2,600 per ton level during the quarter before closing at a monthly average of $2,500 per ton in December.
While the global production has been stressed, however, the impact of the same has been insufficient to overcome the faint demand, particularly in Europe. This resulted in a surplus of refined zinc in LME warehouses during the quarter.
Regarding the zinc outlook, usage anticipated rise in India, Mexico, China and Vietnam on the back of increased focus on infrastructure, while the demand in Europe and U.S.A. is likely to remain flat. Coming to lead , during the quarter, the price remained volatile, averaging $2,123 per ton, down 2% sequentially, up 1% year -on-year. This is consistent with the kind of surplus driven by secondary market despite a modest recovery in mines and primary smelter output.

Moving forward, net prices are expected to remain reasonably supported by healthy demand , driven by automotive industry and relatively tight supply due to recent suspensions. In domestic market, PLI schemes and emerging cash -rich middle -class families are expected to fuel the expansion of automobile industry, thereby supporting lead demand.

Coming to silver , prices averaged $23.2 per troy ounce, down 2% sequentially and up 10% year -on-year. In India, the industrial consumption of silver is relatively lower as compared to global levels and is expected to increase going forward on the back of new -age technological developments, like EVs and 5G, and shifting priorities towards renewable energy, etcetera.

Silver market has been in deficit in 2023 for third consecutive year in a row, considering the current macroeconomic environment and the supply and demand dynamics, we hold a strong positive outlook for silver prices.

Coming to an update on the operational performance , I'm pleased to reaffirm that we achieved our highest ever 9 -month mined metal and silver production. During the quarter, our emphasis on proactively maximizing silver production in response to heightened prices led to attainment of our highest level third quarter silver production at 197 tons, up 9% sequentially and 22% year -on-year. Anticipating significant potential in the silver industry, our consistent enhancements in silver production propelled the company's global ranking from 23rd in 2014 to fifth largest silver producer in 2023. Please refer to Slide 20 for further information.

I would also like to highlight that our company has an industry -leading 5 year production compounded annual growth rate of 4.3% in mined metal,

4.1% in refined metal and 3.9% in silver, showcasing a steadfas t commitment to growth. This accomplishment is significant considering the backdrop of numerous mines and smelter closures and suspensions in the complex global business landscape.

Before handing over the call to Sandeep, I would like to give an update on the projects, the fumer and our alloy plants are under operation s currently. Progress of the new roaster and fertilizer project s is also on track. Further based on the current run rate, ongoing developments, key structural changes and valuable learnings alongside an increased integration of technology, we are confident in our ability to deliver the projected volumes for the financi al year.

With this, I hand over the call to Sandeep for an update on financial performance.

Sandeep Modi: Thank you, Mr. Misra, and a very good afternoon, everyone. Firstly, I would like to extend my wishes for a joyous New Year to everyone as we connect for the first time in this year.

Speaking about the quarter that went by, the operational performance at Hindustan Zinc was notably positive as detailed by Mr. Misra. There was a favorable momentum observed in the economic variables as well. As a result of the ongoing cost optimization in itiative in the company towards achieving the designed cost of $1,000 per ton, this quarter recorded the lowest cost in the past 10 quarters, achieving a sustained cost reduction in last 4 consecutive quarters.

The persistent improvement solidified our position as a global cost leader placing Hindustan Zinc in the first de cile of the global zinc mining cost curve. Please refer Slide 24 for further details on the cost. Further, though it is challenging to achieve intermittent cost reduction, however, the crucial and the more complex aspect is sustaining it over an extended period , which is one of our main strategies to navigate through a so -called LME environment resiliently. As a result, our EBITDA margin increased from 46% in previous quarter to 49% in quarter 3 FY '24. It was supported by prioritizing silver production as well.

While the pursuit of better operational efficiencies continue, we are supplementing it with investment in diverse digitalization, automation solution, facilitating better value accruals in the upcoming quarters, providing a more comprehensive picture of th e company's financial performance for the third quarter and t he 9 months ended December '23.

Revenue from operations during the quarter was INR7,310 crores, 8% better sequentially on account of higher zinc prices and better zinc and silver volume, partly offset by lower lead and silver prices and volumes, though it was down 7% Y -o-Y due to significantly lower zinc prices and lower zinc volume par tly offset by favorable exchange rate, higher lead and silver prices and volume.

For the 9 months, the revenue from operations stood at INR21,383 crores. It was impacted Y -o-Y due to reduced zinc prices and volume being partly offset by improved lead and silver volume and prices and favorable exchange rates.

Coming to the zinc cost of production before royalty , during the quarter, it was $1,095 per ton, 4% better sequentially and 15% better Y -o-Y in USD terms. For the 9 months FY '24, CoP was $1,142 per ton, 10% better Y -o-Y. The cost improvement was mainly on account of better volume, softened coal prices, operational efficiency, partly offset by lower acid realization due to market, further supported by better grades and better linkage coal availability and utilization

year-on-year.
The resulting EBITDA for the quarter was INR3,559 crores, up 14% sequentially and impacted by revenue from operation and cost of production on a Y -o-Y basis, 4%. For the 9 months, EBITDA was INR10,040 crores, down 25% Y -o-Y, largely due to the lower LME. Ple ase refer to EBITDA bridge from Slide number

26 to 28 for further details. Consolidated net profit for
the quarter stood at INR2,028 crores, up 17% sequentially, though down 6% Y -o-Y, in line with EBITDA offset with tax expenses.
For the 9 months, the net profit stood at INR5,721 crores, down 28% Y -o-Y, primarily on account of lower EBITDA, partly offset by lower tax expenses. The effective tax rate for the third quarter is 24% in accordance with the new tax regime in which the company has already moved.

During the quarter, Hindustan Zinc has also paid an interim dividend of INR2,535 crores, contributing to the cumulative dividend payout of INR5,493 crores for the ongoing fiscal year, reflecting our commitment to deliver value -accretive return s to our shareholders.
Further, giving a sense of our commitment to nation building, we contribute almost 23% of revenue, 45% of EBITDA, 59% of profit before tax to the exchequer through the royalty and income tax alone . Highlighting the financial strategy implemented to leverage better silver prices, sliver segment now account s for over 45% of our profit in FY '24 as compared to 27% in the last year, underscoring our commitment to maximize shareholder value.
Another noteworthy highlight of the year - the quarter - is that our market share in India ’s primary zinc market has increased from 75% to 7 -quarter highest of 79%. Despite the challenges posed by the restrained market conditions globally, we successfully increased our market share significantly in India. As we entered into the New Year, we plan to intensify our efforts towards achieving our design ed cost of $1,000 and reiterate our guidance.
With this, I'll conclude my comment s and we open floor for questions. Thank you.
Moderator: Thank you very much. The first question is from of Vikas Singh from PhillipCapital. Please go ahead.
Vikas Singh : Sir, I wanted to understand the update on the business plan restructuring of the different division s, where we are so far?
Arun Misra : Sure. Regarding the Hindustan Zinc being...
Management: Hindustan Zinc -- separation of divisions...
Arun Misra : Correct, correct. This is the Board. Board has discussed. Now it is between the government nominee directors and the other Board members. So I think government nominee directors are yet to communicate their agreement to the proposal. Once that is done, the n we'll take it forward.
Vikas Singh : Understood. Sir, any timelines, which you have internally decided between which you wanted to complete that?
Arun Misra : I expect that before the next -- that is -- we are now sitting in January, before the next Board meeting, which can be anytime towards the end of March or April, that should be our internal timeline, we should be able to close it.
Vikas Singh : Understood, sir. Sir, second question pertains to our volume guidance. So given the 9 months production and sales, our asking rate is a little bit high. So one thing on the mined metal side. So do you think that we will at least meet the lower end of the g uidance? And secondly, do you want to increase your guidance on the silver production, basically once -- since the fumers are now completed and they would be ramping up?

Arun Misra : So I think at the current rate of production, as you see, quarter 4 normally is the best -ever quarter that we will present. So achieving the guidance is not an issue to us. And just now, we would not be correcting the silver number because it's a matter of both our strategy of operation s as well as the grade of silver that we get during mining. We maximize d this quarter . Our quarter 4 , with the mode of operation s that we have selected , we will look at it . But my apprehension or expectation is silver number will be a shred better than what we have committed. And of course, min

ed metal and finished metal, we will achieve the guidance numbers.
Sandeep Modi: Just to supplement here, Sandeep here, if you even add the last quarter 4, which has been ever best always, and this quarter will be also the same story, even with that, against the guidance of

$1,075 to $1,100, we are around sitting at a $1,085 kind of number. I think we are comfortably within the guidance rate. The similar is the story for the refined metal and silver. So we are quite confident to achieve the volume guidance.
Vikas Singh : Understood, sir. Sir, now that we have now run rate of silver is closer to 800 tons a year, what is the expected peak?
Arun Misra : What is the expected peak...
Vikas Singh : What is the expected peak in the silver production because I remember once we guided that, we wanted to reach 1,000 tons a year of silver. So anything on that?
Arun Misra : No, so the whole ore production has to go up. We can always play a round with maximizing lead production, maximizing use of SK mines ' concentrate and things like that. But overall, see, Hindustan Zinc to move from 700 tons to 800 tons, we need to move -- increase our current rate of metal production from, say, 1.05 million tons to 1.2 million tons. I see the target of when we achieve 1.2 million tons, we'll be comfortably achieving around 800 tons of silver. So that we can achieve. At 1.5 million tons, we should be getting closer to 1,000 tons.
Vikas Singh : Understood, sir. And just one last question, if I may ask, our Debari roaster, so any timeline for the completion of the same?
Arun Misra : By early quarter 4 of this financial year, so that may be anywhere between January to March, but we are planning to track it and bring it closer. Sorry, that is... Next financial year, which is January to March of 2025.
Vikas Singh : Okay. Next financial year, January to March.
Arun Misra : Yes, yes.
Vikas Singh : Okay. All the best for the future.
Moderator: Thank you. The next question is from the line of Pallav Agarwal from Antique Stockbroking. Please go ahead.

Pallav Agarwal : Good afternoon sir. So the first question was on how the domestic physical premiums have played out sequentially? So have you seen some drop over there?
Sandeep Modi: Pallav, so first of all, happy New Year. Pallav, I think the domestic market premium or export, both have been working in tandem with the market. And I don't think anything significantly has happened to the premium. It's all in line with the market and the competition.
Pallav Agarwal : Sure, sir. And what about, you are planning to increase a proportion of value -added products in the mix? So how has the progress been on that?
Arun Misra : So we had that -- alloy plant commissioning, which has happened. It is ramping up. And I think by next quarter, we will be able to report a healthy number of special products that we produce from the alloy plant, which will add to our value -added product n umber. But as of now, the way we produce value -added product in the standard mode, like last year, the numbers are not much, around 18% to 20% we have.
Pallav Agarwal : Sure, sir. And I think you're targeting, I think, 2 5% to 30% if I recall...
Arun Misra : Correct. So that additional will come from our alloy plant also.
Pallav Agarwal : Sure, sir. So also just -- if you could just help us out with how the domestic coal availabil ity is? And I believe you have tweaked the power plants to exce l with domestic coal. So is that started showing results and what kind of cost improvements can we see from that?
Arun Misra : No. Our -- see, there are 2 parts to it. One part is general availability of domestic coal. It is not as good as it was in quarter 2. However, it is healthy. The percentage of d omestic consumption is healthy.
Second, we have modified our power plants, which are now capable of digestin

g more and more domestic coal at higher end. So roughly, if I give you the percentage numbers, we were 45% earlier in quarter 2, w hich was reduced to 30% or 31%.
As we have been saying earlier that we require about 2 0 to 23% of the share of domestic coal the way the power plants are designed, but we are now able to digest up to 30% - 40% of domestic coal. This has, of course, helped us in reducing the power cost. Also, we have done at a domestic coal and more than 100% plant load factor kind of a performance. Our power costs are well within our target and which is actually has started reflecting on our overall cost of production, which has gone down.
Sandeep Modi: Pallav, so, power cost contribution to overall cost, which used to be 42% last year, has gone down to 35%.
Pallav Agarwal : Sure, sir. Okay. And probably this can, maybe -- we can -- probably there's room for further improvement, I guess, going...

Arun Misra : At the current level of power plant capacity to digest thermal, domestic coal, if we start getting, say, 45% domestic coal in our total coal mix, the cost will go down further.
Pallav Agarwal : Sure, sir. Sir, finally, if you could just help us with the broad outlook on zinc and lead pricing for CY '24, given that Chinese stimulus efforts really haven't probably had the effect that was expected. So , any sense , still we continue to see a lot of exports still coming out of China. So , is this any different in terms of zinc and lead, the domestic demand of it?
Arun Misra : No, no. Post -COVID world is such that it's very difficult to predict because earlier there was a firm equation between countries and one could predict what price will go up, what will come down. Today, you see even Chinese stimulus announcement, expenditur e is not able to push the prices up, right? Europe has not recovered. Europe remains largely flat and very docile as far as economic growth is concerned. US has registered good growth, but also affected by inflation. Although the inflation numbers have sta rted coming down, gas prices have started coming down, but still US is only geography, which is ….
Moderator: Participants, please stay connected. Line for the management dropped. Ladies and gentlemen, please stay connected while we rejoin the management back to the call.
Ladies and gentlemen, thank you for your patience. We have the line for management reconnected. Sir, you may continue.
Arun Misra : Yes. So as I was saying, the overall export, geography -wise, Europe has not shown a very promising recovery, whereas US remains slightly more promising. Indian economy is still strong, perhaps one of the strongest economies among the developing countries. So we are focusing more and more on dome stic sales compared to exports.
As far as predicting the prices is concerned, and under this condition, our prediction of the price moving closer to $3,000 has not materialized even in the month of December. So I won't hazard a guess. I would be happy if it continues at the current level , maybe plus or minus $50 for another quarter, I think that will help us out.
Pallav Agarwal : Sure sir. Thank you for the detail ed answer.
Moderator: Thank you. The next question is from the line of Alok Deora from Motilal Oswal. Please go ahead.
Alok Deora : Good evening. Sir, just one question. So the cost of production has come down pretty well in this quarter as well. So any outlook there? We have kind of maintained the full year guidance. So how -- where could we see the CoP moving ahead?
Sandeep Modi: So Alok, we continue to remain the guidance of $1,125 to $1,175, but I can give you the assurance that we will be at the lower edge of the $1,125 to $1,175. And going forward, as I

said, that this time, we clocked $1,095. So accordingly you can do y

our maths. But going forward, we believe that our -- we deserve towards the $1,000 cost design.
Alok Deora : Got it. And sir, the debt right now at the company level is, I think, INR10,000 crores or so. So where do we see that heading going ahead? So any comment on that?
Sandeep Modi: So if you see at the net debt level, we are around INR360 crores. And given the healthy cash flow generation, so during this year, we have generated a free cash flow of INR6,900 crores, which is also the post growth capex and RE power investment of INR1,000 crores, out of which INR5,500 crores were distributed as a dividend and INR1,400 crores was used for the debt reduction. So even we safely assume the EBITDA of the Q4 and even at current level LME, I'm confident that minimum by INR2,000 cro res, this debt reduction will happen in the Q4.
Alok Deora : Got it sir. Thank you so much. That's it from my side.
Moderator: Thank you. Next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Congratulations on a good set of numbers. I have a couple of questions. The first one is essentially on fumer. So with the commissioning of fumer project and with it streamlining by end of Q4 FY '24, what kind of additional production we can expect from fu mer?
Arun Misra : So we had a plan from the fumer about 30 tons of silver in the year. I think that level we will achieve by the end of Q4. And next year, full year, we'll be taking that into consideration while we plan the numbers.
Amit Dixit: So that means next year, sir, we are already running at silver production of roughly 197. Of course, that is driven by in creased -- one of the smelters running in lead mode only. So is it fair to assume that next year we could be like in -- above north of 800 in silver, roughly?
Sandeep Modi: I won't hazard a guess, but if you say this year, if we close at close to around, say, 720, which would add another 30 to that or if we close at 700, we will add another 30 to it. Whatever we close at, we'll be adding another 30 to that and then produce ac cordingly.
Amit Dixit: Okay. The second one is a bookkeeping question, sir. Only if you could just mention the revenue

and capital mine development this quarter?
Sandeep Modi: So, revenue and capital mine development both were around 13 kilometers per -- so each -- so that was a revenue and capital mine development in this quarter.
Amit Dixit: Okay. And another one, sir, if I may. Maybe I missed it because I joined the call a little bit late. You mentioned in the prepared remarks about the improvement in grade. So what was the average grade realized in this quarter?
Sandeep Modi: So this quarter, it was around 7.4, and it is a Y -o-Y higher. Last quarter Y -o-Y was 6.96. This time, it is 7.36.

Moderator: Thank you. Next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.
Shweta Dikshit : I wanted to know, could you throw some light on the operational details of the zinc alloy plant, like the volumes? And what was the realization in margin that can be expected going forward? And you mentioned something about it could contribute to 20% to 25%. What were -- I missed. What contribution were you talking about there?
Arun Misra : No, no. We are talking about one value -added product. Currently, we're at about 18% to 20% of our -- and the total product is value -added product. In the definition that we now value -added product is to be, which can be Jumbo , which can be HDZA, which can be Zamak3 , Zamak 5 but mostly produce Zamak3 .
Going forward, over 30,000 tons per annum value -added products will be produced separately by the alloy plant. As of now, it has just been commissioned. It is still going through the treating issues of the plant that has. And we believe that by quarter 4, it will be stabilized. And next year

,
full year, when we look at, it will surely add another 30,000 tons of production and take our value -added production percentage from 20% to maybe 25%.
Shweta Dikshit : Okay, sir. That's it from my side. Thank you.
Moderator: Thank you. Next question is from the line of Shivang Chauhan from Barclays. Please go ahead.
Shivang Chauhan : I have a quick one on if you would have an update on the transfer balance NCLT , on hearing that was supposed to happen, any update on that you could provide?
Sandeep Modi: Yes, Shivang, first of all, happy New Year. We had GR to RE last hearing on January 24 at the NCLT Jaipur, this is a second motion, and the hearing went very well, almost for 1.5 hours. We expect the order to be passed maybe in February. So the next date of hearing is 15th February '24, all are procedural in natur e. Given the size and the rare kind of thing, it's taking time.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Ms. Jhalak Rastogi for closing comments.
Jhalak Rastogi : Thank you, everyone. With this, we close today's earnings call. For any follow -up questions or clarifications on the results, please feel free to reach out to Investor Relations team. Thank you.
Moderator: Thank you very much. On behalf of Hindustan Zinc, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Apr 2024

Sensitivity: Public (C4)
HZL/2024 -25/SECY /21 April 22, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication

Scrip Code: 500188 Trading Symbol: "HINDZINC"

Dear Sir/Madam,

Sub: - Earnings call Transcript for the fourth quarter and year ended March 31, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find attached herewith the transcript of the earning s call held on Friday, April 19, 2024 , with regard to the financial performance of the Company for the fourth quarter and year ended March 31, 2024 . The same is also made available on the Company's website at https://www.hzlindia.com/investors/reports -press -releases/ .

You are requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Harsha Kedia
Company Secretary & Compliance Officer

Sensitivity: Public (C4)

"Hindustan Zinc Fourth Quarter & Full Year FY 2024
Earnings Call "

April 19, 2024

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER ,
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER ,
HINDUSTAN ZINC LIMITED

MS. JHALAK RASTOGI – ASSOCIATE DIRECTOR , INVESTOR
RELATIONS , HINDUSTAN ZINC LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to the Hindustan Zinc Fourth Quarter and Full
Year FY'2024 Earnings Call.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Ms . Jhalak Rastogi – Associate Director (Investor Relations).
Thank you and over to you, ma 'am.
Jhalak Rastogi : A very good afternoon, everyone . I welcome you all to Hindustan Zinc 's Fourth Quarter and Full Year , ending 31st March '24 results briefing .
In this call, we will refer to Q4 FY'24 "Investor Presentation " available on our company 's website. Some of the information on this call may be forward -looking in nature and is covered by the safe harbor language on second slide of the s aid presentation.
Today , on the call we have with us our CEO – Mr. A run Misra and our CFO – Mr. Sandeep Modi. Mr. Misra will begin with an update on "Business Performance ", while Mr. Modi will walk you through "Financial Performance ", after which we 'll open the floor for questions .
I now request Mr. Misra to begin today 's call . Over to you. sir.
Arun Misra: Thank you, Jhalak. A very good evening to one and all. Thank you for joining us for the Fourth Quarter and Full Year Results Briefing .
FY'23-24 has indeed been a year of significant achievements for Hindustan Zinc, characterized by the highest ever metal and silver production, sharp reduction in cost and global best performance in ESG. This has been possible due to our efficient utilization of asset , well-planned mining and smelting , talented team and resilience of our organization. Even amidst the challenging conditions of LM E environment, our company has not only p ersever ed but thrived, marking another landmark here.
On this note, I am elated to share that Hindustan Zinc after recording its highest ever silver production in FY '24, has become the third largest silver producer globally , making India proud.
Here, it is imperative to note that all the accomplishments that I have outlined were made possible on the foundation of safety excellence. It gives me immense satisfaction to report six consecutive quarter s of fatality -free operation s, demonstrating our st eadfast commitment to ensuring the safety and well -being of our employees. With zero harm as a core tenant of our business and to prevent reoccurrence of similar incidents within the group, we have launched programs like critical risk management and also starte d to over haul infrastructure to ensure

 continuity of operation s without any fatality. Our efforts in safety has been recogni zed by the British Safety Council International Safety Awards with multiple recognitions .
On sustainability front, we have demonstrated remarkable global ESG leadership by ranking first in the S&P Global Corporate Sustainability Assessment during the year. We have also secured the leadership band scores of A- in water security and climate change by CDP . As a result of the decarbonization journey, we are actively integrating LNG and electric vehicles into our operations.
I am pleased to share that our renewable energy power delivery agreement is also progressing well and has been accelerated with first flow of power expected this month.
Furthering on our vision of circular economy, I 'm happy to announce that Hindustan Zinc has entered into M oUs with key innovative and technology partners dedicated to transforming waste into valuable resources, thereby driving sustainable growth and innovation.
During the year, we

had also commissioned Fumer plant at Chand eriya for recovery of metals from smelter residue. These developments are contributing to our ongoing efforts to develop our recycling business further .
On diversity and inclusion , we launched our flagship initiative , "Zinclusion " during the year.
Under this program, we have onboarded 16 transgenders till date across various key functions while also providing an inclusive workplace through compulsory DEI awareness sessions for every employee . These efforts were recognized at the prestigious 3rd National Transgender Awards .

I'm also pleased to share that Hindustan Zinc has been awarded the leadership in HR Excellence Award by Confederation of Indian Industry at 14 th CII National HR Excellence Award .
Coming to our CSR activities this year , we have extended our footprint by covering over 3 ,500 villages with 1.9 million beneficiaries under initiatives spanning across areas including but not limited to women empowerment, sustainable livelihood, skill development, healthcare and safety, sports , culture, etc. ,
Moving on to Markets , inflation persists in the US services sector , while Europe continues to contend with weak construction and manufacturing sectors, but with expectations on interest rate cuts by the US Fed , coupled with geopolitical tensions between Iran and Israel , commodity prices have surged in April '24 with silver touching its high est in INR terms .
The global manufacturing PMI entered expansion zone in February for the first time since August '22, and India is still the brightest spot among the major economies with its manufacturing PMI recording its 16 -year high at 59.1 in March 2024 . Global steel demand is forecast ed to grow in FY'25 with India contributing the most with projected growth of 8.2% .

 During the quarter, zinc prices fell to an average of $2 ,450 per ton . Despite multiple suspensions and closures during the year, zinc prices have plunged by 25% year -on-year. Total zinc stocks rose to 386,000 tons at the end of March '24 as compared to 243,000 tons at the end of December '23 on account of subdued demand. However, in April, due to the rebound in global manufacturing activity , there has been a push in prices of all commodities and zinc prices have been on a rise due to supply disruptions and increased global demand. The domestic zinc consumption has grown by 20% year -on-year on the back of stronger PMI and is forecast ed to stay strong in line with the steel market .
Coming to l ead, the prices averaged at $2 ,077 per ton during the quarter, down 2% sequentially and 3% year -on-year on account of softened demand and lower global automobile sales at the start of the calendar year . Moving forward , within budget, focusing on infrastructure and additional spend on EV charging , etc., Indian lead market is expected to expand.
Silver prices hovered around $23.3 per t roy ounce during the quarter and $23.6 per troy ounce during the year, up 10% year -on-year. The prices have rallied lately, tracking the gold prices and the market continues to look very strong . On silver demand , while current Indian industrial silver consumption is relatively lower, it is expected to increase significantly with developing industrial use-cases like EVs and 5G , etc., The rally in prices and this momentum is a great start for the new financial year.
Giving an update on the operational performance , I am pleased to restate that we have recorded highest ever min ed metal production of 1 ,079 kt and refined metal production of 1 ,033 kt and silver production of 746 tons on the back of relentless efforts and collaborative ideas .
We also have generated the highest ever sales in our value added portfolio of about 20%. We produced these with zero fatality and at a zinc cost of $1,11 7 per ton .
These production figures grew at an industry -l

eading compounded annual growth rate of over
4% in the last five years and the guidance for FY '25 indicates a continuation of this trend. Our FY'25 guidance for mine d metal production is set at 1 ,100 to 1,125 kt, refined metal production at 1,075 to 1 ,100 kt and s aleable silver production of 750 to 775 tons.
On compan y's reserve and resources, with an emphasis on ensuring the longevity of the mines through strategic exploration, we have managed to increase the total R &R by about 35% in the last five years . Putting in absolute terms , while our five -year ore production adds up to 65.1 million ton s, we have added an ore of 118 million ton s to the R &R through explor ation . We have added metal reserves of 2.5 x as compared to FY '20 on a net of production basis. Resultantly , at the end of FY '24, our total R&R stands at 456.3 million tons with a total metal content of 30.8 million ton s underpinning an overall mine l ife of 25 -plus years.
During the quarter, in line with the national vision and with our strategic exploration objective to upgrade R&R , we incorporated Hind metal Exploration Services Private Limited, a wholly

 owned subsidiary of H ZL with an objective to explore, discover, develop and tap mineral resource s.
Coming to our expansion projects , our 160,000 tons per annum roaster and 510,000 tons per annum of fertilizer plant progress is on track. I am happy to share that during the quarter we have received regulatory approvals with respect to Bam nia Kalan mine, which will be a new mine to be started by us and accordingly site activities will start operating soon .
Once again on the guidance , please note that we are giving a guidance of min ed metal production

between 1 ,100 to 1 ,125 thousand tons , refined metal production between 1 ,075 to 1 ,100 thousand tons and s aleable silver production between 750 to 775 tons.
With this , I hand over the call to Sandeep for an update on the Financial Performance .
Sandeep Modi: Thank you, Mr. Misra , and a very good afternoon , everyone. As Mr. Misra already shared, it was a pivotal year marked by significant achievements in volume, cost management , projects completion and new growth path. Happy to share that zinc cost of production for the full year improved by 11% to $1,117 per ton . During Q4, company c locked a 12 -quarter lowest cost of production at $1,051 per MT. It was down 4% q -o-q and 13% y-o-y. It was supported by better grade, better linkage coal utilization, soft ened coal and input commodity prices partly offset by lower acid realization . This quarter marked a fifth consecutive reduction in the cost of production with the cumulative sustained reduction of the cost by US $250 per ton.
Despite the volatility in zinc prices, our financial performance demonstrated resilience as we adeptly sustained margins through agile navigation of market challenges .
Silver production has been a standout success for the company during the year , with record high production positioning as the “Third Largest Silver Producer Worldwide .” This achievement is worth highlighting once more by me.
While I am going to give an overall picture of the fin ancials of the company, I would like to start by sharing two key highlights demonstrating how ESG principles are integrated across various functions of the company, including the finance.
Hindustan Zinc has been recognized by CXO Geni e for exemplary contribution in diversity, equality and inclusion with in the finance domain . With the gender diversity of 50% in the finance function in the metal and mining company , Hindustan Zinc comprised of the professional s with the background of C As, CMA s, MBA s and graduates from esteem ed institution s, this award is a testimony of our progress in D EI.
In line with the government focus on empowering the MSME sector , Hindustan Zi

nc has taken
a lead and prioritized payments to its MSME vendors with an average payment cycle of 29 -days during the quarter, which is 37% better than the statutory requirement. This underscores our

 sincere commitment towards ES G principle s, bolstering trust in our supply chain partnership through enhanced social responsibility.
Diving into our performance, the revenue from operation for the full year was approximately Rs.29,000 crore s, down 15% YoY . Even though we had better volume and silver prices and a strong dollar , revenue was largely impacted due to lower LME. T he revenue from operations for the quarter was 7 ,549 crore s, 3% q -o-q up on account of higher zinc volume, partly offset by lower lead and silver volume and metal prices . Revenue for the quarter was down 11% y-o-y though the zinc and silver volume were better along wi th the silver prices and the favorable exchange rate, it was largely impacted by the lower metal prices and lead volume.
The full year EBITDA sto od at Rs.13,677 crore s, down 22% y-o-y in line with the revenue, partly offset by significant cost improvement for the quarter, the EBITDA was Rs.3,637 crore s, up 2% q-o-q and down 14% y-o-y. It is in line with the revenue from operation s and again the good cost i mprovement. Please refer to EBITDA bridge from Slide 30 to 32 for more information.
Consolidated net profit for the full year stood at Rs.7,759 crore s, though it was down 26% y-o-y. It is in line with the EBITDA partly offset by lower tax expenditure . As we move to new regime, our ETR remained 25% approximately. For the quarter, the consolidated net profit recorded was Rs.2,038 crores, flat sequentially and down y-o-y in line with the EBIT DA and tax expenditure.
I wish to highlight here that despite the 25% y-o-y fall in zinc prices, we successfully maintain our industry -leading margin of 47%, underscoring our strong foothold in the first decile of zinc mining cost curve .
This year , we have issued a total dividend payout of R s.5,493 crore s, with the total contribution of Rs.13,197 crore s to the exchequer in the form of royalty and direct taxes and indirect tax es. On the back of strong liquidity with the healthy cash flow of Rs.9,000 crore s in FY’24 which is after the post -growth capex and RE investment of Rs.1,200 crore s approximately.
It is also noteworthy to mention that we have recorded a seventh quarter highest domestic primarily zinc market share at 80% during the quarter, backed by highest ever quarterly domestic sales.
With recovering economies and brighter outlook for base metals, supplemented by our proficiency during the year gone by, we are geared towards pursuing our guidance of cost $1,050 to $1,100 per ton for F Y’25 and growth capex of $270 to $335 million which will be mostly for roaster , fertilizer , RE power and de bottlenecking , while leveraging the market dynamic s strategically .

Sensitivity: Public (C4) With this , I conclude my comments and we open the floor for your question s. Thank you for listening.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICI CI Securities. Please go ahead.

Amit Dixit : Sir, I have a couple of questions. The first one is essentially on our guidance . So, if I look at the mined metal guidance and if I compare it with this year, it 's bit up between 4 % to 6.5% while your silver guidance is just 0.5% to 4%. So , is it fair to understand that will we be having zinc over lead and silver this year?

Arun Misra: So, last year we mostly operated our pyro facilities on only l ead mode. That helped us to increase lead production and also increased silver production and a low zinc price environment that helped us. This time the zinc prices are looking up and we hope the p

rice really continues while silver prices is also up. As of now , our strategy is to operate on zinc plus lead mode and hence the metal numbers are as high as you are looking at and corresponding growth in silver is not visible. However, you have to understand that even if I try to operate the whole year in lead plus zinc mode , only selectively producing that much of lead concentrate will not be feasible. So , a balance view has to be taken . If the situation persists like this in zinc environment, we will stick to the guidance on metal and silver that we are giving and that is the most practical guidance that is possible.

Amit Dixit: But depending on the price movement, I mean , as the year flows by, you can dynamically change it as well ?

Arun Misra: Absolutely, absolutely.

Amit Dixit: The second question is on the exploration subsidiary. I 'm a little bit intrigued because we have a very rich history of exploration as very well evidenced in our R&R. So, what 's the rationale for floating a new sub sidiary ? Is it that we are trying to go beyond our zinc, lead, silver ?

Arun Misra: Government is coming up in a new scheme that would allow exploration companies to explore areas or block that they can earmark themselves. Now , this is a new scheme and if we explore , then the government is going to return part of the expenditure , then that data will be available to the parent company for tomorrow to bid whenever they become auctionable blocks . So, we being in that base metal and deep -seated mineral business, we feel that we have a larger chance , one, to succeed with exploration and second, use that data to bid fruitfully in auctions and gather further leases. So, that's why this is a new development, and we are hopeful that this will help Hindus tan Zinc to grow beyond lead, zinc and s ilver.

Amit Dixit: Does it extend to rare earth also, is there any endeavor to go to -?

Arun Misra: Absolutely, absolutely, Rare earth, atomic minerals, all the critical minerals that the government has enlisted.

Sensitivity: Public (C4) Amit Dixit: One last data keeping question . What was the grade this quarter and if you can also highlight the revenue and capital mine development?

Sandeep Modi: So, this quarter grade was 7.62% and this is the highest grade in the last couple of quarters. And for the capital revenue total was 26 kilometers, 50 -50% capital and revenue.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: My first question is on the operational guidance for FY '25. Now , if we look at FY24, it 's been almost a stagnant year as far as refined metal is concerned and we are now guiding this for 4 % to 5% growth in '25, much lower than what our capacity is of around 1.2 million to ns. So, just want to understand given all the projects are complete at the current capacity , is 1.1 the peak capacity to consider in future years also and future growth will come in only after more expansion?

Arun Misra: No. So, when we did 1.2 million ton s expansion, it was primarily for the mined metal capacity of 1.2 million ton s, whereas the finished metal was designed to be 1.123 million tons . In three consecutive years we have achieved more than 1 million ton s in metal -in-concentrate and two years in succession , we have achieved 1 million ton plus in finished goods. Now that gives us confidence to go beyond 1.1 million ton s and that will be the first test whether we can go closer to our design ed capacity o f 1.123 million tons. And as we speak, we have launched number of debottlenecking projects to take the capacity from 1.1 23 to 1.25 million tons. So, it will take maybe another 18 months to close all that. And then after we achieve 1.1 million ton s plus this year, then next year we can surely attempt at 1.2 million ton s hoping that in

between all the
debottlenecking projects are completed.
Sumangal Nevatia: Second question is considering the demerger of metal, silver and recycling some other division as well, what is the status and update on that, sir?
Arun Misra: No, as we have seen in the filings as well as the newspaper reports that we have r ead, so government has written to us saying that perhaps the timing is not appropriate considering they are in the process of disinvestment of the company on the 29% stakes that they have and at this point a demerger may create confusion in the minds of potential investors when they do the OFS route. However, looking at the rally of zinc prices, we have spoken to government and we feel that this is the right time f or government to disinvest and also help us to dem erge these entities and create a silver as a separate entity because we continuously believe that it will unlock another $3 to $4 billion on the market cap . However, after the board comes to a consensus and a decision on this, then we can come back.
Sumangal Nevatia: Last question is on the cost. So, we are guiding for mid -range around $1 ,075 versus fourth quarter this time , it's around $1,050. So, in terms of commodity price deflation, are we seeing that all the tail winds or benefits are already priced in this quarter and no further benefits are expected, is that the way to read?

 Sandeep Modi: Sumangal, there are a couple of things which happen ed in the Q4 like the best ever grade we
got, 7.62, which has impact on the fixed cost , also we had the highest linkage coal consumption which was 46% in overall Q4. So, I think for the full year, it was 37% . We are moderating with a 40% kind of linkage coal consum ption and import coal prices also we are assuming like Q4. But as we go more to mine deeper and the higher mine development as we have to improve volume , some impact may be ther e which are all factored in the 1 ,050 to 1 ,100. And secondly , as Mr. Misra has said that we are assuming zinc -lead mode completely for the whole year. So, pyro plant which has a zinc -lead mode , has a $15 cost extra compared t o lead mode on an overall basis. So, this has also been factored into 1 ,050 to 1 ,100. So, if you exclude that pyro plant in that manner, actually , we are talking about 1 ,035 to 1 ,085 kind of things on a like-to-like basis. So, all these factors have been factored into it.
Moderator: We have the next question from the line of Ritesh Shah from Investec Capital. Please go ahead .
Ritesh Shah : First, a couple of questions on the mining part. Bamnia Kalan finally I think it has come to fore. Sir, can you detail over here? Basically, you indicated that we have secured the regulatory approvals. So, what sort of regulatory approvals we have? How should we read into resource , reserves and timelines on the mining output over here ?
Sandeep Modi: Bam nia Kalan mine has almost 1 million ton of the resource in the metal term s, and 700 ton s of kind of the silver . Annual potential revenue at current LM E is 1,000 crore s plus and assume the EBITDA margin kind of this, so maybe 400 crore s. So, we have received all the approvals from the IBM for the mining plan , consent to operate , consent to establishment, everything has been received and now we have to hit the ground with the site activities and for which we are working with the business part ners to start the portal and the initial mining activities. And this is adjacent to the SK mi ne. So , it's strategically located near to the same mi ne. So, that benefit of scale we will also get.
Ritesh Shah: Sir, what are the timelines that we are looking at over here?
Sandeep Modi: Any mine to start wi ll take one to two years to get a full ramp up, but I think to hit the ground and then start the portal, may be in the next year , it will be coming to the main oper

ation part.
Ritesh Shah: My second question is, as per M MDR, we will see a certain percentage of our reserves face expiry by 2030. If memory serves me right, I think that 's Rampura Agucha, S K and Kayad. So, these three mines will be what percentage of our -?
Sandeep Modi: SK is 2048 , Bam nia Kala n is 20 35, Kayad is 2048, and remaining mines are 2030.
Ritesh Shah: So, Rampura Agucha and basically Zawar is 2030. So, this is what percentage of our min ed output at this point in time ?
Sandeep Modi: Agucha and Zawar will be put together 65%. But in terms of profitability point of view, 50%, given that SK is the silver -rich mine.

 Ritesh Shah: How do we see a scenario from 2030 given that we will probably look to retain the leases. So,
how the royalty content can actually change?
Arun Misra: Very difficult to speak as of now . Okay? Because such kind of a deep -seated mineral auction has not happened that to o on a brownfield . Most of the auctions that have gone f or are bulk mineral

which are close to surface where exploration results can be easily verified. So , we will wait as it happen s. But we know our scenarios , we have already calculated, and we know that we will be able to maintain our profitability close to the current level even if in the auction we have to provide a certain amount of extra premium.

Ritesh Shah: Bam nia Kalan, you said 2035, right , did I hear it right?

Sandeep Modi: Yes, you heard it right.

Ritesh Shah: A couple of questions on financial, sir. If you could please quantify what is the GR and RE number as on March 31st?

Arun Misra: So, GR is basically Rs.10,384 crore s and including GR and RE, it's a Rs.15,000 crores.

Ritesh Shah: Sir, what is the status on GR to RE? I think there is an ongoing court case.

Sandeep Modi: Yes, so GR to RE, next date of hearing is 17 th May '24. So, I think that should be the last hearing that we expect.

Ritesh Shah: Lastly, sir, in the prior call, you had indicated , I think we have also referenced it in one of our slide s on waste to basically valuable resources , you had indicated one of the American companies for a potential tie -up. Is it possible if you could provide some technical color as well as some quantification on the scope of the opportunity that we are looking at over here?

Sandeep Modi: So, we will not be able to give the name of the company with whom we are going to have tie up, but the quantification on the sustainability, if you see the IR presentation slide # 13 where we have talked about Hindustan zinc having a potential of recovering 1 million tons of the metal and 3 kt of the silver from its accumulated waste stockpile. This is the total opportunity which we are talking . And tie -ups are already done, and we are in the pilot stage . At appropriate time we will be able to comment upon how much capex is involved here.

Moderator: The next question is from the line of Pallav Agarwal from Antique. Please go ahead.

Pallav Agarwal: In this quarter, we had a sequential increase in interest cost , but I think you would have probably generated cash or maybe our borrowings have come down. So, any particular reason for that?

Sandeep Modi: The finance costs are in line with the debt and also the last quarter we have actually repaid the low-cost certain borrowing and certain borrowings have been there. So, this is normal routine

 movement and I think that is not a much larger impact of the cost increases there in case if you see from the finance cost, it 's 243 crores to 262 crores.

Pallav Agarwal: Also, sir, after many years, we 've seen reserves and resources being stagnant compared to the previous year. So, normally we know we do replace what we will mine out and there 's been an increasing trend in reserves and res

ource. So, will we increase our exploration activities this year or how will this pan out over the next few years?

Arun Misra: Reserve and resource may look stagnant, but you have to appreciate that how quickly we are converting more and more resource into reserve so that our mining a t the current level of 1 million ton plus metal -in-concentrate capacity at 7% grade and about 16 to 17 million ore mining , we are able to continue year -after-year. That is the first priority . And second priority is large part of Zawar requires greenfield exploration. So , our next concentration of effort will be in Zawar where currently we have moved up the ore production and we want to take it to 6 million tons and then 8 million tons from the current level of 4-4.5 million tons of ore production. So, for say 8 million ton s ore production, we would require a proven reserve of about 40 million tons. So, we are working mostly in Zawar now to increase the reserve and also add more to the resource. The judgment has to be taken rightly so that we are in a position to continue m ining. That is most important to us. We are able to control gr ade by enough of underground exploration. At the same time, we try to replenish a little bit more than what we are consuming . Unless if a new block we get , then of course we will have a sudden jump in rese rve and resource b ased on the new block.

Sandeep Modi: And just Pallav, just to supplement, Mr. Misra , if you see bifurcating between resource and reserve separately, reserve has actually increased in spite of depletion by 0.3 million tons.

Pallav Agarwal: How do we distinguish between sustenance and growth capex because I think we probably have been maintaining about $300 million to $400 million of sust enance capex every year. So, is this basically just to ensure the continuity of output or what basically is the distinction between these two?

Arun Misra: Majority of sustenance goes into equipment replacement because we have 900 equipment s in the underground . Say, every year about 100 to 200 equipment s on a five year life cycle basis , they are due for replacement , that is number one . Second, there are various aspects of environment and safety which also requires investment like we are on a path to reduce our fresh water consumption and hence we are putting up water treatment plants everywhere and then we are looking at sewage water treatment plan ts to protect ourselves from the inadequacy of rainfall in some years. Then third bit is , we are also looking at small capexes which give a quick payback , less than 12 months kind of a payback that we include in sustenance, whereas growth would typically be higher capex outlay say anywhere between say 300 and 400 crores kind of a project which increases the design capacity of the plant not by debottlenecking but by adding new assets , at the same time you can expect a payback period of anywhere between 2.5 t o 3 years. Those kind of criteria will apply for growth capex . So, fertilizer plant and our Roaster , they would all

 qualify for growth capex whereas small , small improvements as I said between 1.123 million ton and 1.2 million ton will be unlocking through small , small debottlenecking projects. But the number of them with an investment for each one of them may be somewhere between 5 crores to maybe about 70 crores or 80 crores .

Pallav Agarwal: So, basically, we can expect this level of sustenance to continue in the future also , this would be a steady state ?

Arun Misra: Yes, i t's a steady state .

Moderator: The next question is from the line of Kunal Kothari from Centrum Broking Limited. Please go ahead.

Kunal Kothari : One clarification o n the capacity expansion of refined metal . Have I heard right that current capacity is 1.123 million tons per annum, and it will be expanded to 1.5 million to

n s in next 18 months ?

Arun Misra: No, no, no, I didn 't say that. We said 1.123 currently and we are launching a lot of debottlenecking projects to take it to 1.25 million ton s, but safely speaking, it will be about 1.2 million ton s in about 12 to 14 months or maybe 16 months.

Kunal Kothari: Our target is to raise it to 1.5 million tons. So, by when we can say that we can reach the target that is feasible according to you?

Arun Misra: See, we are on the drawing board . We were earlier thinking of taking it in steps, maybe 1.2 million t ons to 1.5 million tons in FY '26, 1.35 million tons in FY '27. But what we understand is, it's much better to plan for something like 2 million ton s metal -in-concentrate production as quickly possible . So, we are in the process of engaging global consultants. We have placed order on two mining consultants already to look at the mine expansion. We are working on a n order for a smelter and infrastru cture consultant so that we can come back to you and place before you a vision of making this company 2 million ton s and we are keeping ourselves a timeline anywhere between 2.5-3 years ' time to take this company from 1 million tons to 2 million tons. After the designs are done, they will know whether it will be 2 million ton s or it will be 1.7 million ton s, that final number we will be able to project to you.

Kunal Kothari: My second question is in regard to our new fertilizer plant. So, can you state what is the capacity and business economics that we are looking forward and from when will it contribute to our overall numbers as well?

Sandeep Modi: Fertilizer is 5.1 lakh MT DAP and NPK, and it has a project cost of around 1 ,800 crore s with good to a double -digit IRR. And from the EBITDA , I think there are two strateg ies. One is the strategic objective for the forward integration of the acid usage and making it more sustainable. That is the one objective . From financial benefit, EBITDA point of view it will be , at current level of the price s, of 350 to 400 crore s.

 Kunal Kothari: And when it is likely to get commission ed?

Sandeep Modi: FY'26.

Moderator: The next question is from the line of Aditya Welekar from A xis Securities. Please go ahead.

Aditya Welekar: My question is on the guidance which we now share d today. So, if I compare it with the analyst day presentation , we have given guidance of 800 tons per annum for silver , but in today 's presentation , it is now cut down to 775 tons per annum and similarly for refined metal from 1,200 to 1 ,100, and zinc COP from $1,000 per ton to $1 ,100 per ton. So, there is a slight deviation from the -

Arun Misra: No deviation at all. In the analyst meet, we did not give guidance for next year. We said that that is the potential and the vision for Hindustan Zinc and we said anywhere between three to four years ' timeline to come to those numbers . We said that the company has the potential to achieve up to say 1.5 million ton s metal , has the potential to produce between 800 tons of silver and also has the potential to become less than $1 ,000 per ton on the cost. So, it's more from that angle. Whereas next year is concerned these are the guidance s we have given. Of course we still will continue to work towards going to the $1,000 per ton cost of production.

Moderator: We have the next question from the line of Vikas Singh from Phil lipCapital. Please go ahead.

Vikas Singh: Just wanted to understand one thing. If you look at our silver growth guidance of around 2% versus the refined metal guidance of 5%, e ven with the fact that the Fumer just contributed 3

tons out of the 30 ton s potential, so why this Fumer is not growing at all with refined metal ?
Arun Misra: As we said that we will be operating mostly in zinc plus l ead mode in the pyro. So, correspondingly our l ead production

will go down and hence the attached silver production will go down. It is just because of the Fumer that we are able to make up for that and still produce 750 to 775 tons of silver at this level of metal of 1.1 to 1.125. Otherwise , this number would have gone down to anywhere between 730 tons to 735 tons of silver only.
Vikas Singh: Given zinc prices have jumped up significantly , with this our cash flow would also be increasing. So, our preference would be debt reduction or this kind of debt we will maintain and whatever the additional money we would have, this can be distributed as the dividend going forward. So, what 's our take on that?
Sandeep Modi: I think the dividend is a matter for the board to comment . Whenever it will come, we will all come to know . At this point of time , if I will have the cash, obviously , I will either invest in the long-term investment where I can get the best of the return or in case there is a n option, we will repay it . I think I will be more concerned about the net cash level or net debt level rather than taking the gross cash across.

 Vikas Singh: Just for our understanding p urpose, sensitivity wise , how much 5% additional value -added sales would move our EBITDA?
Sandeep Modi: Value -added production like zinc alloy , this is not from the EBITDA or PAT point of view. This is more from being strategic and making India self -reliant . Zinc alloy has a total market of 30 kt and we have also put up the plant for 30 kt. So, we want to reduce the import dependency . That is more from that point of view. If you see the value addition from the zinc alloy , it will be 40 - 50 crore s. But I think you should not look from profitability point of view everything , look at more from the holistic how we make India self -reliant by making zinc alloy internally in India itself .
Moderator: The next question is from the line of Shweta Di kshit from Systemati x group. Please go ahead.
Shweta Dikshit: For my understanding, could you just throw some light on the zinc plus lead mode of operations that you were talking about ?
Arun Misra: So, we have a Pyro facility. That furnace can run with input of zinc concentrate and le ad concentrate mix together and converted to sinter and that sinter is fed to the furnace. After smelting , we produce both zinc as a finished good, also l ead as a finished good in that process and balance residue carries the silver that frees up from the lead, which is again taken to silver refinery plants and produce silver . Now , in this process, if I don 't feed in zinc and only feed in lead, you can understand that then the furnace is full of lead. The furnace residue is full of lead residue with the silver and then it can produce more silver. That is the simplistic way of understanding.
Shweta Dikshit: My next question is what 's your outlook on zinc prices in the near or medium term?
Arun Misra: Zinc prices , near and medium term ? There are various reports speak on something . With the current movement , looks like some of the reports are even slightly conservative. The first report I will refer to , when we were in the month of February , predicted that by December , zinc could touch $3,000 per ton . But if I follow last 20 -30 days of movement of price , it looks like we will breach that mark of $3,000 per ton much earlier than December . Maybe somewhere closer to August or September, we will bridge the mark of $3,000. By December , I'm very hopeful that we will be closer to the mark of $3,200 or so.
Shweta Dikshit: Is the underlying demand favorable for such a price movement because the recent uptick has been more on the geopolitical or external factors, but are we looking at a favorable underlying demand here as well?
Sandeep Modi: So, apart from the underlying demand, you should also know that the TC -RC is also growing at

the lowest. Currently , what we read in the media, Teck Resource s and Korea Zinc entered into TC-RC of $165 and current spot is going $75 which clearly indicates that the concentrate market is in a quite tight supply . Because of the higher cost, many of the smaller mines have got closed . So, concentrate market is in a shortage and that 's how you can see it is impacting on the overall

 supply /demand situation where the MIC is in a shortage and the prices are going up. Fundamentally what Mr. Misra has said , sooner than December, we can see around $3 ,000.
Moderator: We have no further questions. Ladies and gentlemen. I would now like to hand the conference

over to M s. Jhalak Rastogi for closing comments. Over to you ma ’am.

Jhalak Rastogi: Thank you, everyone. With this, we close today ’s earnings call . For any follow up questions or clarifications on the results , please feel free to reach out to Investor Relations team. Thank you so much.

Moderator: On behalf of Hindustan Zinc, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

Sensitivity: Public (C4)
HZL/2024 -25/SECY /72 August 05 , 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication

Scrip Code: 500188 Trading Symbol: “HINDZINC”

Dear Sir/Madam,

Sub: - Earnings call Transcript for the first quarter ended June 30, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find attached herewith the transcript of the earning s call held on Friday, August 02, 2024 , with regard to the financial performance of the Company for the first quarter ended June 30, 2024 . The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .

You are requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Harsha Kedia
Company Secretary & Compliance Officer

Encl: as above

Sensitivity: Public (C4)

“Hindustan Zinc Q1 FY25 Earnings Conference Call ”

August 02, 202 4

MANAGEMENT : MR. ARUN MISRA – CEO, HINDUSTAN ZINC LIMITED

MR. SANDEEP MODI – CFO, HINDUSTAN ZINC
LIMITED
MS. KRITIKA MEHTA – INVESTOR RELATIONS

 Moderator: Ladies and gentlemen, good day and welcome to Hindustan Zinc First Quarter F Y2025 Earnings
Conference C all.
As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" and "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Krit ika Mehta, Investor Relations. T hank you and over to you ma'am.
Kritika Mehta: Thank you , Neerav . A very good afternoon everyone. I welcome you all to Hindustan Zinc's first quarter FY25 ending 30th June 24 Results Briefing .
In this call, we will refer to Q1 FY25 Investor Presentation available on our Company 's website.
Some of the information on this call m ay be forward looking in nature and is covered by the safe harbor language on second slide of the said presentation.
Today on the call , we have with us our CEO – Mr. Arun Mis ra and our CFO – Mr. Sandeep Modi.
Mr. Mis ra will begin with an update on business performance while Mr. Modi will walk you through the financial performance , after which we will open the floor for q uestions.
I now request Mr. Mis ra to begin today's call. Over to you sir.
Arun Misra: Thank you , Kritika. A ve ry good afternoon to all of you. Thank you for joining us to day for the first quarter of FY25 results briefing.
At the outset, I deeply regret to inform you all that despite all the efforts and constant emphasis on safety as our key priority, we had an extremely unfortunate incident in our Rampur a Agucha underground mine on 29th May 2024 where we witnessed a man -machine interaction as a pedestrian was fatally injured by a passing underground vehicle. I would like to offer my deepest condolences to the bereaved family and friends of the deceased and we stand by them in this hour of distress. An in-depth investigation was carried out to determine the root cause of the accident and design corrective and preventive measures and the learnings were shared across the organization for preventing such undesirable incidents and promote a safe wo rking environment for everyone.
It gives me immense pleasure to inform you that Hindustan Zinc has trained India's second all - women underground mine rescue team following the remarkable success of the first batch. We constantly strive to set benchmarks in people practices through game -changing initiatives and policies , as a result of which the Company has won prestigious People First HR Excellence
 Awards in the categories of leading practices in employee management, leading practices in talent acquisition and leading practices in technology deployment in HR.
Coming to an update on the sustainability front :
I am happy to announce that Hindustan Zinc has preponed the commencement of renewable power supply from Serentica to May 2024 with around 8.5% of our overall power requirement being catered through renewable energy during the quarter. We have marked a significant milestone in the metal and mining industry by launching Asia's first low-carbon green zinc, EcoZen expanding our zinc product portfolio which is currently one of the largest in the world. Produced using renewable energy, it boasts of a carbon footp rint of less than 1 ton of carbon equivalent per ton of zinc produced, almost 75% lower than the global average. This new offering enables the steel producers to avoid a total carbon emission of about 400 kgs of CO_2 equivalent per ton of steel , providing an unmatched competitive advantage to them with a more sustainable choice. The quarter was also characterized by a few key strategic partnerships done

to sustain our gl obal sustainability leadership.
We have signed an Mo U with VEXL Environ Projects Limited for establishing a pilot plan for producing saleable products from our waste streams, embracing environmental responsibility through circular economy. Another key partnership is done with US -based AEsir Technologies as a preferred supplier of zinc for their Nickel Zinc batteries which has a potential to revolutionize energy storage due to their cost -effectiveness and envi ronment friendliness with much scope to grow owing to their merits over conventional lithium -ion batteries. Furthering

our commitment towards the environment, we have set a new standard in the In dian metals and mining industry by launching the first ever Taskf orce on Nature -related Financ ial Disclosures or TNFD report covering the key dependencies, impacts, risks and opportunities in nature. As an update on our corporate social responsibility, it gives me immense satisfaction to see remarkable outcomes from our CSR activities spanning acro ss the verticals of women empowerment, education, sustainab le livelihood, health and water, environment and safety, sports and community assets creation. A quick snapshot of a few key CSR initiatives taken during the quarter is provided on slide 14 for your reference.

Moving on to the market update, the quarter has seen a stark improvement in base metal and precious metal prices whose momentum sustained throughout the quarter. The global economies have shown a modest recovery following the pickup in manufacturing activity globally has reflected through the global manufacturing PMI, which has recorded 50.9 in May 2024, its highest since June 2022. During the quarter, the global zinc prices closely traced the copper trend, with production cuts across Chinese smelters due to tight concentrat e market. The geopolitical tensions near Middle East, the zinc stocks in the LME warehouses dropped by 12% during the quarter, thereby increasing the prices to as high as $3,093 per ton. India being the fastest growing economy among the major economies , continues to drive healthy zinc demand through robust public expenditure towards infrastructure projects.

 Touching briefly on lead, the quarter started with a neutral sentiment and ended at a higher level with an 18% reduction in LME stocks. The domestic demand for primary lead dropped by 10% in line with the automobile sales. However, India's share in global lead demand is expected to increase from 9.2% in 2023 to 9.9% in 2026 on account of increasing digital transac tions and growing data centers.

Coming to silver , the prices rallied along with the gold prices with an average of $29 per troy ounce, even touching the highest of $32.01 p er troy ounce . With the Indian industrial sector shifting towards renewable energy and EVs etc , the domestic silver demand is expected to expand beyond jewe llery and physical investments.

Giving an update on the operational performance, I am pleased to inform you that Hindustan Zinc has recorded its highest ever first quarter mined and refined metal production at 263,000 tons and 262,000 tons respectively. The saleable silver production dro pped by 7% year -on-year on account of WIP accumulation in the normal course of the business as Company moved to late mode of pyro operation from June 2024. However, this WIP will be liquidated in the subsequent periods advancing us towards the commitment t o deliver on the volume guidance for metal and silver and would like to keep it unchanged. I am proud of my team who delivered very significant cost reduction of 7% ove r last year to help the Company register a massive growth in net profit by 19% over last year on the back of a growth in total income by 12%.

Coming to the project's update :

The 160,000 ton per annum roaster at Debari and the 510,000 to

ns per annum fertilizer plant are
on track with their commissions being targeted by Quarter 4 of FY25 and Quarter 2 of FY26 respectively. Bamnia Kalan mine received the consent to operate in the last quarter post which site work has started and is currently in progress. The Company has also appointed strategic partners for conceptual design of a growth plan towards 2 million ton per annum metal for which the studies are under progress. With the rest of the commissioned pr ojects ramping up, we have marked a great start of the year and would like to build on this momentum going ahead to finish the year with 5 % to 7% growth in metal production and 3 % to 5% growth in si lver production over last year.

With this, I hand over the call to Sandeep for an updat e on the financial performance.

Sandeep Modi: Thank you , Mr. Mis ra and a very good afternoon everyone. As Mr. Mis ra said, this has indeed been a great start for the year with numerous accomplishments achieved on the sustainability front. Apart from our first TNFD report, we have also published our fifth edition of the integrated annual report for FY 24, giving a peek into the key highlights across the length and breadth of our business in the last year, along with our tax transparency reports which are available on our website. We have als o set a benchmark in reporting by launching India's first AI -based digital annual report for FY 24, which leverages generative AI in the form of your very own “Zincky ”, a generative AI chatbot which seamlessly and accurately answers any question based on the

 integrated annual report. On this note, I humbly request everyone to join us in our sustainability journey by utilizing “Zincky ” and opting the digital copies of th e reports over paper printouts.

Briefing you on our financial performance, the total revenue for operations during the quarter stood at Rs. 8,130 crore , up 12% Y oY on account of better metal volume and prices, further supported by stronger dollar and partly offset by lower si lver volume. It's up 8% quarter -on-quarter.

In our pursuit towards the sustenance of our global cost leadership, we have achieved an entry cost of production of US $1,107 per ton in Q1 25, indicative a progressing towards recording a fourth year lowest cost. The Q1 zinc cost of production was down 7% Y oY as Mr. Mis ra said, which is on account of softened coal and input commodity prices, better linkage coal availability and starting of the RE power from our Serentica Group Captive Arm and better metal grades. It's a 5% up quarter -on-quarter in line wi th the volume and grade.

The resulting EBITDA for the quarter was Rs. 3,946 crore , up 17% Y oY. The consolidated PA T stood at Rs. 2,345 crore , up 19% Yo Y. The effective tax rate for the quarter stood at 25%. I would like to highlight that this quarter's revenue, EBITDA and PA T recorded the highest level in the last 5 quarters, leveragin g the favorable LME environment and buoy ed up silver price .

We have recorded double digit Yo Y improvements in revenue, EBITDA and PAT and have expanded our margin from 46% to 49%. With concentrated efforts, we have also expanded our domestic primary zinc market share to 78% from 75% last year. Further, considering the volatility in the current metal market a nd inherent necessity to protect the margin, we have embarked on a strategic hedging of zinc to cash in the elevated zinc prices during the quarter. We have sold forward 90 kt of the zinc product ion for the fiscal year around 1 0% of our annual production of zinc, demonstrating our agile decision making and flexibility to harness right opportunities.

During the quarter, the Company paid Rs. 4,225 crore as dividend. As one of the leading companies in our country, our ultimate priority is to maximize the distribution of the value created amongst th

e shareholders in a sustainable manner. As a key highlight of the quarter,

Hindustan Zinc delivered the highest shareholder returns among the major Indian companies, reinforcing the trust among the investor community. During the period, the total return per share in form of capital appreciation stood at Rs. 377 . Considering a dividend of Rs.10 per share, the shareholder returned total to Rs. 387 per share . With a whopping 133% return on the closing price of the previous fiscal year, t he Company 's returns were incomparable with 18 X returns as compared to Nifty 50 and 7X returns as comp ared to Nifty Metal indices.

I would also like to draw your attention to the fact that Hindustan Zinc enjoys an industry leading EV/EBITDA multiple of 18 X in the metal and mining sector. As most of you would already know, we have organized a site visit for around 35 plus analysts and investors in June to showcase our excellence and irreplaceability of our assets and operations. I am sure most of you attended it and I strongly believe that the visit has helped you to assess the true potential of

Hindustan Zinc . We are now more confident on our ability to record an EBITDA of $2.7 billion in near term with 1.2 Mtpa of metal, 800 tons silver and COP of $1 ,000 in a favorable LME environment and silver prices.

We are constantly striving to push ourselves beyond your expectations by identifying and explori ng new opportunities to exploit and challenging ourselves regularly by setting up further targets and achieving them. I hereby let you know that we are confident in achieving our cost guidance and hence are keeping the cost and CAPEX guidance intact.

With this, I conclude my comments and we will open the floor for your questions. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICI CI Securities. Please go ahead.

Amit Dixit: I have two questions. The first one is essentially on the recent judgment by the Supreme Court in which they have mentioned that the states have got power to levy additional surcharge or cess whatever. Now in the past in 2008, I think, June 2008, to be precise, the Rajasthan Government had notified us environment and health cess actually. And we have certain contingent liability on the balance sheet, I think to the extent of Rs. 142 crores as on March 31st, 2024 . Now, first of all, what are your thoughts on Rajasthan governmen t going ahead and applying this in a retrospective manner, although I understand that the Supreme Court has stayed this particular judgment for a while, reserved rather, this judgment for a while. But what are your thoughts around that? Do you feel that taking advantage of this, there could be some other cess, or this cess can be applied retrospectively from 2008 or whatever? Just wanted your thoughts on the same ?

Arun Misra: Requesting Sandeep to address the issue .

Sandeep Modi: While we await the order , you are right Supreme Court has reserved the order and I also appreciate your memory and recollection of Rs. 142 crore environment and health cess . You are right , this remain as a part of the contingent liability and of course one of the argument we had the royalties not a tax but apart from this also , from a legal evaluation point of view , this is one of the argument which we had in the court and apart from this , we don't have any liability or any part of the contingent liability which comes into the picture or impact in the financial materially whatever the cases were there have been already closed or it has many other grounds to argue in the court. Of course , the future or prospective anything Rajasthan government or any state government putting any cess, I think that will depend upon the time and we will need to be watchful about it.

Amit Dixit: So, actually, this amount has remained constant for a while. Maybe we have recognized this contingent liability when it occurred. And it was, I think, Rs. 150 per ton of ore, if I'm not mistaken. So, potentially, what would be the liability now, let us say, if we were to recalib rate this contingent liability?

 Sandeep Modi: I think I would refrain to answer or evaluate about giving any numbers because we need to wait about the Supreme Court order. At the same time, as I said earlier, one of the argument was royalty is not a tax and the state doesn't have the power. But apart from this, there are many other arguments. So, I would not like to quote any number which will create something impact on the financial. As of now, we remain confident that we have strong g rounds apart from this as well.

Amit Dixit: The second one is on your cost, essentially. So, if I see the cost of production, first of all, great work on that. We have seen the cost declining quarter -on-quarter. Just wanted to understand since we are getting more power now from Serentica and coal prices, our e -auction prices are soft, we will get more e -auction prices or linkage from C oal India. And our cost is near the level we guided for the full year in Q4 results ? So, why are you refraining from giving the revised more optimistic cost guidance at this point in time, whether we expect some kind of escalation in co st going ahead or what is that?

Sandeep Modi : I don't think it's a prudent like to say that we are being conservative. We have given the guidance as a lower quartile of a 1,050 and to 1,100 . We achieved $1 ,107 and it is partly on account of , you are right softened coal prices as well as the RE power which started coming from Serentica. So, we remain optimistic and confident to remain, i t's better to remain 1,050 to 1,100 and at the same time if we deliver 1,050 or below that I think it will be good to close the year. But we believe that w e remain between 1,050 to 1,100 and most likely the lower quartile of this range.

Moderator : Thank you. Next question is from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal : Sir again, the same question which Amit asked about Supreme Court judgment. What you are trying to say that because Supreme Court has always said that royalty is not a tax. So, there is no question on that reverting back. Only thing is whether it's prospective or retrospective. So, you mean to say that even if it is retrospective, then also we have certain grounds to get negotiation with Rajasthan government and we don't need to pay that amount ?

Sandeep Modi : I have not said about the negotiation. I said the cases were in the court and we have multiple grounds because in any case when we go to any court, there are various grounds and one of the ground s which was there even the Supreme Court upheld that ground. We have many other grounds to protect ourselves .

Ashish Kejriwal : Suppose in the worst case Rs. 150 per ton of ore produced, whatever we have produced that could be there in case if it's in the worst case which I'm trying to look at ?

Sandeep Modi : Yes, it's an immaterial amount from the point of the Hindustan Zinc's profitability and balance sheet point of view.

Ashish Kejriwal : So, again, sir, because this Rs. 142 crore which was imposed that time, that was on a small amount maybe, because it's Rs. 150 per ton of ore produced. And over a year, obviously, we

 have produced more than a million -ton ore on a yearly basis. So, in case of retrospective and so my only point is that even after the Supreme Court judgment, do we have something where we can fight legally with the state government that which will not allow u s to impose this kind o

f
taxes?

Sandeep Modi : I think we have to look at first is that we should refrain from the Supreme Court judgment until it is out and I think we have been in touch with the various lawyers and our own peers. It is what we understand Supreme Court is going to take a balanced view and because we have our in the board , government nominee directors as well.

Arun Misra So, you hav e to appreciate that we are not the only mining Company , there are larger mining companies including government entities which are also likely to be affected if the judgment was to be effective on a retrospective effect and the numbers would be much much larger compared to the numbers that we can even think of . So, our information is expected that the judgment whatever comes would be more balanced and not to cause complete stopp age of industries across India.
Ashish Kejriwal : Understood. So, on this only, if it's prospective then also because Rs. 150 per ton, they are imposing it right now also, so going forward also maybe they can continue with that ?
Sandeep Modi : Going forward they can levy anything; it is not in your or my control. So, I think we have to be watchful but at the same time as Mr. Mis ra said, industry also has to be a competing industry. So, I am sure government or anybody , the state which wants industries to be in their state , they will take a balanced view.
Ashish Kejriwal : I understand sir but the only thing is 2014 we have seen what happened when Supreme Court de-allocated all the coal blocks and put cess on that , but anyway that 's okay. Sir second question is, is it possible to give us a cash and debt balance as a first quarter end I think we missed it in this press release this time.
Sandeep Modi : So, we have the cash of Rs. 10,885 crores and around Rs. 11,200 crores of debt.
Ashish Kejriwal : And so lastly, we h edged 90,000 tons for this year. And what will be the averaging price at which we have hedged this ?
Sandeep Modi : So, we hedged at $2,906 and already 5,500 got unwind ed in the month of June. So, the open position as at June end , the hedged price is $2,910 .
Ashish Kejriwal : And this is for 85,000 tons?
Sandeep Modi : Yes, absolutely.
Moderator : Thank you. Next question is fro m the line of Kir tan Mehta from B OB Ca pital Markets. Please go ahead.
 Kirtan Mehta : I had couple of questions . So, roaster at Debari which we are targeting to sort of start during Q4 FY25, how long would it take to ramp up to the full production rate of 160 kt and how would the contribution to EBITDA will develop over the period?
Arun Misra : So, we are looking to prepone the commissioning from Q4 to maybe end of Q3. That is the target so that at least we get one quarter of additional production from that. And as per our calculation , that roaster is likely to add another 45 kilotons per annum of zinc production. If I get one quarter that comes to 15 kt.
Kirtan Mehta : And what would be the additi onal cost of roaster operation?
Arun Misra : No, this is roaster like any other roaster. So, the cost structure doesn't change. Additional 15 kt that will come , that will come as a standard cost of production like any other . The rest of the production today we are reporting say 1170 or so , it will remain in that only.
Sandeep Modi : Just to supplement Mr. Mis ra, the 15 kt the metal which he is talking is only the part of F Y25. On a full year basis, it has a capacity of 160 ktpa. Of course, we have a cell house which is a bit bottleneck. So, it will be keep on like it's a cat and mouse story. So, when we develop the 160 ktpa, we will debottleneck cell house. We've already given the order to L&T for 22 kt cell house debottlenecking towards to achieve the 1.2 million ton of the metal. At the same time, this roaster is having the best of the technology, which will replace t

he old roaster of the Debari. So, that will be actually cost efficiency point of view also the beneficial and that's how we plan our $1000 cost because this has the benefit of having the best of the technology new roaster.
Kiran Mehta: Understood sir and the 45 kt zinc production can be delivered in FY26 basically the additional , will we be ramp -up at that rate.
Arun Misra: That is the minimum.
Kiran Mehta: Right sir . Second was about the fertilizer plant that we are targeting by Q2 FY26 , how does it sort of place on the global cost curve with our technology?
Arun Misra: See that number as of now we are looking at cost wise, see being the sulphuric acid will be evaluating at a market price only, it will be much cheaper compared to the imported DAP that we import from the rest of the world and it would have a good enough pr ofit margin, it has a payback on the project on equity basis of about 17 %-18%. So, which is a good payback to have a good IRR to have on the project.
Sandeep Modi: So, I think just to supplement Mr. Mi sra, so we have two better advantage a, one is the acid and second the rock phosphate which is within the Rajasthan. I think we have two competitive advantage compared to other competitors.

Sensitivity: Public (C4) Kiran Mehta: Sure sir. And in terms of you also mentioned about the appointment of the global consultant for
2 million ton run rate development of mine. So, what would be the timelines and when would we know about the potential solutions?
Arun Misra: The mining consultants are already on ground and working. The plant consultant which is another global consultant for smelter and mills, so they would be reaching Udaipur maybe this week itself and they will start working on the ground. We are expecting by end of August or maybe middle of September, we will get the pre -feasibility report which would tell us that with an ambition of 2 million tons, how much would be the reality and what would be the basic needs for achieving that. And then we wil l go to board and take sanction for that.
Moderator: Thank you. Next question is from the line of Rashi from Citi Group, please go ahead.
Rashi: Just a quick question, any cha nge in your FY25 volume target?
Arun Misra: FY25 volume target as in the given guidance? No, we are holding the guidance as of now.
Rashi: And on the linkage coal materialization versus last year, what is the percentage this year and what was it last year?
Sandeep Modi : This year we have a 45% of the linkage coal connection. And the last year it was almost half of it. I just want to give the confidence that it's not only now remain the linkage coal. We have revamped our coal based power plants at two units to consume 100% of domestic coal . So, when I say domestic coal, C oal India coal, not only the linkage coal, we are participating in the various E-auctions which comes for the CPP and that also we are participating. That's how we are reaching the 45% overall domestic coal and reducing our dependency on the import coal. The ultimate objective remain to reduce the power cost in the manner where we produce the power towards getting a $1000 cost and that's how the RE power will help in the whole year basis where the Serentica Power will be 8% in the total power bucket, 5% already we have our own solar and WHRB and import will be 50% , remaining will be domestic.
Rashi: So, just to be clear 45% is domestic coal not linkage, I mean it's linkage plus e -auction right?
Arun Misra: Absolutely.
Rashi: And you're targeting in percentage terms by maybe in a year's time, how much do you ex pect this to be the percentage?
Sandeep Modi: So, FY25, our focus is to reduce the import, improve the linkage, and over 13% is the RE power. So, you can assume 13% is the RE power, the remaining 50 -50 linkage and domestic.
Rashi: 13% you said, RE power rig

ht versus 8.5%?

Sensitivity: Public (C4) Sandeep Modi: 13% is the RE power. And remaining 87, you can divide by 2, which will be 42% and 42%
around will be domestic and import.
Rashi: Yes, so 13% compared to 8 .5 currently?
Sandeep Modi: Yes.
Moderator: Thank you. Next question is from the line of Shweta Dixit from Systemati x Group, please go ahead.
Shweta Dixit: Sir, could you provide more details on Bamnia Kalan mines commencing operations and what is the expected outlook in terms of volumes from there and when can that potentially come on stream?
Arun Misra: So, Bamnia Kalan mine say roughly will have a potential of about 5 million ton of ore. Upgrade will be similar to what RD mine, Raj pura D ariba mine has. And it also switches between anywhere between I think 4.5 % to 5.5%. This mine we have just started the ground clearance. We have got the CTO, we have got permission to start the infrastructure activities. Typically, development of decline will take around maybe 1.5 years or so. And then first time we will hit the ore body. It will be about two y ears from now on, which is we are saying in 2024, somewhere around 2026 August or September, we must see the first mineral coming out.
Moderator: Thank you. Next question is from the line of Pallav Agarwal from Antique Stockbroking. Please go ahead.
Pallav Agarwal: So, just wanted your views on the recent decline in across non -ferrous metals. So, I think a lot of expectations over there on Chinese stimulus, but we have not really seen any of that coming through. So, do you think prices should stabilize at these levels because given cost curve or there could be some further fall from now ?
Arun Misra: So, as of now see we had that quarter one beginning was very nice . It was increasing and then we reached up to $3000 per ton . Although towards the end we had stocks reducing across the world on the metal stock houses that we have , but the prices also started coming down . There was kind of some uncertainty also the expectation of Chinese economy coming back did not happen. The war did not end. Somewhere European slowdown continued . So, those uncertainties

are still playing on the metal prices. I don't expect the situation to improve drastically anytime sooner from between n ow till about December . Hope that by November when the US elections are over and whosoever new government comes may set right a new global agenda. There must be, I'm expecting that there will be a lot of global positiveness as far as infrastructural developments are concerned. And I'm sure by that time Russia -Ukraine war also should have a finality of settlement. If those things happen by December, I'm sure we're going to have a fantastic Quarter 4 going forward.

 Pallav Agarwal: So, you think any other probably some of the rate cuts also can help in the sentiment towards commodity prices ?

Arun Misra: Fed rate cut also has to got to do with US's own compulsions on their inflationary trend , although there are two opinions on US that inf lation is under control or the n ecessary items of day-to-day living inflations are higher so that the typical like us , they are also caught between the two. The only thing remains is the next government, if they continue Biden's agenda of infrastructure focus and US economy grows more than 2.5%, Europe comes to around 3%, in that case, the world will be different place in Quarter 4 .

Pallav Agarwal: So, also I think you mentioned the $2.7 billion of target EBITDA . So, at what LME assumptions are we factoring that in?

Arun Misra: So, we are factoring the consensus of the $2900 to $3000 and the silver at $30 to $32 per ounce .

Moderator: Thank you. Next question is from the line of Shivang Chauhan from Barclays. Please go ahead.

Shivang Chauhan : My first question is on the zinc price guidance. So, with the prices that they are now, do we still expect the zinc price to reach 3,000 by September -October, and 3,200 by year end like you previously guided or is there any change in gu idance we can take?

Arun Misra: No, so to clarify, we never give guidance on price. But always like anybody else, we also like to be more optimistic about future, right? Anybody in business are always optimistic about future. Only the time for that optimism to come to fruition has shifte d from December to maybe January to March. Nothing else has changed.

Shivang Chauhan : Thank you. My next would be on the general reserve to retain earnings conversion . Have you affected t he transfer after the approval?

Sandeep Modi : Yes, as you see in our financial reports, we have already affected this thing into our July month because it come after June. So, we got the NCLT approval 16th of July, and we have made the scheme effective. We have got all necessary approvals .

Shivang Chauhan : So, just a follow -up on this, if you could provide any colors on the use of these additional balance that you have, maybe towards the end ?

Arun Misra: Yes, I think as we said earlier, this is an enabling proposal. It provides the - flexibility to the board in case they want to reward the shareholders and it being a board decision to reward the shareholder in form of dividend or anything . I will not be able to comment about the use of this process , any timeline or something.

Moderator: Thank you. Next question is from the line of Vikas h Singh from Ph illip Capital. Please go ahead.

 Vikash Singh: So, I just wanted to understand, we are already in terms of cost of production, we are already at the higher end of our guidance, and we see that the second half volumes are usually low. Can we expect the exit rate to be lower than even $1050 which we have guided , or we are expecting some other cost inclusions going forward?

Arun Misra: So, I think while we are absolutely confident on living up to the guidance we have given, but like anybody else, everybody tries to outperform their own commitment, ri ght? So, we will surely try that. But as far as guidance is concerned, on which we can develop the model, we can predict the future. We would like to remain committed to the guidance first. Of course, the attempts will be there to beat the guidance. We will see by Quarter 3 ; we would know better. And if the requirement of correctin g the guidance comes, it will come in Quarter 3 only.

Vikash Singh: Understood, sir. And silver custom duties have been tweaked sharply in the current budget. How we should look at the silver part in the 2Q going forward? Any inventory adjustment which could negatively impact us going forward or how we should look at the pricing part going forward for the silver especially ?

Sandeep Modi: So, silver if you are talking for the inventory which is lying in our stock, there is no impact because we don't remain any finished good silver in the books at any month. It's always nil. So, we don't have any impact coming to the financial. Of course, the duty has given the impact,

which is a 9% impact that I think in your model you would have already factored .
Vikash Singh: Understood. So, no inventory adjustment would be required ?
Sandeep Modi: No. We keep inventory nil.
Moderator: Thank you. Next follow -up question is from the line of K irtan Mehta from BO B Ca pital Markets, please go ahead.
Kirtan Mehta: Just wanted to touch up based upon a couple of aspects. One is basically we are increasing renewable power in our cost mix. So, what is the difference with our marginal cost of power purchase between the renewable power and whichever is the highest cost of power for us?
Sandeep Modi : So, the marginal delta I would not be able

to quote, it's not part of standard disclosure but you can assume from the marginal cos t of production it's 30% lesser in terms of cost.
Kirtan Mehta: Second thing, we also talked about the developing a low carbon zinc offering. And we are targeting probably the international market for this. So, how do we see the global demand for this? And what kind of premium that we can derive for low carbon zinc?
Arun Misra: So, this product is primarily designed for our cus tomers who are into galvanizing and export that galvanized steel primarily to European market. So, there the pressure is on them to reduce overall CO_2 emission per ton of galvanized zinc landed in Europe. And there we play a crucial role and that's where our value will be more appreciated by our customer. As far as we are concerned,
 the customer would surely appreciate the value in terms of where they to red uce 400 grams equivalent of CO_2 emission in their production of steel, it could have taken them huge amount of CAPEX or even technology import to get that thing done whereas just by galvanization, they are able to get the similar reduction in CO_2 by using our EcoZen . So, the value is clearly perceived and how much of that value will transfer into premium that will happen only when we actually bring the product to market and get into discussions with our customer.
Kirtan Mehta: How much quantum we will be able to produce in this market?
Arun Misra: As of now, it's about 8.5% of our production. Roughly, it would come to about 60,000 tons in a year. But th is number will grow every year.
Kirtan Mehta: If RE power consumption, that would be exactly the sort of the ...
Arun Misra: Absolutely. And it will grow as the RE power percentage grows up. So, this number will keep growing.
Kirtan Mehta: Just last one, book keeping question, what was the mine development run rate during the quarter and can you indicate bet ween capital and revenue split?
Sandeep Modi : So, it was 25 kilometer for the quarter, and you can assume 50 %-50% for both capital and revenue.
Moderator: Thank you. As there are no further questions , I will now hand the conference to Ms. Kritika Mehta for closing comments.
Kritika Mehta: Thank you everyone. With this , we close today's earnings call. For any follow up questions or clarifications on the results, please feel free to reach out to Investor Rela tions team. Thank you everyone.
Moderator: Thank you very much. On behalf of Hindustan Zinc Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

Sensitivity: Public (C4)
HZL/2024 -25/SECY /127 October 23 , 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication

Scrip Code: 500188 Trading Symbol: “HINDZINC”

Dear Sir/Madam,

Sub: - Earnings call Transcript for the second quarter and half year ended on September 30, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed herewith the transcript of the earning s call held on Friday, October 18, 2024 , with regard to the financial performance of the Company for the second quarter and half year ended on September 30, 2024 . The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .

You are requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Harsha Kedia
Company Secretary & Compliance Officer

Encl: as above

Sensitivity: Public (C4)

“Hindustan Zinc Limited
Q2 and H1 FY25 Earnings Conference Call”
October 18, 2024

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER –
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER –
HINDUSTAN ZINC LIMITED
MS. KRITIKA MEHTA – INVESTOR RELATIONS –
HINDUSTAN ZINC LIMITED

Hindustan Zinc Limited
October 18 , 202 4

 Moderator: Ladies and gentlemen, good day, and welcome to Hindustan Zinc Second Quarter and Half Year
FY 2025 Earnings Conference Call . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Ms. Kritika Mehta, Investor Relations. Thank you, and over to you, Ms. Mehta.
Kritika Mehta : Thank you, Nirav. A very good afternoon, everyone. I welcome you all to Hindustan Zinc's Second Quarter and Half Year ending 30th September '24 results briefing. In this call, we will refer to Q2 FY '25 investor presentation available on our company's website. Some of the information on this call may be forward -looking in nature and is covered by the Safe Harbor language on the second slide of the said presentation.
Today on the call, we have with us our CEO, Mr. Arun Misra and our CFO, Mr. Sandeep Modi. Mr. Misra will begin with an update on business performance, while Mr. Modi will walk you through the financial performance. After which, we will open the floor for questions.
I now request Mr. Misra to begin today's call. Over to you, sir.
Arun Misra : Thank you, Kritika. A very good afternoon to all of you. Thank you for joining us today for the second quarter and half year FY '25 results briefing. Before we dive into presentation, I want to inform you with profound sadness and a heavy heart that there has been an extremely unfortunate incident in our Sindesar Khurd underground mine on 19th of August 2024, where we have lost 2 live s due to the inadvertent entry of the jumbo machine into an open stope resulting in fatal injuries.
I extend my deepest condolences to the families of the deceased and assure them that we stand in solidarity with them as they navigate these difficult times, offering them full support. It is depressing to encounter such incidents in spite of a constant em phasis on inculcating a culture of safety -first across every corner of our business. Post an in -depth investigation, we will implement robust control measures and review our current safety measures to prevent such tragedies in future.
Further, breaking the stereotypes against women, we have established All Women Surface Rescue teams of 30 employees, fully equipped and trained in critical areas, including work at height and confined spaces, etcetera , across locations. Our first all -women underground mine rescue team has also gone global, securing the title of World's Second Best Women's Taskforce at the XIII International Mine Rescue competition held in Colombia.
Such path -breaking initiatives and industry -leading people practices have brought recognition to Hindustan Zinc as an employee's choice workplace at the W.E. Matter Global Employees Choice Awards of 2024. Featuring the Zinc City, Udaipur, we organized Indi a's most beautiful

 Vedanta Zinc City Half Marathon during the quarter for a noble cause of Run for Zero Hunger, garnering more than 5,000 participants and also hosted the prestigious Zinc College 2024 for around 100 interna tiona l delegates from over 20 countries, solidifying India's zinc intensive low - carbon future.
Coming to the advancement on the sustainability front, we have extended our partnership with Serentica Renewables India Private Limited, with the third round -the-clock power delivery arrangement for 25 years, increasing the total RE power capacity to 530 m egawatts with a guaranteed power supply of 315 megawatts in each 15 minutes' time block.
This agreement takes the ove

rall renewable power supply to an equivalent of 70% of the operational power requirement across the operations of Hindustan Zinc as against the current overall renewable power share of 14%, resulting in a 69% carbon emission red uction from 5.5 million tons CO_2 equivalent to 1.7 million tons CO_2 equivalent per annum.
Last quarter, as you already know, we have commenced our journey towards zinc -based battery by partnering with US -based AEsir technologies as a preferred supplier for the nickel zinc batteries. Further advancing in this space, Hindustan Zinc is collaborati ng with Jawaharlal Nehru Center for Advanced Scientific Research, a premier institute sponsored by the Department of Science and Technology, Government of India, for the development of new edge zinc -based battery technologies accelerating the global transi tion to a sustainable energy solutions.
As an update, on our corporate social responsibility, Hindustan Zinc's unwavering efforts to bring in a positive impact on all communities intertwined with our operations have been recognized at the fourth Social Impact Award by TheCSRUniverse. Our state -of-the-art Zinc

Footwall Academy has also been recognized as the Sports Academy of the Year at the Sports India Awards 2024. A quick snapshot of a few key CSR initiatives taken during the quarter is provided on Slide 12 for your reference.

Moving to the market update. As per leading analysts and latest updates, the market witnessed buoyed -up sentiments despite the prevailing geopolitical tensions post a larger -than-expected rate cut by US Fed and the policy support measures announced by China . With an increase in demand from improved manufacturing activities on the back of lower interest rates coupled with constricted business metal supply growth, we remain bullish on the metal prices.

India, which is the fastest -growing economies of the world is forecasted to have a GDP growth rate of 7%, and this demands a higher supply of metals to cater to the growing disparity between production and consumption, which is being translated into a stea dy increase in the metal imports. The steel production is also expected to reach over 300 million tons per annum by 2030 as compared to current production level of just over 100 million tons per annum.

This deficit, however, ensures a strong domestic market for Hindustan Zinc. The domestic zinc demand has grown sequentially and is expected to remain strong positioning India as the third largest zinc consumer by 2026. The silver prices touched their highest $32.48 per troy ounce in

 the month of September. In India, with the reduction in bullion import duty from 15% to 6%, domestic prices have fallen significantly; however, with improving customer sentiments and expected industrial demand, silver market is poised to grow much stronger .

Giving an update on the operational performance of the company, I am extremely pleased to inform you that Hindustan Zinc has recorded its highest ever second quarter and half year mined and refined metal production. The mine d metal production in second quarter stood at 256,000 tons, up 2% year -on-year, while the refined metal production in second quarter was 262,000 tons higher by 8% year -on-year.

Our precious metal, silver production also stood at 184 tons, up 2% year -on-year and up 10% sequentially. Although the fumer is currently under ramp -up stage, we have produced an additional silver of 3 metric tons of silver and 1.5 kilotons of metal. Full ramp -up is expected by quarter 4 of FY '25, enabling the achievement of 33 tons of designed silver production.

Here, I would like to bring your attention to an important yet overlooked fact that Hindustan Zinc boasts industry -leading compounded annual production growth rate of around 5% in metals and silver , which is way ahead of other global zinc

and silver peers. With consistent efforts,

during the quarter, we have also delivered a significant cost reduction of 6% over last year to help the company register a net profit of INR2,327 crores with a massive growth of 35% over last year on the back of year -on-year growth in total revenue by 22%.

Coming to projects, progress for the new 160,000 tons per annum roaster in Debari and the 510,000 tons Hindustan Zinc Fertilizer Private Limited project is on track with final commissioning targeted by quarter 4 of this year and quarter 2 of next year, respectively. Talking on till date production, we have recorded a refined metal production of 524,000 tons in H1 of FY'25, which is up 5% year -on-year, considering a similar improvement in second half of this financial year. Refined metal production, we are confident on achieving the guidance and would like to keep it unchanged.

With this, I hand over the call to Sandeep for an update on financial performance.

Sandeep Modi : Thank you, Mr. Misra, and a very good afternoon, everyone. As Mr. Misra highlighted the best quarter operational performance, it is noteworthy that financial performance has been well supported by consistent cost reduction. I'm happy to share that the company has achieved the lowest second quarter cost in the last 4 years. With the incre ase in share of our renewable energy power as a part of third PDA with Serentica, as a group captive scheme, our major cost bucket of power would be predictable as it is a 25 -year flat rate without any inflation. It will help us to move towards our desi gned cost of $1,000 per ton in a faster way.

Along with the favourable LME environment, the resultant financial numbers have been the best in terms of EBITDA margin clocking over 50%, highest in last 8 quarters with 450 bps Y -o-Y increase in margin. Our revenue, EBITDA and PAT before exceptional items, have been the best in last 6 quarters in absolute terms. Precious metals segment, that is Silver segment continue s to

 contribute well around 40% in our overall segment results. The domestic primary zinc market share has also improved significantly to 78% from 71% last year in the same quarter.

Before delving into the details of the financials, I'm excited to share with you that Hindustan Zinc has won Bronze Award at the 5th Tax India Online Taxation Awards '24 for Outstanding Tax Transparency in the Corporate Above INR5,000 Crores Turnover category along with multiple other recognition, including the GST Compliance Excellence Award at the 8th Tax Strategy & Planning Summit & Awards, etcetera , underscoring the company's unwavering commitment towards transparency and best governance practices.
Aiding the government in its commitment to empower the MSME sector, Hindustan Zinc has taken a lead and prioritized the payments to its MSME vendors with an average payment cycle of 23 days during the quarter, which is half of the statutory requirement of 45 days. This corroborates our strong emphasis on the ESG principles fostering trust in our supply chain partnership through enhanced social responsibility.
Now detailing on the financial performance , the total revenue from operations during the quarter stood at INR8,252 crores, up 22% Y -o-Y with better metal and silver volume and prices, further supported by a strong dollar and marginally offset by lower lead prices. It's up 2% quarter -on-quarter on account of better lead and silver volume, partly offset by lower zinc volume and metal prices. For the half year, the revenue stood at INR16,382 crores, up 16% Y -o-Y on account of better metal volume, and zinc and silver prices, further supported by a strong dollar and partly supported by lower silver volume and lead prices.
The quarter 2 zinc cost of production, before royalty, stood at USD 1,071 per ton, lower by 6% Y-o-Y on

account of higher volume, better linkage coal availability, further supported by softened coal and input commodity prices, along with the operational efficiencies year -on-year. It was lower 3% sequentially, in line with better linkage coal availability, operational efficiencies and softened coal and input commodity prices, further supported by better acid price realizations. Hindustan Zinc has delivered a 7% reduction in the half year cost of production, which clocked the 4 -year lowest COP of $1,089 per ton on H1 basis, and for the quarter 2, $1,071, indicating a progress towards recording a fourth year lowest cost for the full year. The resulting EBITDA for the quarter registered a 6 quarter highest, as stated earlier, at INR4,164 crores, up 33% Y -o-Y and 6% quarter -on-quarter.
For the H1, it stood at INR8,109 crores, up 25% Y -o-Y, in line with the revenue and cost of production. The consolidated net profit before exceptional item for the quarter stood at it's the highest in the last 6 quarters, at INR2,389 crores, up 38% Y -o-Y and 2% quarter -on-quarter. Net profit before exceptional items for the half year stood at INR4,734 crores, up 28% Y -o-Y.
Coming to net profit after exceptional items, it was INR2,327 crores for the quarter, 35% Y -o-Y, in line with EBITDA and down 1% quarter -on-quarter on account of exceptional items, higher finance cost and tax expenditures offset by higher EBITDA. For the half year, it stood at INR4,672 crores, up 27% Y -o-Y, in line with EBITDA.

 As a global industry leader, we have always been vigilant on the market dynamics, proactively monitoring and assessing their impact on our business. Last quarter, we have hedged 90 Kt of our expected zinc production for the full year as an ideal opportunity surface to cash in prevailing volatility in the market. This quarter, we have further sold forward 61 Kt of zinc, totalling the outstanding hedge position net of squared of f during the quarter at 99 Kt of the zinc production for the remaining part of the fiscal year at an average price of USD 3,008 per ton. Taking it in a notch up, we have taken a confident leap of expanding our hedge to our precious metal that is silver. During the quarter, we have sold for over 83 metric tons of silver for the second half of the year at an average price of $32.26 per troy ounce . During the quarter, the company has locked in a gain of INR60 crores through a strategic hedging program.
While Hindustan Zinc's industry -leading production growth rate, as Mr. Misra mentioned, is worth mentioning, it is just one out of the numerous parameters like completely integrated operations, global cost leadership, ESG leadership, long mine life with se cond highest zinc reserves globally , India's only silver producer through primary route and consistent AAA rated by CRISIL and other agencies, which differentiate it from its global peers. While benefiting from this strong competitive advantage, Hindustan Zinc has been consistently recording a higher EBITDA margin among its global peers.
Coming to the closure, we keep our cost and capex guidance intact, and now I open the floor for your questions. Thank you.
Moderator: Thank you. We will now begin with the question and answer session. The first question is from the line of Amit Dixit from ICICI Securities.
Amit Dixit : Congratulations for a good performance. A couple of questions from my side. The first one is that the pyro plant was run on lead mode during the quarter. Now lead prices were relatively subdued, so was it to exhaust the existing inventory that we might hav e since SK mine

production was also a little bit lower, as mentioned in the press release. Or was it to take advantage of the higher silver prices? And what would be the mode of operation going ahead?
Arun Misra: So technically, we operated on the lead

mode to take advantage of silver prices, absolutely correct. Also, once we make the changeover immediately returning back to zinc would require some more further distillation of the zinc product in the pyro mode when we run. So otherwise, you will be producing products, which will not be fetching us at the same premium like a zinc SHG that we sell. So that would require some more distillation columns to be put in.
So we normally do the lead run if we at all -- whenever we pick up, at least we try to give a 4 -, 5-month row at -- operations in a row, so that the material that silver has to get into WIP. Then from WIP, it has to get into bullion, then it gets into refi ning. So that whole cycle can be completed and we can take care of the WIP or locked -up silver before we exit that mode and get into zinc plus lead more.
 So we say that we see that another maybe 1 or 2 months of operation would help us recover the silver, which is locked in the WIP and then we can transfer it to the zinc plus lead more sometime towards the end of this year. And zinc prices are steadily at a round $3,000. As long as it is will take benefit of that by producing more zinc.
Amit Dixit : That's very helpful. So the second question is essentially on the cost of production. Now this quarter, we also saw a very good control on costs, costs went further down. And now it is basically a little bit above the mid -range of what we guided for the ye ar. Now going ahead, since coal prices might just remain soft, other -- I mean you will get the cost advantage also because volumes are expected to pick up. So why have we kept our cost of production guidance same? I mean, shouldn't we be revis iting it now or will we do it at the end of third quarter or so?
Arun Misra: So while Sandeep will address the details, see the strategy is, going forward, as you know, H2 has the quarter 3, quarter 4 performances that are much stronger. So we would always expect much better performance both in terms of grade of material being mine d, the operational performances, the current efficiencies, etcetera , etcetera , which should give us a cost advantage.
While the coal prices may go up, at the same time, more and more renewable power will also drop in as time goes by. And we are very confident of getting the cost guidance as well, along with the metal guidance that we have given. Maybe Sandeep can elaborate on this.
Sandeep Modi : Amit, thanks for the question, and I am sure, you are fine. Regarding the cost, I think, just wanted to highlight the renewable energy has helped to reduce the cost Y -o-Y $9 per ton and our renewable power share has moved to, from last quarter, 8% to 14%. So it's very clearly that renewable energy is adding into the cost benefit. And by quarter 4, we will be exiting around 23% to 25% w ith the renewable energy share.
Of course, the cost guidance, as you said, mid, but I think we've also given the lower band of $1,050, so it's better to achieve the lower end of the guidance and to be better rather than revising the guidance. But I'm sure we have a better cost in terms o f what we are predicting, but would like to keep it unchanged between $1,050 to $1,100 that has been overall given, but we are confident that we will be delivering towards the lower end of the cost band.
Moderator: Next question is from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta : We had, on the last call, mentioned that we had appointed a consultant for expansion to 2 million ton mine run rate and that report might be available by August, September. Would you be able to share highlights from the report and recommendations?
Arun Misra: No. So the report that we have now says that the mines have to be developed in a particular manner to make adequate ore for 2 million tons. So for that, we are now inviting discussions

with mining contractors, which are -- who are global conductors. So by the end of November, we should be able to fix the global contractor, whom we will appoint for starting the mine development because that i s the first part is the mine development, then only we can produce.
 Then the question comes on the logistics of how to transport the material out of the mine and then the concentrator expansion, which is feasible and very easy to do. So that will follow. But first part, as far as this 2 million ton is concerned, project is feasible. There is no doubt on that.
It is only the mining contractor's appointment and to see how the adequate metal in concentrate can be produced from the mine.

Kirtan Mehta : And how would that be linked to the exploration strategy because we will also have to sort of enhance exploration as well?
Arun Misra: Obviously. So we have got, say, 30 million ton metal in ore as resource. And out of that, we have got close to 12 million ton metal in ore as a reserve. So that 12 million ton metal in ore as a reserve provides at least 5 years, which you require mandatorily for mine planning for getting any approval through IBM and other such authorities, right? So with that -- we are safe on that. We have got 5 years -- more than 5 years of pr oven reserves at 2 million ton level.
Now the question is, we have got to subtract 12 million ton, we have got more than 18 million ton metal in ore in the resource category. Then the target will be to convert that into reserves. At our 90% level, that would also go down to maybe 16 million, 17 million tons of metal in ore as a reserve. And then, of course, parallelly, we'll be adding more from Zawar mine, from RD mine, would -- there is probability of adding more and more in resource.
Net-net, about 10 years of reserve at 2 million ton level, that is 12 million ton current reserve to expand to more than 20 million tons is very feasible and visible also.
Kirtan Mehta : And how would this be split across mines when we sort of target the 2 million -ton run rate? What will b e the contribution of Zawar, RD and different mines?
Arun Misra: So exact percentage, I won't comment right now because let the full thing of the project be done. But of course, we would love to have as much production from Agucha as possible because that is the highest gr ade. And the biggest expansion that can happen with the current operations from, is in Zawar mine, where there is virgin resources are available. So we will have to make a combination so that overall grade, which is around 7.2%, 7.3% does not recede because t hat will impact the cost.
Kirtan Mehta : Right, sir. One more question was about, would you be able to highlight the sensitivity of your EBITDA to zinc and silver prices for a change of, say, $100 in zinc and $1 in silver?
Sandeep Modi : So I think it is not only the sensitivity of the prices, also the operational point of view, given that how much the lead MIC would be there, how much zinc MIC, how much the SK lead MIC would be there. So that is also one of the major driver when we take a ny pricing decision. Of course, on a thumb rule number -- point of view, even at the silver, if that the current level of $32, if I just do theoretically, the zinc prices has to be $3,400, $3,500 if I have to make it breakeven, just from your -- the understanding point of view, but which is more driven from the
 availability of the right blend of the concentrate, especially for the SK mine. I hope I am able to...
Kirtan Mehta : I did not actually understand when you say that the $32 silver, you said that the zinc price needs to be around INR3,400, INR3,500 for breakeven, I actually did not follow that. I'll probably take it offline.
Sandeep Modi

: So I was saying -- you were saying about the pyro lead mode versus the zinc lead mode, to make it a breakeven if I have to produce zinc or silver that is more from a technical driven decision, availability of the concentrate especially from the SK mine. An d as Mr. Misra was saying, technical, WIP, liquidation, there are many other variables. But from the pricing point of view, as an analyst, it may be a breakeven if the silver is $32 and zinc is $3,500, then we may make silver and zinc EBITDA equal unless -- because currently, the zinc LME $3,000 and silver $32, it's better to make silver, but the metal also has to be made available to consume.
Kirtan Mehta : Understood, sir. And probably one more last question. In terms of the zinc outlook, we had earlier expecting sort of zinc to reach $3,000. We are already at that level, so how do you see zinc progressing from here to the end of the financial year?
Arun Misra: So I have been very consistent in saying zinc balanced stable price is $3,000. So I don't expect a big change anywhere before December. November 6 is the US election. I think the results should be out by January 1st week. I think January 6 is their date for transfer of power. So by December end, once we know the results of US election, I think that will be the -- because a Fed rate cut has happened.
China, they have declared their policies for boost up of the economy. Now the next big thing that can happen is US elections, and we will see how the world market reacts to that. Rest of the events, for geopolitical events, whether Russia -Ukraine or Israel -Gaza, both are more than 1 year old and the whole business ecosystems have become -- have been oblivious to that.
Moderator: Next question is from the line of Vikash from PhillipCapital.
Vikash: Sir, given that our second half usually is quite good in the volume terms and we already did 523 Kt in the first half? Can we safely assume that we will at least meet the higher end of the volume guidance and probably exceed the expectation?
Arun Misra: First landing at the guidance is always important because if you're talking of volume. Where we end, of course, it depends up on how much more quarter 4 can be compared to quarter 3. So I'm

with you on that, that I should motivate my people to reach the hi gh end of the guidance. But
let's see, we should be in the guidance. I think that is -- that is what we can safely aim for.
Vikash: Understood. Sir, my second question pertains to the fumers. We didn't get update on the fumers
at what stage they are in, and the pending fumers have they commissioned or not?

 Arun Misra: So fumer, we have been ramping up. And of course, we have faced many technical difficulties
in the fumer. One, of course, we could not get Chinese experts at site because of various Visa
issues, but we have been taking their help remotely and trying to man age. Last 3 months of
operation, 3 or 4 months of operation, has given us sufficient knowledge as to set right a lot of
the either design inefficiencies or early failures of certain parts of the equipment, which we are
now taking a long shutdow n and we are setting it right.
We are very confident that after this shutdown, the fumer will come back in the way it will
operate and we know exactly how to operate now. So we should get fantastic results starting
from quarter 3 into quarter 4.
Vikash: So as of now, we have not -- get any benefit of the fumers so far.
Arun Misra: I think about 3 tons of silver, we have got out of this fumer. And about 1.5 Kt or something like
metal we have got.
Vikash: Understood. Sir, silver prices versus the MCX, so I believe we had to sell at certain discounts.
So what was the discount in the 2Q and what is the spot discounts of premium versus any?
Arun Misra: No, we don't sell at discount. No, no.
Sandeep Modi : No,

no, we don't sell on the discount. Basically, we compare our prices basis the CRISIL
benchmark. So whatever the CRISIL publish the daily benchmark, against that we do, and we
have always better than the CRISIL benchmark.
Arun Misra: So we don't sell at a discount of the LBMA prices.
Vikash: Understood. And sir, just one last question, if I may pitch in. Once our DAP plant would
commission, I just wanted to understand what is the additional EBITDA at the full utilization at
current prices that plant can make versus the acid, which we are selling?
Sandeep Modi : You are talking about the DAP plant means Debari plant?
Vikash: No, no. That's the fertilizer plant I'm talking about.
Sandeep Modi : Yes, yes. So Hindustan Zinc alloy has already given the EBITDA of INR13 crores in H1. And
quarter 2, it has been given INR13 -- sorry, INR17 crores of the EBITDA in the Q2 itself. So at
a full capacity level, it will be -- give around INR70 crores to INR80 crores of the EBITDA on
a full year basis.
Vikash: Sir, that is understood. My question was pertains to DAP /NPK Fertilizer Plant at Chanderiya?
Arun Misra: It's DAP. D -A-P.
Sandeep Modi : So DAP NPK will give -- yes, yes, DAP...

 Vikash: So once that is commissioned and ramped up, obviously, our by-product credits would also go
down because we would be consuming it there. So EBITDA -- additional EBITDA expectations,
I just wanted to understand.
Sandeep Modi : So additional EBITDA over the acid price realization today, what we are getting, it w ould be
around INR450 crores to INR500 crores on the 5 lakh ton of the DAP NPK production.
Moderator: Next question is from the line of Ritesh Shah from Investec.
Ritesh Shah : A couple of questions. First is, do we have any hedges at this point in time for second half or for
next fiscal?
Sandeep Modi : Yes. Ritesh, I hope you are doing good. Yes, we have hedges for H2, 1 lakh ton around for the
zinc, hedged at $3,008 as I said in my opening remarks and also the silver has been hedged for
the H2, 83 tons at a price of $32.26 per troy ounce.
Ritesh Shah : Sir, anything for next fiscal?
Sandeep Modi : No, nothing as of now for next fiscal year.
Ritesh Shah : Nothing, okay. My second question was any updates on Bamnia Kalan specifically, it's a big
one. How are we looking at it? Any time lines?
Sandeep Modi : So Bamnia Kalan mine, it's a -- boundary work has already been done by the 90% and the portal
construction work is going to start. So we believe that next 12 to 18 months because it's a mine
life opening, so we have all the statutory approval in place. So mine opening is taking some
portal construction reaching to the ore body. It should be, say, in my view, around quarter 4 of

the '26 kind of thing situation where we should be able to reach to the ore body.
Ritesh Shah : This is helpful. Sir, third question is on Supreme Court mining judgment recently. Most of the companies, basically, they have spoken about hefty liabilities, but it's more work -in-progress. There is no clear -cut understanding on what the quantification is. Sir, what is our take over here? I was just looking at our contingent liabilities, there is a number, which is there, but would like to have your take on how we should understand or read this matter.
Sandeep Modi : So Ritesh, I think just to update you, I think that contingent liability number will not remain now. Whatever the number was there has been already provided. So net impact on account of the Supreme Court judgment from the retrospective point of view has be en INR83 crores, which has been well provided in the books in quarter 2 and appearing as part of the exceptional item.
Ritesh Shah : It's only INR83 crores, right, also provided for, that's right?
Sandeep Modi : Yes, yes.

 Ritesh Shah : Okay. That's very useful. Sir, just coming to a broader question. Hindustan Zinc hasn't provided for the dividend date. Usually, we see Hindustan Zinc going first and then Vedanta. Any specific reasons or not the right question?
Arun Misra: No, on the Board minutes, you will notice. There's no discussion on dividend today.
Sandeep Modi : And we did not give any dividend intimation any time.
Ritesh Shah : Correct. So normally, it's us first and then basically Vedanta comes in.
Arun Misra: What you are saying , frequency is fine, but the timing is different, no. The first activity has to start for the second activity. First activity will start with the notification for dividend, which has not happened.
Ritesh Shah : Fair thing. And sir, just 3 quick questions. Earlier, the company was planning to bifurcate the company into silver and zinc, is it something which is on the table? Or is it on the back burner?
Arun Misra: No, no, nothing i s on back burner. It is -- all the issues we are discussing with government and whenever both sides agree, it will happen. The government disinvestment effort is also going on, so there are so many things happening parallelly.
Ritesh Shah : Okay. And sir, there were talks about setting up a zinc smelter in Gujarat. Is it on the table? Or is it off?
Arun Misra: It's not on the table.
Ritesh Shah : Okay. And lastly, sir, you indicated a couple of numbers for DAP NPK production. Possible to give some time lines over here, please?
Sandeep Modi : So fertilizer as per the committed time line is going to start in the FY '26 around Q3.
Moderator: Next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia : I just have one question left. If you could please guide us on the capital structure? And what sort of debt do we expect to see on the balance sheet on a steady state basis? This question is because in the first half, we've given a substantial dividend and now we are sitting on almost INR6,000 - odd crores of net debt. So are we open to -- I mean, for the dividend requirements, etcetera , are we able to run a net debt balance sheet? Or this is just a timing thing, and we would have a close to net debt 0 balance sheet going forward?
Sandeep Modi : So Sumangal, I think you rightly pointed out, it's a timing mismatch. Of course, given that INR12,000 crores was given in the form of dividend, and we have already generated free cash flow of INR7,000 crores in the H1, and normally H2 remains better. So I think it's only a timing difference . Of course, we are having the c apex as well. So overall, we expect that given -- USD

 1 million, we expect to generate free cash flow during this year. And by March end, we expect to be around INR2,000 crores kind of net debt number at the year end.
And on a steady basis, we will always be net cash. But as we go for the 2 million ton of the -- this expansion, we may look for the some debt equity, depending upon our project IR Rs being a very, very high basis. So we'll see what is the better capital allocation when we go for 2 million tons. How ever in steady phase, we don't have anything at this point of time, which we should be worried about.
Sumangal Nevatia : Understood. Just 1 more question. Given we are talking about the very long -term target of 2 million tons. We're losing 2 mines, which is Zawar and RA in 2030 or we would be able to retain it. Is it possible to share what sort of, I mean, cost escalation scenarios are we building in internally, given this expanded capacity will come in around that time itself, where would we

have to participate in the auction or at least match the highest bid?
Arun Misra: You will appreciate, in today's dynamic economic scenario, we normally plan at the most for 3 years. So we are in 2024 and

the event is likely to happen in 2030, it's 6 years away. So let's see what happens to the policy by then. The realization of the ent ire auction process also would be better known, so we'll see by then what happens.
Sumangal Nevatia : Understand. And just one last question. Given all our projects are working well, next year, could we expect very close to our rated capacity of 1.2 million tons in terms of...
Arun Misra: Yes, yes, of course. Of course, we will try. We will -- at least 1.2 million ton next financial year.
Moderator: As there are no further questions, I would now like to hand the conference over to Ms. Kritika Mehta for closing comments.
Kritika Mehta : Thank you, everyone. With this, we close today's earnings call. For any follow -up questions or clarifications on the results, please feel free to reach out to Investor Relations team. Thank you.
Moderator: Thank you very much. On behalf of Hindustan Zinc, that concludes this conference. Thank you for joining us . And you may now disconnect your lines. Thank you.

Call: Jan 2025

Sensitivity: Public (C4)
HZL/2024 -25/SECY /178 January 30, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication

Scrip Code: 500188 Trading Symbol: “HINDZINC”

Dear Sir/Ma ’am,

Sub: - Earnings call Transcript for the third quarter and nine months ended Dece mber 31, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed herewith the transcript of the earning s call held on Tues day, January 28, 202 5, with regard to the financial performance of the Company for the third quarter and nine months ended December 31, 2024 . The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .

You are requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Aashhima V Khanna
Company Secretary & Compliance Officer

Enclosed : as above

Sensitivity: Internal (C3)

“Hindustan Zinc Limited Q3 and 9 months FY25
Earnings Call”

January 28, 202 5

MANAGEMENT : MR. ARUN MISRA – CEO & WHOLE -TIME DIRECTOR ,

HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CFO, HINDUSTAN ZINC
LIMITED
MS. RAKSHA JAIN – DIRECTOR (INVESTOR
RELATIONS), HINDUSTAN ZINC LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 months FY25 Earnings Call of
Hindustan Zinc.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
I now hand the conference over to Ms. Raksha Jain – Director of Investor Relations of Hindustan Zinc Limited. Thank you, and over to you, Ms. Jain.
Raksha Jain: Thank you, Sagar, and good evening, ladies and gentlemen. Thank you for joining us today to discuss the 3rd Quarter and Nine -Month Results of FY25.
In this call, we will refer to our Investor Presentation available on our Company 's website. Please note that today's entire discussion will be covered by the Safe Harbor Clause mentioned on slide two of the presentation. Today , we have our CEO – Mr. Arun Mis ra and CFO – Mr. Sandeep Modi.
The Management will be discussing the "Operational " and "Financial Updates " for the quarter followed by a Q&A session. Now , I would like to invite Mr. Arun Mis ra to presen t the results. Over to you , sir.
Arun Misra: Thank you , Raksha. A very good afternoon to all of you. Thank you for joining us today for the 3rd Quarter and nine months FY25 Results briefing.
This quarter has been a historic 3rd Quarter in terms of Financial Performance , and we delivered highest ever mined metal and refined metal production on a 9 -month basis. Globally, zinc production was flat in the last 5 years. However, the growth of Indian demand was a t CAGR 5% and so was the production growth of HZ L. We feel we are in the right place at the right time with a competitive cost advantage to unleash benefit from stable LME and silver prices. This exceptional performance was driven by our opera tional excellence, with a strong focus on safety and continuou s improvement across all areas.
I am proud to announce that once again we have been recognized as the global leader in sustainability among 248 metals and mining companies in the S&P Global Corporate Sustainability Assessment 2024. Furthermore, with the release of our 4th edition Climate Action Report, Hindustan Zinc has been the first Company in the metals and mining sector to achieve this distinction. We firmly believe that a strong safety culture is key to driving operational excellence. This quarter we recorded zero fatalities.
On sustainability front, against the target of 0.5 million tons CO 2 emission reduction, we have achieved 0.4 million tons of CO 2 emissions . With the increased use of renewable energy and
 eco-friendly battery vehicles in our mines, we are on track to achieve the decarbonizing target by 2050. Both zinc and silver are important for the global transition to low carbon future , be it energy storage solutions, renewable energy technologies, electric vehicles, and infrastructure offering a sustainable alternative to large scale storage and clean energy production. The global shift towards clean energy, making zinc and silver indi spensable and the demand for both zinc and silver is expected to rise significantly.
Moving to the Market Update :
While Indian economy is expected to register 6.4% GD P growth in FY 2025, we see healthy demand for zinc in domestic market and our market share remained healthy at 77%. In 2025, global steel demand is expected to grow by 0.5 -1.5%, whereas India is expected to lead the steel demand growth underpinned by its expanding infrastructure and construction projects, eventually increasing the demand for zinc and making India the third largest zinc consumer globally. During the quarter, the zi

nc and silver prices rose significantly by 16% and 27% year -
on-year respectively, with the silver price touching its highest of $34.51 per troy ounce during the quarter.
The global refined zinc market is forecasted to remain in deficit in 2025 with a significant

increase in demand, partly offset by increased production in Europe. This deficit is also expected in the refined silver market with growing industrial use cases benefiting especially from renewable energy initiatives and automotive s etc. thereby reflecting a bright outlook for silver in foreseeable future. During the 3rd Quarter , we produce 265,000 tons of mine metal , up 3% sequentially in line with higher ore production and higher mine metal grades. We have enhanced the mine development by 14% sequentially to around 25 km, preparing the mine to be future ready. We reported refined metal production of 259,000 tons, sli ghtly down sequentially due to maintenance activities . Despite all these, on 9 -month basis, we have recorded our highest ever mined metal and refined metal production this year. The 9 -month mined metal production stood at 784,000 tons and refined metal production stood at 783,000 tons in line with better plant availability and operational para meters. With the given record 9 -month performance and proven run rate, we are confident on achieving the full year volume guidance for the mined metal and refined metal production.

As silver remains a significant contributor to our profitability, with over 20 x growth in the past two decades, we continue to maintain a leading position being third largest silver producer globally. As you all know that we have indigenously commission ed Fume r facility to generate wealth from the waste , leveraging a first of its kind technology in India. Since COVID, we have been facing challenges in getting visa for our Chinese partners and we were facing some operational challenges as well. Therefore, we took strategic maintenance shutdowns which ha ve been concluded in January and the plant operations have been resumed. On the other hand, we are also hopeful on issuance of Chinese visas based on discussions with the government given the strategic importance of silver in India. Post this, we are hopeful to achieve the silver production of around 32 tons from Fumer on annual basis.

 Considering the shutdown of the plant in Quarter 3 and some changes in the mine sequencing in the SK Mine as per geotechnical situations , we will achieve silver production between 700 to 710 tons during the current year. Our zinc COP for the quarter stood at US $ 1041 per ton , lower by 5% year -on-year driven by improved metal grades, better domestic coal availability, increased renewable energy usage, higher acid realization , softened coal and input commodity prices and operational efficiencies. This demonstrates our efforts are on the right path of achieving our target of $1000 per ton for the cost of production. Through a focused approach to significantly reducin g costs alongside operational excellence, we have achieved a strong financial performance, recording the highest ever 3rd Quarter revenue and EBITDA. Our profit after tax stood at Rs. 2678 crore , reflecting an impressive growth of 32% compared to an 18% increase in total re venue driven by cost reduction.

In conclusion :

We are dedicated to expanding our capabilities with a focus on growing our R&R base to strengthen our global positioning. Our efforts will remain focused on broadening our portfolio in emerging areas such as minor metal recovery and value -added products all through sustainable methods to drive grea ter value for our shareholders.

With this, I now hand over to Sandeep for an updat e on the financial performance.

Sandeep Modi: Thank you, Mr. Mis ra, and a very good evening, everyone. Despite facing high inflat

ion and global uncertainties, the Indian economy demonstrated remarkable resilience in the year 2024, making it the world's fastest growing major economy, characterized by strong GDP growth , substantial foreign exchange reserve and a record level of FDI inflows. With it being on a fast track to become the third largest economy in terms of real GDP by 2030, the World Bank recently projected that India's growth wi ll remain robust in FY26 and 27. The base metal sector experienced a volatile 2024, starting the year as a weak performing asset class. However, in the later half of the year, it rebounded, driven by global demand for the metal used in the artificial intelligence and green energy transitions. Gold and silver stood out by reaching record high levels. Overall, both base metal and precious metal ended the year in positive territory, reflecting optimism about their long -term demand outlook.

Considering the demand growth we have witnessed in 2024, reflecting in the commodity prices and economic growth, the year till date has been our best ever performance in terms of mined metal and refined metal production. With the continued focus on the stringent cost control and surge in the c ommodity prices , in double digits we achieved highest ever 3rd Quarter revenue and EBITDA with 10-quarter best EBITDA margin of around 53% , up 400 bps over last year. Our market share in I ndia has also increased to 77%.

During the 3rd Quarter , our total revenue from operation stood at 10-quarter best figure of Rs. 8,614 c rore which is also ever highest 3rd Quarter revenue , up 18% Yo Y in line with better zinc and silver prices , further supported by strong dollar and marginally offset by lower lead and

 silver volume and lead prices. For the year till date , the total revenue from operations stood at Rs. 24,996 crores , up 17% YoY, d riven by record metal production, higher zinc and silver prices, stronger dollar was partly offset by lower silver and lead prices. We achieved highest ever 3rd Quarter EBITDA of Rs. 4539 crores , up 28% YoY in line with strong volume, higher realizatio n and lower cost of production.
This quarter , our Hindustan Zinc Alloy Private Limited , a 100% subsidiary of Hindustan Zinc has also achieved an annualized run rate of generating EBITDA of Rs. 150 crores against the overall investment of around Rs. 200 crores delivering on track payback of less than 2 years. For the 9 months , the EBITDA stood at Rs. 12,649 crores , up 26% YoY through record metal production volume, higher realization and lower cost of production though partly offset by lower silver volume as already highlighted by Mr. Mis ra. The Zinc COP excluding royalty stood at 15 - quarter l owest figure of $1041 per ton during the quarter with 4 -year best cost of production of $1073 per ton for the 9 months . This indicates our progress towards recording a 4 -year lowest cost for the full year and confident enough on achieving the full year cost guidance towards its lower band. Our growth projects, Debar i Roaster 160ktpa and Fertilizer is going well. We spent Rs. 1024 crores in growth as well as in sustaining CAPEX during the quarter. We have delivered healthy free cash flow pre CAPEX of Rs. 2628 crores in 3rd Quarter and Rs. 9664 crores on a 9-month basis. We reported our 9th quarter best profit after tax of Rs. 2678 crores , up 32% YoY in line with higher EBITDA. For the 9 months , profit after tax stood at Rs. 7,350 crores , up 28% YoY . The effective tax rate for the quarter is 24%.
Supporting the government's effort to empower the MSME sector, we have prioritized payments to MSME vendors, achieving an average cycle of 18 days, which is 60% faster than the statutory requirement. This underscores our commitment to ESG principles a nd strengthens trust in our supply chain through enhance d social resp

onsibility. This year again, we have continued our legacy of ensuring highest level of corporate governance and transparency in the reporting practices. I am proud to share that Hindustan Zinc 's integrated annual report for the financial year 24 was recognized as one of the top integrated annual report in India and won gold award with the top 50 rank worldwide at the LACP USA Spotlight Awards. Overall, we achieved strong performance for the qua rter and the nine months, our focus on operational excellence and cost reduction is driving improved financial results. Our large -scale, low -cost operations consistently deliver ing industry -leading EBITDA margins and generat ing strong cash flow from operat ions. With the further increment in the share of renewable power in the overall power requirement, increased production volume and other recovery enhancement initiatives, we are confident of achieving the design cost of $1,000 per ton. With the solid found ation for continued success, we position ourselves for future growth and maximizing value for all our shareholders.
Before I hand over to the operator , I am also happy to share that Company delivered superior total shareholder returns of around 62%, that is Rs. 181 per share in comparison to 10 x of Nifty 50 and 13 x of Nifty Metal Index. Our market cap also increased by Rs. 64,000 crores during this financial year.
 With this, I now hand over to operator for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and 1 on their touch -tone phone. If you wish to remove yourself from the question queue, you may press “*” and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Again, you may press “*” and 1 to join the question queue. First question comes from the line of Amit Dixit from ICI CI Securities. Please go ahead.
Amit Dixit: Yes, hi. Good evening, everyone and thanks for the opportunity. Congratulations for a good set of numbers this quarter. I have a couple of questions, sir. Is it possible to quantify the hedging gain in this quarter, the residual hedging quantity we have, and if there was any fresh exposure taken in this quarter?
Sandeep Modi: Hi Amit, Sandeep here, Good evening. So, we have an overall hedging gain in the 9 months locked in is Rs. 58 crores flowing to the P&L and remaining around Rs. 64 crore is lying in the other comprehensive income which will flow into P&L in the Q4. The open quantity is around 18000 tons of the zinc , rest all has been squared off.
Amit Dixit: Okay, no fresh exposure were taking on this quarter ?
Sandeep Modi: No, no fresh exposure.
Amit Dixit: Okay, the second question is around the, in the prepared remarks, we mentioned that there was lower production due to maintenance -related shutdown. So, is it possible to quantify what kind

of, in quantity terms, what would have been the loss?
Arun Misra: So, if we see 259 KT of metal, perhaps another 5 -6 KT could have been added to it.
Amit Dixit: Okay sir, great. And given the level of LME prices at the moment, is it fair to assume that you know we will be running the combo smelter in zinc mode only because zinc prices appear t o be quite favorable over lead?
Arun Misra: Absolutely. We will be continuing in the lead plus zinc mode only and also quarter four typically the mines are at their peak in producing concentrate and our best mines, best grade mines in Agucha are primarily being zinc mines. So, we will have more of zinc MIC and will be continuing and the prices are favorable. So, we should be con tinuing in that same mode only.
Amit Dixit: And the geotechnical issues that you alluded to in your prepared rem

arks are now averted in SK
Mine ?
Arun Misra: Geotechnical issues will come here and there in the mine, but we have got solid mechanism behind it to address along with international experts who work with us. So, while they may have little bit of issues while development, but I don't see big challenge here.

 Amit Dixit: Okay, great sir. Than k you so much and all the best.
Arun Misra: Thank you.
Moderator: Thank you. Participants, you may press “*” and 1 to ask a question. Our next question comes from Ashish Kejriwal from Nu vama Weal th Management. Please go ahead.
Ashish Kejriwal: Hi, good evening everyone. Thanks for the opportunity. Sir, quick three questions. First, you mentioned that you are still maintaining the overall mine metal production guidance as well as refined zinc guidance?
Arun Misra: Yes, of course. We are still holding on to it.
Ashish Kejriwal: Because that means the fourth quarter could be 350 around KT from 265 to 350 KT. Do you think that we will be able to manage that?
Sandeep Modi: So, Ashish , Sandeep here . So, it's a, I think if we do 316 KT of the mined metal , I am not sure how we are getting 350 . If we do 316 KT of the mined metal , we can achieve the guidance and for the metal we need 290 KT and the roaster is getting commissioned in the mid of February , so we are quite confident to achieve both of those.
Ashish Kejriwal: Okay, that's great. Second question is in terms of royalty, is it possible to quantify how much royalty we have paid to our parent in nine months and three months respectively?
Sandeep Modi: So, it's around Rs. 650 crore for the full year.
Ashish Kejriwal: Okay, so we have already paid Rs. 650 crore for entire FY25?
Sandeep Modi: Yes, it's paid in advance and adjusted b efore the next payment is done.
Ashish Kejriwal: Yes, and sir lastly, last quarter also we said that we are working on to increase our capacity from 1.2 to something like 2 million tons and can give some kind of details. So, any progress on that front?
Arun Misra : We have almost finalized mining contractors because all said and done the mines need to be deepened , new levels to be opened up. So, whichever way we design the mine , we have to do that task with a no regret move. So, we are finalizing both the two Australian contractors and one Peruvian contractor, and that should happen in early February so that they can start mining in month of April. So, that will start adding more volume to next year's ore production. Second is expansion of smelters, curren t expansion of new roaster, which is getting commissioned in this quarter itself. And also we are finalizing the order for 250 KTPA of metal production capability in the smelter site. So, as the strategy that we are adopting, you won't hear one project of 2 million tons. You'll hear expansion projects being announced every now and then of some 250, sometimes another 250 KTPA , depending upon where we find it most suitable. And I am

 sure first two steps are two mining contractors engaged in mines for deepening the mines and 250 KTPA order placement for expansion of smelters. That will be followed by many such steps.
Ashish Kejriwal: So, sir, is it possible if we can say, for example, next five years plan, year -wise, like we are 1.2 million ton mine d metal right now and refined metal of 1.1. How we are stepping ahead and reach 2 million ton maybe five years, seven years, whenever? Year wise, obviously as you rightly pointed out, it can't be in a one go. But from 1.2, are we going to 1.35, 1.5? So, year wise, is it possible to share?
Arun Misra: You will be very correct. As I said, 250 KTPA , if I commission, 1.2 will go to 1.45 directly, which is close to 1.5. And then maybe we will look at ano

ther 500 KTPA plant, a 0.5 million
ton plant to take the capacity to 2 million tons. That will be in one go. But the first figure is from
1.2 to 1.45 and commensurate mining. Once that establishes which I can see anywhere between
1 and up to 2.5 years' time which will take us to FY27 , then we will see to take it from 1.45 to
2 million tons.
Ashish Kejriwal: Okay. So, one thing is sure that from 1.2 we are going ahead to 1.45 by FY27 or max FY28?
Arun Misra: Absolutely.
Ashish Kejriwal: Thanks, s ir. Thank you and all the best.
Arun Misra: Thank you.
Moderator: Thank you. P articipants you may press "*" and 1 to ask a question. The next question comes
from the line of Manav Gogia from Yes Securities India Limited . Please go ahead.
Manav Gogia: Very good evening and thanks for the opportunity. So, one question I wanted to ask was on the
Hindustan Zin c Alloy plant, could you quantify the amount of the EBITDA generated during
this quarter?
Sandeep Modi: The EBITDA generated by Hindustan Zinc Alloy Private Limited is Rs. 43 crore during the
Quarter 3 and profit after tax of Rs. 31 crore .
Manav Gogia: Okay, and what would be the annual run rate that we c an expect on a full year basis?
Sandeep Modi: So, full year basis , we can expect at a peak capacity of around Rs. 200 crore EBITDA and since
it's a new Company , the ETR will be 17.44% .
Manav Gogia: Got it. Thank you so much. So, one more question was, can you give me the blend of renewable
energy and the total energy mix that we had? I think last quarter we were somewhere around
14% and we are guided to be between 25 to 30 during this particular quarter ?
 Sandeep Modi: Yes, so during this quarter also , it was around 15 % in the overall total power, the renewable
energy component was 15 %.
Manav Gogia: Got it. Sure, so I will join back with y ou for more. Thank you so much.
Sandeep Modi: Thank you, Manav .
Moderator: Thank you. The next question comes from the line of Ra ashi Chopra f rom Citigroup. Please go
ahead.
Raashi Chopra: Thank you. Just a couple of questions . On this renewable energy , will you still exit the fourth
quarter at 25 %?
Arun Misra: Renewable energy exit , we should be around between 18 % to 20 %.
Raashi Chopra: Okay, and I don't know if I missed this on this call, but the cost of production guidance for the
full year, you still maintaining what you had given earlier ?
Arun Misra: So, we had a guidance of 1050 to 1100 and we are maintaining the same guidance as I said in
my talk track, we should be delivering towards the lower band of the guidance.
Raashi Chopra: Okay, just on the restructuring, I mean there were press articles which were suggesting that you
had talks with the government. Have those concl uded or they are still ongoing?
Arun Misra: No restructuring, no, government was busy on the OFS part, so we did not press for a demerger
because both were interconnected as I had spoken at the last quarter board meeting and also in
the meantime , the critical mineral mission was declared, more and more blocks were being
announced. So, we focused our attention into bidding for new mineral blocks and the critical
mineral mission and we were successful in four blocks, out of which one of course has been
cancelled later on by the government of India. Thr ee are with us. And this is another area we...
This also adds to the enterprise value and hence the shares. So, we used that opportunity. In the
meantime, government OFS of 1.5% has been done. If nothing else happens, then again we'll
come back to talking about demerger .
Raashi Chopra: All right, and just one last question from me. On the dividend side, I mean, there has been a bit
of a slowdown vis-à-vis what Vedanta has been announcing. So, is there any sort of change in
dividend policy, or we c an expect it to kind of resume

?
Sandeep Modi: So, I think that there is no change in the dividend policy. The dividend policy remain s 5% of the
opening net worth, or the 30% of the profit. I think we have already delivered Rs. 12,000 crore
for this financial year which is almost equivalent to the profit after tax of the full year. So, there
is no change.
Raashi Chopra: Thank you.
 Moderator: Thank you. The next question comes from the line of Shreyans Daga from Barclays. Please go
ahead.

Shreyans Daga: Hi, thanks for the opportunity and congrats on a good set of numbers. I have one question on the Supreme Court ruling on mining cess last year. So, has Hindustan Zinc received any new demands for any kind of cess related to mining? And are you making any provisions for the rest of the year for any such demands?
Arun Misra So, Shreyans, I think we have been very, very ultra conservative and we provided Rs. 83 crore as a provision in the last quarter. And there has not been any demand on account of it. We will actually see whether to reverse in the subsequent quarters.
Shreyans Daga: Okay, that's it for me. Thanks.
Moderator: Thank you. A reminder to all the participants, if you wish to register for a question, please press "*" and 1 on your touch tone phone. The next question comes from the line of Shivani from Dol at Capital. Please go ahead.
Shivani: Yes, thank you for the opportunity. So, my question was regarding the silver production FY25 guidance was 750 to 775 tons, but 9M volume shows that the guidance might not be achieved. So, any impeding reason for the same and future prospect regarding the status of additional silver volumes from the Fumer ?
Arun Misra: Although every year we do give a guidance, silver guidance when we give the guidance for COP, CAPEX and the metal volume, but all of us have to appreciate that silver is just a by -product and it is a reflection of the grade and what we are mining as on date. So, while you know it's since it's a by -product we would rather say. Our focus would be on meeting the guidance on metal and meeting the guidance on cost of production, meeting the guidance of CAPEX . However, silver being a by-product , we should try to reach to whatever level closer as is physically possible under the current circumstances which Sandeep has already narrated anywhere between 710 tons or more we should be able to do. May not be meeting the guidance but it's not much of a concern because our primary focus is meeting the guidance on metal.
Shivani: Okay, sir. Got it. Thank you.
Moderator: Thank you. The next quest ion comes from Anirud h from JM Financial. Please go ahead.
Anirudh: Hello sir, am I audible?
Arun Misra: Yes, absolutely.
Anirudh: So, sir first of all congratulations on a good set of numbers. I just wanted to have a question regarding the factors which will be driving the cost from 1041 to 1000 , so can you please give a color on what will be the factors ?
 Sandeep Modi : Yes, I think the $1041 to $1000, I think from going here we had the highest cost of around $1297
and last 15 quarters we have gone significantly down every quarter and now around 1041 as I said we should be around $1050 on a year basis . From here , the journey the main component will be the renewable energy . As I have been explaining in the earlier part that we are the far from the mine , so we have a very significant logistic cost and renewable energy does not come with any cost of the logistics . So, every 2% increase in the renewable energy will save one dollar and as we have signed the two power delivery agreement with Serentica and the third power delivery agreement is going to be signed , so we will be almost 70% secured from the renewable power through the renewable energy and fro

m 15 % to 70% that is around 55% increase will have a $30 cost reduction in the next two years. It will happen in the phases , so that is the key 80% component for my cost reduction and second key component would be the volume increase. So, more and more volume increase will have a more fixed cost absorption given that I have a 30% to 35% fixed cost. So, over the F Y26 and F Y27 we should see the cost , I believe and hopeful to see FY26 exit cost around $1000 and FY 27 should be below $1000.
Anirudh: Thank you. That answers my question.
Moderator: Thank you. Participants you may press "*" and 1 to ask a question . A reminder to all the participants that if you wish to register for a question , you may press "*" and 1 on your touch tone phone. The next question comes from Ashish Kejriwal from Nu vama Weal th Management. Please go ahead.
Ashish Kejriwal: Yes, thanks for opportunity again. Sir I missed that time , what could be the probable CAPEX for this expansion this 250,000 tons smelter as well as mine expansi on which we are planning to do?
Sandeep Modi: So, we are planning as Mr. Mi sra has said for 1.2 to 2 million tons. So, it will be in the phases, but overall CAPEX, as in very, very highly indicative basis our past CAPEX performance and the global benchmark should be between $2 and $2.5 billion is spreading betwee n the three to five years.
Ashish Kejriwal: But sir, $2 to $2.5 billion is for 1.2 to 2 million tons. So, we have visibility only for 1.2 to 1.45 right now. So, have we gone ahead with ordering or still it's in the board stage?
Sandeep Modi: No Ashish, I think we as of now, we have appointed three global mining consultants and one for

the smelter and three for the mining. So, mining is more like doing the mine development, smelter is very easy to set up. Smelter, our global benchmark is around $3000 for the project cost. In case of Europe, it is around $4500 per ton. Our case it has been always $2300 to $2400 per ton. So, we should be remaining in the same range. So, 250 KT multiplied by $2500 should be around $500 million kind of numbers to put in a perspective , $500 million of the numbers for putting the smelter. And similarly if I take the mining expansion , if I have to match the 250 KT , it should be around $700 to $800 million. So, all of 250 KT for mining and smelter should be around I think $1 to $1.2 billion.
 Ashish Kejriwal: That's very clear sir. So, and we are planning to start it from next year maybe?
Sandeep Modi: Yes, we should be planning for next year and we are also working on the 10 million ton of the recycling project as well tailing recycling.
Ashish Kejriwal: Okay, can you please explain sir, give some more details on that 10 million to n recycling?
Arun Misra: No, so we will be putting up a 10 million ton recycling plant which will be annually processing 10 million ton of tailings . We have got huge quantity of tailings in Rampur Agucha mine and we will be taking the tailings out from the tailings dam, reprocessing it and produce zinc out of it. So, roughly it has a grade of anywhere between 2 % to 2.5% and since there is no cost attached to the input side , so only thing we need to do is process it which can be a function of the current technology we ar e exploring is a function of combination of flotation and then leaching with sulfuric acid and produce directly zinc sulphate out of it and then transport zinc sulphate to smelter and produce zinc. So, this is something will make our process more sustainable. It's a reuse and recycle principle and also produce additional zinc from the tailings that we have. We don't have to mine it.
Ashish Kejriwal: Sir is it possible to share how much tailings we have and when we are going to plan or start this recycling plant? Or when will it start hitting our P&L?
Arun Misra

: So, maybe we'll have to wait for one more such call, maybe after another board meeting, when we'll come back with further details. But as of now, we are working aggressively with the designers. We are sending samples to Australia for testing so that the techno logy can be frozen. Once, I guess, another 1-1.5 month , that will be done. And once that is done, then we can come back and share with you how much will be the yield of it, how much will be the CAPEX of it and I am sure this will be very high payback project it will happen and also it will be one of its kind in the world, no other zinc mining and smelting Company has ever thought of making such a large scale plant for tailing reprocessing .
Ashish Kejriwal: And this wil l be under Hindustan Zinc only?
Arun Misra: Of course this will be under Hindustan Zinc, if the demerger doesn't happen before that .
Ashish Kejriwal: Thank you and all the best.
Moderator: Thank you. The next question comes from Jainam Shah from Indsec Securities & Finance Limited. Please go ahead.
Jainam Shah: Good evening sir. Thank you so much for this opportunity and congratulations on good set of results. My only question is that what is the revenue potential from the DAP plant that is going to be expec ted to be commissioned in FY26?
 Sandeep Modi : So, Jainam thanks for your question. The fertilizer plant will get commissioned by the Q4 ‘26.
So, we are not expecting any revenue from the DAP plant in FY 26. On a full scale basis for this 5.1 lakh tonne of the fertilizer plant, we are having the EBITDA potential of Rs. 400 to Rs. 450 crore annually.
Jainam Shah: Yes, so you have been mentioning EBITDA across the different calls that has been there, but revenue potential is not shared. So, any specific reason for that or it's still in the books? So, what will be the revenue potenti al? I just wanted to know that.
Sandeep Modi: Revenue potential will be, I think we are talking about because we are having a taking a 12, 13% margin. So, in this kind of the project, the revenue will be around Rs. 2000 to Rs. 2500 crore. That's the revenue. So, I think very simple math, sir. Nothing to hide about it.
Jainam Shah: Okay . Thank you so much, sir.
Moderator: Thank you. The next question comes from Shweta Dikshit from Systemati x. Please go ahead.
Shweta Dikshit: Hi, good evening, everyone. A couple of questions from my side. Is there an annual CAPEX guidance for the next two years?
Sandeep Modi: So, Shweta , I don't think we will give the annual CAPEX guidance during the st art of the year. And as Mr. Mis ra has said, about the 1 million to 2 million tons, and I explained one or the other

analyst also, we will be having a, if we launch this 2 million ton project, it will be between 3 to 5 years, $2 to $2.5 billion. It will depend upon the board's approval . As of now, we are speaking for this year's annual guidance around $200 million in the growth CAPEX and maintenance CAPEX around $375 million. For the next year ' guidance, we are still in the process of business planning. And once the board approves these CAPEX , then we can announce it formally.
Shweta Dikshit: So, I mean, for the model perspective, we can at least for now take this as a steady state basis for the next two years. That will be the minimum CAPEX for the two years?
Sandeep Modi: Yes, you can take that for your model purpose.
Shweta Dikshit: And the other question on the recycling plant, that's a 10-million -ton processing capacity per annum, right, as you mentioned?
Sandeep Modi: Yes.
Shweta Dikshit: And the recovery of around 2% to 2.5% ?
Sandeep Modi: Yes, it should be having the content of 2% of the metal.
Shweta Dikshit: And this is likely to be only zinc, or are you looking at an y other metal or minerals here?

 Sandeep Modi: So, we are focusing more into the zinc and silver.
Shweta Dikshit: Zinc and silver, okay . And since you said this is something which does not entail any input cost, since these are basically tailings that you're utilizing, so could you give an indication of what kind of visibility do you have of process ing 10 million tons every year? Like what's your input?
Arun Misra: So, you have to wait for those numbers. As of now, we are undergoing, you know, sending samples for testing and finalizing the technology. Capacity roughly we assume that we should be having a 10 million ton processing plant. We have got enough of tailings in stock for that. And also, every year, since we'll be increasing the volume to 2 million ton metal, so to that account, production of tailings will also go up many folds from the current level. So, supply side is not an issue. Issue is only finalizing technology, so that we can attribute the right cost numbers, and we can calculate the right return on investment. So, that, I think, will to wait for another one quarter to know that .
Shweta Dikshit: All right. Thank you so much.
Moderator: Thank you. A reminder to all the participants, if you wish to register for a question, please press "*" and 1 on your touch tone phone. The next follow -up question comes from Manav Gogia from Yes Securities India Limited. Please go ahead.
Manav Gogia: Hi, thank you so much for the opportunity. Sir, one question I wanted to ask was basically on the Fumer getting ramped up. Last quarter I believe you had mentioned that there were some design inefficiencies that had taken place. So, I just wanted to know how are we placed on the Fumer ramping up?
Arun Misra: So, right now we have taken a shutdown and that shutdown is over. Both the furnaces are up and running from today and also we have design inefficiencies regarding the coal mill so that we have brought in new equipment and we have put in place during the shutdown . So, we have done whatever in our knowledge what we could do . At the same time , we are also trying for Chinese experts to get visa so that we don't have such problems that we encountered for last couple of years in the coming days and I am sure from this quarter onwards , the Fumer would be delivering what it was designed for .
Manav Gogia: Okay and has the Fumer produc ed any of the volumes till now?
Sandeep Modi: Yes, yes it has produced 5 tons of the equivalent of the silver in the last 6 -7 months. So, it is not like that it is not producing, it is producing at the run rate of course 30% of the design capacity , but we are hopeful that the Q4 should be almost 60 %-70% of the design capacity.
Manav Gogia: Okay, that was it from me. Thank you so much and all the very best.

 Moderator: Thank you. Participants, you may press* and 1 to ask a question. As there are no further questions from the participants, I now hand the conference over to Ms. J ain for closing comments.
Raksha Jain: Thank you, Sag ar. Thank you, everyone, for joining us today on this call. If there are any follow - up questions or if there are any cla rifications required, you can reach out to the Investor Rel ations team. Thank you so much.
Arun Misra: Thank you.
Moderator: Thank you. On behalf of Hindustan Zinc that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2025

Sensitivity: Public (C4) HZL/202 5-26/SECY /14 April 28, 2025
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051
Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication
Scrip Code: 500188 Trading Symbol: " HINDZINC"
Dear Sir/Ma 'am,
Sub: - Earnings call transcript for the fourth quarter and year ended March 31, 2025
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed herewith the transcript of the earning s call held on Friday , April 25, 202 5, with regard to the financial performance of the Company for the fourth quarter and year ended March 31, 2025 . The same is also made available on the Company's website at https://www.hzlindia.com/investors/reports -press -releases/ .
You are requested to take the above information on record.
Thanking You ,
Yours faithfully ,
For Hindustan Zinc Limited
Aashhima V Khanna
Company Secretary & Compliance Officer
Enclosed : as above

"Hindustan Zinc Limited
Q4 & Full Year FY '25 Earnings Conference Call"
April 25, 202 5

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER – HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER – HINDUSTAN ZINC LIMITED
MS. RAKSHA JAIN – DIRECTOR INVESTOR RELATIONS – HINDUSTAN ZINC LIMITED

 Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and Full Year FY '25 Earnings Call of Hindustan Zinc. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.
I now hand the conference over to M s. Raksha Jain, Director of Investor Relations of Hindustan Zinc Limited. Thank you, and over to you.
Raksha Jain: Thank you, operator, and good evening, ladies and gentlemen. Thank you for joining us today to discuss the fourth quarter and full year results of FY '25. In this call, we will refer to our investor presentation available on our company's website. Please n ote that today's entire discussion will be covered by Safe Harbor clause mentioned on Slide 2 of the presentation.

Today, we have our CEO, Mr. Arun Misra; and CFO, Mr. Sandeep Modi. The management will be discussing operations and financial update for the quarter and full year followed by a Q&A session.

Now I would like to invite Mr. Arun Misra to present the results. Over to you, sir.

Arun Misra: Thank you, Raksha. A very good evening to all of you. Thank you for joining us today for the fourth quarter and full year FY '25 results briefing. Before we begin the presentation, I share with you with deep sorrow and a heavy heart that there has been an unfortunate incident at our Zinc Football Academy in Zawar, where we have lost a Safety Officer due to an unexpected collapse of a telecom tower during dismantling activities.

I extend my heartfelt condolences to the bereaved family and want to assure them of our unwavering support during this extremely difficult time. Such incidents are truly heart breaking, particularly as we strive to uphold a safety -first culture throughout every part of our organization.

Following a thorough investigation, we are committed to implementing strong corrective measures and strengt hening our safety protocols to prevent such strategies in future. These incidents serve as a stark reminder of the critical importance of constant vigilance and improvement.

Continuing with the presentation, I'm pleased to share that Hindustan Zinc has delivered a record -breaking year with the highest -ever production of both mined and refined metal. This milestone further solidifies our positioning as the world's largest integ rated zinc producer. Our leadership has also been mirrored in the sustainably performance with a notable improvement in ESG ratings across prominent platforms such as S&P Global, Corporate Sustainability Assessment and FTSE4Good, etcetera.

We have delivered our second ever highest revenue, EBITDA and profit after taxes where our EBITDA stands at INR17,465 crores, up 28% and profit after taxes of INR10,353 crores, marking an improvement of 33% over last year as compared to increment of 18% in revenue from operations.

 As a part of our sustainability journey, we have set ambitious goals for 2025 and our efforts over the past 5 years have meaningfully advanced us towards them. Notably, we have reduced our total recordable injury frequency rate by 55% from 2020 levels as a gainst a target of 50%. We have also achieved GHG emissions reduction of 0.67 million tons of CO2 equivalent against 0.5 million tons target.

This year, we have launched Asia's first low -carbon Zinc EcoZen with a carbon footprint 75% lower than the industry average. It supports our customers' sustainability goals by reducing Scope 3 emissions.

As we have stated before, and with the recent announcement by the London Metal Exchange on introducing a green premium for sus

tainable metals, EcoZen is well positioned for stronger value realization. Our CSR initiatives across key areas education, health, water and sanitation sustainable livelihood, sports and culture, women empowerment and community development impacted approximately 2.3 million lives, up from 1.9 million last year.

Turning to the market update. Last year has been favorable with zinc and silver prices surging 16% and 29%, respectively, driven by persistent supply deficits. Whilst there are some uncertainties in the current global macroeconomic environment, the deficit is expected to continue into 2025 as well.

Given the lack of any significant new zinc or silver projects, consequently zinc prices are likely to stay resilient and market sentiment for silver continues to be strongly optimistic. The global commodity landscape for zinc and silver continues to evolve amid geopolitical and economic shifts.

Recent developments, including the retaliatory duties imposed by U.S. administration have impacted trade dynamics and introduced short -term volatility. However, despite these headwinds, we believe India is uniquely positioned to benefit from the current en vironment. The government's sustained focus on infrastructure development, ranging from smart cities to railways and highways is driving robust steel demand which is expected to be reach 300 million ton by 2030, which in turn will capitalize in increased zinc consumption for corrosion protection.

This optimism is further reinforced by India's strong economic fundamentals with a projected GDP growth of 6.5% by IMF and the manufacturing PMI of 58.5, reflecting healthy industrial activity and continued momentum. As essential components in clean energy storage and sustainable technologies, zinc and silver are powering the global energy transition, as these metals play a pivotal role in the green revolution, Hindustan Zinc is proud to play a leading role in enabling a more sustainable world.

Moving to operational performance. With advanced exploration programs and strategic resource

to reserve conversion to support our goal of sustaining a 10 -year reserve mine life, we have crossed one milestone of 13 million tons of metal reserve for the first time since underground transition as at the March end. This represents an increment to over 3x of metal reserves as compared to FY 2020 on a net production basis.
 Our total reserves and resources in ore. terms stood at 453.2 million tons while the overall mine life continues to be more than 25 years. This quarter, we recorded a mined metal production of 310,000 tons, our highest -ever fourth quarter figure since underground transition, which is up 17% quarter -on-quarter and refined metal of 4% quarter -on-quarter and silver up 10% quarter -on-quarter.
I am also pleased to share that we achieved our highest -ever domestic zinc sales this year, capturing 77% of the domestic primary zinc market share. This is an important milestone that reflects our strong customer relationships and market leadership. Notab ly, we also increased the share of value -added products in our portfolio to 22% in the year, including 10,000 ton production from Zinc alloy plant, reinforcing our commitment to delivering differentiated solutions and driving greater value across the supp ly chain.
We continue to drive sustainable cost leadership and achieved a 16 -quarter lowest cost of production of $994 per ton during the quarter end and 4 years lowest $1,052 per ton on a full year basis through focused efficiency and optimization, enhanced automation and digitalization across our operations, leading to record production volumes, better mine metal grades and recovery, increased domestic coal and renewable energy usage and better by -product sales, further supported by softened coal and input commodit y prices and opera

tional efficiencies year -
on-year.
I believe you all appreciate the way the company has increased its production sustainably every year despite its transitioning to underground mining and delivered more than 1 million tons of mined and refined metal production with minimal capex , showcasing our strong focus on capital efficiency, prudent resource allocation and agile execution.
At our present 160,000 tons per annum Roaster project, the commissioning activities ha ve started and will be commissioned by mid quarter 1 FY '26. Further, we are also implementing an innovative technology to recover lead and silver from the smelter waste as an alternative to fuming technology. This technology will recover additional 27 tons per annum silver and 6,000 tons per annum lead and is scheduled for commissioning in quarter 4 of next final year.
While the smelter debottlenecking at Dariba and Chanderiya are set to be completed in quarter 2 and quarter 3 of FY '26, the fertilizer plant at Chanderiya is expected to be commissioned as per schedule by quarter 4 of FY '26.
With a well -structured capex road map in place, we are confident in sustaining the strong performance in the year ahead with mine metal production expected to be 1,125,000 tons per annum, meaning 1.125 million tons per annum plus or minus 10,000 tons and the refined metal production of 1.1 million tons, plus and minus 10,000 tons with an expected refined silver production in the range of 700 tons to 710 tons, zinc production at a cost of $1,025 to $ 1,050 per ton.
In conclusion, with a strong focus on operational excellence, sustainability and the long -term value creation, we are well equipped to navigate change and capture future opportunities. Our commitment to innovation, safety and responsible business practices will continue to guide us
 with a pipeline of high -value projects and leadership in future facing metals, we are confident in our ability to deliver sustained returns and drive shareholder value in the years ahead.
With this, I now hand over to Sandeep for an update on the financial performance.
Sandeep Modi: Thank you, Mr. Misra, and a very good evening, everyone. As Mr. Misra mentioned, our ambition to consistently challenge ourselves and drive year -on-year growth distinguishes us from other major zinc players globally.
Through disciplined capital allocation and strategic balance between ESG commitments and fiscal prudence, we continue to strengthen our operational efficiencies while delivering sustainable and robust financial performance with a strong balance sheet. A ke y enabler of this success is our continuous focus on innovation and leveraging technology, process improvement, enhancing recovery and elevating governance standards, particularly in the reporting and transparency practices.

Before dwelling into the performance numbers, I would like to update you on the -- our primary initiative at Vedanta, where we have taken the lead in non -ferrous sector for price discovery through e -auction platform in case of metal sales which happened th rough Vedanta Metal Bazaar. I'm happy to share that nearly 100% of our silver and 70% of our zinc in India was sold through e -auction platform during the quarter. This progressive transition has helped us to have our premium linked to the market as well a s improve transparency and customer centricity.

Driven by our record operational performance and better zinc and silver prices, I'm happy to share that Hindustan Zinc has recorded its best -ever fourth quarter PAT, second highest annual revenue, EBITDA and profit after tax, along with the full year lowes t zinc cost of production for the full year with an industry -leading EBITDA margin of 51%, a 400 bps improvement year -on-year.

Looking deeper into performance, we have recorded our highest -ever fourth quar

ter revenue
from operations of INR9,087 crores, up 20% Y -o-Y, driven by higher lead volume and increased zinc and silver prices further supported by strong dollar, partly offset by lower zinc and silver volume. For the full year, we achieved the second highest revenue of INR34,083 crores, up 18% Y-o-Y, driven by highest -ever metal production, high zinc and silver prices and strong dollar. This was further supported by strategic h edging gains and higher sale of residue partly offset by lower silver volume and lower lead prices.

We achieved our zinc cost of production $994 per ton for the quarter 4 and $1,052 per ton for the full year, better 6% Y -o-Y resulting in the second highest fourth quarter EBITDA of INR4,816 crores, up 32% Y -o-Y, driven by higher zinc and silver prices, softer input commodity prices and better byproduct sales.

The quarter's EBITDA margin stood at 53%, up around 500 bps year -on-year. On an annual basis, we have recorded second best EBITDA of INR17,465 crores, up 28% Y -o-Y, in line with the record metal volume structurally leaner cost of production, higher zinc and silver prices and strong dollar, partly offset by lower silver volume and lead prices.

 Profit after tax recorded its highest -ever fourth quarter figure of INR3,003 crores, up 47% Y -o-Y in line with robust EBITDA. The full year PAT stood at second highest figure at INR10,353 crores, up 33% Y -o-Y in line with EBITDA.

We have successfully generated a strong free cash flow from operations at INR13,784 crores during the year. Our return on capital employed of 58% reflects the best return across the industry. With a strong commitment towards delivering value accretive returns for all our stakeholders, company has distributed INR12,053 crores in dividend to shareholders during the year and contributed INR18,730 crores towards the exchequer, significantly increased by almost 42%. This includes contribution towards income tax of INR4,500 crores and royalty to the government of Rajasthan around INR4,200 crores, which is 35% of total royalty income of the Rajasthan State Government.

During the year, we delivered one of the best total shareholder return in the country of 68%. This is 13x of Nifty 50 returns and 7x of Nifty Metal Index. I'm proud to share that Hindustan Zinc is among the top three companies in Nifty Metal index with a market cap of approximately INR2 lakh crores. On an overall basis, it has improved its ranking from 62nd in March '24 to 39 as of March '25 and in terms of market cap.

Hindustan Zinc is also the highest market cap company among its global zinc players. Furthermore, with the company's recent inclusion in the F&O segment on the NSE, the company's daily turnover has grown significantly, which opens ample opportunity for fur ther value creation.

Coming to the outlook on Zinc COP, it's expected to stay around $1,025 to $1,050 per ton during the year, coming down with the increasing renewable power usage, which is expected to grow to 30% to 35% versus 13% in FY '25 and better production volume. The overall capex for the growth capex projects, which is approved till now is expected to be in the range of $225 million to $250 million. Please note that with any further growth projects approval by the board, the capex guidance will change.

To conclude, Hindustan Zinc's robust financial performance, fundamentals, structurally leaner cost base, strategic capital discipline and leadership in critical metal, position us to outperform throughout the commodity cycles. Our resilience is not by chan ce but by design. As we contribute to prioritize stakeholders' value, sustainability and returns, we are confident in our ability to lead the industry and deliver consistent superior performance across all market environments.

With this, I now hand over to the operator for Q&A

. Thank you.
Moderator: We'll take the first question from the line of Amit Dixit from ICICI Securities.
Amit Dixit: Congratulations for a good performance. I have two questions. The first one is actually on the guidance, particularly for cost of production and silver. So , if I look at cost of production guidance for FY '26, that is higher by $50 per ton compared to Q4, I mean, at the lower end of the range. So just wanted to understand the reasons for the same. Do you expect any element of
 cost to rise? Or what is the thinking that goes ahead? Because our production, we have guided it will also rise. So just wanted to understand that particular aspect.
The second bit on guidance is on silver volume. Now silver volume, if I compare it with FY '24, I'm not comparing it with FY '25, we see that the guidance for FY '26 is lower than the actual volume achieved for FY '24. So is it that we will be doing more o f zinc this year and less of lead and silver at this stage? That's why the guidance hasn't kept this way?
Sandeep Modi: Thanks, Amit. So coming to the cost, I think that it is better to always look for the full year, $1,052 and compare with that. Q4 has a -- you see the best -ever production of the 310 kt of the metal with a 7.85% grade. Obviously, the grade in the quarter 4 has been significantly higher compared to the full year of 7.5%. That's a major reason. And if I compare with the year -on-year, we are doing the guidance. So this year also, we delivered the lower end of the guidance. I'm sure you can expect a similar kind of delivery at the year -end.
The major driver for cost reduction will happen with the renewable energy, as I said, 13% to 30%, which will take cost around $10 -$12 lower and also the volume. Obviously, that has remained a positive element of surprise at the year -end when the cost and every quarter when we deliver.
Coming to the silver guidance, FY '24, we've run almost a whole year o f the pyro on the lead mode, so that's how you see the silver number much higher compared to the FY '25. And this year's number, 700 to 710 number which we have given is assuming at this point of time, producing more zinc as you said rightly, with the zinc and lead mode for the whole 12 months.
Amit Dixit: Okay. Great. And the second one is actually a very interesting comment you made on implementing an innovative technology for recovery of lead and silver from smelting waste at Dariba. So can you throw some more light on this innovative technology and if we are successful at Dariba, will it be extended to the other parts of the company as well?
Arun Misra: Yes. This is a new technology, which is to recover lead and silver cake from jarosite instead of doing it in the fumer route that we do, where we take the weak acid leaching residue into fumer, burn that to produce the oxides and then the sulfates and all that. So instead of that, this will be a cake that will be produced. And it's a direct process, and we will do that in Dariba and once it is successful, it will for m the future of all fuming processes in Hindustan Zinc. So we will have this imp lemented everywhere, and we will not follow the typical process of fumer that we have now.
Amit Dixit: Just 2 subparts here. One is that since you mentioned that it will be instead of fumer and it won't involve burning and also will it be more environmental friendly in that case?
Arun Misra: Yes, yes, it will be more environmental friendly, absolutely correct.
Amit Dixit: And can you just repeat the number that you mentioned in the prepared remarks on the additional volume of silver that we expect?
 Sandeep Modi: So I think for the FY '26 guidance, we have not factored anything outcome of this technology
because we have to app

reciate this is the first time out of the European side, we have first time implementing and we don't want to have any negative surprise late r on. So let us keep that positive element in our hand. And in case this technology becomes successful, we can achieve whatever the numbers we have sent in the IR deck around 2 7 ton of the silver and 6 Kt of the lead on an annual basis. But o f course, the results will come in the Q4 only when we got to know.
Moderator: We'll take a next question from the line of Manav Gogia from Yes Securities.
Manav Gogia: First of all, congratulations, sir, on the good performance for the quarter. So , I wanted to ask one particular question on how should we see the power cost going forward? We have mentioned the increase of renewable energy in the share, what would be that percentage for Q4, where we stand right now?
Sandeep Modi: So Q4, it was around 15%. And as I said, for full year, for the next year, we are targeting 30%.
So, power cost, it is a way to look at. Power as a spend base will always remain 30% to 35%.

We will hedge because now the next phase of cost reduction, of course, the power has helped a lot. Further power cost reduction as an overall level will also happen through the power cost only. Here both numerator and denominator will go down.
So, with the 13% to 30% when we go through the renewable energy, $10 cost reduction should happen through the power cost itself. Of course, the domestic coal materialization has been almost 46% in the Q4 and a full year 44%. We expect to remain around 45%. So you can expect the $10 to $15 further power cost reduction at the full year level in FY '26.
Manav Gogia: Got it. Got it. And sir, can you just provide me the split of the percentage of domestic coal that we have in our coal mix right now?
Sandeep Modi: For the full year, it was 44% and quarter 4, it was 46%.
Manav Gogia: Okay. Okay. Sure, sir. And sir, secondly, for the zinc alloy plant, can you give me the generated EBITDA for this particular quarter and the PA ?
Sandeep Modi: So, for the full year basis, we generated EBITDA of INR100 crores for the Hindustan Zinc Alloy Private Limited. And with the overall production of 10 KT. So at a full capacity, when we run the next year, the plant capacity is 28 KT and this year, it was the part operations. And that at the full year, it should be around INR250 crores to INR275 crores of the EBITDA at a full capacity.
Moderator: We'll take our next question from the line of Pallav Agarwal from Antique Stock Broking.
Pallav Agarwal: Just want to check what was the strategic hedging gains that were booked during FY '25 and whether we have any more outstanding hedges right now?
Sandeep Modi: So we booked INR150 crore during the whole year. At this point of time, there is no outstanding strategic hedging position.
 Pallav Agarwal: Sure, sir. And also, just coming back to, again, cost of production. So I think you've been the
sensitivity levels, and we have seen that both zinc and lead spot prices have been weak of late. So current spot price is below the FY '25 average levels. So as suming this continues, can our cost savings offset the negative impact of lower LME prices?
Sandeep Modi: So cost of production have, in our case, if you see the major cost of fixed cost is around the O&M and other things, manpower. And the commodity -linked prices are like power cost what I said in terms of the coal cost. So coal cost is also going down. So we expect that if that kind of things continue there is a further room to reduce the cost by $25, $30 in terms of the cost.
At current level of LME, we believe it's more like a volatile environment even within the month of April of 23, 24 days, LME working days of 18, 19, we have seen a plus/minus $250 -- so it has gone around $2,550, also it has then jump

ed around $2,800 also. I think more of a volatile environment. In our view, stable prices should be remaining around $2,800 to $2,900 for the zinc, lead around $2,000 to $2,050 and silver, I think, is quite bullish currently $33 -$34, may go $37-$38.
And the cost of production will keep working upon that. And we believe that lower end of the guidance because it is just the start of the year, I want to keep the numbers hold $1,025 to $1,050.
But of course, the reduction in the commodity input cost majorly on the coal, met coke and diesel, if the diesel price is flo wn to us because there is a quantity restriction in case of the coking coal by Government of India; for the crude, of course, it has fallen, but the prices have not been passed on to consumer. So these 2 large commodities, we are not able to get passed on. For the coal, which has gone the index down, we are able to get passed on benefit.
Pallav Agarwal: Sir, lastly on silver, we had a target of 1,000 tons. So what is like is it grades? What is hampering our ramp -up to that 1,000 ton level in silver?
Arun Misra: So at a production plan of 1.2 million tons in our internal workings, we said that we'll be close to 750 tons of silver. So while 1,000 tons silver -making capacity we are anticipating or we are trying to execute in our Pantnagar plant was with the assumption that this metal -making capacity will go up to 1.5 million tons. So those are the kind of numbers we have thought of. The reality is we are at around 1.1 million tons tons metals.
And in that case, anywhere between 680 to 690 to up to 725 tons of silver is possible depending upon the grade that we mine. Last year, we encountered inferior grade in SK mine and which is reflected in the silver production. Next year, we'll be producing more of zinc looking at the LME and likelihood of the LME remaining at 27 00, 2800 kind of a number. And then silver should be around 710 tons, 720 tons.
Moderator: We'll our next question from the line of Shivani from Dolat Capital.
Shivani : I just had two questions. So by when should we expect production to come from Bamnia Kalan mine? And another one is how do you see the price going forward considering the U.S. trade war?

 Sandeep Modi: Bamnia Kalan currently development is taking place in terms of portal formation and all that.
So it will take another 2 years' time, so roughly about 24 months for the mineral to be struck and first production to come. Second was, what was the question?
Price is -- yes, current situation, yes, this trend will continue for a couple of quarters till the time the world supply chain in the new order or restore to old order happens because of various tariff negotiations or countries joining hands to set new ar ea to business with each other. So I think that's a very changing space, changing almost every day, every hour.
But as far as we are concerned, we are primarily a domestic player, and Indian growth by 5%, 6% will remain. As long as the tariff or the economic situation does not impact overall prices of fuel or coal, we are safe as far as our cost is concerned and as far as our volume or ability to sell is concerned.
Moderator: We'll take our next question from the line of Raashi Chopra from Citigroup.
Raashi Chopra: Just to understand on the cost, I may have missed it. On a sequential basis, the improvement, you also see an improvement in the coal prices or this was more metal grade and better volume sequentially?
Sandeep Modi: There was both combination. So 2/3 was on account of the metal grade and 1/3 was on account of the commercial efficiency in case of the coal and other items.
Raashi Chopra: Right. So coal prices were also lower sequentially?
Sandeep Modi: Yes, yes.
Raashi Chopra: Okay. And the hedging gains that you mentioned, how much of them were recorded in the fo

urth
quarter?
Sandeep Modi: So on the full year basis, it was basically -- so fourth quarter is around INR55 crores.
Raashi Chopra: Okay. My next question is on the capex . The total capex I think was about INR4,300 crores, right, for the year?
Sandeep Modi: For the year. Yes, yes. Total growth capex and sustaining capex put together INR4,300 crores.
Raashi Chopra: Okay. So how do you break that up between the growth and sustaining?
Sandeep Modi: So growth capex was around INR1,500 crores, a remaining INR2800 crores was sustaining capex .
Raashi Chopra: And sustaining should continue on to the next year...
Sandeep Modi: Yes, sustaining should be in the range of INR3,000 crore to INR3,200 crores on an annual basis.
Moderator: We'll take our next question from the line of Ashish Kejriwal from Nuvama Institutional Equities.

 Ashish Kejriwal: Is it possible to share our average coal price and sulfuric acid prices in fourth quarter or at least
now the change which we have seen on a quarter -on-quarter basis?
Arun Misra: While acid is a recovery that we do, perhaps it will not be proper for me to share the exact price here. But we can say we always benchmark with the ADNOC prices on the sulphur and we follow that model. And yes, it's competitive in the market.
Sandeep Modi: Yes. We do in the auction basis. So as I said, we use more like now selling anything through auction. So everything getting discovered through auction, we got from the market accordingly.
Ashish Kejriwal: So what's the change, sir, I'm not asking for the absolute number, but is it possible to share how much price increase we have witnessed in sulfuric acid? And how much price reduction we have seen in coal in this quarter versus third quarter?
Sandeep Modi: So from the acid, I don't think we'll be able to share. It's not a standard disclosure. Coal prices have fallen by 2% to 3% in terms of the overall power cost I talked about, our overall power cost has fallen by 3% compared to quarter -on-quarter.
Ashish Kejriwal: And entire fall is because of coal?
Sandeep Modi: Largely on account of the coal.
Ashish Kejriwal: Okay. And second, for last 6 months, we have been saying that we are preparing for the next phase of growth where we plan to expand our mine metal from 1.2 million tons to 1.5 million tons and then 2 million tons. But we haven't heard anything of that. So by when we can expect some announcement or is it too early to comment on that?
Arun Misra: So 2x design, we are absolutely aggressively working on it. And first, it will see -- there are 8 mines, so while we are preparing the design right now, we have almost frozen design in 2 of the

largest mines, which is Agucha and SK mine. Then we'll now ext end the design onto the balance mines, which is Rajpura Dariba and the 4 mines in Zawar.
Now of that, almost we are ready with the numbers between Agucha expansion, corresponding concentrate plants and corresponding smelter. There, a few loose ends have to be tied up, and we should be finally doing it in a month's time, take board approval and then go public and announce the number for the first phase of that 1 million ton expansion work.
That does not mean that other works are not happening. It will be in a time span of, say, 15 days to 1 month from one announcement to another. We hope that in 3 to 4 months of time, we complete all the announcements related to 1 million tons.
Ashish Kejriwal: So we are moving ahead to 2 million tons, and we can expect an announcement related to that within next quarter?
Arun Misra: Correct. Correct. Absolutely.

 Ashish Kejriwal: Okay. So even after that, do we think that we will have our mine d metal or mine reserves, which
normally we have 25 years plus. So

are we working on those lines also to maintain our mine
reserves for...
Arun Misra: Absolutely. We are in the process of global tendering, going for global exploration agencies to help us to increase the resource base and actually double the resource base that we have currently.
Ashish Kejriwal: And sir, lastly, in any case we are going for a huge capex then? And then is there any capital allocation policy that beyond some net debt to EBITDA or something that will not go ahead with it?
Arun Misra: We could look at it, like I said, our operations, as we have seen consistently also a huge cash producer. So this kind of expansion is almost commensurate with our ability to produce cash.
So there is no worry on that count at all.
Ashish Kejriwal: Okay. No, because why I'm asking you because we normally give higher dividend also. So both these will do one to hand.
Arun Misra: As long as we are able to produce cash, as long as we can face the expansion, that is not that we wait for, neither we wait for a whole 2 million ton design to be over or nor we wait for whole 2 million ton expansion to be completed. So there will be one part will come up very fast.
Whatever is the low -hanging f ruit, we will catch it as fast as possible. So we'll generate the delta cash that is required to fund the project and also in case the Board so decides how to keep the shareholders happy, we'll take care of that as well.
Ashish Kejriwal: That's great. Lastly, only when we are saying 1 million to 2 million tons, it will be in phases. So from 1.2 million, can we expect 1.5 million first and then 1.8 million or something?
Arun Misra: You are spot on. First one is 1.2 million to 1.5 million. That announcement we should make very quickly.
Moderator: We'll take our next question from the line of Jainam Shah from Indsec Securities and Finance Limited.
Jainam Shah: Congratulations on the good set of results. My question would be that in the opening comments, you said that zinc will be in deficit going forward, right? But recently, we saw the zinc outlook by international zinc study group, and they said that it is goi ng to be in surplus. So just wanted to understand what is your theory and how that deficit is going to be for FY '25?
Arun Misra: No. See, the production centers of zinc production as a mined metal, production center as a finished metal in terms of stand -alone smelters and integrated smelters and consumption centers where the growth of emerging economy, the growth of steel is require d. We are basing our calculations based on India's ambition to have 300 million tons of steel production. You must have heard one of the largest Indian steel maker making an announcement in Maharashtra, they will put up world's largest steel pl ant, right, not even India's largest, world's largest steel plant.

 So we believe that in another 2 to 3 years' time, at least projects worth 300 million tons steel will be launched in India. That would require the 2 million tons kind of a demand for zinc plus lead in India itself. So we want to capture that opportunities. And hence, we are very bullish as far as demand for zinc is concerned.
Globally, if you look at geographical area wise, that imbalances will continue. So we are not so much targeting that we produce and sell in other parts of the globe. We are completely focused

in domestic India. Maybe our nearby growth centers in Southeast Asia, up till Middle East , but otherwise, we are very bullish as far as demand of zinc in India and in nearby areas is concerned.
Jainam Shah: So sir, your deficit is based on India as a whole as a standalone, right?
Arun Misra: Correct. Correct.
Jainam Shah: Okay. And also, sir, on silver, we basically have a very lower guidance when it comes to silver sales and production. Why is that, if you could just give an idea?

Arun Misra: This was a factor of production strategy based on the metal prices, at the same time the grade of the ore that we mined. So year before last we operated mostly on lead mode. Hence, we produced highest amount of silver. Last year, we operated quite good tim e in lead plus zinc mode and also we encountered lower grade in the SK mine. So this year, we are slightly conservative on that count, and we are putting the numbers around 700 tons.
So we will see if we really encounter good grades. But this year, the change in strategy, the whole year will operate in zinc plus lead mode. To that account, silver production will also be affected. But if the metal prices vary differently or we hit very high grades in SK, we may change our strategy midway.
Jainam Shah: Okay. Understood. And sir, just like to answered the previous participant when you were saying that they're going to go from 1.2 million to 1.5 million. Can you specify a time line for that?
Arun Misra: No, no, as I said, that 1 -million ton expansion maybe all announcements because these are designs that are happening in part by part, one mine is getting designed or smelter modules are getting designed. Maybe announcement will phase out between 2 to 3 months to complete 1 million -ton announcement. As I look at the project implementation effort versus ease of implementation metrics, then 1.5 million ton is the next best option, most economic option to do followed by other expansions.
Jainam Shah: So can we assume that by FY '27 end, we'll be able to reach at 1.5 million tons?
Arun Misra: At '27 end, let me put it this way, say, another 1 month, if I'm able to make the announcement and place orders, then yes, another 24 months for completion of the project. So that could go up till '27, '28 March or so.
Moderator: We'll take our next question from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: Sir, first question is to reach 1.2 million tons in terms of mine metal production, what is the constraint? Because since long, our capacity is now 1.2 million ton but our production guidance

 is still well below that. This year also, we are almost 10% below that. So just want to understand what is the constraint, is it on the smelting capacity? Or is it the grade or some other factor?
Arun Misra: No, just smelter capacity. Mine metal -wise, you look at consistently in a few years, and the last quarter, we have demonstrated 300 KT production of mine d metal. So there's no doubt in that. It's just that every year, we have finally settled with huge stocks of mine d metal. Whereas finished metal, our design capacity is about 1.123 million tons, on the smelters, the debottlenecking, we say that we do once the mines achieve that capacity, those debottlenecking projects are on. And yes, by the nex t year, we should be there in 1.2 million ton metal exit capacity in next fiscal year itself.
Sumangal Nevatia: Okay. So in the past, you've also sold mine d metal rather than just refined or...
Arun Misra: No, no, we have never sold. I am not talking very, very long, but I am here for 5 years. I have never sold.
Sandeep Modi: So maybe it's 10, 12 years back, and we are not in the business of doing this. So we always want to remain integrated player.
Sumangal Nevatia: Understood. Understood. Sir, can you remind us how many -- which all mines and what proportion of today's production will be coming up for reauction in FY '31?
Arun Misra: You are saying 2030 mine lease and the auction of the mines?
Sumangal Nevatia: Yes, that's right sir.
Arun Misra: I think Sindesar Khurd mine is still 2048. Rest, I think 204 8 is SK mine, Kayad is 2048, rest all mines RD, Agucha, Zawar are at 2030.
Sumangal Nevatia: Okay. And sir, the next phase of expansion, will we be spending and working on capacity expansion at the

mines which are expiring in '31?
Arun Misra: Nothing is expiring. In our min d, all the mines are with us and will continue to be with us and hence, we'll spend.
Sumangal Nevatia: Okay, sir. So we are of the view that we will be able to retain the mine given the option of first right of refusal. Is that the right way to understand?
Arun Misra: Whichever way you understand they will remain with us.
Sumangal Nevatia: Okay. So because it is -- I mean, if you can get -- give us some more clarity on the thought

process because this is a very substantial development.
Arun Misra: 1 kilometer below ground, we have invested, developed the mine. Is that possible for us to let it go or anybody else to come and just take it over and operate? Not possible.
Sumangal Nevatia: Okay. Okay. So do we expect any change in policy or we are confident of retaining it by matching the bid -- higher bid?

 Arun Misra: As on date, we are confident. And as I say, fortune favors the brave, who knows.
Sumangal Nevatia: Okay. Okay. And can you share what is the change in royalty we are anticipating in our internal estimates when we are kind of spending or working towards expansion at these mines?
Arun Misra: No, we are far away from that. We are planning everything as we stand today. We are not factoring in royalty increase and things like that.
Moderator: We'll take our next question from the line of Prateek Singh from DAM Capital.
Prateek Singh: So as a policy, given the volatility that we're seeing right now in commodity prices, and you said that 28 00 and the 29 00 of zinc is something which you see coming or you're comfortable with.
If you see that kind of a pricing, would we be open to hedge again opportunistically or hedging is out of the question right now?
Sandeep Modi: So it will all depend upon -- it's a dynamic situation. So -- and we have been always agile. We don't want to be -- there's no -- at this point of time, it's only all like what we say is opportunistic, which we say strategic hedging. And given our EBITDA m argin of 53%, 54%, even I take the LME of current LME, that also gives me 51% of EBITDA margin at an overall Hindustan Zinc level.
So I think we'll remain opportunistic and see what level we should do. But of course, we would be -- not be too much aggressive about it. We will go in line with the market and whatever market and other feedback comes to us, but we remain open for it.
Prateek Singh: Understood. And just hypothetically from your experience, if you really want to hedge, what kind of quantity can you hedge maximum? I mean, obviously, you cannot hedge, there's a cap on how much you can hedge. So from your experience, what kind of quantity we can hedge if we really want to?
Sandeep Modi: 15% to 20%, not more than that.
Prateek Singh: Understood, sir. And is there hedging instrument for silver as well?
Sandeep Modi: We remain plain vanilla forward option.
Prateek Singh: Okay, understood. And sir, so we have seen gold move up a lot. Silver also kind of is considered a store of value like gold. Along with that, the industrial application of silver is also quite decent.
So in your view, what is it that's holding silver behin d? I mean, why is it not following gold, the gold to silver ratio is at all -time high now. So what is it that is holding it back?
Sandeep Modi: So I think you are the best people who knows about researching. But in our view, silver should be also crossing in a way the gold has been there. It's only a timing issue. There is no new silver mine is coming globally. Silver consumption has increased sig nificantly in the industrial uses.
So we believe that gold has already rallied and it is now the turn of the silver. So silver should also rally in a similar manner.

 Prateek Singh: And my last question is on Roaster. So is my understanding correct that there has been a delay.
I think at the last call, it was supposed to come mid -Feb, now we are saying mid -1Q?
Arun Misra: Yes. We can say technically a couple of months delay, but we took in very aggressive position.
It's not what the suppliers are telling that when they can commission. We always make them run 3, 4 months ahead of what they commit. So to that account, we are putting a pressure on, but yes, we'll be very happy if it starts production from maybe by May 10th or 12th.
Moderator: We'll take the next question from the line of Aditya Welekar from Axis Securities.
Aditya Welekar: So just one question once again on the saleable silver production guidance of 700 tons to 710 tons. So is it fair to assume that in '27 and post that, this level will be a sustainable level or it can fall or it can rise to 800 million tons, means depending upon the Zawar mine silver grade. So if you can throw some light on that?
Arun Misra: No, you have already answered it. So it will rise. You have answered correctly that the more Zawar expense will get from Baroi mine, good silver concentrate from Zawar. SK mine will expand. In that 2 million ton program, we'll get more good silver content. Agucha, as we go below now in the further expansion at many zones, we will cut the Galena zone, and we expect

that at the Galena, it will be full of lead and silver. So we'll get more silver out of there. So ye s, we are very hopeful in that 2 million ton expansion plan, we should be hitting 1,200 -1,300 tons of silver.

Moderator: We'll take our next question from the line of Shreyans from Barclays.

Shreyans: My question is on the dividend policy. Do we know when does the Board sit for the next announcement of dividends?

Arun Misra: No, we only know they only have the sole power for declaring dividend.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Raksha Jain for closing comments. Over to you, ma'am.

Raksha Jain: Thank you, operator. Thank you, everyone, for joining us today on this call. If there are any follow -up questions or any clarifications required, you can reach out to the Investor Relations team. Thank you.

Moderator: Thank you, members of the management team. On behalf of Hindustan Zinc, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Sensitivity: Public (C4)
HZL/202 5-26/SECY /34 June 23, 202 5

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication

Scrip Code: 500188 Trading Symbol: “HINDZINC”

Dear Sir/Madam,
Sub: Trans cript of Investo r Conference Call

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find attached herewith the transcript of the Investor Conference call held on Tues day, June 17, 202 5, regard ing the Company ’s 2x Growth Project Announcement .
The same is also available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .
You are kindly requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Aashhima V Khanna
Company Secretary & Compliance Officer

Encl: as above

“Hindustan Zinc's 2x Growth Project Announcement
Investor Conference Call ”

June 17, 2025

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER ,
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER ,
HINDUSTAN ZINC LIMITED
MS. RAKSHA JAIN – DIRECTOR INVESTOR RELATIONS ,

 Moderator : Ladies and gentlemen , good day and welcome to Hindustan Zinc Limited's Investor Call. As a reminder , all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded . Participants connected on webcast link may change the quality settings to 108 0p to watch the proceedings on best quality.

I now hand the conference over to Ms. Raksha Jain – Director (Investor Relations) of Hindustan Zinc Limited . Thank you , and over to you.

Raksha Jain: Thank you, operator. And good evening, ladies and gentlemen. Thank you for joining us today at short notice to discuss this Special Announcement on the 2x Growth Project .

In this call, we will refer to our Investor Presentation available on our Company's website. Please note that today's entire discussion will be covered by the Safe Harbor C lause mentioned on Slide #2 of the Presentation .

Today we have our CEO – Mr. Arun Misra and CFO – Mr. Sandeep Modi for discussing the details of the announcement followed by a Q&A session.

Now I woul d like to invite Mr. Arun Misra to present the results. Over to you, sir.

Arun Misra: Thank you, Raksha. And a very good evening to all of you. We appreciate you joining us today on such a short notice as we share an important update in Hindustan Zinc's growth journey , one that will strengthen our standing as the world's largest integrated Zinc producer .

Turn to Slide #3. As you all know, we are the world's largest integrated Zinc producer and one of the lowest cost producers globally. We are also among top 5 silver producing companies in the world. As we continue to progress on our net -zero journey, we have been recognized for the second consecutive year as the most sustainable company in S&P Global CSA 2024 among metal and mining compa nies worldwide.

Slide #4. We take pride in owning a Tier-1 irreplaceable asset base that solidifies our leading presence in the Indian market. Our Rampura Agucha mine stands as the world's largest underground mine, while our Sindesar Khurd mine ranks among the top five silver -producing mines globally. This strategic advantage not only ensures our long -term growth, but also strengthens our position as an industry leader.

Turn to Slide #5. Zinc and silver as vital elements in clean energy storage and sustainable technologies are driving the global energy transition. Recognizing the crucial role in the green revolution, Hindustan Zinc takes pride in leading the way towards a more sustainable future.

 On Slide #6, thanks to advanced exploration programs and strategic resource -to-reserve conversion, focused on sustaining a 10 -year reserve mine life , we have for the first time since transitioning to underground mining surpassed 13 million tons of metal reserves at the end of March, net of production. Our total reserves and resources stand at 453.2 million tons of ore with an overall mine life exceeding 25 years.

Slide # 7. India is rapidly emerging as the fastest growing economy and is firmly committed to transitioning towards a green future. This growth is driving a surge in the demand for supporting infrastructure, which in turn is boosting the construction, manufacturing and related sector, ultimately driving steel consumption.

Slide #8. Over the past two decades, the country has experienced an impressive 7% compound annual growth in steel capacity. Looking ahead, the Ministry of Steel projects steel capacity to reach 300 million tons by FY 203 0. This expansion in steel capacity and demand wi

ll naturally
drive a corresponding rise in Zinc consumption, fueled by its use across various sectors including renewable energy, construction, automotive and manufacturing.

On Slide #9, the growth of the steel industry offers a significant opportunity for Hindustan Zinc to expand its capacity and meet the rising demand. Historically, our production growth has closely aligned with the increase in domestic steel production, enabling us to remain a strong domestic primary zinc market share consistently between 75% to 80%.

To continue this legacy of playing a vital role in national building and ensuring India's self - reliance in zinc, Hindustan Zinc has, as highlighted in previous quarterly earnings call , embarked on a journey to double our capacity to 2 million tons per annum by 2030 where our long -term target is to achieve 2 million tons of capacity by 2030, with silver capacity to increase to 1 ,500 tons per annum . This growth will be supported by all the mi nes together by increasing the overall

ore production to 31 million tons from the existing 19.3 million tons.
On Slide #10, as the first step in this commitment, I am excited to announce that our Board has approved plans to expand our integrated refined metal capacity by 250,000 tons per annum along with corresponding increase in mine and mill capacity with an investment of approximately Rs. 12,000 crores.
This expansion includes establishing a new smelter with 250,000 tons per annum capacity in Debari along with a leaching and purification plant, a cell house and an additional 150,000 tons per annum Roaster . With these additions, our overall metal capacity will rise to about 1.379 million tons per annum, while mining capacity will increase to 1.5 million tons per annum to align with the smelting capabilities.
The plan also involves a new 2.4 million tons per annum concentrator and several de -bottle necking projects to boost capacity and enhance mining infrastructure. Leveraging state -of-the-art exploration technologies and a focused resource -to-reserve conversion approach, we will
 continue to expand our reserves and resources base to support this growth, ensuring a min e life exceeding 25 years even after expansion. As we advance on our 2 x growth journey, you can expect more announcements throughout the current financial year.
In closing, I want to reaffirm our unwavering commitment to driving sustainable growth and strengthening India's self -reliance. With strategic investment, cutting -edge technology and a clear vision for the future, Hindustan Zinc is well positioned to lead industry while contributing meaningfully to the nation's progress and global energy transition. We are excited about the journey ahead and confident in our ability to shape a stronger, most sustainable future for the company, for our shareholders and for t he nation.
With this, I now hand over to Sandeep for further updates.
Sandeep Modi: Thank you, Mr. Misra. And a very good evening, everyone. Once again, thanks to join at a very short notice.
As Mr. Misra highlighted, this marks a highly anticipated milestone for the market, signaling the beginning of an exciting new chapter for our company, Hindustan Zinc . Through this expansion, we are not only stepping up to meet the country's growing needs in energy transition but also enhancing our EBITDA while consistently maintaining our industry leading margins of around 50%.
You may refer to Slide 11, which outlines the projected increase in revenue and EBITDA to approximately Rs. 40,000 crores and Rs. 21,000 crores respectively with 250 KTPA and Rs. 60,000 crores and Rs. 34,000 crores with doubling the capacity as planned.
Our core focus remains disciplined capital allocation, long -term value creation and delivering strong returns to our shareholders. As one of the top 10 wealth cr

eators in the NIFTY 200 and among the highest dividend yield companies in India, we are committed to continue this performance.
Looking ahead, over the next five years, our free cash flow pre -project CAPEX should be around Rs. 50,000 crores and similarly amount for the profit after tax cumulatively on a conservative basis in a steady phase. It will be driven by a plant production growth outlined in our FY ’2 6 guidance and the cost of production around $1 ,000 per ton. This will be further supported by 70% renewable energy usage by FY ’2 8 as committed earlier , enhancing domestic coal sourcing, economics of scale, digitalization, automation and operational efficiencies improvement . The newly approved 250 KTPA project will also begin generating cash accrual from its 4th year post zero date .
On the investment front, our estimated capital expenditure for doubling the capacity over the next five years should be st and between Rs. 32,000 -35,000 crores in a phased manner and will be funded through a mix of debt and equity to improve the overall equity IRR, given that our
 project IRR is much higher than our borrowing rate . It also makes us confident to continue to follow dividend policy of the company subject to the Board approval.
In conclusion, Hindustan Zinc is entering a transformative phase , one that aligns strong business fundamentals with national priorities and global sustainability goals. With a clear roadmap, disciplined execution and a solid financial strategy, we are well positioned to unlock long -term value for all stakeholders.
With this, I now hand over to the operator for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Vikas h Singh from Phil lip Capital. Please go ahead. Mr. Vikas h

Singh ?
Vikash Singh: Good afternoon , sir, and thank you for the opportunity. Sir, the first question regarding this 250 KTPA, what is the zinc versus lead mix and if you could give us the timelines for the completion of the project as well ?
Arun Misra: This is fully zinc . This is fully zinc. It does not have lead. And this is the first part of the whole 2-million -ton expansion. When we come to the second or the third part, we will be addressing the expansion in lead also. So , this is fully zinc , and it will take about 36 months as per the contract goes from placement of order or mobilization till commissioning.
Vikash Singh: So, is that the reason why our silver capacity is not increasing in a proportionate manner?
Arun Misra: No, but there is a silver lining in this project also, because this project will have its own fumer. So, that fumer will add whatever between 25 to 30 tons of silver from the silver that comes along with zinc metal in concentrate.
Sandeep Modi: Just to add, as part of the overall 2x plan, we are going to have a silver from 800 to 1 ,500. So , as we have been earlier saying, it will be coming in the phases. It is the 1st Phase which has been announced. And silver will come with the lead production doubling. So , as of now, with the matching capacity, we have also increased the MIC capacity as well. And with that MIC, lead production will also be there. So, you may see in the next quarter, as we announce for the lead smelter or zinc smelt er, until we reach . So, our target is to remain in the next three to six months , we close all our feasibility and announce all the projects to take the 2 million 2x so that by next 3 to 5 years, by FY ’ 31, we go with the exit capacity of 2 million ton of the total metal and a 1,500 ton of silver .
Vikash Singh: Sir, my second question, given that we have this Rs. 12,000 crores CAPEX and you are saying that in the next few months we will look for a 2 million ton , that means our CAPEX could be ranging fro

m 40 ,000 to 50,000 easily. So, 10,000 to 15,000 crores annually. How should we look at funding of this CAPEX and the dividend payment expectation going forward?

 Sandeep Modi: So, as I have been saying, this project will be basically over the 3 to 5 years. And from the 4th year, this 250 KTP A project will also start giving the free cash flow and the EBITDA. So , if you look at all these things in a steady phase, even the last year we generated before the growth CAPEX Rs. 11,000 crores and if you just multiply at a steady phase with the increase in volume because without the growth CAPEX also every year we are improving our production through the small de -bottlenecking and operational efficiency by 3 % to 4%. And the cost has also seen a significant reduction. With all this thing , we are comfortably projecting that Rs. 50,000 crores of the project free cash flow before the CAPEX should be able to generate in the next five years as a commodity basis.
Coming back to the growth CAPEX , of course, as I have covered in my talk track also, we are not averse to be a , because given our project IRR are significantly better than our borrowing rate. So , to improve the overall equity IRR from the shareholder perspective, we will go for the partly funding through the debt and partly through the internal accrual. I think this leaves the room for the shareholders subject to, of course, from the Board approval for the rewarding the shareholder as per the dividend policy.
Vikash Singh: Sir, just one small clarification. We have seen that in the past this smelter cost has not been that high. So , given the Rs. 12,000 crores kind of the CAPEX , is our mining side has been a little bit more expensive , if you could give us some insights into it?
Sandeep Modi: So, this is the way to look at. So, as far as smelter is concerned, CAPEX cost is $2,500 per ton , okay, for the 250,000 capacity . And if we compare this with the global benchmark, which goes around $3,500 per ton, so we are significantly lower compared to the global benchmark. And if you add the mining capacity, for that mining and smelting put together, you will have to go back to what Hindustan Zinc used to do 10 years or 15 years back when the mining and smelting, everything got added. If I take all the inflation and exchange rate which used to be 45 at that point of time, we are still better than compared to those rates because th ere is no actually really comparable benchmark. Because every mine is very different, every expansion of the outside India, inside India is very different. What can I compare is the smelter. So, smelter CAPEX is a $2,500 per ton, which we are talking globally compared to $3 ,500 per ton.
Vikash Singh: So, roughly 5 ,.000 around for smelter and 7 ,000 towards the mining side. And which mine would be servicing this smelter?
Sandeep Modi: So, sorry, Rs. 6,200 crores is for the smelter and remaining 5 ,800 is for the mining. And the smelter will come at Debari plant.
Vikash Singh: That's all for my side. I will come back in the queue if I have further questions.
Moderator: Next question is from Amit Dixit from Goldman Sachs. Amit, can you please unmute your microphone and go ahead with your question, please?

 Amit Dixit: Hi, good evening, everyone. And thanks for the opportunity. A couple of questions from my side. The first one is if I look at the mining expansion, it is happening mainly at the RA Mines and Kayad . You have left SK alone and Bamnia Kalan alone. Is it due to that we are targeting zinc at this stage that we are targeting to exploit RA to its full potential of possibly near 8 million tons? And after this it seems that RA would be capped and the remaining expansion for the 2nd Phase would come from the other mines. Is it the correct understanding? Has it got the cost implication? Or what was the thought process behind pushing RA full throttle?

Arun Misra: No, s o all mines will be expanded, right? And first, the attraction always goes to RA because of the high grade. So , the first part is, get the easier part done . So, get the RA expanded along with its mill and put a smelter in Debari so that one line gets completed.

Now, the question is, next line, that should come in Dariba . Automatically, SK Mine has to be expanded. We will have to do lead also balancing because we can't only expand zinc. So, next announcement you will find we will be addressing zinc, we will be addressing lead , we will be addressing milling , we will be addressing expansion of SK , we will be addressing expansion of Zawar. And all min es will be expanded. It's just the announcement of phasing. First phase of announcement is this. And the 2nd Phase of announcement, maybe within 30 to 45 days, will be what will be the balancing part of the 2-million -ton project.

Amit Dixit: The second question is essentially extending Vikas h' question a bit here. You mentioned that the total CAPEX on the smelter would be $2,500 per ton compared to $3,500. Now we are going for EPC contracting here, as I see from the presentation, which by far is possibly the most expensive kind of format that we can have. So, I just wanted to understand the key drivers behind this lower CAPEX compared to the global peers because I am sure as Hindustan Zinc, you won't be compromising on quality or any such thing.

Arun Misra: No, we are not compromising on quality and EPC may look to be costly , but if you look at the timeliness of completion, the ease of working and in our experience the one -stop accountability of project delivery , then overall cost comes to be cheaper. So , that is number one.

Number two , you should also look at the expansion for the mine is not the same as what we were spending during movement from open pit to underground. So , we are not creating those wholesale surface infrastructures for starting an underground mine. Almost two -third of these expenses would in any case have to be incurred for continuing current mining operations. Only we would have done that maybe after three to four years. We are starting with that expenditure now.

So, in my opinion, we should look at two -third of the mining expenses had to happen in any case. We are just pr eponing to help this expansion. Otherwise, all the expenses we are making are in new mills, new milling capacity and new smelting capacity and little bit of balancing infrastructure like ventilation, like tailing disposal systems, etc. in the mines.

 Amit Dixit: So, going ahead for the 2nd Phase of expansion, that means the mining CAPEX would be relatively lower. Is it the correct understanding because you are advancing some of the expenditure?

Arun Misra: No, there is a new mine that has to be opened. So , that's why the design work we are still figuring out because , say, Zawar mine is a distributed mine amongst eight different mining blocks. So , we have to create facilities there. That may have some expenditure. Whereas SK Mine is fully matured mine. So , there may not be any surface infrastructure, but it will be mostly in the underground infrastructure that you have to create. So , we will come back with a number when we can. Only I am asking you to notice, to take note of the fact, that whether it is Zawar Mine or SK Mine, the money that we spend, we w ould be spending in any case to continue the production for next 10 years or 15 years. It's just preponing that expenses now to help us get the material in today's value, rather than getting the same material after 10 years.

Amit Dixit: Wonderful, sir. And all the best and congratulations for the much awaited expansion plan.

Arun Misra: Thank you.

Moderator: We will take our next question from the line of Amit Lahoti from Emkay . Amit, can you please turn on your microphone and go ahead with your question, please?

Amit Lahoti: Hi, thanks for the opportunity. So, if we see the zinc market in the last one year, there was some amount of supply tightness, which is now normalized. And the market is now back in surplus.

And second, there is indication that China could cut down on steel capacity at some point, which would actually widen the zinc market surplus. So , from that market point of view, it seems that our expansion feeds into a market that is already oversupplied . So, my question is how do you see the market balanc e from here , let's say, a view for the next one year and then maybe a view for next three years ? That would be really helpful .

Arun Misra: Surely , look at India's growth story. This is why I think we have presented in the initial part of the presentation , it is India's growth story , which is most important to us. Second, Government of India's announcement of 300-million -ton target of steel production in India. Also, the announcements made by some of the big industrial steel makers in India regarding the world's largest steel plant coming up in western part of India and all that.

If you look at that, yes, the steel market is bound to grow. And of course, India's per capita consumption of steel is nowhere close to per capita consumption in developed countries . So, there is no doubt that steel products, steel requirement in India is bound to grow. Manufacturing is to grow. And if that be so, then we have to produce more Zinc.

So, we are very confident of the domestic market. And also, our cost position allows us to ensure that nobody else in the world can compete with us in any geography that we sell. So, absolutely,

 market is not a constraint for us. It is only the production that we need to double and we feel we can do that very easily.

Amit Lahoti: Okay, but when I look at your slides, like you have highlighted 300 million tons of steel capacity in India by 2030, but it seems now it is a very ambitious target . So, realistically, you must have made some kind of adjustment to those capacities . So, accordingly, do you think that adding 2 million tons of capacity, basically going from one to two, will have that much of demand to take it up?

Arun Misra: All big businesses have proven time and again that they start with a very big bold vision, right? So, whether it was the first Reliance plant coming up in Jamnagar, that also the same question. I keep hearing these questions in industry circles, whether the manufacturing vision is supported by market. We have always seen that the customer demand, the marke t grows exponentially higher than the manufacturing capacity that grows. And always we should remember that our cost position allows us to ens ure that we can play into any market at any LME that is there.

Sandeep Modi: Just to correct that, the 2 million ton is not the whole of zinc. The zinc within that is 1.6 million ton.

Moderator: Our next question is from Shivani from Dol at Capital. Shivani, please unmute your microphone and go ahead with your question, please. Since there is no response, we will move on to our next question. Next question is from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Good evening , sir, and congratulations . So, just one clarification . So, we already were putting up a roaster at Debari . So, the output from that will feed into this new smelter. Is that correct?

Arun Misra: Yes, not the entire output. That roaster had some extra capacity . After putting up that roaster , that will get into this. Plus also, we have done the Calcine balancing in a way th

at we will add
one more roaster as De bari and with that this entire current capacity plus this additional 0.25 million tons will be served by Calcine . So, whole capacities are balanced as of now.

Pallav Agarwal: Also, you were mentioning that the IRR would be higher than the cost of debt. So, broadly, can you assume that there will be a 4 to 5 years payback if I assume current levels of profitability for 250KT. So, 4-to-5-year payback on this project would be a fair assumption?

Sandeep Modi: Post construction, you can assume that number.

Pallav Agarwal: Yes, once it is at full capacity.

Sandeep Modi: Yes, post construction and full ramp up, you can assume that number.

 Pallav Agarwal: Also then, how would the power requirements for this be met? Because we were targeting about
70% of RE (renewable energy). So, would we be going in for more RE tie -ups to maintain the share of renewable energy in the mix?

Arun Misra: So, current RE tie -up remains and we will surely look for better alternative whenever the further expansion, this capacity comes up. But if so, remember, we have got our own 500 Megawatt captive power plant intact with another 530 Megawatt or so renewable power coming in. And we are committed to reducing emissions, so we will do more tie -up with renewable power as and when we feel it right. Otherwise, on the power side, we have as of now no concern, apart from creating the infrastructure for the power landing there and being able to consume.

Pallav Agarwal: Lastly, if this is a more modern or a technologically better smelter, can a cost come down below $1,000 per ton, excluding royalty once these ramps up?
Arun Misra: Of course.
Sandeep Modi: So, cost can come down. The only thing there from the mining , so, I would say two parts. The mining cost , so, like smelting cost, as we have already said in the power plant, we have done the de-risking with the 25 years PDA . So, power cost is by and large firmed up. However, when you go deeper into the mines, that cost gets increased with you have gr ade variations in the higher infrastructure requirement, chiller operation, ventilation, many things are there . So, that cost is actually getting offset with the lower power cost and the smelting cost.
Pallav Agarwal: But I mean , the other corporate overheads , etc., with the increased volumes, so that should at least help the operating leverage part.
Sandeep Modi: At this point in time let us keep a $1,000 cost. Of course , we will keep continuing to work and to give the positive surprise to the market . And we have been giving the last year you have seen the lower end of the cost and this year you should see the similar trajectory.
Pallav Agarwal: That's it from my side.
Moderator: We will take our next question from the line of Shweta Dikshit from Systematix Group . Please go ahead.
Shweta Dikshit: Hi, good evening. Thank you for taking my question . Sir, a couple of questions from my side . So, firstly, following up on a question from the previous participant regarding the risk from China cutting down steel production and how it could globally impact the market. Even though we are confident of India volume demand to remain intact, but then because commodity prices are globally driven, right, then what are our t houghts on where the prices could be, and when we say Rs. 50,000 crores of pre-CAPEX cash flows, what is the Zinc and Lead price assumption that we are building in, arriving at this number?
 Arun Misra: See, if I address the demand portion first, I have been in steel for about 20 -25 years. I have been hearing China numbers going up and down 900 million ton to 700 million ton keeps fluctuating . So, let's not go too much in there. As far as India is co

ncerned, India's demand for steel is bound to grow because our per capita consumption of steel is far lower than compared to developed countries.
Prime Minister's vision for developed economy by 20 , fully developed status of this economy countr y's vision for net zero emissions , countr y's vision for continued expenditure in infrastructure , all that will result in more and more steel consumption. And that is 300 million tons of steel production ambition is there with Government of India. Private steel makers are announcing larger and larger capacity of steel plants, newer capacities getting co mmissioned. And we are very hopeful that we also need to gr ow to match with the growth in steel demand in India. And we are very, very confident that our domestic demand in India will remain intact. And nevertheless, whatever we have to export at our price, our cost is continually going down. We will continue to remain the lowest cost producer . So, we have no difficulty in getting a good profit margin even in the export market .
Sandeep Modi: So, as far as the Zinc LME and L ead LME is concerned, we have taken the latest consensus for the future year . So, it considers around the Zinc LME $2,650 for the year and then for the overall till 30 and then the CAGR of 2% and similarly L ead around $2 ,000 and silver at 34 . So, we have taken very , very conservative assumptions so that we have a good room to deliver better IRR compared to what we have been there.
Shweta Dikshit: Sir, sorry, I missed. What is the CAGR that we are building in?
Sandeep Modi: You have asked I think about the, what is the LME you have considered for the project purpose , correct , if I take your question right?
Shweta Dikshit: Yes, sir. No, the CAGR you mentioned…
Sandeep Modi: Yes. So, it's around $2,650 for the Zinc and $1,950 for the le ad and $34 for the silver. And this is naturally what are the consensus gives the market you get the 50 bankers participation . So, what are the inflation that has been adjusted from the nominal pricing point of view , that has been considered by year on year. The base prices are that 2 ,650, 1 ,950 and 34.
Shweta Dikshit: And i f I missed it earlier, what could be your annual CAPEX for the next three years ? A ballpark number.
Sandeep Modi: So, I think , at this point of time, this project has been approved . So, we have around fertilizer, the major CAPEX for which we gave a basis that a guidance was around $250 million for the FY '2 6. And with this CAPEX , we should be around this year $300 million more CAPEX over $550 million kind of a CAPEX number for this year. And the remaining , so I will say for this

Sensitivity: Internal (C3) Rs. 12,000 crores , the split is around Rs. 3,000 crores to Rs. 3,500 crores this year , around Rs. 5,000 crores in FY ’2 7 and remaining in FY ’2 8.
Shweta Dikshit: And sir, last question came across this EOI for the next expansion for around half a million ton of melted expansion. That is for the Andhra Pradesh region. So, what are the thoughts on going to the southern region for the next phase of expansion?
Arun Misra: No, that's a separate project. Not part of Hindustan Zin c project as of now. We don't have Board approval to talk about it. It's a balance initiative . So, when I do the V EDL Board meeting and after that I update , I will be able to explain it to you.
Moderator: We will take our next question from the line of Jainam Shah from Indsec Securities and Finance . Please go ahead.
Jainam Shah: Thank you, sir. Congratulations for this announcement. My question is about the silver production that we are going to be adding. In the presentation, we have said that we will be adding only 30 KTPA of capacity. However, our plan is to reach to 1 ,500. So, what would be the timeline going forward for the silver production and capacity?
Arun Misr

a: Silver production mostly will come from further expansion of SK Mine a s well as putting up the lead facilit y. Currently we are putting up this is only zinc facility. And in this facility whatever silver is there is along with the zinc . So, we will be taking it out through the fumer route . So, that is about 30 tons. Otherwise , most of it will come in the next phase of announcements where we will find large capacity of zinc smelting as well as l ead smelting and automatically that will have another 600 -700 tons of silver.
Jainam Shah: So, my next question is basically with this and this recent plan of 250 KTP A and the roster at Debari that we are basically adding, how much would be the total capacity after all these projects are commissioned?
Sandeep Modi: 1,379 KT will be the total metal capacity and that's the total capacity I think has been written in the investor deck . So, we have currently 1129 kT , with this 250 will be 1379. And we will keep doing debottlenecking because this Hindustan Zinc has been known that it's not like if we just put the 250 kT , we are going to 250 kT . Within this, debottlenecking can happen and 1,379 can become 1.4 million also.
Jainam Shah: And sir, the last question would be that we are looking at the silver prices reaching a record high and we have decided that pyro plant will basically be run only on zinc mode, sorry, zinc plus lead mode . So, any plans of changing that with silver prices reaching a record high? Any plans for that for this year?
Arun Misra: No, we will continuously evaluate depending upon the asset health as well as market and as well as availability of grades in the mines. So, the moment we are ready with the design, I am sure

Sensitivity: Internal (C3) we will be able to announce it. You should hear it from us in the post July Board meeting if we implement that or if we decide to implement that.
Jainam Shah: And just last one question . Just one more question. How much would be a total , I missed that number. How much would be our cash flow generation from this peak capacity that we will be adding total?
Sandeep Modi: So, overall 2 million ton capacity if you talked, it will be around Rs. 62,000 crores of revenue which will be generated at a peak capacity and Rs. 42,000 crores of the EBITDA.
Jainam Shah: And cash flow?
Sandeep Modi: Normally our EBITDA to free , sorry, Rs. 62,000 crores to Rs. 65,000 crores revenue, 11th slide if you refer , it talks about. And the free cash flow has been normally our 60% of the EBITDA . So, if you talk about that our free ratio should be Rs. 20,000 to 22 ,000 crores of free cash flow, pre-growth CAPEX , annually we should be able to generate at a peak capacity full ramp -up.
Jainam Shah: Thank you so much for answering.
Moderator: We will take our next question from the line of Ashish Kejriwal from Nu vama Institutional Equities. Please go ahead.
Ashish Kejriwal: Hi, thanks for the opportunity. Good afternoon everyone. Sir, quickly , just to get the numbers right, you said for smelter we are investing around Rs. 6,200 crores or Rs. 5,200 crores you said out of this Rs. 12,000 crores ?
Arun Misra: Rs. 6,200 crores including the fumer.
Ashish Kejriwal: Including fumer. So, fumer, do you mean it should be around Rs. 900-1,000 crores .
Sandeep Modi: You can take 1 ,000 to 1 ,200 crores kind of number.
Ashish Kejriwal: Okay, but this 1 ,000 crores fumer, that is giving just an additional 30 tons of silver , or will it help in generating more zinc also in that?
Sandeep Modi: So, Fum er normally gives Zinc, lead, silver, everything. But that is not up to that from the revenue point of view. So, whatever the revenue point and the headline number is there for the

silver because that's the market track , so that's what we have given here. Other than this, whatever comes, we have bu

ilt up in the 250 k T at this point of time.
Ashish Kejriwal: So, this Rs. 250 crores , which is more or less Rs. 6,200 crores of CAPEX , which because now you are talking about $2 ,500 per ton, which comes to be around 5 ,400. That's the reason I asked. Okay, that's great.
 Sandeep Modi: So, that's why I know, I got your question, because you must be thinking why the numbers are looking 6 ,200.
Ashish Kejriwal: Yes. The second question is, you talked about within 35 -40 days, we can go for our next phase of announcement also. My question is, we could have clubbed all the things at one go and could have announced, but anyway, 35 -45 days, I don't know why we have taken additionally. My question is, how you are going to phase this CAPEX , even if we do for the 2nd Phase ? Because Rs. 12,000 crores you have pointed out rightly for 3 years. But when we are going for Rs. 32,000-35,000 crores , how we are going to phase out the CAPEX ?
Sandeep Modi: I think that has been already said in one of the other questions in my opening remarks as well , that this project CAPEX will be in phases only because you cannot have this kind of 2x growth without having the proper feasibility in other reports. But at the same time, I don't want to spend , waste anyone a day for not by delaying this project. So , that's why we have decided.
And secondly, the phasing out will always be there. Even in the 3 years project, we have said last 10% payment goes in the 4th year after the PG commission, anything. The first project, 25 % to 30% happens. So, it will keep happening in those phases . So, it will be having around three to five years by putting . So, as I said, the peak capacity will come by 2031. That means from the 5 years kind of thing, 80% project cost should go and the remaining 20% should go in the 2031 kind of numbers.
Ashish Kejriwal: So, what could be the peak CAPEX and in which year?
Sandeep Modi: It will be like every year is spread . So, maybe in FY ’2 6 you will not see anything. But maybe FY ’2 8 and FY ’2 9 and FY ’30. These would be three years in which you will see the spreading of the CAPEX once the 2x completion is being approved.
Ashish Kejriwal: Because s ir, why I am asking is whether we know we are very much confident of the both phase of expansion at one go or not, because earlier we have seen such kind of announcements, but no, obviously we have seen lots of delays in that.
Sandeep Modi: No, no, I think maybe Arun sir can add to that. We have to believe into that you have to.
Ashish Kejriwal: That's great. Lastly sir, if I am looking at the ROEs of the project, that is Rs. 12,000 crores we are spending and even if we do a rough math of $1,500 per ton, ROE comes to be around 15 % to 16% for this particular project. And if I am looking at the current ROEs of the company which is upward of 50 %-60%, so even if you are saying that now from benchmark our CAPEX is very low, doesn't it seem to be ROE dilutive from the current phase, current structure where we are having? Is this mainly because of the mines where we have to spend a lot because of which ROEs are relatively lower than what we are generating right now?
 Sandeep Modi: I track the project more from what I have been investing, what have been my project IRR, what has been my payback and how it having my cost structure helping because of the significant volume increase , my costs should further go down. That is the way we keep on tracking the projects. And as I said, the project IRRs are higher. To improve the equity IRR, we will not be well averse to take part of the debt funding . So, according to the debt funding, we will decide the overall whatever you are ta lking on the return on equity . So, wait for some time , maybe

some three months or so , how do we define our financial strategy overall in the interest of the shareholders so that we improve the overall equity IRR. Then you can comment upon the overall return on equity.
Ashish Kejriwal: That's helpful and all the best for the future projects.
Raksha Jain: Operator, just let me take one or two questions from the chat box because there are too many questions there.
Moderator: Over to you.
Raksha Jain: Thanks . So, it's Shivani Tanna from Dolat Capital. She has typed two questions in the chat box. First is the, along with 250 KTP A expansion , are we also planning to increase the VAP capacity?

And second is, how much will be the power requirement be and what are the plans to cater the same ?
Arun Misra: So, as of now, we are looking at SHG , but when we put up the maintenance casting unit, we are surely looking at if we can pack in some amount of value -added product making along with it. That's not a large investment. That's the delta over the current investment or within the same investment, doing little value engineering, here and there we can manage that . So, we will do that. So, absolutely your question on VAP is valid, but we will look at that. We are not making it a VAP specific investment. It is for producing SHG . And we will see out o f that how much can be converted to VAP . That is number one.
Number two is a power requirement as I have already explained that we have signed up of enough of our renewable power. We also have our own captive powerhouses in hand. And if our renewable power agency is able to generate and is ready to invest more, we will surely look at investing more and more in renewable power and tying up for expanded capacity as well.
Ultimately, o ur goal for net zero emission remains the same and we are not moving away from that.
Raksha Jain: Second is from Naman from Venture Securities. He is saying that good afternoon and thank you for the opportunity. My first question is, given this expansion, how should we think about the trajectory for lead and silver production volumes in the coming year? And secondly, post expansion, how should we view your market share in the domestic Zinc market, which is currently at 77%?
 Arun Misra: So, current market share will remain . As the market grows, we will continue to hold on to 75 %
to 80% of the market share. Our market share should not fall. That's the whole game of expansion in line with the expansion of Indian market.
Second is our proportion of lead versus zinc. It will remain the same depending upon the MIC that we produce since we are expanding all mines. So, my preliminary take is we will have similar ratio of zinc is to lead. And we will, in the next phase of announcement, we will come up with the additional capacity of lead plants and all that. So, we will have almost same ratio of zinc is to lead. That is not changing much.
Raksha Jain: Sir, another is from Kartikey Kumar Pandey . He is from B&K Securities. When will the Phase 2 expansion come into effect? As in the timeline, will it be post FY ’3 1?
Arun Misra: No, 250 KT PA will be done in 36 months and we should be able to expand our min es in between , put up the m ills in between. And if we can make a further announcement in about 1.5 months time, then you are looking at placement of order with a time gap of maybe 1, 2 months or maybe 3 months at the most between these 250 KTPA and the rest set of orders . So, in that case between 3 years to 3.5 years almost all capacit ies come in .
Raksha Jain: Sir, t here are too many questions, but I guess this time is already over . So, in the interest of the time, we are just putting a full stop here for today's call. And t hank you everyone for joining us today on this call. If there are any further follow -up questions or any clarifications requ

ired, you
can reach out to the Investor Relations team. Thank you.
Arun Misra: Thank you.
Moderator: Thank you. On behalf of Hindustan Zinc Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Sensitivity: Public (C4)
HZL/202 5-26/SECY /57 July 21, 2025

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Dear Sir/Ma ’am,

Sub: - Earnings call Transcript for the first quarter ended June 30, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed herewith the transcript of the earning s call held on Friday , July 18, 202 5, with regard to the financial performance of the Company for the first quarter ended June 30, 2025 . The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .

You are requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Aashhima V Khanna
Company Secretary & Compliance Officer

Enclosed : as above

“Hindustan Zinc Limited Q1 FY ’26 Earnings
Conference Call ”

July 18, 2025

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER ,
HINDUSTAN ZINC LIMITED

MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER ,
HINDUSTAN ZINC LIMITED
MS. RAKSHA JAIN – DIRECTOR INVESTOR RELATIONS ,
HINDUSTAN ZINC LIMITED

 Moderator :
Raksha Jain:
Arun Misra: Ladies and gentlemen , good day and welcome to the 1 st Qua rter F Y '26 Earning s Conference Call o f Hindustan Zinc.
As a reminder, all participants’ lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to M s. Raksha Jain – Director o f Investo r Relation s of Hindustan Zinc. Thank you, and ove r to you, M s. Jain.
Thank you, Sagar. And good evening, ladies and gentlemen. Thank you for joining us today to discuss the 1 st Qua rter Result s of FY '26.
In this call, we will refer to our Investor Presentation available on our Company's website. Please note that today's entire discussion will be covered by the Safe Harbor clause mentioned on Slide #2 of the Presentation.
Today we have our CEO – Mr. Arun Misra and CFO – Mr. Sandeep Modi . The management will be discussing the “Operational and Financial Updates” for the quarter , followed by a Q&A session.
Now I would like to invite Mr. Arun Misra to present the Results. Over to you, sir.
Thank you , Raksha. A very good evening to all o f you. Thank you fo r joining u s today fo r the 1st Qua rter FY ‘26 results briefing.
The current financial year has commenced on a steady note with the Company achieving its highest ever 1st Quarter mine metal production with the lowest ever 1st Quarter cost of production since underground transition. This reinforces our position as the world's largest integrated zinc producer and one of the lowest cost producers globally.
The quarter was also marked by zero fatalities, underscoring a positive beginning on the safety front. We have established a globally practiced critical fatality risk management based safety management system, CRM, and have ensured tracking and reviewing at senior most levels of management.
Continuing our effort in water conservation as a part of our ESG initiatives, we have become 3.32x water positive. On the sustainability front, we have launched our ambitious “Sustainability Goals 2030” spanning across various thematic areas such as climate action, water stewardship, biodiversity conservation, safety and well-being at workplace, responsible sourcing, circular economy, workforce diversity and social performance. These targets reflect our determination to set new sustainability benchmarks for the metal and mining industry.
 The Zinc Mark certification process for Chanderiya and Rampura Agucha is currently underway. Once obtained, this certification will affirm our commitment to responsible production.
During the 1st Quarter , we also completed the ICMM assessment, which will help in strengthening our present position as a sustainable global leader among metal and mining companies through the adoption of globally benchmark practices across the organization.
Currently, Hindustan Zinc is engaged with more than 40 technology startups on over 60 different projects and is further engaging with nearly 50 startups through Vedanta Spark program to explore potential use cases. Vedanta Spark is Vedanta's unique global corporate accelerator where Hindustan Zinc participates and innovation -led transformation projects that addresses critical business challenges.
Under Vedanta Spark program, Hindustan Zinc has unlocked high potential opportunities by leveraging technologies such as artificial intelligence, machine learning, computer vision, drone technology, the Internet of Things, and augmented reality and virtual reality issues. These

projects cover diverse areas, including process optimization, enhanced metal recovery, asset reliability, productivity, and sustainability.
Turning to the “Market Update ”:
Global economies faced multiple uncertainties during the quarter, including rising U .S. tariffs, the Iran-Israel conflict and other macroeconomic challenges. While major economies like China and Japan continue to experience subdued production demand, India stood as a bright spot. The

country's manufacturing PMI climbed to a 14 -month high of 58.4 in June 2 025, reflecting strong domestic momentum . Positioned as the attractive alternative investment destination and supported by strong government focus on infra structure development, India is poised to be significant driver of global economic growth.

During the quarter , Zinc and Lead prices softened amid prevailing global headwinds. However, both metals saw a swift recovery, closing the quarter at $2,764 and $2,025 per ton respectively.

Silver , on the other hand , recorded a strong performance with prices surging 17% year-on-year, even currently running over $37 per troy ounce , creating new all -time high levels. This rally was driven by heightened industrial demand and silver's appeal as a safe haven asset.

Looking ahead, zinc and lead prices are expected to remain resilient near current levels while silver prices are likely to stay buoyant in the coming quarters.

Moving to “Quarter Performance ”:

As I have already mentioned, the quarter witnessed highest -ever 1st Quarter mined metal production of 265,000 tons with the lowest ever 1st Quarter cost of production since underground transition. This drives our profit after tax for the quarter to Rs. 2,234 crores despite

the softened output commodity prices. Our zinc alloy plant also clocked a record quarterly production of 5,000 tons , taking the overall value -added product portfolio to around 24%.

During the quarter, our refined metal production stood at 250,000 tons in line with the plant availability and was impacted by ongoing maintenance activities. We recorded $1,010 per ton of zinc cost of production during the quarter, lowest Quarter 1 figure since underground transition. The reduced cost of production is driven by better mine grades, high renewable energy usage, increased domestic coal consumption, better by -product realization and softened input commodity prices.

Our salable silver production during the quarters stood at 149 metric ton and our precious metal portfolio continues to contribute significantly to the overall profitability of roughly around 41% during the quarter .

As the Company progresses with multiple growth projects, commissioning activities for the new 160,000 tons per annum roaster at Debari have commenced and is expected to be commissioned by mid of Quarter 2. And we will complete all our debottle necking activities in smelter well before the scheduled timeline in Quarter 2, starting from August at Dariba, followed by Chanderiya . With these developments, we are confident in achieving the full -year guidance as guided earlier.

As you already know, in June , our Board approved the initial phase of growth plan to double the capacity, where initially we will add 250,000 tons per annum integrated metal capacity with associated mining capabilities with a capital expenditure of around Rs. 12,000 crores. The expansion will increase our refined metal capacity to 1.38 million tons per annum and our mining capability to 1.5 million tons per annum. We remain committed to meeting India's rising zinc demand and may announce additional projects over the course of the year.

Advancing our vision to become a multi -metal enterprise and becoming a leader in India's strategic mineral ecosystem, I am happy to share that we have secured LOI for all the three new critical mineral blocks, Potash

in Rajasthan with 1 ,841 hectare block size, Rare Earth Element
in Uttar Pradesh with 201 hectare block size, and Tungsten in Andhra Pradesh with 308 hectare block size. This is India's time to drive resource nationalism and we are proud to play a part in it in alignment with our country's goal and critical mineral security.

Looking ahead, we remain steadfast in our commitment to expedite expanding our capacity to meet rising domestic and global demand while upholding the highest standards of ESG excellence. Our strategic focus on portfolio diversification, including our strategic entry into critical minerals, continued exploration to sustain long mine lines and investment in innovative technologies will further reinforce our position as a cost leader in the industry. With these priorities at the forefront, we are confident of delivering sustainable growth and creating long - term value for all our stakeholders.

With this, I now hand over to Sandeep for an update on the financial performance.

Sandeep Modi: Thank you , Mr. Misra, and very good evening, everyone.

Amid the evolving global economic landscape, we have seen a notable decline in LME prices, with Zinc down by 7% and Lead by 10% Y -o-Y. On the positive side, silver prices maintain their upward momentum, re gistering a 17% increase over last year. Despite this challenging price environment, our steadfast focus on the operational efficiencies and cost discipline has helped us to deliver resilient and sustainable financial performance and consistent EBITDA margin of arou nd 50%.

Before we dive into details, I am pleased to share that we have recently published our tax transparency report of 8th edition reinforcing our commitment towards voluntary disclosure for transparency. The Company has contributed around Rs . 19,000 crores to the exchequer in Financial Year '25, taking the cumulative contribution over the last five years to Rs . 87,000 crore s.

Adding another f eather to our strong governance framework, our ESG risk management practices were recognized at the India Risk Management Awards organized by CNBC TV18 in the large cap category.

Coming to the “numbers ”:

In the 1st Quarter , we delivered revenue from operation at Rs. 7,771 crores . It was down 4% year-on-year on account of the lower production volume, lower zinc and lead prices, which was partly offset by higher silver prices, stronger dollar and better by -product realization .

During the quarter, we recorded zinc cost of production of US $1,010 per ton. It is the lowest ever 1st Quarter cost performance since underground transitioning. It is pertinent to note that Q1 average cost normally remains around 4% higher than the full year average. So, with the present cost performance, we are highly confident to achieve lower end of the guidance for the full year.

It was better, 9% Y-o-Y, driven by improved metal grade , higher domestic coal utilization, renewable energy increase and soft ened commodity prices, especially the imported coal.

This was also supported by the increased share of renewable energy, as I mentioned, which currently stands at around 19% of the overall power requirement as compared to 13% during the last fiscal year. It has increased on account of largely with the Serentica capacity getting commission ed and supplying the power and benefiting to the cost.

Resultantly, the EBITDA for the quarter stood at Rs. 3,860 crores . It was marginally down by 2% Y-o-Y despite zinc and lead commodity prices lower in volume. This was partly offset by higher silver prices, lower COP and stronger dollar. We continue to maintain industry leading margin of around 50%. Our PAT for the quarter stood at Rs. 2,234 crores , bit down 5% Y-o-Y.

 During the quarter, we also hed

ged forward 119.5 metric ton of silver which is around 17% of our expected production for the year , in line with our commitment to sustain and deliver lucrative shareholder value.

Further, the Company also paid Rs. 10 per share as the interim dividend, totaling the overall dividend payout during the quarter to Rs. 4,225 C r. Looking into the future, the Zinc COP is consistently advancing towards our desired target of 1 ,000 per ton, which we have set for ourselves.

With the newly announced 250 KTPA integrated metal capacity expansion, revenue and EBITDA are projected to increase approximately Rs. 40,000 crores and Rs. 21,000 crores in the next three to four years, respectively. Re -iterating from our last investor call with a pre -growth CAPEX -free cash flow generation of around Rs. 45,000 to Rs. 50,000 crores , and an estimated CAPEX of around Rs. 32,000 to Rs. 35,000 crores over the next five years, we are comfortably positioned to create long -term shareholder value.

In conclusion, what lies ahead is a new beginning for Hindustan Zinc, built on stronger momentum and transformative vision aligned with the priorities of a greener world and a stronger nation. We remain deeply invested in the metal s of the future supported by premium assets and our position as one of the lowest cost producers globally.

Our precious metals continue to contribute significantly to our profitability while our leadership in the domestic zinc market reinforces our competitive strength. With a sharp focus on the high IRR projects and disciplined capital allocation, we are committed to delivering sustainable growth and creating long -term value for all our shareholders.

With this, I now hand over to the operator for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Manav Gogia from YES Securit ies Limited. Please go ahead.

Manav Gogia: Hi. Good evening and thank you so much for the opportunity. You know, it was very good to see that the Zinc COP was on the lower end of the cost guidance, and we have more or less stated the factors behind the same. I just wanted to have one question on what would be the current renewable power mix in the total energy mix and what would be our coal mix for the same ?

Sandeep Modi: So, current energy in the overall basket, renewable energy is 19% in our over all total power consumption compared to last year around 13%. So , overall , the remaining 80% is the coal.

Manav Gogia: Yes, and can you give the breakup of the coal mix as well, you know, locally sourced and imported ones?

Sandeep Modi: So, domestic was 55% during the quarter and 45% was the imported coal. This was the highest

level domestic coal materialization and utilization.
 Manav Gogia: Sir, my second question is on the silver front and Q1 saw lower silver volumes . So, just wanted
to know what steps would be taken ahead for the Company to achieve that 700 to 710 tons
guidance that was given earlier.
Arun Misra: So, you look at the silver volume . Partly a part of it can be attributed to lower metal production
by itself. Since you have produced lower metal, so associated silver is also lower. Other part is
also in the beginning of the year, the current location in SK Mine where we are encountering
lower grade of silver in the overall grade , I think the overall grade at Hindustan Zinc level is
around 88 ppm, which is lower by about 5 to 10 points compared to what we had same time last
year. So, this is what is the primary reason.
Going forward, we are now, as we said, debottlenecking projects will be over, as I have stated
in my speech, and also our commissioning of new roaster is expected in the middle of this Q2 .
So, Q3, Q4 will see much better numbers of silver and metal, which will compensate

for the loss
and help us to reach the guidance numbers.
Manav Gogia: And where are we in terms of the fumer ramping up for the silver volume s? Any updates on
that?
Sandeep Modi: So, fumer is running at 60% of its capacity. So, as you are aware, we still had issues of Chinese
Visa did not get. So, our operating team has done a wonderful job by Indianizing it. And at this
point of time, while we have been talking 33 tons equivalent to lead -silver cake coming from
the fume r root, at this point of time, the run rate is 20 metric tons.
Arun Misra: Again, if you have lower input itself, so your availability of silver in the residues for fume r will
also be less and it is also reflecting that way.
Manav Gogia: So, basically, we are maintaining the guidance for FY '26 also. We are comfortable on that front ,
right?
Arun Misra: Yes.
Manav Gogia: So, my last question is basically on the Debari roaster and the DAP, NPK, the fertilizer plant.
We are seeing that now these plants are basically delayed by a quarter each. Can you just
highlight the factors behind this?
Arun Misra: Debari is already almost 99.9% of the construction work is over and Quarter 2 is the time when
we will see the commissioning. We have started coal trial and all that on the ground. On the
other side, the fertilizer project is on, and we expect in the guided timeline, we will be doing the
fertilizer project. We will try to bring in part of the project earlier. Even in that 0.5-million -ton
project, we will try to get the phosphoric acid plant earlier so that we can start generating some
revenue ou t of it.
Manav Gogia: I will join b ack the queue for more.
 Moderator: Our next question comes from the line of Pallav Agarwal from Antique Stock Broking. Please
go ahead.
Pallav Agarwal: Good evening , sir. First question was, I think this quarter, mine metal production was fairly
good, but refined metal was impacted. So, was there any shutdown and now has other plants
operating at normal levels now?
Arun Misra: No, there were few shutdowns, and we had to time it because we had expected additional
capacity to kick in from the Roaster 6 but at the same time we had prepared for some shutdowns .
We thought the furnaces would run till Quarter 2 while in the Quarter 1 itself we started losing
production from them and hence we had to take the shutdown earlier and that has impacted, but
nevertheless by Quarter 1 and Quarter 2, all shutdowns we are putting behind us so that we will
have a fantastic run from August till about the end of the year.
Pallav Agarwal: So that should help us meet the production guidance.
Arun Misra: Absolutely. Absolutely .
Pallav Agarwal: Sir, secondly, I think, it's commendable that you have recorded $1,010 of COP. So now with the
increasing refined metal production, so we should probably see this , I mean, this should go down
with the higher benefits of operating leverage coming in.
Arun Misra: Yes, all directions are looking like that. So, we are also equally enthusiastic as you are. And we
hope that renewable power mix will go up, volumes will go up, fixed costs will spread. So, we
should be going towards, as Sandeep told in his speech itself, our North Star was $1 ,000 COP
and looks like we are headed that way.

Pallav Agarwal: Sir, you don't see any inflation in coal during the monsoon quarter or re -auction premiums going up?
Arun Misra: No, that's how we see it. Looking at everything as it is happening currently, we are directed that way. Now, if we see suddenly rise in commodity costs and all that, that may put us back. But looking at current things, the way things stand as of today, we are in that direction.
Moderator: The next question comes from the line of Anirudh Nagpal from JM Financial . Please go ahead.
Anirudh Nagpal: My question is related to the

recent rally in silver prices, which is already at a lifetime high . So, given we had lower volumes of silver in 1Q, is the Company planning to shift to lead mode to increase the silver volumes in the coming quarters and to maximize the benefits from this rally?
Arun Misra: Very important question what you have asked, but the way we have operated is since we had lesser production of metal, we maximized from the choice of concentrates, the concentrate with best silver, we finished it first in Quarter 1, so that in the silver numbers we can get the maximum usage at the current prices. And yes, that direction is always in our mind, but since right now we
 are flushed with concentrate, and we have enough of concentrate with us, so we don't want to increase that stock further .
But we will surely, because now the fumer is running well, so we should be able to make up for that by not running in lead, running in lead plus zinc load and yet producing good amount of silver, we are working on that. But I can assure you that no concentrate is left where there was a good quantity of silver. Only the concentrate with lower quantity of silver are left with us in the stock.
Moderator: Our next question comes from the line of Amit Dixit from Goldman Sachs. Please go ahead.
Amit Dixit: Good evening , everyone. Thanks for the opportunity and congratulations for a good performance in a testing LME regime. Two questions. The first one is on if I look at the ESG scorecard , first of all, congrats for putting it up. If I look at the greenhouse gas emissions in 1st Quarter , they seem to have gone up. I mean, just actually highest level since FY '2 2, maybe while we have increased the RE power proportion . So, just wanting to understand the reason for that, whether it is a typical 1st Quarter phenomenon or it is the higher usage of domestic coal. How is it and how do we see the trajectory of this emissions going in the near term?
Arun Misra: So, as the Quarter 2, Quarter 3, Quarter 4 pans out, we will have one increase in percentage of renewable power by September . Almost all of the wind power will come into the place . So, we will have more renewable power in the nighttime than what we are having now . That is number one point . Number two, yes, we have had lesser production in Quarter 1, which is also impacted on the intensity . So, that will also get corrected if we produce more going forward . So, both together, we will come back. We will reduce the overall emission numbers in Quarter 2, then correspondingly Quarter 3 and Quarter 4. Absolutely .
Amit Dixit: So, this 4.86 number that we have in Q1, I mean, where do we see it going, let us say by the end of FY ‘2 7 or so?
Arun Misra: We should go down below 4.6, 4.5 level.
Amit Dixit: The second question is on the recent LOIs that we have obtained . So, for mines actually, the potash one, are we planning to curtail it with the fertilizer plant that is stated for commissioning in FY '27?
Arun Misra: Yes, the whole basket of diversification from lead, zinc, silver idea is, of course, to add more value to the fertilizer business . So, if we add that for potash block and make it diversify into fertilizer, that will help there. Also, we are very upbeat about the block we have got in UP, which will look at rare earth magnet material because it is like ly to have monazite and we should be able to, you know, if exploration proves that we have got enough of reserve and we can crack the technology pro blem of extracting neodymium from monazite, then yes, Hindustan Zinc has again a huge, bright spot in the future.
 Amit Dixit: So, sir, coming to the two blocks, tungsten and rare earth, have we done any preliminary study over there? I mean, are there any timelines

that you would like to give? And what kind of ROE or ROI you can mention , we will be looking from these blocks ?
Arun Misra: First, we have to do the exploration itself. There is not much of a data of a proven res erve there . So, because it is a very preliminary exploration data that was there for during the auction , so we will have to do full exploration, establish the reserve, then look at the business case and all that .

So, we are not yet ready with the business case . So, we will have to first place order for
exploration that we are currently going through.
Moderator: Our next question comes from the line of Sumangal Nevatia from Kotak Securities . Please go ahead.
Sumangal Nevatia: Sir, first question is on the capital structure and balance sheet. S ir, our net debt is now almost Rs. 4,000 crores. So, what sort of debt or leverage level should we look at as we start spending more CAPEX and also maybe looking for maintaining dividends?
Sandeep Modi: So, Sandeep here. Thanks. I think as I said in my opening statement, the free cash flow generation at the current level of the LME and the volume pre -CAPEX is almost Rs. 10,000 crores overall . So, even if you factor in the overall, if you see the horizon of 3 to 4 years, Rs. 45,000 crores to Rs. 50,000 crores , you take it up and around Rs. 30 crores to Rs. 32,000 crores , this overall CAPEX . So, still you have availability of Rs. 18,000 crores , which can be distributed subject to the Board approval from the shareholder's reward point of view.
Sumangal Nevatia: Should we expect the surplus after the CAPEX required to be shared with the shareholders, or we are okay with leveraging further and maintaining the payouts?
Sandeep Modi: I think from your modeling point of view, you should factor what you said at this point of time.
Sumangal Nevatia: Okay, only the surplus. Sir, my second question is with respect to our expansion plan for the mining and the smelting capacity. Now all the mines where we are putting capital and expanding are set to expire in 2030 . So, in our base case, while we were evaluating these projects, what sort of royalty increase have we baked in? Just wanted to know that.
Arun Misra: So, we have seen the worst case and the most positive case. Most positive case, meaning that we get a very, very minimal royalty increase. Worst case, we see there is a competition. But looking at our current margins, we are very confident with the worst k ind of cases that we have planned in our mind , we will have a good amount of profitability, much better than all other metal businesses in India.
Sumangal Nevatia: Sir, can you share what could be the worst -case number of royalty in the market?
Arun Misra: That will give an indication to what price w e will bid there, no? So , why should we?
 Sumangal Nevatia: Sir, just one last question on this 0.5-million -ton fertilizer plant. If you can remind, what is the total CAPEX that will be spent? And what sort of asset turn are we looking at?
Sandeep Modi: So, fertilizer total CAPEX cost is around Rs. 1,800 crores and around Rs. 1,000 crores has already been spent and the remaining will be spent in the next 9 months to get a complete 5 lakh ton of the fertilizer.
Sumangal Nevatia: And what sort of revenue or say EBITDA potential on a steady -state basis are we looking at?
Sandeep Modi: So, as we said in earlier in case of fertilizer, we are expecting around Rs. 400-450 crores of the EBITDA and around Rs. 2,000-2,500 crores of revenue .
Sumangal Nevatia: And the ramp up, so we are looking at 1Q , '27. So, should we expect the ramp up over what, 2 years or something ? Or is it...
Arun Misra: No, no. The ramp up, why should it be 2 years? Maximum 3 months, we will have the ramp up.
Sumangal Nevatia: So, potentially second half FY 27, we can see this run rate.
Arun Misra: Yes, correct. It is most of a chemical process . It is not a hot furnace process . So, hence , it will be easier.
Moderator: Our next question comes from the line of Ashish Kejriwal from Nu vama Wealth Management. Please go ahead.
Ashish Kejriwal: Sir, question on our expansion. When will we start ordering our equipment s because we mentioned earlier that it will take 36 months from the date of ordering. And as well as in the last call, we said that we will give some indication of our 2nd Phase also. That is my first question.
Arun Misra: So, the last 250,000 tons per annum smelting complex that we have spoken about. For the smelter portion of that we have already placed order. For the mining portion of it , we will place order in 10-15 days' time . And then we will do the concentrator , we should be able to place order by August 2nd week . So, that is the 1st Phase . Now in the second part , we should be placing all the orders for 2-million -ton expansion which should be placed by September 30th.
Ashish Kejriwal: So, we have formed up the plan for second phase also.
Arun Misra: Absolutely, absolutely, absolutely.
Ashish Kejriwal: Secondly, in terms of this quarter, a couple of data points. One is , what 's the grade, average grade this quarter versus last quarter ? Secondly, power cost, is it possible to share on a per unit basis how it has changed ? Because the delta which you are talking about, that 19% renewable versus 13%, it could be maybe because of lower volume. But if you think that we can do 19% for the entire year, then please communicate that also. And thirdly, how much brand fee we have

Sensitivity: Internal (C3) paid in this quarter ? Because we have increased the brand fee to 3% of the revenue versus 2% earlier and we just want to get more comfort also that whether it is going to change further or not.
Sandeep Modi: So, I will give the answers on this grade. So, the grade was 7.53% this quarter compared to the last year's Quarter 1 Y-o-Y around 7.41%. So, there is an improvement in the grade that also helped into the cost. And in case of the power cost, I think we don't specifically talk about the power cost, but it's lower . So, not on account of the renewable energy, it's 19%.
Overall, as I said, the power cost is reduced on about three reasons. One is the Serentica power is coming better compared to last year Y-o-Y as they are commissioning the facility. Secondly, the imported coal price is being softened. And third, which I talked about the highest ever domestic coal utilization of 54%. These are the reasons for, you can see the power cost towards the Rs. 5 kind of thing , something like you can model in your numbers in case you wish to. Specifically, I can't quote.
Thirdly, about the numbers of the brand fee payment , the brand fee payment of this quarter at the beginning of the year which goes as per the agreement has been around Rs. 1,060 crores . And this is the number which I talked about.
Arun Misra: There is no change.
Sandeep Modi: There is no change in any other things in terms of the terms and conditions.
Ashish Kejriwal: So, because last year, brand fee was 2% of revenue and which increased to 3% now. And do we envisage that this can sustain at 3% or it can go up to 5% also because we don't need shareholders approvals again .
Arun Misra: Now it will remain at 3% till the end of the contact period.
Ashish Kejriwal: And what is the contact period, sir?
Arun Misra: It is beyond next two fiscal years .
Ashish Kejriwal: That means, at least till FY '2 8, it will remain at 3%.
Arun Misra: If you can model up to FY '2 7, it will remain same.
Ashish Kejriwal: And sir, in power costs, actually I was looking at more of our Q -on-Q basis, not Y-on-Y basis.
Arun Misra: Power cost on Q -on-Q basis?
Sandeep Modi: Quarter -on

-quarter basis also it has reduced only.

Sensitivity: Internal (C3) Ashish Kejriwal: And that is mainly because of renewable power.
Sandeep Modi: Absolutely.
Arun Misra: And more domestic coal and more renewable power.
Sandeep Modi: So, I think again repeating. More domestic coal has helped us and the better quality of the coal from the Coal India has helped us. Renewable energy has helped us. So, if you talk, coal, 20 paisa reduction has happened compared to the last quarter in the per unit basis.
Ashish Kejriwal: And sir, lastly, just to get more comfort, we have already seen some reports going on, that we are in sync with the Government Nominat ing Directors also in all the proposals which we are taking right now. So, no issues at all yet of that. So, that will give a good comfort.
Arun Misra: Absolutely. There is only one proposal that the Board approved which is, apart from routine business matter, is that expansion program. And everybody is fully supporting expansion of Hindustan Zinc and the 1st Phase of 250 Ktpa has brought in huge enthusiasm and entire Board of Directors were happy to see that finally Hindustan Zinc is getting out of comfort zone of 1 million ton plus production every year.
Ashish Kejriwal: That's cool, sir. Thank you so much. That gives the comfort.
Moderator: We will take last question from the line of Ritesh Shah from Inves tec. Please go ahead.
Ritesh Shah: Couple of questions. Sir, first is if you could detail the status on Bamnia Kalan Mine , and if you could put in context physically if you look at the grades from Rampura Agucha , SK, RD , it has been deteriorating if you look at the trend line over the last 7 to 10 years . So, in the last call , we have given a COP number which is pretty much static. So, if you could just marry the two parts to the question and help us understand, one is the status and how should one comprehend the COP number.
Arun Misra: See, practically speaking, overall grade, if you see, as you go down deeper into the mine, there is chances of the grade being worse. But it is a general statement. But then you look at the various patches of the mine, and we have to balance between those patches to ensure that we have a consistent grade, if not better grade overall. And that is a strategy call we take which part to mine when depending upon suppose if I take Quarter 1 last quarter if you look at that we had a grade which was worse than the grade that we had in Quarter 4. Typically , in Quarter 4, we try to maximize production to get the best at that point of time . And so we also pick and choose where to mine , how to mine .

Basically mine is developed in three , four different levels , about some 15 , 16 different areas so that always we have a choice to make among the grades that we take. So that stage will continue, but seeing that, you will also appreciate , Agucha is the best grade, then followed by SK and RD, and then followed by Zawar, which is the worst grade. Bamnia Kalan , when we develop, my

 expectation, it should be somewhere between RD Mine and SK Mine , between 5% to 6% grade material it will produce. And we are currently about 44 -45% work has happened on the development of the mine and we expect the mine to open somewhere in 2026, end of 2027 early.
Sandeep Modi: Only thing that in case you want to model in your number, the R&R, SR K audited numbers which we publish, that is the final number from the mineable gr ade point of view, which is 7.2%. That you can model in your financial model for the COP purpose.
Ritesh Shah: Sure, that's helpful . Sir, my second question is on roasters. Can you help us refresh what is the current status? Do we have silver contribution production coming out of roasters right now?
Arun Misra: Finis

h your question.
Ritesh Shah: And once basically it gets operationalized, what is the sort of contribution that we expect from roasters to come through?
Arun Misra: So, roasters primarily produce Calcine , which helps us to produce Zinc. They do not produce silver. However, from Calcine , when we produce Zinc by the leaching process, the residue that we have, then that residue, weak acid leaching residue as we call it, we can take it to fume r. And after fuming from that residue, we can make lead silver cake. And that lead silver cake again sent to furnaces to produce silver. That is the whole circuit.
So, roaster per se does not produce silver, but as long as if I have more capacity of leaching and purification circuit, then I will have more amount of silver being produced. As of now, we are not adding to leaching and purification circuit, but we have a dded fumer. So, as long as that fumer 33 ton capacity is there, even if I put 20 more roasters, that 33 ton is the only capacity I have. That's why you will see that our expansion plan, new leaching and purification circuits that we will make, it will all come with new fumers, so that from the zinc circuit we can produce more silver, the way actually you have been hinting.
Ritesh Shah: This is helpful. Sir, two wider questions. One is how should one understand the increase in brand fee from say 1.7 % to 3% or what is the underlying rationale for same?
Arun Misra: No, so the brand fee is a thing that has been widely discussed in the books and the rationals are known it is a bundled services. There are various strategic services and you will all appreciate that this Company, when it was taken over , it had only 5 years of remaining life , had only 100,000 tons of production.
That complete transformation of this Company to a 1 million ton production with about 25 -30 years of life left , huge amount of risk taken in exploration , there was no silver production , making it world's third largest silver producing country , 700 tons of silver , the migration from open pit Agucha Mine to complete underground without disruption in production, thousands and

 thousands of crores of wealth creation for shareholders. Imagine all that cannot be attributed to an existing management that was there when the Hindustan Zinc was disinvested .
So, there is a something, brand and services which help that transformation that due is there and all that justification was discussed in the Board , duly vetted by external consultants , benchmarked with similar fee arrangements in all other conglomerates and then finalized.
Sandeep Modi: And j ust to correct it, it is not 1.7 . It was 2%. It is not 1.7 to 3. It is 2 to 3.
Ritesh Shah: Fair. And what should we make of Vedanta reducing its stake in Hindustan Zinc during the quarter? So , on one side, the parent is reducing the stake and on the other side, basically the brand fee is actually increasing. Is there any relation between the two events and how should one understand the ownership of the promoter into Hindustan ? Like, w ill this number continue to reduce? How should one look at it?
Arun Misra: No, as Hindustan Zin c Management, we cannot comment on any one of the or many of the owners of the Company , their strategic moves and what they do. But as far as the operations are concerned, we will appreciate that management control remains even at a much lesser holding of the Company . So, as long as management control is there, then as long as strategic directions are set, strategic services are provided, the brand fee also is there.
Ritesh Shah: And sir, just last one question. Is it possible to convert silver sand to gold? I think this was one of the points in one of the recent reports which popped. I just wanted to understand like has there been any movement of silver sand from Hindustan Zi

nc to Fujairah Gold ? And how should one
understand the mass balance and the underlying economics and grades?

Arun Misra: No, no, we sell silver and residues of silver also we sell . So, we sell many of these smelter residues as it is based on the primary metal existence to people. But if there are trace elements somewhere and really that is not the way the metal business is done.

Sandeep Modi: Silver sand contains 93% of the silver .

Arun Misra: Silver. So, we sell many other , like suppose the SHG zinc we sell, it might have some traces of something we don't know .

Sandeep Modi: So, recently the Government of India has also put a lot of IBM and other things to see if there are any critical minerals there out of these 24 strategic minerals in any of the minerals mining. They are also searching. If there may be traces which become commercially viable, it can always be recoverable. At this point of day , it doesn't become commercially viable to recover.

Ritesh Shah: Sir, my simple question is basically, do we sell something called silver sand to Fujairah Gold ? And is it possible to recover gold out of silver? Because honestly, I haven't heard of anything of this sort.

 Arun Misra: No.

Sandeep Modi: Silver sand is being sold on the basis of the LBMA prices which contain the 93% silver which goes to Fujairah Gold as well.

Ritesh Shah: And in the annual report, is it possible to figure this particular line item?

Sandeep Modi: It won't be possible Ashish , because it is not my finished goods , sir. You will see lot of other income which will be there. It is a part of other income. For me , it's a residue. I think you are getting a bias because of somebody's putting that it should be a separate segment. It cannot be. It's a by -product.

Arun Misra: It is a residue.

Sandeep Modi: It's a residue for me.

Ritesh Shah: I honestly wasn't aware of anything of this sort, so just a clarification. Thank you so much for the answer.

Arun Misra: Like w e sell our ausmelt slag and all that. Many of the slags we sell .

Sandeep Modi: So, ISF dross is being sold . Ausmelt slag is being sold, which also contains the zinc and lead . So, that's why, Ashish, just to take the conversation forward, to give you the perspective, that's why how the Runaya facilities were set up, because there are two options. Either you sell the residues as it is formed, or you recover the zinc -lead m etal out of it. More and more you recover, it becomes beneficial for us . So, that's why the ancillary facilities are getting set up.

Moderator: Thank you. Ladies and gentlemen, I now hand the conference over to Ms. Jain for closing comments.

Raksha Jain: Thank you, operator. Thank you, everyone, for joining us today on this call. If there are any follow -up questions or any clarifications required, you can reach out to the Investor Relations team. Thank you.

Moderator: Thank you. On behalf of Hindustan Zinc, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Oct 2025

Sensitivity: Public (C4)
HZL/202 5-26/SECY /111 October 18, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication

Scrip Code: 500188 Trading Symbol: “HINDZINC”

Dear Sir/Ma ’am,

Sub: - Earnings call Transcript for the seco nd quarter and half year ended September 30, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed herewith the transcript of the earning s call held on Friday , October 17, 202 5, with regard to the financial performance of the Company for the seco nd quarter and half year ended September 30, 2025 . The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .

You are requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Aashhima V Khanna
Company Secretary & Compliance Officer

Enclosed : as above

Sensitivity: Public (C4)

“Hindustan Zinc Limited
Q2 FY26 Earnings Conference Call”
October 17 , 202 5

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER –
HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI –CHIEF FINANCIAL OFFICER –
HINDUSTAN ZINC LIMITED
MS. RAKSHA JAIN – DIRECTOR OF INVESTOR
RELATIONS – HINDUSTAN ZINC LIMITED

Hindustan Zinc Limited
October 17 , 202 5

Sensitivity: Public (C4) Moderator: Ladies and gentlemen, good day and welcome to the Second Quarter FY26 Earnings Conference
Call of Hindustan Zinc. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that th is conference is being recorded.
I now hand the conference over to Ms. Raksha Jain, Director of Investor Relations of Hindustan Zinc. Thank you, and over to you, ma'am.
Raksha Jain : Thank you, operator and good evening, ladies and gentlemen. Thank you for joining us today to discuss the second quart er and half year results of FY 26. In this call, we will refer to our investor presentation ava ilable on our company's website. Please note that today's entire discussion will be covered by the safe harbor clause mentioned on Slide 2 of the presentation.
Today, we have our CEO, Mr. Arun Misra and CFO Mr. Sandeep Modi. The management will be discussing the operational and financial updates for the quar ter, followed by a Q&A session.
Now I would like to invite Mr. Arun Misra to present the results. Over to you, sir.
Arun Misra : Thank you, Raksha. A very good evening to all of you. Thank you for joining us today for the second quarter and half year FY '26 results briefing. The year so far has been highly impactful for Hindustan Zinc with each milestone, be it the highest -ever mine d metal production, lowest cost of production in recent years, ambitious capex initiatives or globally recognized ESG practices reinforcing the company's strong trajectory for sustainable long -term growth and its global leadership position.
This quarter, we had the privilege of becoming the first Indian company to secure the prestigious membership in the International Council on Mining and Metals, a global industry body that brings together leading mining and metals companies and associations to improve sustainable development performance in this sector.
As the first new member of the council since 2021, Hindustan Zinc is now part of the exclusive global league of 26 companies recognized for excellence in responsible mining. With this inclusion, it becomes imperative that we further deepen our commitment t o sustainability across all dimensions outlined under the Sustainability Goals 2030.
On the safety front, I'm happy to share that we have maintained fatality -free operations during the year, reflecting our strong commitment towards h igh standards of safety culture. Advancing our decarbonization journey, we signed two MOUs with Green Line Mobility Solutions Limited, the first to deploy 100 EV trucks for concentrate movement, making India's first commercial scale initiative of its kind and the second to expand the LNG truck fleet for finished goods logistics.
This quarter, we also released our FY 2025 sustainability reporting suite, including the sustainability, TNFD and Climate Action Reports, offering comprehensive and transparent disclosure that underscore our commitment to strong governance and accountabili ty. Our CSR initiatives continue to create meaningful impact, spanning seven thematic areas and positively touching over 2.3 million lives.

Sensitivity: Public (C4) Last quarter, we signed an MOU with the Rajasthan Heritage Authority to develop the Heritage Corridor at Poonchari ka Lautha Deeg with a CSR commitment of INR85 crores over 3 years.
The project will preserve and promote local culture and heritage, including restoration of historical sites and buildings along with developing botanical gardens and supporting infrastructure.
This quarter also witnessed the second edition of India's mos

t beautiful, the Vedanta Zinc City
Half Marathon , which saw participation from nearly 7,000 runners across the globe, all supporting the noble cause of #RunForZeroHunger . Coming to the market update , in the broader macroeconomic backdrop, global growth continues to navigate a phase of softness and elevate uncertainty.
Leading institutions now forecast global GDP growth in the range of 2.5% to 3% for 2025, slightly lower than earlier projections amid mounting trade tensions, volatile commodity cycles and the policy tightening in key economies. Against this subdued demand environment, non - ferrous metal markets have exhibited notable resilience.
Zinc prices, for instance, have firmed in recent months with LME of zinc crossing the USD $3,000 per ton mark in October and continuing to over above this level, supported by tight inventories and renewed consumption in galvanizing and infrastructure segments. Lead prices

have also remained steady, underpinned by robust battery demand and limited upstream supply. Meanwhile, silver has placed a strong rally, touching new highs and reinforcing its dual role as both as an industrial metal and a store of value.
On the domestic front, India continues to be bright spot, maintaining strong growth momentum. GDP expanded by around 7.8% in quarter 1 FY2026 with major agencies projecting full year growth in the range of 6.5% to 6.8%. This robust performance is driven by resilient private consumption, sustained capital expenditure and supportive government policies, collectively providing a constructive demand tailwind for zinc, lead and silver offtake.
This favorable commodity momentum plays directly into Hindustan Zinc strength as a leading integrated producer of zinc, lead and silver, the sustained firmness in zinc and lead price continues to support stable profitability in our base metal business, whi le the ongoing silver rally providing significant upside, particularly as we advance our long -term plan to scale silver production from current 700 tons to 1,500 tons through our 2x growth capex initiatives.
Moving to the operational performance. The company achieved its highest -ever second quarter and first half mined metal production, coupled with 5 -year lowest zinc cost of production for the same periods, thereby driving the highest -ever second quarter EBIT DA of INR4,467 crores and profit after tax of INR2,649 crores. The zinc cost of producti on for the quarter stood at USD 994 per ton, better by 7% year -on-year, driven by renewable energy consumption, higher by -product realization and softened input commodit y prices.
For the hal f year, we achieved a COP of US$ 1,002 per ton, better by 8% year -on-year, driven by better metal grades, higher by -product sales, softened input commodity prices, enhanced

 domestic coal and renewable energy consumption. During the quarter, the refined metal production stood at 246,000 tons, while saleable silver p roduction was 144 metric tons.
Silver surges to an all -time high of above $50 per troy ounce as India's only integrated silver producer and with around 40% of profits from silver, we are uniquely positioned to capitalize on this cycle. Looking ahead, we have revised our FY 2026 refined metal guidance to 1,075 plus/minus 10 thousand tons per annum and silver guidance to 680 tons plus/minus 10 tons per annum, considering lower plant availability and lower silver input during the first half of the year.
Our growth projects are progressing as per plan. During the second quarter, we commissioned a 160,000 tons per annum roaster at Debari and completed the debottle necking of the cell houses at Dariba Smelting Complex . The debottlenecking of Chanderiya Lead Zinc Smelter is on schedule for completion by quarter 3 FY '26, followed by lead, silver recovery plant with hot acid leaching technology by q

uarter 4 FY26. These projects will drive higher refined metal and silver production in the coming year.
Further accelerating the company's growth in alignment with the nation's prospects, EPC partners have been finalized for the previously announced projects of 250,000 tons per annum integrated metal capacity expansion, which is expected to be completed by second quarter FY'29 and India's first 10 million ton per annum zinc tailing reprocessing plant, which is expected to be completed by fourth quarter FY28.
As we look ahead, in a relatively tepid global growth environment, our integrated operations, cost discipline and commodity leverage positions us well to deliver strong earnings. Going forward, the market should expect continued upside potential, assuming demand h olds and inventory stay light.
We see zinc remaining in resilient trading band , lead continuing to be underpinned by battery and industrial demand and silver potentially sustaining further gains, all of which could drive incremental margin expansion in the coming quarters. Our priority is to ensure timely execution of our growth projects a nd strengthening Hindustan Zinc's position as a future ready sustainability -driven global leader.
Our ESG commitment remains steadfast, guided by ICMM principles and anchored in global practices. Through strategic diversification and disciplined investments, we are poised to deliver sustainable growth and long -term value creation for our shareholders. With this, I now hand over to Sandeep for an update on the financial performance.
Sandeep Modi : Thank you, Mr. Misra, and a very good evening, everyone. As the global growth remains moderate amid policy tightening and geopolitical uncertainty, yet commodity markets have shown resilience. Zinc and lead prices have firmed up on the tighter supply and s teady industrial demand. Silver prices are trending at all -time high levels of above USD50 per ounce, supported by strong industrial demand from solar, electronics and the green energy transition.
HZL is well positioned to capture this up cycle with our consistent operational excellence and cost leadership position. As the world moves towards a low -carbon future, Hindustan Zinc

 stands in the right business at the right time, a compelling choice for investors seeking exposure to India's precious metal primary producer company, a sustainably growth story at the time when zinc prices are also at its peak in October till now during t his financial year.
India continues to be a bright spot with GDP growth between 6.5% to 6.8% envisaged in FY '26 supported by resilient private consumption, sustained capital expenditure and strong policy push with robust domestic momentum translating into a constructive dema nd tailwind for zinc, lead and silver offtake.
It is prudent to note that during the first half of the year, we contributed around INR8,400 crores to the National Exchequer of which INR2,500 crores was contributed to the state of Rajasthan, reflecting our continued role as a significant economic partne r to both the state and the nation.
Before I move to the financials, I am pleased to share that we have published our fifth Integrated Annual Report along with th e Digital Annual Report for FY 25 hosted on a green power server for the third conse cutive year. This year, our Gen AI chatbot has evolved into a Zincky Sonic with real -time voice interaction and enhanced accessibility features, including text to speech and can be accessed on our website.
Coming to the numbers, we delivered highest -ever second quarter revenue from operations at INR8,549 crores, up 10% sequentially, driven by higher commodity prices, stronger dollars and higher by -product realization, partly offset by lower production . During the quarter, we achieved our highest -ever second quarter EBITDA of INR4,467 cror

es, up 16% sequentially.
This performance was underpinned by our 5 -year lowest second quarter zinc cost of production, excluding royalty of $994 per ton, enabled by higher by -product realization and softened input commodity prices. These factors contributed to sustaining our industry leading EBITDA margin of around 52%.
As a result, we recorded profit after tax of INR2,649 crores, up 19% quarter -on-quarter, reflecting the strength of our operations and favorable market conditions. In the first half of the year, we achieved our second best financial performance with EBITDA at INR 8,328 crores, up 3% Y -o-Y and PAT of INR4,883 crores, reflecting an increase of 5% over last year. Our Zinc COP excluding royalty stood for the H1 at $1,002 per ton, the lowest first half cost in the last 5 years.
Also, we achieved record return on capital employed of around 65% for the trailing 12 months.
Since the first quarter, we have consistently delivered Zinc COP below our initial guidance. In line of this, we are revising our full year cost guidance down to around $1,000 per ton , well ahead of our earlier FY 27 target.
In line with Board approved growth projects, our growth capex guidance for the year would be in the range of $350 million to $400 million. This encompasses all ongoing growth initiatives, including fertilizer, hot acid leaching plant, smelter debottlenecking as well as the new 250 Ktpa Integrated Smelter Expansion at Debari and India's First Zinc Tailings Reprocessing Plant at Rampura Agucha.
 Further, I'm pleased to share that Hindustan Zinc has been included in the Nifty 100 and Nifty Next 50 indices effective 30th September '25. This milestone reflects our journey of growth, resilience and consistent performance and underscores our commitment to creating long -term value for all our stakeholders and for the nation.
In summary, the quarter reflects continued resilience and operational excellence driven by cost leadership and disciplined execution. As we enter the next growth phase, our focus remains on maximizing metal recoveries, expanding silver output and deliverin g high return projects, while leveraging technology, innovation and sustainability to drive values. With India's strong economic momentum and green transition, Hindustan Zinc is well positioned to create sustainable value and drive responsible growth.
With this, I now hand over to the operator for Q&A. Thank you.
Moderator: The first question is from the line of Amit Lahoti from Emkay Global.
Amit Lahoti : My questions are on silver. So the first one is, are we running the plant on lead mode or zinc - lead mode given pricing economics favor lead mode?
Arun Misra : No, no, we are running the plant still on zinc -lead mode because what we are doing is we are slightly tweaking the strategy from the earlier strategy of our silver we run only on lead mode.
What we are doing, we are running on zinc plus lead mode, but we a re consuming most of the

concentrate, which is coming from SK Mine, which is rich in silver.
This also has to be seen along with the grade of silver, which the mine is producing. Current grade of silver is not very high. It's around 90 ppm. So we would not be getting that much benefit with lead mode as we were getting earlier. So it is prudent to run in zinc plus lead mode while maximizing use of SK Mine concentrate so that we at l east produce all the silver that we can in the current circumstances.
Amit Lahoti : And then based on our 680 tons of guidance for silver, the asking rate for the second half is high given that first half production has been a little slow. So how are we looking to achieve this number? And then do we have visibility of producing, say, 800 tons capacity in a year or two?
Arun Misra : Yes, yes. So what we have done in H2, we have diverted resources from other mine

s to SK Mine
and also we have incentivized the contractors and workmen who are working there, to ensure that we attack those stopes with high silver quantity and produce them i n H2 so that we get the maximum advantage of silver till the time the prices are high. So that would change you will see in the numbers as we keep on delivering. H2 will produce the numbers so that we can reach the guidance that we are very con fident of that we have released today.
Amit Lahoti : Then can we reach 800 tons in, say, FY '27? Is that a target?
Arun Misra : That's the target because by that time, we will have this current fumer fully stabilized. We will have that with the acid leaching from jarosite to recover some amount of silver. We will also have the new 250 KTPA plant coming in. From there also, it will be built along with fumer. So it may not be 800 ton, but surely from 700 ton on an average to 750 ton looks possible.
 Moderator: The next question is from the line of Manav Gogia from YES Securities Limited.
Manav Gogia : First of all, c ongratulations on the good set of numbers. Sir, my first question comes around the 250 KTPA smelter project, which is costing about INR12,000 crores. And now we have a tailings project of INR3,800 crores coming up. So how do we see the capex shaping up for the next couple of fiscal s, particularly '27 and '28?
Arun Misra : So I'll just correct you a little that 250 KTPA smelter per se is not INR12,000 crores. It is a smelter , expansion of mine , new concentrator plant , altogether . That part of the project is INR12,000 crore. As far as -- what was your second question, that 250 KTPA smelter, we have already started work on the ground and we are finalizing t he technology that this smelter.
The cell houses will be 240 kiloamps cell house compared to the earlier cell houses, which were 200 kiloamps. And we are also looking to begin the inherent ability to debottleneck and increase the capacity further with a marginal capex investment. Once we stab ilize that 250 KTPA production, we will be able to debottleneck further.
Sandeep Modi : And Manav, this is Sandeep here. I think you also wanted to know how the capital allocation or capex will be there in the next 3 to 4 years. So this INR16,000 crores will be around 20% will be in this year or around 50% in the next year and then remaining will be next to next year. So normally, the capex es goes in those manner. Initially, you pay them advances in mobilization advances to 20% to 25% this year and 55% to 60% next year and then remaining in FY '28.
Manav Gogia : And sir, for FY '26, we have USD 350 million to USD 400 million growth capex. What would be the total inclusive of the maintenance capex for this particular year?
Sandeep Modi: This is the growth capex. Maintenance capex will be around USD 400 million.
Manav Gogia : Okay. Okay. Got it. Sure sir. Sir my second question again comes back to the tailings project. I just wanted to know what sort of refined metal output are we looking at from this 10 million tons of the tailings project that we are setting up.
Arun Misra: From the 10 million tons -- from the tailings project that we're looking at about 100 KT odd zinc metal should be produced.
Manav Gogia : It's going to be purely zinc coming out of this?
Arun Misra: Zinc and some proportionate, but very low quantity of lead also.
Sandeep Modi: And then around 20 tons…
Arun Misra: 25 tons. Yes.
Sandeep Modi: Silver containing in the concentrate.
Manav Gogia : Sure. Sure. Sir, just one final question I had. Could you please provide me what was the average mining rate for this particular quarter?
 Sandeep Modi: 7.4%.
Manav Gogia : 7.4%. Earlier was 7.53% in Q1, right?

Arun Misra: But 7.53% this time al

so, our expectation was 7%, but we could finish at 7.4%.
Sandeep Modi: We should also look at Y -o-Y. Last year quarter was 7.3%.
Moderator: The next question is from the line of Pallav Agarwal from Antique Stock Broking.
Pallav Agarwal: Yes. Good evening, sir. Sir, just want to get a sense of what is the proportion of renewable energy in this quarter and what can it be at the end of FY '26?
Sandeep Modi: 19% was the renewable energy during this quarter, and the exit, we -- as we said earlier, should be 25%.
Pallav Agarwal: Sir, and this should be one of the factors for our cost COP staying down?
Sandeep Modi: So as we said earlier, every 2% of the renewable energy increase reduced by power cost by $1 -- the total cost by $1.5 per ton. So that is one of the key factor. Apart from the overall coal cost also softening, that is also helping us in the overall power cost.
Pallav Agarwal: Sure, sir. And any reason why our depreciation declined sequentially because mine metal production was broadly similar. So we've seen a decrease on a sequential basis in depreciation?
Sandeep Modi: Yes. Initially, it has decreased on the amortization , there are two po rtion, depreciation and amortization. So , we have a lower mining rate . So it is a function of the mine development per meter . Accordingly, our mine development rate per meter was still down. Accordingly, amortisation cost has reduced.
Moderator: Sir, I'm sorry to interrupt you, your voice is breaking right now.
Sandeep Modi: Am I audible?
Moderator: Can you repeat your -- sir, please repeat your last line. We couldn't hear it clearly.
Sandeep Modi: So amort -- the depreciation and amortization Pallav contains two para -- items, depreciation and amortization. While depreciation has been increased with the roaster and the debottlenecking capex is getting capitalized, there was a benefit in terms of a r eduction in amortization expenditure given that it is a function of the mine development rate per meter. So that was trued up in line with that, the amortization expenditure has been lower.
Pallav Agarwal: Sure sir. Also, just on the net debt. So we have seen a decline on a sequential basis. So are we still expecting that we could probably end up with a net cash position by the end of FY '26?
Sandeep Modi: We should be. We should be at a net -- it should be flat given that we have revised our growth capex guidance from $350 million to $400 million. As we said earlier, pre -growth capex should be our number, $1.1 billion to $1.2 billion. And with the growth ca pex investment and overall

 sustaining, we should be generating the numbers in that basis, we should be a net debt or net cash flat.
Pallav Agarwal: Sure sir. So lastly, I mean, so now I think we are coming back to below $1,000 of COP. So one obviously is the increasing proportion of renewable power. So that's reducing the power and fuel cost. And also, I think maybe in the second half, maybe your grades also sh ould improve. So would that also contribute to the COP coming down?
Sandeep Modi: Yes. Yes. So we should be expecting COP around $950 to $975 in the Q4 exit.
Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: Yes. Sir, first question on our hedging policy. In the past, we occasionally hedged and sold forward some volumes. So as on today, what is our position given the spike in zinc and silver prices, are we looking at hedging some volumes? And principally, if you ca n reiterate what is our strategy?
Sandeep Modi: So Sandeep here. Currently, we are hedged or open position of hedging of zinc at 87 KT at an average price of $2,872, that is the hedge position as on date. And silver, we are hedged by 131 tons with an average price of $37 per troy ounce. So the strategy remains that how -- if there

is
a spike in the prices and we see it better than our internal business plan accordingly, some portion we can hit. So it gives the balancing of the margin on the hedge position, which is 10% to 20%. On the remain ing 80%, it remains open exposure. So that is something we are thinking to put the strategy in place.
Sumangal Nevatia : For second half FY '26?
Sandeep Modi : FY '26 second half, that's what I was saying. Open quantity is 131 ton of the silver and 87 Kt of the zinc.
Sumangal Nevatia : That is the hedged quantity, right, not the open quantity?
Sandeep Modi : That’s open quantity. That's what I'm saying. Second half you are asking? Open means hedge quantity remaining will be open. You reduce whatever we will produce in minus 131 will remain open.
Sumangal Nevatia : Yes, that’s what. I understood. Understood sir. Sir, second question is on the volumes. Now practically, our capacity is around 1.18 -- sorry, 1.128 . When can we achieve these volumes

given all our projects are now in place, can we hit this sometime in FY '27 next year, which implies high early double -digit kind of a growth in volumes?
Arun Misra : We will have the growth up to 1.1 million ton plus next year surely because see the way we had put up the reason for which we had put up the new roaster was to create that availability of calcine and allow other roasters to go on shutdown whenever required, so that there was never a shortage of calcine.
But that delay in commissioning of R6 have impacted availability of calcine in H1, and that is showing in the results. However, in H2 from the calcine side were projected. Now we have also

 debottleneck ed our Dariba Cell House by increasing the current capacity from 200 kiloamps to 210 kiloamps. And we'll be doing the same thing in Chanderiya in this month.
So, two together will give us additional 25 Kt of production over the base of -- earlier base of 1,040 and 1,080 Kt. So altogether, next year, we are absolutely positioned correctly to achieve more than 1.1 million ton metal. We could have achieved this year also had the Roaster 6 commissioning not got delayed.
Sumangal Nevatia : Understood, sir. understood. And just one last question. Any of our earlier planned strategic action like acquisition of Zinc International or split of business into zinc, lead, silver, anything of that on the cards now over the next near to medium term?
Arun Misra : No, acquisition of Zinc International is really out of the question because that is separately trying to expand and they will become 1 million ton player by themselves. And we are also trying to grow from 1 million ton to 2 million ton. So right now, we have no more capacity to absorb any further zinc capacity from any other part of the world. So that's number one.
And number two, on the demerger, we still believe that's the right process, and we will take it up wherever it is required because as you can understand today, with such rising silver prices, if we were demerged into zinc, lead and silver company, net valu ation would have been far better than what it is now.
Sumangal Nevatia : Understood, sir. Thank you and all the best.
Arun Misra : Thank you.
Moderator: Thank you. The next question is from the line of Raashi Chopra from Citigroup. Please go ahead.
Raashi Chopra : Thank you. I just want a clarification on some of your answers. On the capex side, you mentioned that the capex breakdown for the two projects, that is one is INR12,000 crores and the other is INR3,800 crores. That will be 20% this year, 50% next year and then the balance following. Is my understanding correct?
Sandeep Modi : Yes, broadly correct.
Raashi Chopra : So, FY '26 you've indicated that growth capex of 350 million to 400 million, that includes this 20% that we're talking about, right?
Sandeep Modi : Yes.
Raashi Chopra : Okay.

And maintenance capex is at 400 million ?
Sandeep Modi : Yes.
Raashi Chopra : All right. Then on the hedge position, 131 of silver. What is -- I missed the price . It's hedged at 87 to 84 of zinc , what are the prices? Open hedging.
Sandeep Modi : So, zinc hedged at $2,872 per ton and silver at $37 per troy ounce .

 Raashi Chopra : Okay . And renewable proportion this year -- this quarter, sorry, how much?
Sandeep Modi : 19%.
Raashi Chopra : So same as the first quarter ?
Sandeep Modi : Yes. So it will be increasing with the wind capacities getting added during this quarter.
Raashi Chopra : And the 70% target that you have given in the presentation, that is for when?
Sandeep Modi : FY '28.
Arun Misra : FY ‘28, we'll have 70%.
Raashi Chopra : And just last question for me. How much domestic coal -- what was the proportion of domestic coal in this quarter?
Sandeep Modi : 58% was the same quarter and last -- overall H1, it was around 52%.
Raashi Chopra : Got it. Thank you.
Moderator: Thank you . The next question is from the line of Pavan Kaware from Nayan M Vala Securities. Please go ahead.
Pavan Kaware : So, my question was on the outlook for the '27 and ’28 . Do we have calculated on the refined

metal productions?
Arun Misra : No, no. FY '27, you are talking about FY '27, '28. That outlook we cannot give now. After we do business plan, then we will release the guidance for next year. That time you will come to know .
Pavan Kaware : Any ballpark numbers in terms of min ed metal?
Arun Misra : No, no, no. As we said that, you know, all that I can say that this year we tried to produce 1.1 million tons. Had the roaster commission not got delayed, we would have surely achieved. Now, that means now the roaster is commissioned , so next year this number should be achievable. But what will be our guidance next year? We will be able to tell only next year.
Pavan Kaware : Okay. And in terms of the debottlenecking of smelters, is there any increase in the refined metal capacity?
Arun Misra : It's about 25,000 tons of metal production capacity .
Management: On annually.
Arun Misra : Annual .
Pavan Kaware : Annual basis including zinc and lead ?

 Arun Misra : It's only zinc only. Debottlenecking is in zinc.
Pavan Kaware : Thank you. And that's it from my side .
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Ms. Jain for closing comments. Thank you, and over to you, ma'am.
Raksha Jain : Thank you, operator , and thank you, everyone, for joining us today. In line with our commitment to the highest standards of transparency and disclosure, complete reporting tools are available on our website. We would greatly appreciate any feedback or suggestions you may hav e to further enhance our reporting. Should you have any follow -up questions or require additional information, please feel free to reach out to the Investor Relations team. Thank you.
Moderator: Thank you. Thank you, members of the management. On behalf of Hindustan Zinc, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.
Thank you.

Call: Jan 2026

Sensitivity: Public (C4) HZL/202 5-26/SECY /149 January 22, 2026
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor Plot No., C/l, G Block
Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051
Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication
Scrip Code: 500188 Trading Symbol: “HINDZINC”
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ear Sir/Ma’am ,
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ub: - Earnings call Transcript for the third quarter and nine months ended December 31, 2025
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ursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earning s call held on Mon day, January 19, 202 6, with regard to the financial performance of the Company for the third quarter and nine months ended December 31, 2025. The same is also made available on the Company’s website at https://www.hzlindia.com/investors/reports -press -releases/ .
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ours faithfully ,
For Hindustan Zinc Limited
A
ashhima V Khanna
Company Secretary & Compliance Officer
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closed : as above

“Hindustan Zinc Limited
3Q & 9M FY '26 Earnings Conference Call”
January 19, 202 6

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER – HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER – HINDUSTAN ZINC LIMITED
MS. RAKSHA JAIN – DIRECTOR INVESTOR RELATIONS – HINDUSTAN ZINC LIMITED

Sensitivity: Internal (C3) Moderator: Ladies and gentlemen, good day, and welcome to the Third Quarter and 9 Months FY '26 Earnings Conference Call hosted by Hindustan Zinc. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is

being recorded.
I now hand the conference over to Ms. Raksha Jain , Director of Investor Relations of Hindustan Zinc. Thank you, and over to you.
Raksha Jain: Thank you, operator , and good evening, ladies and gentlemen. Thank you for joining us today to discuss the third quarter and 9 months results of FY '26. In this call, we will refer to our Investor Presentation available on our company's website. Please note that today's entire discussion will be covered by the Safe Ha rbor clause mentioned on Slide 2 of the presentation.
Today, we have our CEO, Mr. Arun Misra ; and CFO, Mr. Sandeep Modi . The management will be discussing the operational and financial updates for the quarter, followed by a Q&A session. Now I would like to invite Mr. Arun Misra to present the results. Over to you, sir.
Arun Misra: Thank you, Raksha. A very good evening to all of you. Thank you for joining us today for the third quarter and 9 months FY '26 results briefing. Before we begin the presentation, with profound sadness and a heavy heart, I would like to share that during the quarter, we lost Kailash in an unfortunate incident at our Rajpura Dariba mine.
On behalf of the entire organization, I extend our deepest condolences to the bereaved family. We stand firmly beside them in these difficult times and assure them of our unwavering support. Such incidents are truly heartbreaking, particularly as we continue to strengthen our safety -first culture.
Following a detailed investigation, we are implementing strong corrective and preventive measures with utmost urgency and the learnings are being disseminated through the organization. The safety and wellbeing of every individual remains paramount, and this incident serves as a reminder of the need of the constant vigilance and a continuous improvement.
The quarter has been one of our strongest. We achieved the highest ever third quarter mined metal production since the underground transition along with record third quarter refined metal production. This was delivered alongside the lowest zinc cost of production, including royalty in last 5 years, underscoring our structural cost leadership and operational discipline.
Advancing our sustainability journey, we flagged off 10 EV bulker trucks at our Debari smelter in collaboration with Enviiiro Wheels Mobility Private Limited, which plans to scale the fleet to 40 vehicles. Further reinforcing our sustainability leadership, the company achieved a global milestone by securing number one ranking in the S&P Global Corporate Sustainability Assessment 2025 for the third year in a row in mining and metals sector with an industry -leading score of 90 out of 100.

 This recognition reflects our consistent commitment to the highest global standards of sustainability. Our efforts in corporate social responsibility have also been recognized with the Best CSR in Private Sector Award at the Mining & Metals Excellence Awards 2025, acknowledging our sustained focus on creating a meaningful impact on local communities.
Moving to the market environment. India continues to stand out as one of the brightest spots globally with manufacturing PMI firmly above 56 throughout the quarter. The nation's GDP growth for FY 2026 is projected at ar

ound 7.4% by the Reserve Bank of India. Against a highly uncertain global macroeconomic backdrop, commodity prices have stayed buoyant, supported by strong fundamentals.
Zinc prices surged to around $3,350 per ton, the highest level since early 2023, driven by tight physical supply. Silver prices, in particular, witnessed strong rally of around 75% year -on-year, even reaching an all -time high of over $93 per troy ounce in January. The inclusion of silver in the U.S. critical minerals list and its relative undervaluation versus gold and strong festive demand from India attracted robust investor interest . Despite such strong rally , the outlook for silver remains bullish.
Turning to the operational performance. We delivered mined metal production of 276,000 tons, our best ever third quarter since the underground transition, taking 9 -month production to a record 799,000 tons. We achieved highest ever third quarter refined metal production of 270,000 tons with second highest 9 -month production of 766,000 tons.
With the successful completion of debottlenecking at Chanderiya smelter and the earlier commissioned debottlenecking at Dariba smelter, we added 21,000 tons to the overall refined metal capacity. Earlier this year, we completed the commissioning of 160,000 tons per annum roaster at Debari, which has improved the overall plant availability. With this, we are comfortable in delivering the refined metal production as committed.
Our saleable silver production stood at 158 tons, up 10% sequentially. The contribution of the precious metal portfolio has increased to 44% of the profits, making it uniquely placed to ride

the silver wave and unlock full potential. We delivered silver production of 451 tons in 9 months. During the quarter, we achieved 5 -year lowest zinc cost of production, excluding royalty, of $940 per ton, better by 10% year -on-year and 5% sequentially.

This achievement was in line with record operational performances, higher domestic coal usage, softened coal prices, and higher byproduct realization, and this was partly offset by higher mine development cost. Zinc cost of production, excluding royalty for the 9 months, stood at its 5 -year lowest of $980 per ton, well within the guided level.

The combination of lowest cost of production and record output resulted in all -time high financial performance for the quarter and 9 months. During the quarter, we delivered record revenue of INR10,980 crores and the highest ever EBITDA of INR6,087 crores. The profit after taxes for the quarter surged 48% sequentially to INR3,916 crores, marking a new record for the company.

 With respect to 2 x growth projects of 250,000 tons per annum integrated zinc smelter at Debari and tailings reprocessing plant at Rampura Agucha, we have locked in key EPC partners and groundwork has started. Both the projects are set to be completed by second quarter of FY '29 and fourth quarter of FY '28, respectively.

As we advance into the next phase of our growth journey, Hindustan Zinc stands on a foundation of scale, resilience and disciplined execution. Our robust balance sheet, sustainably low cost of production, and best -in-class assets provide us with the confidence to invest through cycles and capture opportunities emerging from a favorable commodity environment.

Guided by an unwavering commitment to safety, sustainability and governance, we continue to strengthen our operational excellence while expanding our resource base and advancing strategic projects that will define our future growth.

As global prices increasingly shift towards electrification, decarbonization and energy security, our focused diversification into metals critical to the energy transition positions us well. With a clear strategy, proven execution capabilities and the dedication of our people, we remain

firmly committed to creating enduring values for all our stakeholders.

With this, I now hand over to Sandeep for an update on the financial performance.

Sandeep Modi: Thank you, Mr. Misra, and a very good evening, everyone. The global environment continues to see uneven growth and geopolitical -driven volatility. However, India remained a clear outperformer. The RBI has projected India's GDP growth at 7.4% for financial year FY '26, significantly ahead of global average, supported by strong domestic demand, sustained infrastructure -led capex and policy continuity.

While commodity prices are influenced by global macro sentiment, in the near term, underlying fundamentals remain constructive. The recent rally in commodities reflects tightening supply dynamics and resilient demand, and we believe this positive price trajectory is well supported.

Against this backdrop, our focus on cost leadership, operational discipline and balance sheet strength position us well to convert favorable macro and commodity trends into sustained value creation.

Before moving to the financial performance, I am pleased to share that our integrated annual report of FY '25 received Platinum Award at the prestigious LACP Spotlight Awards for the first time. We were the number one among the Indian companies and the only Indian company in the global top 10, securing the sixth position worldwide, reinforcing our commitment to strong governance, transparency and global best -in-class reporting practices.

Turning to quarterly performance. This quarter marked a new milestone with record financial performance. We delivered highest ever quarterly revenue of INR10,980 crores, up 28% quarter -on-quarter and 27% Y -o-Y, driven by higher production, a favorable commodity environment, higher byproduct realization and rupee depreciation.

 We achieved record quarterly EBITDA of INR6,087 crores, up 36% quarter -on-quarter and 34% Y -o-Y, while maintaining our industry -leading EBITDA margin of 55%. The EBITDA growth was supported by record revenue and 5 -year lowest quarterly zinc COP, excluding royalty, of $940 per ton, driven by higher domestic coal usage, softened coal prices, increased

production and high byproduct realization.
Importantly, this is the first time where we have also achieved the lowest third quarter zinc COP, excluding royalty, since underground transition, underscoring the strength of our assets, effective use of technology and our disciplined execution. In line with the strong operating performance and EBITDA, we delivered our best ever profit after tax of INR3,916 crores, up 48% quarter -on-quarter and 46% Y -o-Y.
On a 9 -month basis, we delivered historic highs with record revenue of INR27,300 crores, the highest ever EBITDA of INR14,415 crores, and the best ever profit after tax of INR8,799 crores. Zinc cost of production, excluding royalty, on a 9 -month basis stood at $980 per ton, the lowest in last 5 years, well below guided levels.
Our free cash flow before growth capex and renewable energy investment for the quarter stood at INR3,413 crores, taking the 9 -month free cash flow generation before capex and RE investment to INR7,225 crores. We achieved net cash position of INR329 crores at the end of December '25 in comparison to net debt position at the September end of INR2,547 crores.
It is prudent to note that in the last 9 months, we contributed over INR13,000 crores to the national exchequer, of which INR4,000 crores was contributed to the state of Rajasthan, reflecting our continued role as a significant economic partner to both the state and the nation.
Consistent with our track record, the company continues to deliver strong shareholder returns of 35% over 9 months, outperforming the Nifty 100 and Nifty Metal indices. As of December '25 end, we ranked third in the

Nifty Metal Index and 33rd in the Nifty 100 with a market cap of around INR260,000 crores compared to INR195,000 crores at March '25 end. During the quarter, Hindustan Zinc delivered return 5x that of Nifty 100, reflecting our resilience, execution excellence and sustained value creation for all stakeholders.
Overall, the quarter underscores the strength and resilience of our operating model and the consistency of our financial performance, anchored by structural cost leadership and disciplined execution. Supported by technology -driven efficiency, continuous innovation and a robust sustainability framework, we are well -aligned with India's economic expansion and energy transition priorities. This positions Hindustan Zinc to deliver resilient growth and long - term value creation for shareholders, communities and the broader economy.
With this, I now hand over to the operator for Q&A. Thank you.
Moderator: We'll take our first question from the line of Manav Gogia from Yes Securities.
Manav Gogia: First of all, congratulations on the wonderful results for this quarter. Sir, my first question comes -- particularly wanted to understand how the premiums are working, especially for lead

Sensitivity: Internal (C3) and silver, because they have been higher than what historically has been seen. So could you throw some light on the same, because we have also had a good amount of volumes for silver, which were hedged at lower prices. So, what sort of changes happened here?
Sandeep Modi: So as far as the premiums are concerned, this is a part of our net sales realization, and we separately don't report the premium over whatever we earn through the LME. But what we can say, the premiums are in line with the market, which we are getting in India. In case of lead, in a domestic primary lead market share, our market share is 90% plus. So that is the thing on the lead.
And silver, as you say, it is quite volatile in the Indian market as well. So, it has been over the MCX prices, it has been sometimes discount physical delivery, it has been sometimes premium as well. But we benchmark ourselves with the CRISIL, and we have been doing in line with whatever CRISIL has been publishing for the premium or discount for the month.
Manav Gogia: Okay. And can we expect a similar sort of range to be in the upcoming quarters as well?
Sandeep Modi: Yes, absolutely.
Manav Gogia: Sure, sir. And sir, second question would be, could you give us the number of hedge quantities for Q3 FY '26?
Sandeep Modi: So hedge quantity for the Q3 FY '26 was 47 kt for zinc, which got squared off, and 55 tons was the silver, which got squared off within the quarter 3.
Manav Gogia: Got it. And are we trying to hedge further quantities for FY '27 at higher prices? Or are we looking for spot sales over there?
Sandeep Modi: So Manav, let me give the perspective. Hedging is not like playing with the prices. In line with the global practices and Indian peers, our objective has been for last 2, 3 years to continue to follow the consistency in the strategic hedging for 10% to 20% of the volume. And that's for the whole year. So that's how we have been going on. And for FY '27, we are hedged by 66 kt of the zinc and silver by 56 tons at $58 per troy ounce and zinc at $3,170 per ton.
That is for FY '27. And FY '26, we are hedged at silver for 68 tons at the price of $39 per troy

ounce, because that is the more thing we hedged in the month of June and July itself. And for the quarter 4, we are hedged for zinc 53 kt at $2,900 per ton. That is also the earlier hedged price only.
Manav Gogia: Okay. Okay. That is quite helpful. Just one last question. I just wanted to know, would it be possible for you to give the targeted silver volumes for FY '27? And how will the silver volumes look in Q4? Because Q3 has seen a good pickup from the earlier

first half.
Arun Misra: Traditionally, we do our best in Q4. So I'm hoping that the same trend will continue because, one, of course, all shutdowns are cleared, and we'll have more availability of equipment running, as well as the weather and the ambient conditions are favorable for both mines as well

 as smelter. So, you can expect better than what we have reported in Q3 kind of a number, if possible.
Second is, with the same, can we throw some light on next year? I think let us carry our business plan sessions first. That's what we are undergoing now. And I think by April or May Board meeting, we should be able to give you the guidance for the next year.
Moderator: Next question is from the line of Pallav Agarwal from Antique Stock Broking.
Pallav Agarwal: Congratulations on the good performance. So, a couple of questions. First one was on the COP. You gave some reasons for the low cost of production. So how much of this is sustainable? And going forward in Q4, can we expect a similar level of COP?
Sandeep Modi: So Pallav, Sandeep here. And this COP, if you see, the last quarter also we said it should be a sustained basis. As we said earlier, the sustained COP should be between $950 to $1,000. That is a sustained level which we can do.
On a quarter basis, it may be dependent bearing upon the volume, grade, or some of the byproduct realization, or any other items. But on a year basis, we should be assuming $950 to $1,000 on a sustained basis. Of course, this year, we expect to perform well below the guided range.
Pallav Agarwal: Sure, sir. Also, sir, now that we've probably reached a net cash position in Q3, so can we expect that March also should be a strong quarter? So, if there are no further dividends, then probably can we expect a net cash position at the end of Q4 as well? And if any maturity of debt is there in the fourth quarter?
Sandeep Modi: So Pallav, the maturity of debt is not very large, the INR1,300 crores in Q4. So that's not a big issue. And I'm sure with the current -- as Misraji had said, volume normally remains -- we delivered quarter 4 as the best quarter within the year, and also the bond prices and the structural cost reduction, we should be in this direction.
Only one thing, the growth capex , which is $180 million till December, we have spent, as we move for the 2x, a lot of partners we have to lock in. So, we may be having around $300 million total year growth capex . So that is something which you can factor for the full year, incremental, say, $120 million extra spend in the growth capex .
Pallav Agarwal: Sure, sir. And what would be the maintenance capex ?
Sandeep Modi: Maintenance capex is routine, which will be around $90 million to $100 million for Q4, and the whole year should be $400 million.
Moderator: We'll take our next question from the line of Anirudh Nagpal from JM Financial.
Anirudh Nagpal: So, congrats on a great set of numbers for the quarter. So, my question was actually answered, but I just had another question. So, can you please tell us if you're maintaining the FY '26

 guidance for mined metals and for silver? So, are we expecting any rise in the silver volumes in 4Q or 680 tons is the guidance for FY '26?
Sandeep Modi: So, I think we revised the guidance in the October, 680 plus/minus 10 tons. We should be closer to the silver guidance. One thing which I would like to also highlight that during the quarter, the company also sold a concentrate of the lead concentrate given that there was a tightness in the market globally. And at the same time, the silver prices were quite higher.
So, it was a good strategy from getting the realization of the inventory and the realization of the EBITDA. So that we sold 21 to

ns equivalent to silver during the quarter 3. So, you will
have to -- so from the guided EBITDA point of view, you should be adding that number in my view.
Moderator: Next question is from the line of Pinakin from HSBC.
Pinakin: My first question is, can you give us a sense of the cost of production without byproduct credits? I mean, we're just trying to understand how has the underlying COP moved ex of byproduct?
Sandeep Modi: So, you should reduce around $100, $120 per ton from this thing, because if you have to compare from the historical past, then you will have to use different data. But at this point of time, if you have to compare like -to-like, you may have to reduce $60 to $70 reduction.
Pinakin: Would the -- ex of byproduct realization, there would have been a similar reduction in COP?
Sandeep Modi: Yes, yes, absolutely. And that's why I have said that on a constant basis, we should be assuming $950 to $1,000 cost of production.
Pinakin: Understood. My second question is, and maybe I missed it during the call, so the cash profits were roughly INR5,000 crores in the quarter. How were they utilized in terms of spending?
Sandeep Modi: So, we generated a free cash flow around INR3,400 crores, pre -growth capex , and out of which our growth capex was invested. So, I'm not able to understand what do you mean by cash profit?
Pinakin: No, if I just add the net profit plus depreciation, right, that would be around INR4,700 crores, INR4,800 crores?
Sandeep Modi: Yes. That comes to, yes, INR4,700 crores, out of which INR800 crores has been invested in the sustaining capex and INR500 crores has been invested in the growth capex .
Pinakin: INR1,300 crores was invested out of that INR4,800 crores. So, there was a INR3,400 crores net cash accretion?
Sandeep Modi: Absolutely.
Moderator: Next question is from the line of Sumangal Nevatia from Kotak Securities.

 Sumangal Nevatia: Sir, first question is, could you share what were the grades for this quarter versus last year, or
some previous comparison?
Sandeep Modi: So, this quarter, the grade was 7.3%, and last quarter similar period was 7.4%. So grade overall for the 9 months, it has been 7.4%.
Sumangal Nevatia: Okay. Sir, the silver production guidance of 68 0 tons plus minus 10 tons, are we confident of achieving it, because the ask rate suggests some 230 -odd tons of requirement in the fourth quarter. So, is the mining sequence and the sales what we are having a visibility now given 1 month we are into January mid, so are we confident of achieving it?
Arun Misra: So, if you look at silver now, since we are unable to utilize all the concentrate in our smelters for various reasons, so if you look at the silver number that way, we have sold silver through concentrate up to 21 tons, and we have produced silver actually 451 tons.
So, two together would be 470 tons -- 472 tons. So that is the number. If you look at that, and in quarter 4, normally, it is much better than quarter 3 and one of the highest in the year, so I think we'll be close to our guidance that we gave.
Sandeep Modi: And also, just want to add, historically, except the FY '18, we have been running every year some of the lead mode certain months. This year will be the full zinc and lead mode first year after 2018. In 2018, we delivered some 560 tons of the silver. And this year, whatever extra we are doing, that is with this zinc and lead mode. I think that is the operational efficiency, and the recovery and other parameters has been supporting us.
Sumangal Nevatia: Understood. Understood. Sir, and what would be the RE mix in terms of overall power contribution for this quarter, and your guidance was '27?
Sandeep Modi: So this quarter, we were 20% for the RE power, and we should be exiting at 25% as the wind power capacity getting ins

talled. For the next year, we should be between 35% to 40%. And
after the next year, 70%. That has been our statement earlier as well, because battery storage and wind is now getting commissioned.
Sumangal Nevatia: Okay. And sir, in terms of cost saving from, say, 25% this year to 75% in FY '28, so incrementally, 50%. What would be the cost saving in, say, rupee crores or something or dollar per ton?
Sandeep Modi: So, $20 to $25 per ton saving will be through RE power, but there will be -- like as we go deeper into the mines and grade differentiation also happens. So as I said, that's why we should be assuming between $950 to $1,000 per ton of the cost. But if you ask only from the RE power point of view, we should be saving annually, with this incremental, almost INR250 crores to INR300 crores annually.

Sumangal Nevatia: Understood. And just one last question on our hedging strategy. You said 10% to 20%. When did we -- I mean, have we been doing, since last 2, 3 years, hedging? I thought it will be more of a this year phenomenon.

 Sandeep Modi: No. If you see the last 3 years, we have been doing this. Before that year and before that year
also, we did it. And this has been consistently 10% to 20% of the hedging. Silver, we started hedging in the FY '25 itself.
Sumangal Nevatia: Okay. So, this is the second year, okay. And going forward...
Sandeep Modi: Yes. Zinc, it's the third year; silver, it's the second year.
Sumangal Nevatia: Understood. And going forward, this is the range we should expect, right? I mean, irrespective of whatever our view on commodity is, we would be maintaining 80% spot and 15% -- 10% to 20% hedge?
Sandeep Modi: 20%, we -- so wanted to give again the perspective. When we start the business planning internally from the Board approval and the consensus which is published by 25, 50 bankers, if we see that prices trading and which we are getting in the market are better than business plan and the consensus, that's how we did the hedging, and that's how we will be continuing.
Because the remaining, say, 80% to 90% volume will always remain available for the market to be anything. But more from our certain margin lock -in, this is the right strategy, we believe, and this is being done across the globe by the large peers.
Sumangal Nevatia: Understood. And if I may squeeze in one more, sorry. Can I ask one more question?
Sandeep Modi: Yes, yes. Please go ahead.
Sumangal Nevatia: No, I had a question on free cash, but it is covered.
Moderator: Next question is from the line of Tarang Agrawal from Old Bridge.
Tarang Agrawal: A couple of questions. One, while the zinc cost of production has been the lowest in the last five quarters, but if I look at overall cost of production, that's actually inched up. I think in the opening comment, Mr. Misra alluded to some mine development costs being higher. So say, on a year -on-year basis, what would that number be, incremental mine development cost?
Sandeep Modi: No, I think he was saying it's getting offset with the mine development rate, because there has been certain positives and there is certain -- as the mines go deeper, if you see, that will be always such kind of scenario. So, mine development Y -o-Y last year was 14 kilometers, this year, 15 kilometers.
Arun Misra: One kilometer additional mine development.
Sandeep Modi: So that impact will come. Then the inflation of the mine development rate. That also comes up.
That is the operational excellence company continues to do. If there is one way cost is increasing, the other way is to decrease. So, the major cost reduction is happening in the power cost due to three things.

 This year, we had -- this quarter, we had 58% domestic coal util

ization; second, our imported coal prices were lower; and third, RE power share. So, all these things put together are offsetting the power cost, and our volume was also Y -o-Y better. That also gives the benefit of the better cost. So, these get offset, and then remaining comes to what we were saying, byproducts and other things.
Tarang Agrawal: Sir, if I look at it on a year -on-year basis, I mean, employee costs, power and fuel, all of them are lower on a per ton basis, right? But mining royalties obviously increased because our realizations have inched up materially.
But there's this line item, which is other expenses, including manufacturing. That metric has inched up by almost $150 on a year -on-year basis. So, I was just curious what are the factors that have contributed to this growth? And I'm talking on the delta, I'm talking on a per ton basis.
Sandeep Modi: So, in other expenses, you will see one of the key reasons is the revenue since our brand fees are linked with the turnover. So, in case the turnover is increasing Y -o-Y, it will be also increasing. So, it remains 3% of the turnover, but in terms of absolute value, it will increase.
Tarang Agrawal: Okay. And sir, you spoke of hedging. So, in Q3, did I get it right, almost 55 kt of silver was hedged?

Arun Misra: Q3, 55 tons was hedged, which got squared off. Q4 is 68 tons.
Tarang Agrawal: So, 55 tons was hedged at what price, sir?
Arun Misra: $37.
Tarang Agrawal: Okay. But sir, against our general policy of 10% to 20%, 55 tons is almost 30% of our output. So, when you say 68 tons at $39, it's cumulatively for FY '26, is it?
Sandeep Modi: No, no, it's separately. When I say the 10% to 20% of the hedging, so silver was hedged for 20% of the total volume. That has to be seen on annual volume.
Tarang Agrawal: Okay. So technically, if you are looking at about 680 tons, so to say, in FY '26, between Q4 and Q3, almost 125 tons is done, right? So basically, are we suggesting that most of the hedging actually happened only in Q3 and Q4? Is that the right way to look at it?
Arun Misra: So, hedging was done in the month of June, July for the quarters of quarter 3 and quarter 4.
Tarang Agrawal: Got it. Got it. And sir, last question. Sir, what is the net debt on books as on 31st December?
Arun Misra: It's a net cash at INR329 crores.
Moderator: Next question is from the line of Pallav Agarwal from Antique Stock Broking .
Pallav Agarwal: Just want an update on the tailings project. What sort of progress have you made on that?

 Arun Misra: Tailings groundwork has started, which is ground clearing, setting it up for construction. So that has started. Also, we have to go through the various regulatory clearances. So basic work has started on the ground.
Pallav Agarwal: Sure, sir. Also, on the 2x expansion, so specifically on the lead and silver portion, sir, how has the progress been over there?
Arun Misra: No, we are not doing 2x in the form or lead and silver. It's all -- our mine is zinc and lead mine. And both are -- they are not separately lead mine and separately zinc mine. So, we'll be expanding. If you look at it, expansion -wise, expansion at RD mines and expansion at Zawar are the two big components.
They will add maybe some amount of silver, but the fact that the volume will double, automatically, the silver quantity, even if we say take even today's worth silver PPM, if I make it 650, then also we'll have 1,300 tons. And if we say at this current position, we can make up to 700 tons, then we are looking at 1,400 tons of silver just because of the volume impact.
Pallav Agarwal: Sure, sir. So more on the lead smelting part. So, I think the silver would be a byproduct from there. So, I think there...
Arun Misra: Yes, yes. Absolutely correct. So automatically, the silver -- our lead cu

rrent 200 kt production
will go up to 400 kt production. So automatically, the silver also -- our Pantnagar refinery is already capable of 800 tons of silver. Maybe we'll have to expand it by another 600, 700 tons there, or we can put up a 600 ton silver facility in our existing location.
Pallav Agarwal: Sure, sir. Okay. So along with the smelting, even the silver output should go up?
Arun Misra: Of course, of course.
Moderator: Next question is from the line of Vikas Singh from ICICI Securities.
Vikas Singh: Sir, just wanted to understand our strategy, where on one hand we are selling lead and silver concentrate in the market, and at the same time, you yourself said that at least one quarter you usually run at a lead -heavy pyro mode, which is not happening this time. So, didn't understand why we are doing so? Or is this something to do with grade?
Arun Misra: We are currently running the pyro in the lead plus zinc mode, because we are having a very good zinc price as well. So, if I just go into lead mode, we do that when the zinc prices are, say, $2,000 or $2,200 a ton and the silver prices are around $30 a troy ounce, then it makes a heavy sense not to produce so much of zinc, but produce more of silver, because lead quantity remains same in both the cases. So right now, with the zinc prices, there is no reason that why we should convert everything to lead mode only.
Second, what have we sold? The lead concentrate produced by the RD mill, which was in the beginning in the commissioning stage, they were lead concentrate, but the concentrate grade was poor. So, it is better that our smelter, as it is we are lacking in capacity, why would we over burden that smelter with this poor grade of concentrate. So that is the choice we made.

 Vikas Singh: Noted. So, by that account means even at the current silver prices, the barter is more

towards
the lead production higher?
Sandeep Modi: No, it is zinc plus lead mode. That means we'll produce more zinc. At the same time, the due amount of silver.
Vikas Singh: Okay. So just let me rephrase this way. So given the current zinc prices, for next year also, the most likelihood of...
Arun Misra: We will continue in the lead plus zinc mode only, because we will have surplus MIC at the end of the year, zinc MIC, and we want to run through it in the month of April, May. And if the zinc prices have also remained stable at that $3,200, $3,300, then why should we not produce zinc.
We'll keep on producing zinc and try to see what debottlenecking of lead production facility we can do, so that we can increase silver production. That we are working on this business plan. And I think once the Board approves, then we will let you know what is that incremental facility in lead production we will do.
Sandeep Modi: Another thing to add that it is not like by choice we can do, because zinc and lead is a joint product which get produced as part of the mining. So, if I run the zinc -lead mode, then lead concentrate will get piled up. If I run on the lead mode, the zinc concentrate will get piled up. And we are not in the business of selling the concentrate. It was only an opportunity which we got during this time where the lead -- silver prices were also better. But strategically and technically and operationally, we would like to run in the zinc and lead mode only.
Vikas Singh: Noted, sir. And sir, just one more thing. Any update on the fumers which...
Arun Misra: So current fumer is operating. So, we had some trouble after the Chinese visit and all that, but our engineers have got trained. And I think this year, in 9 months, we have added about 3 tons of additional silver only through running the fumer.
Sandeep Modi: So, in case of fumer, we have been running at a 60% capacity utilization.
Arun Misra: 8 tons, we have added in 9 m

onths, and we will continue. As now shutdowns are over, then fumer will operate far better in Q4 as well.
Moderator: We'll take our next question from the line of Ashish Kejriwal from Nuvama Wealth Management.
Ashish Kejriwal: Many congratulations for the results. Sir, my question is on the volume guidance. You are not changing your guidance assuming that fourth quarter normally is a seasonally good quarter and we normally see higher volume.
But at the same time, if you look at -- we are not changing the lead -zinc mode, and obviously, then how -- I don't know how silver volumes will be higher as more than 200,000 tons, even if

 I'm assuming lower end of the guidance as well as if I add 20,000 ton of lead concentrate, which you sold indirectly, if I'm putting that also.
So, from 158,000 tons to more than 200,000 tons without changing the zinc -lead mode, are we seeing any higher PPM in this quarter? Or how do we try to justify that? And secondly, even in terms of refined metal, asking rate is much higher than what we have seen earlier. So, what changes which we are making, which will make us comfortable for this volume?
Arun Misra: So, one of the debottlenecking which is pushing in higher current in the electrowinning processes at both Dariba as well as Chanderiya, they have been completed and they are stabilized, working absolutely to the capacity, which have got a capability of adding 25,000 tons per annum capacity.
So, we will use that. At the same time, of course, fourth quarter always sees better grades, in terms of which selectively we will ensure that we have to get more silver. And the silver recovery processes in the mills, we have already commissioned a graphite pre -float process in Agucha, which was not there in quarter 2 or first part of quarter 3.
So those initiatives are in place. At the same time, we are very confident of quarter 4 being exceptional numbers, and hence, we'll be meeting the guidance or may be close to the guidance on matters of silver.
Ashish Kejriwal: Okay. Okay. And sir, secondly, in terms of hedging for next year, as our policy of 10% to 20% of the volume we normally hedge. And as far as, even if we assume 720 kt for next year, we have hedged around 8% of the silver volume now. And now silver price is $93 per ounce. So do you think that we are going to hedge more in next 1 or 2 months, so that at least FY '27, we will be comfortable with those numbers?
Sandeep Modi: Sandeep here. So, it will remain dynamic. So, we're also watching the market. We also have the in -house experts, who will keep advising us. So, depending upon that, we'll be hedging. And it's not like when we hedge, we hedge on the day 1 complete quantity. It's like a staggered manner. So whatever quantity I have said, this is what mostly for April to October. So

remaining 5 months, we'll see when we move near to February and March.
Ashish Kejriwal: So, what's your view, sir, in terms of silver as well as zinc price? Do you think that these prices may sustain for a while also or may increase? Or do you think that it's the right price to hedge a little more?
Sandeep Modi: So, as I say that hedging is not for the purpose of this playing with the prices, it is more about having the locking -in margin when it is more than business plan or consensus prices. That's how we have been doing. So, I just want to make it clear, because it's being heard that hedging is being done at the right price.
No, there is no right price. So, price is only where we believe that, as a management, that margin should be locked in at certain level of the business plan or consensus prices. So especially on the silver, I unfortunately don't have any price cues. Given the volatility which is

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oing to the market, so many geopolitical tensions, one statement makes the prices down or prices up, I think it's very, very difficult to comment upon the silver prices.
Zinc, we believe that given the -- maybe a bit of the surplus maybe in the calendar year '26, but still, I think the prices should be in the range which is going on, $3,000 to $3,200.
Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Ms. Raksha Jain for closing comments. Over to you, ma'am.
Raksha Jain: Thank you, operator . Thank you, everyone, for joining us today on this call. If there are any follow -up questions or any clarifications required, please feel free to reach out to the Investor Relations team. Thank you.
Moderator: Thank you. On behalf of Hindustan Zinc, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

Sensitivity: Public (C4) April 28, 2026
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Exchange Plaza, 5th Floor Plot No., C/l, G Block
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Kind Attn: Head Listing & Corporate
Communication HZL/2026-27/SECY/1 6
BSE Limited
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Dalal Street, Fort
Mumbai – 400 001
Kind A ttn: General Manag er – Department
of Corporate Services
Scrip Code: 500188 Trading Symbol: “HINDZINC”
Dear Sir/Ma ’am,
Sub: - Earnings call Transcript for the fourth quarter and year ended March 31, 202 6
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed herewith the transcript of the earning s call held on Friday , April 24, 202 6, with regard to the financial performance of the Company for the fourth quarter and year ended March 31, 202 6. The same is also made available on the Company’s website at https://www.hzlindia.com/investors/results -and-reports .
You are requested to take the above information on record.
Thanking You ,
Yours faithfully ,
For Hindustan Zinc Limited
Aashhima V Khanna
Company Secretary & Compliance Officer
Enclosed : as above

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“Hindustan Zinc Limited
4Q & Full Year FY '26 Earnings Conference Call”
April 24, 202 6

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER – HINDUSTAN ZINC LIMITED
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER – HINDUSTAN ZINC LIMITED
MS. RAKSHA JAIN – DIRECTOR , INVESTOR RELATIONS – HINDUSTAN ZINC LIMITED

Sensitivity: Public (C4) Moderator: Ladies and gentlemen, good day and welcome to the Fourth Quarter and Full Year FY '26 Earnings Conference Call hosted by Hindustan Zinc. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Ms. Raksha Jain, Director of Investor Relations of Hindustan

Zinc. Thank you and over to you.

Raksha Jain: Thank you, operator, and good evening, ladies and gentlemen. Thank you for joining us today to discuss the fourth quarter and full year FY '26 results. In this call, we will refer to our investor presentation available on our company's website. Please not e that today's entire discussion will be covered by the safe harbor clause mentioned on slide two of the presentation. Today we have Mr. Arun Misra, our CEO, and Mr. Sandeep Modi, our CFO. The management will be discussing the operational and f inancial updates for the quar ter, followed by a Q&A session.

Now I would like to invite Mr. Arun Misra to present the results. Over to you, sir.

Arun Misra: Thank you, Raksha. A very good evening to all of you. Thank you for joining us today. Before we begin, it is with deep sorrow that I share an unfortunate incident at our Zawar mines on 25th of January 2026, wherein we lost an employee of our business part ner due to an unexpected man-machine interaction. I extend my deepest condolences to the bereaved family and stand with them in this moment of profound grief.

We have provided them our unwavering support during this difficult time. Such incidents are deeply distressing and reinforce the critical importance of fostering a strong safety -first culture across our organization, something we continuously strive to str engthen. Following a thorough investigation, we are committed to disseminating learnings across the organization while implementing corrective measures and strengthening safety protocols to prevent such tragedies in future.

As part of our efforts to prevent such interactions through digitalization, we have launched a collision avoidance system at our Sindesar Khurd mine, covering underground equipment and personnel. We believe this initiative along with other safety intervent ions during this year will further strengthen our journey towards achieving our goal of zero harm.

This year, we set a new milestone by crossing 1.1 million tons of mine d metal while sustaining over 1 million ton of refined metal production for the fourth consecutive year. This performance was further reinforced by a record -breaking fourth quarter with highest ever mine d and refined metal production.

We also achieved record ore resources and reserves of 468.6 million tons with 25 years plus of mining life and recorded highest ever metal reserves of around 14 million tons and highest ever silver reserve of 10,900 tons since underground transition. On our journey to becoming a multi -metal enterprise, we have secured three critical mineral blocks: potash, tungsten, and rare earths.

 We have established clear timelines with work now underway. Further details are available on Slide 11 of the presentation.

On sustainability front, I would like to share that Hindustan Zinc has been featured in the top 1% of the S&P Global Sustainability Yearbook for the ninth consecutive year, reflecting our strong commitment to sustainability and ESG leadership. We remain focused on our 2030 goals with progress across key areas , 18.0% renewable energy consumption, deployment of 180 LNG and 52 electric vehicles, improved water management, reduced waste to landfill, and enhanced gender diversity.

Further, I am proud to share a landmark achievement: our Chanderiya Lead Zinc Smelter has become India's first site to receive the Zinc Mark and Copper Mark certification, a testament to our commitment to responsible resource use, lower environmental impac t, and industry -leading standards. Our CSR initiatives reached over 2.6 million lives across o ver 4,000 villages, with Nand Ghars in Rajasthan nearly doubling to 9,274. We remain committed to inclusive growth through focus ed intervention s.

Moving to the market development, India continues to remain a standout among major economies with manufacturing PMI sustaining strong momentum above 55 levels during the year. The country's GDP growth for FY 2027 is expected to remain resilient at around 6.4% to 6.9% supported by continued government capex , infrastructure push, a nd robust domestic consumption.

Against a volatile global macroeconomic backdrop, base metal markets have remained relatively resilient. During the quarter, zinc prices touched a high of $3,487 per ton with an average of $3,241 per ton, while lead peaked at $2,040 per ton, averaging at $ 1,931 per ton. This performance reflects tight market conditions and steady demand from infrastructure, galvanization, and battery segments.

Silver, however, continues to stand out, maintaining strong momentum supported by robust industrial demand, particularly from solar and electronics, alongside continued investor interest. While prices have normalized from peak levels, the medium -term outlo ok remains constructive, driven by structural demand from energy transition and limited supply growth.

Turning to operational performance, we delivered a record -breaking quarter with mined metal production at 315 KT and refined metal production of 282 KT. This led to historic full year performance with mined metal at 1.1 million tons and second highest refi ned metal of 1,048 KT. The growth was driven by higher ore production and improved mined metal grades.
On the refined metal side, output was supported by debottlenecking at Chanderiya and Dariba, improved plant utilization, and enhanced operational efficiencies, resulting in higher throughput and better asset performance. On the cost front, despite a volati le geopolitical environment, we achieved the lowest quarterly zinc cost of production excluding royalty since underground transition at $903 per ton, reflecting a decline of 9.0% year -on-year and 4.0% quarter -on-quarter.

 The reduction was driven by a combination of factors: lower power cost, improved by -product realization, and operating leverage benefits from increased volume. On a full year basis, we delivered a five -year low cost of production at $959 per ton, well belo w our guidance of $1,000 per ton. This underscores the structural strength of our cost base and reinforces our position on the global cost curve.
Our quarterly silver production stood at 176 tons, up 11.0% sequentially. For the full year, silver production stood at 627 tons, impacted by change in mining sequence. Supported by strong silver prices, our precious metal portfolio achieved a milestone pe rformance, contributing 45.0% to the overall profitability. Further, to capitalize on the favorable price environment and optimize inventory, we strategically sold 12,000 tons of lead concentrate during the quarter.
Including similar actions in the previous quarter, total silver equivalent sales amounted to 37 tons, effectively enhancing overall silver contribution towards the financial performance. This combination of lowest cost of production, strong output, and com modity tailwinds translated into all -time high financial performance both the quarter and full year. During the quarter, we delivered record revenue of INR13,544 crore s, highest eve

r EBITDA of INR7,747 crore s, and
record net profit of INR5,033 crore s, mar king a new milestone for the company.
On the growth projects front, we are making steady progress for the 250,000 tons per annum integrated zinc smelter at Debari. Site mobilization is complete and detailed engineering is largely finalized. At Rampura Agucha, site work for the tailings reproce ssing plant has commenced, with engineering completed . In parallel , we are accelerating exploration for our 2 x growth plans with partners onboarded at Zawar and Rajpura Dariba.
On technology -led initiatives, we are advancing the Hot Acid Leaching process to unlock additional value for smelter waste through recovery of additional lead and silver. Given its complexity as a first -of-its-kind project in India, commissioning is now ex pected in 2Q FY '27.
The fertilizer project is also on track for commissioning in early 2Q FY '27.
Looking into the year ahead, with a well -structured capex roadmap in place, we are confident in sustaining this strong performance in the year ahead with an expected mined metal production of 1,150 KTPA, plus or minus 10 KT, and a refined metal production of 1,100 KTPA, plus or minus 10 KT, with an expected refin ed silver production of 680 tons, plus or minus 10 tons.
Hindustan Zinc is entering a defining phase of its growth, anchored in scale, cost leadership, and a relentless focus on excellence. With a strong balance sheet and a clear strategic roadmap, we are poised to invest decisively, expand our resource base, and unlock new avenues of growth.
As the world accelerates towards electrification, decarbonization, and energy security, we see a generational opportunity for metals. Our ambition is not only to participate in this transformation but to lead it by building future -ready capabilities, advan cing sustainability, and delivering consistent long -term value. With this, I now hand over to Sandeep for an update on the financial performance.
Sandeep Modi: Thank you, Mr. Misra, and good evening, everyone. The global macro environment continues to be marked by uneven growth and geopolitical volatility. In contrast, India remains relatively

 resilient with FY26 GDP growth estimated at around 7.6%, moderating to 6.4% to 6.9% in FY27, supported by strong domestic demand, infrastructure -led capex , and political continuity.
Commodity markets remain sensitive in the near term . However, underlying metal fundamentals are increasingly constructive with energy transition accelerating zinc and silver demand

structurally. While zinc demand remains stable supported by galvanization, lead continues to witness steady battery -driven deman d, and silver stands out structurally with strong demand from solar and electronics driving a sustained deficit.
These fundamentals provide support to current price levels. Against this backdrop, our focus on cost leadership, operational excellence, and balance sheet strength positions us well for sustained value creation.
Turning to the performance, both the quarter and the full year mark ed milestone achievements. For the first time, we have crossed INR40,000 crores in the revenue and INR20,000 crores in EBITDA for the full year. This year's record volume and lower average cost undermine our margin resilience, showcasing our structural cost leadership, silver -led profitability upside, and disciplined growth capex , which position us well for sustained value creation across cycles.
In Q 4 FY26, we delivered our highest ever quarterly revenue of INR13,544 crores , up 49.0% year-on-year and 23.0% quarter -on-quarter, driven by higher production, a supportive commodity environment, improved by -product realization, and rupee depreciation. Quarterly EBITDA stood at record INR7,747 crores , up 61.0% Y-o-Y and 27.0% quarter -on-quarter, with industry -leadin

g EBITDA margin of 57.0%.
This performance was supported by higher revenue and the lowest ever quarterly zinc cost of production since underground transition at $903 per ton. Key drivers included higher domestic coal usage at 64.0%, softened coal prices of imported ones, higher pro duction, and strong by - product realization along with the better mine grades.
Reflecting the strong operating performance, we delivered our highest ever quarterly net profit of INR5,033 crores , up 68.0% Y-o-Y and 29.0% quarter -on-quarter. For the full year, we achieved record revenue of INR40,844 crores , EBITDA of INR22,162 crores , and a net profit of INR13,832 crores . Zinc cost of production for the FY26 stood at $959 per ton, the lowest in last five years and well below our guided range.
Free cash flow before growth capex and renewable investment for the year was INR13,337 crores . For FY27 , we have guided zinc cost of production excluding royalty at $975 to $1,000 per ton, reflecting prevailing global uncertainties. Planned capital expenditure for FY27 is in the range of $500 million to $600 million towards announced growth projects.
Our strong cash generation enabled us to close the year with a net cash position of INR5,594 crores as of March '26, compared to a net debt position of INR1,169 crores at the close of the last year. Our gross cash position is around INR14,000 crores as at March '26. During FY26 , we also contributed around INR19,000 crores to national exchequer, including more than INR6,000

 crores to the state of Rajasthan, underscoring our role as a significant contributor to the economy and the state.
We also made meaningful progress in long -term value creation. During the year, Hindustan Zinc was included in the Nifty 100, Nifty Next 50, and multiple Nifty ESG indices. We now rank among the top five Nifty metal companies and are among the top companies in the Nifty 100. Our market capitalization stood at approximately INR2,12,000 crores at the end of March '26, and we touched a peak market cap of INR3,10,000 crores during the year.
Overall, Q 4 reflects the strength of our business model and execution, while FY26 marks a milestone year, setting new benchmarks across financial and operational metrics. Backed by technology, innovation, and strong sustainability framework, we remain well aligned with India's growth and energy transition priorities and are confident of delivering resilient growth and long -term value for all stakeholders. With this, I will now hand over to the operator for the Q&A session. Thank you.
Moderator: We'll take our first question from the line of Manav Gogia from Y es Securities India Limited.
Manav Gogia: So first of all, congratulations on the good set of numbers. My first question comes around -- would it be possible for you to give me what the hedge quantity across zinc and silver would be for both Q1 FY27 and the whole year of FY27 ?
Sandeep Modi: For the Q1, for the zinc, it is a hedge at 20 KT spread between the April to June at a average price of $3,100, and silver is hedged 25 tons at a average price of $57. For the full year FY27 , 71 KT is hedged at an average price of $3,225 per ton and silver is hedged at 59 tons at a average price of $60 per troy ounce.
Manav Gogia: And just continuing on this, I mean, for silver the presentation states that we plan to take the capacities up to 830 KT -- sorry, 830 tons by 2029. And this year's run rate has been roughly 622 to 630. So how should we see the run rate from here onwards? Could you give us some brief about that?
Arun Misra: Manav, this will also come along with the expansion of immediately 250 KT smelter that we are

adding, right? So when that 250 KTPA smelter gets added, so that will come to about 1.1 plus 0.25, that is 1.35 to 1.4 million ton of metal, and for that t

he MIC would be about 1.5 to 1.55 million ton of MIC. Automatically that gives additional lead, which will focus, that is number one.
Number two, we are commissioning the LGLC circuit which will produce additional silver. We'll be having the new smelter along with its own fumer. That will also add the silver, plus by that time some amount of tailings recycling will also come back. Altoge ther if you look, it will be crossing 800 tons of silver by that time.
Manav Gogia: But I mean during Q4 we did round about 176 tons for silver, so would it be safe to assume that we can maintain this run rate going ahead in Q1, Q2 and for the remaining part of FY27 then?

 Arun Misra: So as of now, our guidance wise we have given 680 tons for the entire year, right? So we'll follow the similar pattern only, 680 tons, and if you consider last year we did the MIC sale in which 37 tons of silver equivalent was there. That 37 if you add to 627, we have already at 664 level, right? Compared to that we have only given a guidance of 680. We have got MIC in our hand .
And if the lead metal prices fall while zinc prices are up, which happened last year, then we'll tilt our production towards more of zinc, less of lead . And we will sell the lead MIC which is made surplus this way . And then produce silver whatever is possible through the zinc maximization route at the same time recover silver through the lead MIC sale.
Manav Gogia: No, that is helpful. So my second question comes, there's a 35.0% sequential jump in other expenses. What were the key reasons behind the same?
Sandeep Modi: Manav, I will address this. HZ L has -- so you will see the similar jump in the other operating income as well, okay? So I will address the both parts. HZ L has entered into the various agreement s with -- we have set up the various ancillary business. So the ancillary business are basically with the third party where we provide them smelter s residue which they convert from waste to wealth.
So as per this arrangement, HZL sells the smelter residue which is like the PF cake , which contains the zinc and cadmium and then after that it is also purchase back the finished goods or the WIP which then used by Hindustan Zinc in the other smelting processes or mining processes. So that's why as per the accounting, the transaction is ac counted when the sale happens as other operating income and when the purchase happens, it is the part of the other expenditure. And the amount is around INR600 crore s both sides.
Manav Gogia: Pardon, I could not get the number, sir. What was the amount?
Sandeep Modi: You will see on a -- around INR600 crore s both side, other operating income as well as othe r expenditure for the full year basis.
Manav Gogia: Okay. And do we expect to continue this trend going forward then? I mean the agreement?
Sandeep Modi: Yes. This trend will continue to increase and you will see this INR600 crore s going up to maybe INR1,200 crores to INR1,500 crore s annually in the both side, other operating income and other expenditure.
Manav Gogia: Okay, got it. Sure, I mean, I have more questions, I'll join back the queue. Thank you so much.
Sandeep Modi : Thank you, Manav.
Moderator: Thank you. Next question is from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.
Pallav Agarwal: Yes, good evening, sir. Congratulations on the good set of numbers. S ir, first question was on the COP. So Q4 cost was pretty low at $900 per ton, but for the full year we are giving a guidance

 of about $975 to $1,000. So will there be such a steep increase or will we see $975 in Q1 or that will be more towards the second half of the year?
Sandeep Modi: So Pallav, I will address here. So see the cost of

Q4 has been a significant benefit coming on account of the mining grade. So we had a mining grade of 7.9% in the Q4 and compared to the full year average of around 7.5%. And as I explained, 10 bps of the mining grade impacts the

$7.
So I think Q1 historically we have been around 7.3%, 7.4%, t hat should be there. Of course, we don't give guidance quarter -wise. At the same time, secondly, the current geopolitical environment where you see the input cost commodity coming impact of the diesel, pr opane gas, chemical, explosive.
So I think we need to factor those also on a year basis. So maybe we don't know about the war uncertainties, but we have factored certain portion of it. That put together, I think $975 to $1,000 is good enough. I'm sure we should be able to do much below th an as the situation improves.
Pallav Agarwal: Sure, sir. And also have we seen any impact, I mean, of this shortage of natural gas? Has it impacted our production in any aspect or led to higher costs in Q4?
Sandeep Modi: It is a marginally higher cost in the Q4, maybe around $11 per ton, but on the production point of view, no impact.
Pallav Agarwal: Sure, sir. And lastly, if you could just give us the RE p roportion of RE consumption FY 26 and how much will that increase in FY 27?
Sandeep Modi: So FY 26 we clos ed for the full year around 18 % renewable energy and for the full year in FY'27, we should be between 30% to 35%.
Pallav Agarwal: Sure, sir. Okay, thank you. I'll join the queue.
Moderator: Thank you. Next question is from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.
Ashish Kejriwal: Yes, hi. Good evening, everyone. Thank you for the opportunity and again many congratulations. Sir, two things from my side. One, obviously the cost of production which we have seen sharp fall, the by -product credits could have helped big way because we ar e seeing in our top line also revenue of others increased from INR783 crore s to INR1,362 crore s in this quarter for fourth quarter. So my only question is how much it one can contribute or work to the higher sulfuric acid prices or the benefits of that in terms of our cost of production?
Sandeep Modi: So Ashish, sulfuric acid prices are basically a culmination of many things. One is the government also have their own control for the fertilizer, second are linked with the sulfur index. So by and large you can consider depending upon the sulfur index the prices would be. So the way input commodity pri ces are moving, similar way this prices are also moving.

 So I think whatever we have seen in Q4 and we see the stable thing in the April as well. So I think whatever we have seen in the March should continue until this situation is there for the input commodity. So that is more like a offsetting for us. So if th e input commodity increases, this prices increases and then we get offsets.
Arun Misra: Arun Mis ra here. I just wanted to add, look at it positively in the guidance. When we move from 1,048 KT metal to 1,100 KT metal, that means much more acid, more residues will be available to us. So this effort is sustainable and going forward the volumes are only increasi ng. So this other income going up and up every year, unless the prices crash, we s ee a good prospect of sustaining this kind of an earning.
Ashish Kejriwal: Yes, I agree, sir. That's the reason I was asking in terms of in a per ton basis or somet hing if you can guide, how much it could be which could be sustainable in nature?
Sandeep Modi: Yes, I think we should leave it to the index. I don 't think we can quantify on.
Arun Mishra: Only you can make a guess that quantities of material will keep on increasing along with the increase in more mined metal and more refined metal.
Ashish Kejriwal: Okay. Second question is on account of the next phase of e

xpansion. We earlier said that in the
first phase we are increasing capacity by 250,000 tons and obviously you have been giving us updates each quarter. But what is missing is the second phase which we discussed also when you announced that you are saying that in our next six months we will come out with the next phase of expansion plan also. So where we are or do we think that, no, first we will complete this and then only we will start or how to ta ke it forward?
Arun Misra: No. So we are absolutely on the job. See, the change which has happened is earlier we were thinking we will make two or three different smelters in different locations. Then we had an idea instead of doing that, why not bring everything together in one place? Then we reworked the whole plan and now the designers have confirmed that in one location about a 600, 700 KTPA smelter can be put.
We plan to do that where we are putting the 250 KTPA smelter. That means in one location 1,000,000 ton smelter will come up. So that design has been finalized. Now the commercial process is going on. I see that another one month's time we should be able to place the order.
And now last 2 months we are focusing on the mill portion because we have already placed order for mining.

Now the mills have to be expanded. I think mills order will also close sometime between the first week of June or second week of June. So although we wanted to clear out all the orders by January of this year, but we are slightly late, but it is worth it b ecause putting everything together in one place will reduce the cost of the project also.
Ashish Kejriwal: And where they are putting, sir Rajasthan only or somewhere else?

 Arun Misra: Rajasthan, a ll Rajasthan only and we want to bring it in the similar distances because we don't
want to carry concentrate on far distances.
Ashish Kejriwal: Understood. And sir, lastly, obviously when we are very much keen on putting up this kind of smelter or capex , I'm sure that we have been given a sense from the government about the mines which is going to be renewed or expired in 2030. So we are very much comfortable on that, that's right?
Arun Misra: No, we are comfortable because we have the first righ t of refusal. So in any case we -- it's only a matter of how much premium we are ready to pay, but just by bidding people cannot take it away.
Ashish Kejriwal: Okay. Thank you, sir and all the best.
Arun Mishra : Thank you.
Moderator: Thank you . Next question is from Pinakin from HSBC. Please go ahead.
Pinakin: Yes, thank you very much. Sir, my first question is on the silver production guidance. It looks a bit underwhelming. So just trying to understand that when can we see silver production spike up sharply to 700-725 KT? Should we expect production to remain in this range 670 -680 for the next 2 years only?
Arun Misra: I will give you the clue. That can happen when the zinc prices fall to say $2,800 to $3,000 per ton. If the zinc prices fall, then and silver remains at say $60 at troy ounce, it will make much sense to produce more lead and silver than production of zinc . And when we do that, then we'll surely see the numbers going up to 700 tons plus.
Pinakin: Okay. So just trying to understand that as a company we cannot have higher silver prices and higher silver production. They are mutually exclusive.
Arun Misra: No, it' -- see ultimately our mines we produce --- our grades, with which we are proud of and which determines the cost is the grade of zinc. So it's a more zinc -rich ore. And when the zinc LME is so good, say 3,100, 3,200 on an average or picking up to 3,400, if you put the volumes, it is better than producing 30 tons additional silver if I put 30,000 tons of additional zinc, it brings me more money.
Pinakin: Got it. My second question is on the dividend payout

s. It's a bit surprising that the quarter has
just started and we've declared FY27 dividend. So what is the thought process behind this and also the brand fee/royalty fee, has that been paid out to the parent for this year and were there any changes over there?
Arun Misra: So just one thing I will correct you that we don't have anything called royalty fee. It is brand and strategic services fee. So I think let's keep it at that. There is no royalty.
Sandeep Modi: Brand license and strategic services fee. I will first come to the dividend. I think last year also Q1 in the June month we declared -- the company declared the Board approved a dividend for

 the FY26 as a first interim dividend. And I think dividend is not dependent upon the -- this year profit. Dividend is out of the earnings which company has. So we have almost INR22,000 crore s worth of the retained earning s.
And out of that , Board has approved the first interim dividend of INR11, which is around INR4,300 crore s. I think that should be the case. And as far as the brand fee license and strategic services fees is concerned, that has been the paid as per the contract entered into the with Vedanta Limited for this year.
Pinakin: So what would be that amount be for this year versus last year?
Sandeep Modi: This year is around INR1,300 crore s.
Pinakin: And FY27 and what was this in FY26?
Sandeep Modi: Similar kind of amount. INR1,100 crore s.
Pinakin: Understood. Thank you very much.

Moderator: Thank you. Next question is from Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: Yes, thank you for the chance. Sir, my just continuing on the previous question, just want to know the contract for the brand fee when it is due for revision in terms of the percentage share?
Sandeep Modi: So brand and royalty strategic services fees contract is valid till 2030. So in between there is no renewal is there. It's valid till 2030.
Sumangal Nevatia: And the payout happens for the full year based on some estimate at the -- in the first quarter, is that right?
Sandeep Modi: Yes, yes.
Management: But it's settled at the end of the year .
Sandeep Modi: It's settled at the end of the year basis the annual accounts. So like for FY26, after the annual accounts audit, we have to pay INR100 crore s pertaining to FY26.
Sumangal Nevatia: Okay, okay, understand. Sir, my second question is on dividend. So FY26 if we see we paid some INR21 which is a decline versus last year whereas profitability has gone up much more. So generally going forward given the massive tailwind on earnings given the commodity prices, what should we expect? Should -- I mean, is there now a plan to pile on cash given the upcoming capex or should we expect a high payout to continue?
Arun Misra: So we will continue to -- I think the Board will continue to balance between paying dividend and investing for the expansion. So that balance will continue and I don't think it is one or the other, both will continue.

 Because when we declared expansion, the question put to me was will you be in a position to pay dividend? Now our operations are proving that we are able to maintain both, that we are able to pay dividend as well as we are continuing to invest in our assets.
Sumangal Nevatia: Okay . But conceptually so cash flows will be used for dividend and growth, we would not be using debt for our growth expansion, right?
Arun Misra: Ideally no, but cash timeline, you know, mismatch or if I get better earning by my own investment rather than and loan is much cheaper because of our balance sheet strength, then we would take those calls, but primarily we are earning enough to fund our g rowth. That is for sure.
Sumangal Nevatia:

Understood, understood. Sir, second question is on the hedging strategy. Given the volatility in the prices both for silver and to some extent zinc as well, broadly what should we expect? I think currently we are around 10% hedged. So are we continuously monitoring the prices and then evaluating to increase or broadly 10% to 15% is what we expect and then rest leave it to the market?
Sandeep Modi: I think as we said in the earlier calls also, we will be our philosophy and policy has been to hedge between 10% to 20%. And at this point of time, we are comfortable with the 10%. We'll see if the prices spike , which we believe is not a sustainable kind of thing because of the war situation, then we can look at, but if you see in the last quarter we have not hedged anything. We'll continue to be comfortabl e at 10%.
Sumangal Nevatia: Okay. And generally how far can we do it based on liquidity? Are we also evaluating FY28 or only currently one or two quarters ahead?
Sandeep Modi: We will not be going beyond 12 months. That is very sure.
Sumangal Nevatia: Understood, understood. And just one last question. Can I ask one more question?
Arun Misra: Yes, yes, please go ahead.
Sumangal Nevatia: Okay. With respect to our half a million ton fertilizer plant, can you share what is the volume expectation, ramp -up schedule, economics, and are we facing any RM challenges there due to the ongoing conflict in Middle East?
Arun Misra: No, we have not started operations at all and another 3 months down the line we should be able to start our phosphoric acid plant, which is the first part. Then maybe 2026 end or '27 early, which is January, we will be able to start our DAP manufacturing plant. So right now there is no impact of rock phosphate and all that on our operations.
Sumangal Nevatia: Okay, all right. Okay, that's very useful. Thank you and all the best, sir. Yes.
Moderator: Thank you. Next question is from the line of Raashi from Citi. Please go ahead.
Raashi: Thank you. What was the revenue and the EBITDA from the lead concentrate sales during the quarter, please?

Sensitivity: Public (C4) Sandeep Modi: Quarter 4 you must be asking ?
Raashi: Yes.
Sandeep Modi: So quarter 4 the revenue was around INR500 crore s and EBITDA was around INR330 crore s. Hello?
Moderator: Raashi, does that answer your question?
Raashi: Yes, yes. I still have a follow -up question. So your EBITDA has actually declined sequentially on the sale of the lead concentrate ?
Sandeep Modi: No, it depends upon the how much lead concentrate you are selling. We are not into the business of selling the concentrate. Since we were having the MIC production higher compared to the metal production, that's why we used it. And I don't think EBITDA ha s gone down.
EBITDA in Q3 was around INR250 crore s and this time INR330 crore s. But of course it is not on account of the -- it is a function of the prices, USD -INR rate, at the same time TC/RC and the quantity which you sell.
Raashi: Got it , got it. On the hedging, what was the hedging loss in the fourth quarter?
Sandeep Modi: So hedging , I will not say it's a loss, it is a delta compared to the prevalent market prices, INR1,100 crore s was.
Raashi: Sorry, how much?
Sandeep Modi: INR1,100 crore s was the delta between the hedge price and what was the market price.
Raashi: This is for the fourth quarter . And for the full year what is this number?
Sandeep Modi: The delta was INR1,500 crore s.
Raashi: Okay. On the capex, could you just break down the '26 capex into growth and maintenance? What was the actual number ?
Sandeep Modi: Total capex was INR3,600 crore s for the full year and growth capex was INR2,000 crore s.
Raashi: 36 was maintenance , okay. Thank you.
Moderator: Thank you. We will take our next question from the line of Jainam Shah from Indsec Securiti

es
& Finance . Please go ahead.
Jainam Shah: Am I audible, sir?
Sandeep Modi : Yes.

Sensitivity: Public (C4) Jainam Shah: Yes, thank you so much for this opportunity and congratulations on the good set of results. So my question is related to what was asked before. So you've said that you'll be planning to take the renewable energy share to 32% to 35%. So could you just give us the timeline of how are we going to reach to 70%?
Sandeep Modi: 70% is by FY28 as we committed earlier as well as part of our sustainability goals. By FY28 we'll be 70% round the clock.
Jainam Shah: No, so my question is because at 18% we are at the zinc cost of production at 903. So while we reach to 32% to 35% and eventually to 70%, would this change our, you know, zinc cost of production estimate?
Sandeep Modi: So it will depend upon the own generation cost. So it is a function of the what is the imported coal prices at that point of time, what will be the domestic coal prices availability at that point of time. So a t currently in this year we had a benefit of the lower coal prices and the domestic coal utilization.
So we earlier said that every 2% renewable energy increase will have a $1 cost reduction. We still stand by it given the long -term coal prices. So if we move from 20% to 70%, we can see the further potential of $25 per ton cost reduction.
Jainam Shah: Okay, understood. And in terms of VAP share for FY26, if you could just share the number and also an adjoining question would be that we are planning to take it to 50%. With that in mind, how much realization would improve for us in the coming years?
Sandeep Modi: So, like earlier -- as I said earlier, VAP is not like a other businesses like in aluminum where the VAP commands a $500 or $1,000 extra incremental NEP. So it's not like that. Of course we are also into VAP, we have around 24% VAP in FY26.
But in our in zinc case, VAP hardly commands $50 to $60 per ton over and above the normal what you say the SHG zinc. So it is not more on -- it is not on account of the profit, it is more on account of the supplying to the customers who requires in India. So this help us to increase the domestic market share in India.
Jainam Shah: And sir, when do we plan to come up with the final plan of 600 KT that we have mentioned in our Slide number 26, and detailed plan on how much the capex and revenue potential would be? That would be helpful.
Sandeep Modi: I think in some two to three questions then Mr. Misra explained about the whole thing that we

are working on the 1 million ton smelter out of which 250 KT already started at within Rajasthan and by the quarter one end we should be ready with the complete conceptual plan and layout of the plant and engineering and then we can see in the July or some that time we can have a boa rd announcement after the full feasibility.
Moderator: Thank you. Next question is from the line of Vikas Singh from ICICI Securities. Please go ahead.

 Vikas Singh: Good evening, sir, and thank you for the opportunity. Sir, my first question pertains to our silver
hedging strategy. I'm a little bit perplexed because silver prices in the last quarter have touched even $100 plus. So, if we are hedging certain quantity as a -- every month certain quantity, our average should have been higher than what you have said in at the opening remark. So just wanted to understand, have we stopped hedging after certain point of time realizing our mistake and then the sil ver prices turned upside down? What happened actually?
Sandeep Modi: Vikas, just a humble request, I don't think anybody could say it's a mistake. Every company has a own policy of hedging the volume. So, we as earlier said 10% to 20% annual volume we will hedge and accordingl

y we hedge the 10% for this year and last year 20%. And we stopped hedged after the 10% hedging.
So, you are right, after the Q3 we have not hedged anything, but that is not on account of anything else, it is more on account of what company follows the strategy. Given that 58%, 59% kind of EBITDA margin of the company, we believe that and silver being a by-product, we believe that it's not worthwhile to experiment and do the hedging beyond 10%. And every company has a philosophy.
Either you have the Indian counterparts in the other metal business who has the 40% to 60% hedge for the many of the quarters. So, I don't think it is a mistake, it's more about the strategy. You always have a open position over 80% on which you can earn much better. For by the hedging, I would not say pray to the God that , prices should fall. Prices should always be increasing on the remaining portion.
Vikas Singh: Understood. No, but I mean that the you are talking about 10% hedging, but at the end of 2Q, your overall hedging for the remaining of second half FY '26 was almost 4 5%, 50% of the total silver which you are supposed to produce. So that's why I'm saying is there any is there any standardization that I will keep on hedging 10% or 15% on a rolling basis? How should we look at it?
Sandeep Modi: So, we are not following the policy of the rolling 12 months. However, at the same time, our philosophy that we will not go beyond 12 months and we'll be relooking whenever required 10% to 20%. If I'm a 10% there is no compulsion that I have to go up to t he 20%. It is also not a compulsion that if I unwound the position, then I have to again increase to 10%.
Vikas Singh: Noted, sir. Sir, my second question pertains to our long -term target of 2 million ton. Assuming there would be a minimum of 25% kind of the, you know, additional premium which you might have to pay and the capex cost would also be higher. So any IRR estimates which we have done for the new projects if you could share with us?
Sandeep Modi: For 250 KTPA we have already done the IRR estimate and we don't declare the IRR, but as I said earlier, it's a double -digit IRR and much, much better than compared to industry benchmark and because it also reflects on account of our lowest cost of product ion in terms of opex and the in terms of capex also when we announce we say it's around $2,600 per ton capex cost.

 So, IRR is in the double digit. And for the 1 million ton we need to yet work because once we have the conceptualization, layout and everything engineering technology finalization, then only we can do, but of course I can confirm that it will be a double -digit IRR.
Vikas Singh: Noted, sir. Thank you for answering my question and all the best for future.
Raksha Jain: Thank you.
Moderator: Thank you. We'll take our last question from the line of Prat eek Singh from IIFL Capital. Please go ahead.
Prat eek Singh: Hi, thanks for the opportunity. The first question is just a clarification on the dividend. So I think in the past we had a stated dividend policy of a minimum of 30% of PAT. Given that the PAT or EPS last year was around INR30, so just to clarify, for FY '26 the dividend given was INR10,

right? Not INR21. This INR11 will count in FY '27, is that correct?
Sandeep Modi: Yes, yes. INR10 was the dividend in FY '26.
Prateek Singh: Understood. And INR11 will count for '27. Understood. So and minimum 30% is the policy that that stays as of now regardless of capex ?
Sandeep Modi: Absolutely.
Prateek Singh: Understood. Thanks. And the second question is largely on the other operating income increase. I'm not sure if it was covered in opening remarks, but we saw a decent increase in other operating income. What was that driven by? Was sulfuric acid sales part of it and how are we seeing the prices of acid sales

vis -à-vis let's say 3Q or have they just started increasing in 1Q only?
Sandeep Modi: So other operating income consists of two main item s. One is the as you said sulfuric acid and second is the by -products and various scrap and residue which we sell. Second as I say, we have entered into the agreement with the third party for setting up the ancillary businesses in which it's a waste to weal th where we provide them the residue, they process it and they provide the finished goods like cadmium or other metals which are further used in our processes.
So that as per the accounting, that goes that around INR600 crore for the whole year is part of other operating income as well as also part of the other expenditure. You see the other expenditure has also increased. So, it's a offsetting item, but accounting doesn't allow to do the offsetting, it has to capture into both other operating income and other expenditure.
From the costing point of view, two items come for the cost credit, one is the scrap and residue sales which is around for the whole year was around INR1,000 crore and the remaining is the sulfuric acid which is around INR1,400 crore.
Prateek Singh: Understood. And how are sulfuric acid prices right now, sir, versus 4Q?
Sandeep Modi: So, it is a link to the sulfur index. So, the sulfur index so and as the sulfur index moves, the prices also get quarterly reset.

 Prateek Singh: Okay. And just one last question on the coal side. Again, I'm not sure if you covered it earlier.
What was the coal sourcing mix and how are we seeing e -auction prices by Coal India given that, you know, there is gas shortage so people might be moving to coal?
Sandeep Modi: So during the whole year we were around 53% domestic coal materialization and 18% was the renewable energy. So overall around 70% from the -- this way and 30% was the imported coal.
If you go for the Q4, around 64% was the domestic coal and 18% this and remaining was the imported coal.
So we believe we have the linkage coal option where the prices are determined by the government of this Coal India. We have not seen any steep increase in the domestic coal given that as this point of time there is a huge delta between the imported and dom estic coal almost around 40%. Domestic coal will always be cheaper for us.
Prateek Singh: So domestically we source only via linkage, not via e -auctions?
Sandeep Modi: Very marginally through e -auction.
Prateek Singh: Understood. Understood. Thanks. Thanks a lot for answering my questions. All the best.
Moderator: Thank you. I now hand over the conference to Ms. Raksha Jain for closing comments. Over to you.
Raksha Jain: Thank you, operator. Thank you, everyone, for joining us today on this call. If there are any follow -up queries or any clarifications required, please feel free to reach out to the Investor Relations team. Thank you.
Moderator: Thank you. On behalf of Hindustan Zinc, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2026

Sensitivity: Public (C4)
HZL/202 6-27/SECY /67 July 28, 2026

BSE Limited National Stock Exchange of India Limited
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Dalal Street, Fort Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 001 Mumbai – 400 051

Kind Attn: General Manager – Department
of Corporate Services Kind Attn: Head Listing & Corporate
Communication

Scrip Code: 500188 Trading Symbol: “HINDZINC”

Dear Sir/Ma ’am,

Sub: - Earnings call Transcript for the f irst quarter ended June 30, 202 6

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed herewith the transcript of the earning s call held on Friday , July 24, 202 6, with regard to the financial performance of the Company for the f irst quarter ended June 30, 202 6. The same is also made available on the Company’s website at https://www.hzlindia.com/investors/results -and-reports .

You are requested to take the above information on record.

Thanking You ,

Yours faithfully ,
For Hindustan Zinc Limited

Aashhima V Khanna
Company Secretary & Compliance Officer

Enclosed : as above

“Hindustan Zinc Limited
Q1 FY27 Earnings Conference Call”
July 24, 2026

MANAGEMENT : MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER AND
WHOLE -TIME DIRECTOR – HINDUSTAN ZINC LIMITED
MR. AMARENDU PRAKASH – CHIEF EXECUTIVE
OFFICER , DESIGNATE – HINDUSTAN ZINC LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER –
HINDUSTAN ZINC LIMITED
MS. RAKSHA JAIN – DIRECTOR , INVESTOR RELATIONS
– HINDUSTAN ZINC LIMITED

Hindustan Zinc Limited
July 24, 2026

Sensitivity: Public (C4) Moderator: Ladies and gentlemen, good day, and welcome to the First Quarter FY27 Earnings Conference
Call of Hindustan Zinc. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Raksha Jain, Director of Investor Relations of Hindustan Zinc. Thank you, and over to you, Ms. Jain.
Raksha Jain: Thank you, operator, and good evening, ladies and gentlemen. Thank you for joining us today to discuss the first quarter results of FY 2027. In this call, we will refer to our investor presentation available on the company's website. Please note that today's entire discussion will be covered by the safe harbor clause mentioned on Slide 2 of the presentation.
Before we go ahead, would like to update everyone that our Board of Directors has appointed Mr. Amarendu Prakash as the CEO and Whole -Time Director of Hindustan Zinc, with effect from 1st August 2026. Mr. Prakash is a steel industry veteran with over 30 years of experience at date. He served as Chairman and Managing Director of SAIL from 2023 to 2026. During his tenure, he spearheaded key initiatives in operational excellence, capacity expansion and digital transformation.
Today's call is joined by our CEO, Mr. Arun Misra; CEO designate, Mr. Amarendu Prakash; and our CFO, Mr. Amit Gupta, who will also be interacting with you during the call. As you would have seen from our earlier announcement, Mr. Amit Gupta has recently be en appointed as the Chief Financial Officer of Hindustan Zinc. The management will be discussing the operational and financial update for the quarter, followed by a Q&A session.
Now I would like to invite Mr. Arun Misra to present the results. Over to you, sir.
Arun Misra: Thank you, Raksha. A very good evening to all of you. Thank you for joining us today. We are pleased to begin FY27 with a strong quarter marked by solid operational and financial performance and continued execution of our strategic priorities. Our integrated business model, industry -leading cost competitiveness and disciplined approach continues to differentiate us an d position us well for long -term value creation.
During the quarter, we also achieved a significant milestone in our diversification journey by securing a mining lease of a rare earth elements and Yttrium block in Gundlupet, Karnataka, further advancing our ambition of becoming a diversified multimetal enterprise and reinforcing our commitment to supporting India's critical mineral mission.
On the sustainability front, Hindustan Zinc continues to make strong progress against the performance expectations set by the ICMM . During the quarter following Chanderiya Lead Zinc Smelter , Rampura Agucha Mine became the first mine in India to receive the Zinc Mark certification, underscoring our commitment to responsible resource use and lower environmental impact.

Sensitivity: Public (C4) Our renewable energy consumption increased to 22%. We deployed India's first 250 metric ton electric crane and strengthened our partnership with the Energy & Resources Institute through our 250 -hectare natural forest development project at Chanderiya. We a lso signed MOUs with Advantek Associates LLP and Aero Eagle Automobile Pvt Ltd to advance the adoption of green hydrogen and other clean energy solutions.
I'm pleased to share that these industry -leading sustainability practices have led to Hindustan Zinc's inclusion in the Dow Jones Best -in-Class Emerging Markets Index for the first time, a testa

ment to our unwavering commitment to sustainable value creatio n, responsible business practices and ESG excellence.
Our CSR initiatives continue to create meaningful impact across local communities through focused interventions in nutrition, health care, education and sustainable livelihoods, strengthening community resilience and emanating long -term source value. Durin g the quarter, we added 1,869 Nand Ghars across Rajasthan, taking the cumulative total to over 11,000 Nand Ghars.
Moving to the market environment. India continues to remain one of the fastest -growing major economies despite a n evolving global backdrop. Manufacturing activity remained in expansion territory during the quarter, supported by resilient domestic demand, sustained government capital expenditure and continued infrastructure investments.
Against a backdrop of geopolitical uncertainties and evolving trade dynamics, base metal markets remained relatively resilient during the quarter. Zinc averaged USD 3,466 per ton,

reaching a high of USD 3,625 per ton, while lead averaged USD 1,954 per ton. Market fundamentals remained broadly supportive, underpinned by constrained mine supply and steady demand from infrastructure, galvanization and battery applications.
Silver prices moderated during the quarter to USD 73 per troy ounce compared with the strong levels seen in the previous quarter, reflecting broader macroeconomic and investor positioning factors. Nevertheless, silver fundamentals remain supported by robust industrial demand from solar, electronics and el ectrification applications alongside continued investment interest.
While near -term price movements may remain volatile, the medium -term outlook continues to be constructive, driven by structural demand from the energy transition and relatively constrained global supply growth.
Turning to operational performance. We delivered a strong start of the year with the highest - ever first quarter mine metal production of 268,000 tons for the fifth consecutive year, alongside refined metal production of 260,000 tons, which was up 4% year -on-year.
This growth was driven by better mine grades and the benefit from the 160,000 tons per annum roaster, which is now taking care of the additional calcine requirement during the maintenance activities. The output was further supported by debottlenecking at Chanderiya and Dariba despite the planned maintenance activities at the lead smelter.

 On the cost front, despite the volatile geopolitical environment, we achieved the lowest quarterly zinc cost of production, excluding royalty, since underground transition to USD 851 per ton, reflecting a decline of 16% year -on-year.
The reduction was driven by better grade, higher metal production, increased renewable power consumption and better by -product realization, partly offset by higher input commodity prices, especially energy prices in line with the geopolitical crisis global ly. We achieved 149 tons of silver production in line with the lead production and our silver portfolio continues to contribute 46% to overall profitability.
With our continued focus on capitalizing on the favorable price environment and optimizing inventory during the quarter, we strategically sold 10,000 tons of lead concentrate. This combination of lowest cost of production, strong output and commodity tailwinds translated into an all -time high quarterly financial performance.
During the quarter, we reported highest ever EBITDA of INR8,074 crores, resulting into a record net profit of INR5,469 crores, making a new milestone for the company. On the growth projects front, we are making steady progress as planned . For the 250 KTPA integrated zinc smelter at Debari , mine development activities have started for matching the mining capacity.
For the tailing s reprocessing plant, const

ruction activities have started and site mobilization for
the infrastructure development is completed. Our other 2 key projects, that is hot acid leaching plant at Dariba and fertilizer plant at Chanderiya are on track to be completed by the second quarter of the year.
Looking ahead, our strategy remains clear and consistent. We are committed to execute our growth projects with discipline, maintaining our industry -leading cost positions, strengthening our resource base and prudently allocating capital to maximizing long -term returns.
A strong start to FY27 reinforces our confidence in the execution of our strategy. As demand for zinc, silver and critical minerals continue to be supported by global megatrends , we believe Hindustan Zinc is going to deliver sustainable growth, resilient cash flows and long -term value creation for our shareholders.
As I conclude, I would like to express my heartful gratitude to our shareholders, employees, customers, business partners and all our stakeholders for their unwavering trust and support throughout my tenure. It has been an absolute privilege to lead Hindus tan Zinc and be part of its remarkable transformation and growth journey.
As shared earlier, Mr. Amarendu Prakash will now take over the responsibility of leading Hindustan Zinc. Having worked closely with him, I am fully confident that his vision, deep industry expertise and proven leadership will guide the company to even grea ter heights.
On a personal note, it has truly been an honor to serve Hindustan Zinc. I leave with immense pride in what we have accomplished together and with great optimism for the company's future.
I sincerely thank each one of you for your trust, encouragement and p artnership throughout this

Sensitivity: Public (C4) journey. I wish Amarendu and the entire Hindustan Zinc team and all our stakeholders continued success in the year a head .

With this, I now hand over to Amit for an update on the financial performance.

Amit Gupta: Thank you, Mr. Misra, and good evening, everyone. The global macroeconomic environment continues to be influenced by geopolitical development, evolving trade policies and uneven economic growth. Despite these challenges , India remains one of the fastest -growing major economy, supported by strong domestic demand and infrastructure investments and a stable policy framewor k.

While commodity market may remain sensitive to global development s in the near term, the long-term outlook for our key metals remains positive. This demand continued to be supported by infrastructure development and galvanized steel connection, while lead fundamentals remain stable.

Silver is benefiting from accelerated adoption across solar, electronics and other energy transition applications, creating a strong structural demand outlook. In this environment, Hindustan Zinc focus on operational excellence, cost leadership, designated capital allocation and a strong balance sheet provides a solid foundation for sustainable growth and superior shareholder returns across commodity cycles.

I am pleased to share that we have started FY27 on a strong note, delivering record financial performance and crossing the INR8,000 crores quarterly EBITDA milestone for the first time. This performance reflects our focus on operational excellence and disciplined execution supported by the benefits of last year's debottlenecking projects, the commissioning of the additional ro aster, higher operational efficiency and the lower zinc cost of production excluding royalty since our underground transition .

Silver continues to be a key earning driver during the quarter, contributing approximately 46% of overall profitability and reinforcing its strategic importance to our portfolio. During the quarter, we delivered our highest ever quarterly revenue from operations of INR13,747 crores, up 77%

year -on-year, driven by higher metal production, support ive commodity prices, better byproduct realization, lead concentrate sales and a stronger dollar.

We have also delivered the highest -ever quarterly EBITDA of INR8,074 crores, up 109% year -on-year, with an industry -leading EBITDA margin of 59%. This performance was further supported by the lowest ever quarterly zinc cost of production excluding royalty, since our underground transition at USD 851 per ton.

During the quarter, we also monetized 10 kt of lead concentrate equivalent to approximate 9 tons of silver and 6,000 tons of lead metal content . Reflecting this strong operating performance, we delivered our record quarterly net profit of INR5,469 crores, up 145% year -on-year.

Our ability to generate strong free cash flow of INR5,253 crores pre growth capex , demonstrate the resilience of our business model, industry -leading cost competitiveness and disciplined

Sensitivity: Public (C4) financial management. This robust cash generation enables us to fund our strategic growth projects, maintain balance sheet strength and create long -term value for our stakeholders.

We ended this quarter with a net cash position of INR5,572 crores, providing significant financial flexibility to pursue value -accretive growth opportunities while maintaining an attractive shareholder return profile . Our strong balance sheet, net cash position and disciplined capital allocation framework positions us well to fund future growth while continuing to reward shareholders.

Our capital allocation priorities remain unchanged : investing in high -return growth opportunities, maintaining balance sheet strength and returning surplus cash to shareholders . Reflecting our confidence in the business and strong cash generation , during the quarter, the company paid its first interim dividend of INR11 per share, reaffirming our commitment to delivering sustainable shareholder returns.

Beyond the value creation for shareholders, we remain committed to create meaningful value for the broader economy and society. During the quarter, Hindustan Zinc contributed approximately INR6,450 crores to the National Exchequer through taxes, royalties, duties and other statutor y earnings , underscoring our role as a responsible corporate citizen and a significant contributor to India's economic development.

Looking ahead, our priorities remain clear , maintaining industry -leading core competitiveness; executing our growth projects safely and efficiently; preserving balance sheet strength and delivering superior returns through the cycle. As we progress on our 2 x growth journey and capitalize on the long -term structural demand outlook for zinc and silver, we remain confident

in our ability to create sustainable value for all stakeholders.
With that, I would like to thank all our stakeholders for their continued trust and support. I will now hand over the call to the operator for the Q&A session. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Pallav Agarwal with Antique Stock Broking .
Pallav Agarwal: Congratulations to Mr. Arunji and best wishes to the incoming management team. So I had a couple of questions. First one was on the power and fuel costs. So on a sequential basis, it has gone up despite metal production being lower, and I think the RE prop ortion of energy also was better compared to the fourth quarter. So any particular reasons for the increase in power and fuel cost on a sequential basis?
Amit Gupta: So the power and fuel cost during the quarter has d increased majorly due to our materialization of linkage coal, which is slightly lower due to the various reasons, including the mine conditions from where we take coal. On top of it, there is an impact of imported coal, which i

s slightly at a
higher cost as compared to earlier, although we have consumed more RE power. So this quarter is slightly higher on the power and fuel cost.
Pallav Agarwal: Okay. So what is the proportion of domestic coal in terms of lin kages ?

 Arun Misra: 36% compared to -- it was 54% last year, 64% in quarter 4.
Pallav Agarwal: Sure, sir. Also, if you would just on, I think as a policy, we never used to sell concentrate earlier. So are we like doing this on a temporary basis still the smelting capacity ...
Arun Misra: We still don't sell concentrate. We still have the same policy that we don't sell concentrate. However, if you recall, when we commissioned the 1 million ton capacity, new mill in RD mine. So in the initial days, during stabilization of the plant, we have produced lots of lead concentrate which were slightly inferior grade and unusable in our own smelters.
So we thought we would make good of that with the good grades that we'll produce later on. But looking at the price of silver and the good prices that we are doing, we do not want to use -- we don't want to lose the opportunity by derating the smelter by u sing inferior grade of concentrate. So that stock which we are carrying for a long time .
That's what we sold in the market taking opportunity of the high LME, and we realized almost silver equivalent of 9 tons through the sale and about 6 KT of metal through the sale. So that's how we have made good of the situation where the old stock we disposed of f, creating value for all of us .
Pallav Agarwal: So has the stock been exhausted, sir? Or we still have some of that old inventory with us?
Arun Misra: Almost we are segregating, maybe some amount still be there, but we'll figure out if we can use it now. Now that the smelter shutdown s are over , capacities are back, and we wont like to keep the smelters empty. So we will not immediately sell unless we find that the mine production are at such a level that the smelters are not starving of any amount then and there only.
Pallav Agarwal: Sure sir. Also, if you could just share the absolute revenue number of the concentrate sales, sir?
Amit Gupta: So, INR315 crore s in the revenue from concentrate.
Pallav Agarwal: Okay. So finally, just so are we expecting any production for the rest of year. We shouldn't have any further shutdown or a maintenance plan, right? So for the remainder of the year.
Arun Misra: So roughly, we have given a guidance of 1.1 million tons for the year, right? And we have done 260 KT just now. So yes, now everything is back, and we will -- we won't have any further shutdown , and we will deliver on our commitment of 1.1 million tons.
Moderator: Our next question comes from the line of Suman Kumar with PhillipCapital.
Suman Kumar : Congratulations on a really good set of numbers. So my first question is considering the kind of production for Q1, what we have achieved, what is the confidence that we will achieve the targeted production guidance? And would the management try to even re vise or change the guidance for the year. That would be my first question.
Arun Misra: No, no. We have done 260 KT. Even on a straight line method, we are already at 1,040, right, and we have given a guidance of 1.1 million ton only. So it's only little -- so we are absolutely

 confident of producing typically quarter 2, quarter 3 as we go forward, the production numbers are the highest and quarter 4, normally, we touch even close to 280, 290 KT. So I don't see any reason why we will have any difficulty in reaching 1.1 million ton.

Suman Kumar : And second, sir, what is your expectation of what is the net cash position of which we will be exiting FY27 ?
Amit Gupta: So we are -- at this point of time, we are a

net cash company and based on the volumes we have
predicted and the prices which are going on in the market. So we believe that we are going to be net cash company .
Suman Kumar: Okay. Sir, just 1 more question. During the -- in the notes to accounts, specifically in point 5, there have been mentioned that SEBI had flagged a couple of observations on related party transactions. And although there has been no financial penalty or restriction or any kind of imposition on the group, but it has been mentioned that in line with SEBI directions, several corrective measures have been taken. So could you please throw a little bit of light on this, please?
Arun Misra: So it's -- the way it operates is all the related party transactions, we take a omnibus approval and staying with that limit we operate. Suppo se an omnibus approval, I had s ay, INR300 crores per metal quantity of. I'm just giving a number of, say, 100,000 tons, right? So the operating people always focus on the 100,000 tons but now if the LME increases, the value crosses INR300 crores. Then that is what perhaps now -- internally, the SOP, we will do is at the 80% level, alarms will be generated, that we are about to cross 80% of the value approval. So go back to Board and inform the Audi t Committee and take that approval. Otherwise, there is no bridge as such.
Suman Kumar: I just have one more question that in the presentation, when we are mentioning that the zinc smelter and the lead smelter that is close to about plus 600 KT of metal capacity that is in conceptualization stage. So could we have a time line as in like once the Board approval happens, what is the time line or how many months are we looking at for this capacity to come online? And what would be the approximate capex outlay for this?
Arun Misra: So this capex outlay, we just can't -- because we are now going through the tendering process and maybe another 1 months' time , we would know exactly. But if I do a straight line method, for a 250 capacity, we see around INR12,000 crores.
So we can see, including mines, somewhere around 650 KT will be about 2.5x of that, so roughly about INR24,000 -25,000 crores. But yet, I will wait for that tendering to be done. And second, we are estimating a time line of 36 months of construction period post approval by the board, which we expect by quarter 3 of this year, we will move for board approval.
Moderator: Our next question comes from the line of Manav Gogia with Yes Securities.
Manav Gogia: Congratulations on a good set of numbers.

 Moderator: Sorry to interrupt, Manav, but your line seems to be slightly muffled, request to please check the
mode that you're using.
Manav Gogia: Is it better now?
Moderator: Yes. Much better. Please go ahead.
Manav Gogia: Sir, my first question is in line with the previous participant on the operational guidance. So if you look at refined metal looks to be achievable for whatever guidance you had given for 1.1 million. But when we look at the volumes of silver, right, how s hould one look over the next 3 quarters?
Because if we have to attain the 680 tons target, then we'll have to average at about 175 tons a quarter now. So what would your view be on this considering that it has come down and now zinc prices are also quite attractive?
Arun Misra: If you look at the silver production, actually, the silver grade this quarter has been better, right? So in spite of a better grade, we have just produced 149 tons, so a rough estimate of 10 tons to 15 tons of silver would be in the -- locked up in the WIP. So it's not -- and one -- and if you take out the concentrate sale, then actually 158 tons of silver that we have -- value has been extracted. Now going forward, typically, quarter 2, up til l quarter 4, we ensure that the mine development is such will hit even be

tter PPM ore for silver, and we maximize in quarter 4. So looking at that,
we can surely say it will not be difficult to achieve the guidance numbers.
Manav Gogia: Okay. Understood. So second question would be, if you could let me know if there are any current hedges which are open for FY27 ? And how should one be looking at the hedging policy going forward?
Amit Gupta: So at this point of time, we have a 48 KT of zinc, which are open at the rate of USD 3,162 per ton, and silver, 34 tons at the rate of 63 per ounce . As of now, we are not doing any hedging considering the volatility in the market and at the appropriate time, whenever we do, we will

update.
Manav Gogia: Okay. So we did these hedges in Q1 or these carry forward from Q4?
Amit Gupta: No. No, this year, we haven't done any hedging.
Manav Gogia: We haven't done as of now . Okay. Sir, one last question I wanted to also ask was. So this is related to your DAP fertilizer plant. And I mean, since it is expected to commission in Q2, and we already out over in Q2. So can we get a definitive timeline on what is the targeted date or the month ? Can you also shed some light o n the unit economics is expected to look out of the same?
Arun Misra: No. So what will get commissioned in Q2 is the phosphoric acid portion of the of the fertilizer plant. So it is the phosphoric acid plant that should be commissioned. And if you note that for the fertilizer plant, we are yet to complete the whole construction because the environment clearance and other regulatory approvals are pending.

 So once that is completed, then only we'll move to fertilizers. So as of now, in Q2, you can expect phosphoric acid plant to be completed and maybe some of that sulfuric acid will be converted to phosphoric acid for better realization in the market.
Manav Gogia: Okay. And what will be the time line for the fertilizer plant then?
Arun Misra: Fertilizer plant should come in place by quarter 1 of next financial year.
Moderator: Our next question comes from the line of Pratim Roy with 360 ONE Capital.
Pratim Roy: Congratulation on the strong quarter to the whole team. I have few questions. Firstly, there are several media article s on government of India selling the stake in Hindustan Zinc. So is there any update which can be shared on th is regards ? That is the first question.
Arun Misra: Yes, it is for the government to give the update. We really can't get any update on what government will do.
Pratim Roy: Okay, sir. Okay. And secondly, is there any change in the dividend policy after the demerger happen ed at Vedanta . So how should we see the dividend during this year?
Arun Misra: Dividend policy, there is no change.
Amit Gupta: There's no change in the dividend policy. We have a minimum 30% of our profit and 5% of reserves as per the policy we pay, and during the first quarter, we have paid INR11 per share already, and it's a matter of board . So at the appropriate time, whatever decision is being taken, we'll be updating it.
Moderator: Our next question comes from the line of Anirudh Nagpal with JM Financial.
Anirudh Nagpal: Congrats on a great set of numbers. So my only question is that recently, company won the REE block at Karnataka. So can you please share the action plan or the details of the block? And by when should we expect the production to come? So how shall we see t he lead concentrate sales? And will it be coming in the coming quarters? So yes, that's the question.
Arun Misra: So this is REE and Yttrium block. And if you know that Yttrium is used mostly for various electronic purposes, like red LED lamps that we see. Red LED is made out of Yttrium, phosphor element in that red LED. Also is used for various other medical purposes as well. So it's a very important metal for India's development.
Now the question

is, we have just got the block at G2 level. immediate task is exploration
Typically, it would take 2 years to 3 years for exploration, establishing the reserve resource base and then doing the mine plan. You can see -- you can say the mining and then metalization will take at least an ywhere between 5 to 6 years. So that means maybe 2031 -32 would be the first time the production will come to the market.
Moderator: The next question comes from the line of Sumangal Nevatia with Kotak Securities.

 Sumangal Nevatia : So first question is on the cost. So on the USD 50 per ton reduction quarter -on-quarter, can we share some breakup as to what are the drivers and quantify?
Amit Gupta: So during the quarter, our COP is broadly in line with the guidance we have given, which is 975 to 1,000, and the additional benefit is because of the by -product realization, which is higher than this.
Sumangal Nevatia : Okay. Okay. So between, say, this quarter and last year, what would be the incremental delta from byproduct realization? Is it possible to explain ?
Amit Gupta: So byproduct, we are selling in through the auction and whatever price we are realizing, it is

getting offsetted in COP, cost of production. So based on that, the numbers which are there is reflecting in our financials.

Sumangal Nevatia : Sure sir. Second question is on the zinc processing plan t. If you could just share some details as to what is the recovery expected on full utilization and what is the time for the ramp -up? And same with hot -- yes..

Arun Misra: Which zinc processing plant you are talking about? Is it tailing recycling plant?

Sumangal Nevatia : Yes, yes, tailing recycling .

Arun Misra: Are you talking about the tailing recycling plant. For tailing recycling , we have just started the construction. So it will be another 24 months before the facility can be constructed. And we expect about 30, 35 kt of zinc to be produce d out of that.

Sumangal Nevatia : Okay. Okay. And does it take to ramp up or say, in 3 years' time we can get this output?

Arun Misra: Tailing reprocessing apart from in 1 mine in Australia, nobody has done. So of such capacity, I would expect it would have a ramp -up period of anywhere between 6 to 8 months.

Sumangal Nevatia Okay, understood. And just lastly, with the fertilizer plant, what is the total capex we spen t till now, till 1Q?

Amit Gupta: Around INR500 crores we had already spent.

Moderator: The next question comes from the line of Tejas Pradhan with Citigroup.

Tejas Pradhan: Just wanted to recheck on the hedge number. You -- I missed the quantity for zinc. The price, I think, was 3,162, right ?

Amit Gupta: So zinc quantit y is 48,000 tons, 48 KT.

Tejas Pradhan: 48 KT. And silver was 34 tons at USD 63, right?

Amit Gupta: Right.

Tejas Pradhan: Okay. Okay. Understood. Just on the first quarter, I mean, what would be the hedge losses?

 Amit Gupta: So the hedge losses are to the tune of INR200 crores.

Tejas Pradhan: INR200 crores. And the full year capex guidance and the capex spent in 1Q?

Amit Gupta: So the guidance for the year is on the growth project is around USD 500 million to USD 600 million we are expecting. And during the quarter, we have spent around INR800 crores.

Tejas Pradhan: INR800 crores.

Moderator: We will now take one last question, which will be from the line of Pinakin with HSBC.

Pinakin : So just trying to understand the sulfuric acid prices have been very, very strong. I mean, they are up 200% on a year -on-year basis and prices have again recovered. So is it fair to say that the cost of production because you report cost of production net of byproduct realizations would further reduce in the second quarter?

Arun Misra: I guess in the

second quarter, we have just done 260 KT of metal. In second quarter, if I had to meet 1.1 million ton guidance should cross around 280 KT, right? So that means more mining has to happen. And in that case, automatically on the input side, the cost will go down. And if you produce more metal and more acid will be produced. And if the prices remain at current level, the cost is supposed to be better unless we are struck by higher input commodity prices, which is also a likelihood.

Pinakin: Sure. And just a clarification. If I take royalty as a percentage of revenues, it is at multi -quarter lows. This will essentially be because of higher sulfuric acid revenues, right, where you don't have to pay a royalty?

Arun Misra: Your voice is muffled. I'm unable to hear probably.

Pinakin: No. So my point was that the royalty as a percentage of revenues is at a multiyear low. This would essentially be because of sulfuric acid revenues being booked under revenues where you don't pay a royalty. Would that be correct?

Arun Misra: Which royalty? You were talking about mineral royalty?

Pinakin: Mineral royalty , as the P&L item , the percentage of revenues?

Arun Misra: Sulfuric acid, there is no royalty as per law because it's not any mineral product. It's something has to be produced because of environmental concerns, you cannot get sulfur -- sulfur dioxide out in the environment. right? So -- but the mineral royalty for other is a percentage of the price that is the LME that is set. So automatically, it becomes a percent, not revenue in absolute terms, but in the price in absolute terms.

Moderator: Thank you. I would now like to hand the conference over to Ms. Jain for closing comments. Over to you, ma'am.

 Raksha Jain: Thank you, operator, and thank you all for joining today's call. Before we conclude, I would also like to take this opportunity to express our sincere gratitude to Mr. Arun Misra for his outstanding leadership and invaluable contribution to Hindustan Zinc' s growth journey. Under his leadership, the company achieved several significant milestones and further strengthen its position as a global leader in the zinc industry. On behalf of entire Hindustan Zinc family, we thank him for his guidance and wish him continued success i n his future endeavors. Further, we are pleased to share that we have published our fourth integrated Annual Report which provides a comprehensive overview of our strategy, financial and operational performance, sustainability initiatives and long -term value -creation journey. As always, our complete reporting suite is available on our website. We welcome your feedback and suggestions as we continue to enhance the quality of our disclosures. Should you have any further questions or require additional information, please feel free to reach out to the Investor Relations team. Thank you, and have a great day.

Moderator: Thank you. On behalf of Hindustan Zinc, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.